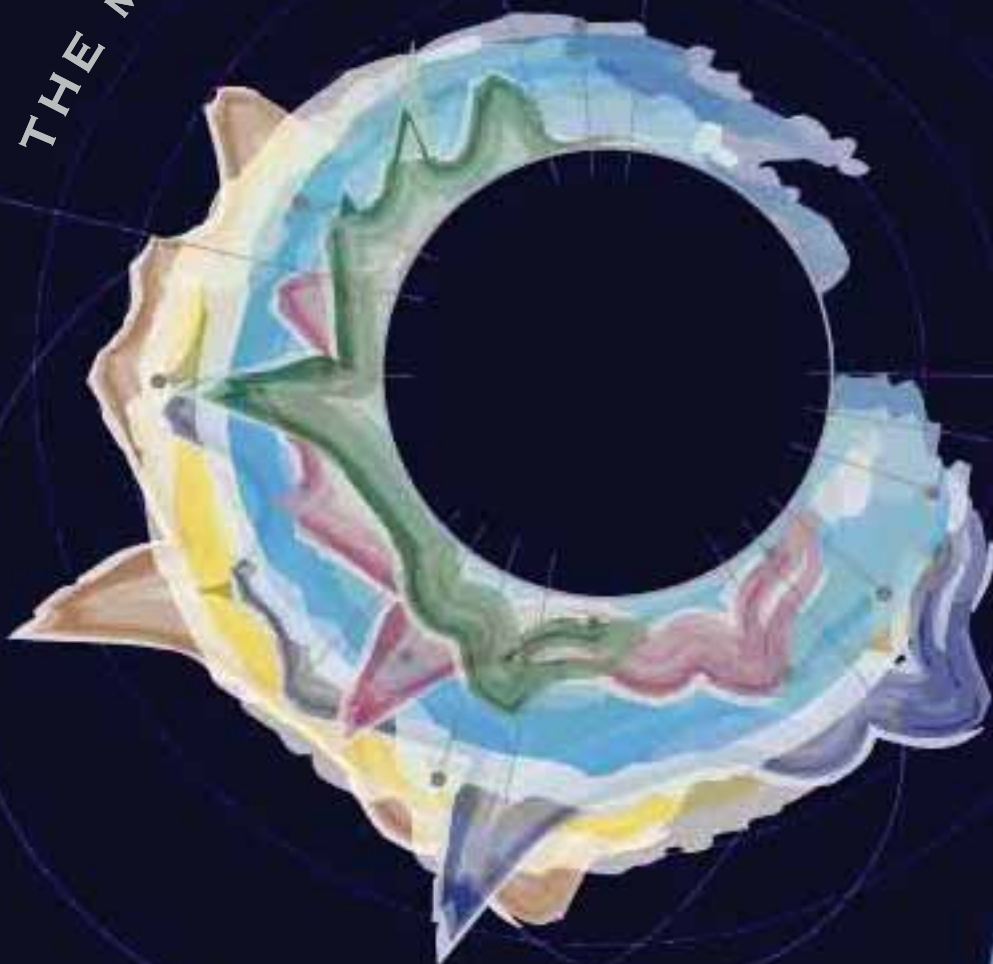


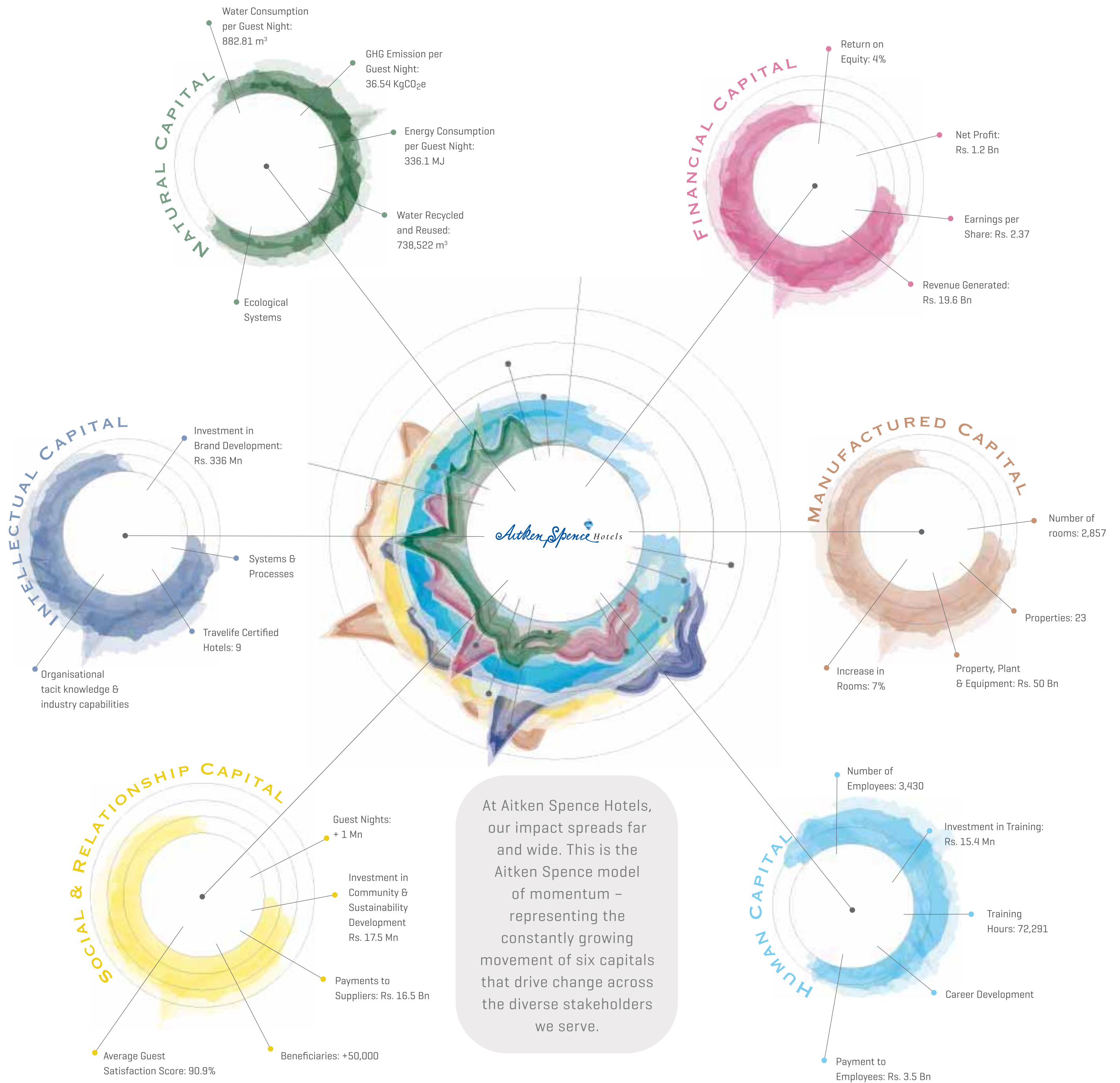
THE MOMENT MOMENTUM

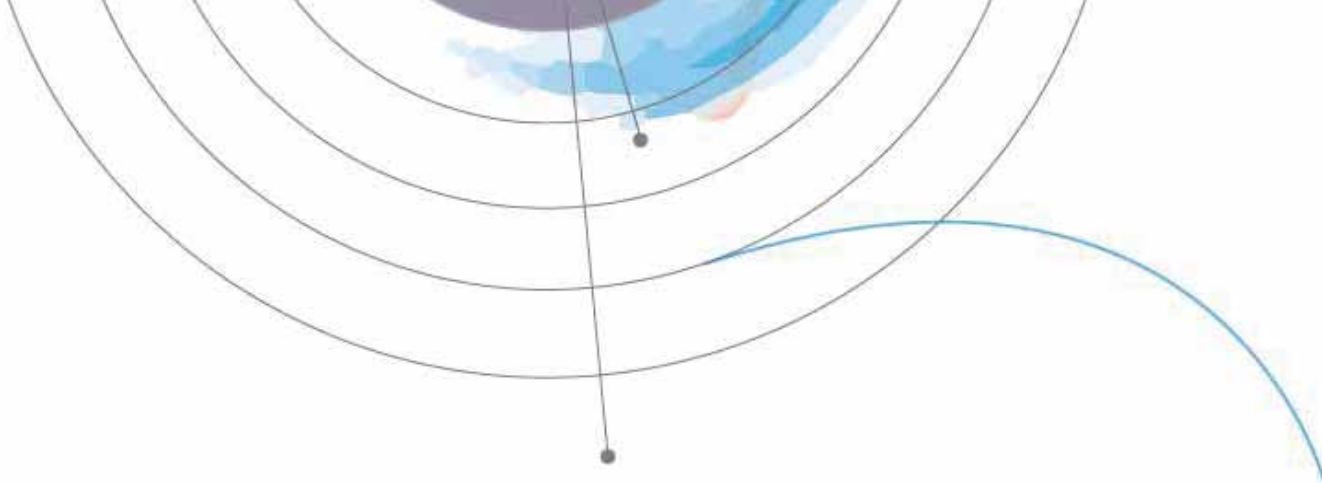
ANNUAL REPORT 2018/19



Aitken Spence  Hotels

Aitken Spence Hotel Holdings PLC





THE MOMENT MOMENTUM

It's always the little things that create the perfect moment. A single, perfectly magical moment can make any experience memorable. However, at Aitken Spence Hotels, we believe in something a little different.

We believe that you shouldn't just stop at one single moment. To us, every interaction with Aitken Spence Hotels is an opportunity to create a sequence of moments so special, they last a lifetime.

When we create special moments for the people, the environment, and the communities we serve, we are creating not just one moment, but the momentum to create something extraordinary in our every working moment.

Aitken Spence Hotels

CONTENT

04 Across The Region



07 About the Group

- 08 About This Report
- 10 Group Performance Highlights
- 12 Chairman's Review
- 16 Managing Director's Review
- 20 Board of Directors
- 24 Corporate Management Team
- 28 About the Group
- 29 Commitment to Excellence
- 32 Group Structure
- 34 Milestones



37 Strategic Report

- 38 Value Creation Model
- 40 Value Formation and Trade-Offs
- 41 Stakeholder Relationships
- 44 Our Operating Environment
- 48 SWOT & Materiality Analysis
- 51 Strategy and Resource Allocation
- 55 Risk Management
- 62 Sustainability at Aitken Spence Hotels
- 65 Operational Review
- 66 Sri Lankan Sector
- 68 South Asian and Middle East Sector
- 70 Capital Reports
 - 70 Financial Capital
 - 78 Manufactured Capital
 - 90 Human Capital
 - 98 Intellectual Capital
 - 104 Social Relationship Capital
 - 114 Natural Capital



123 Governance

- 124 Chairman's Message
- 126 Corporate Governance
- 140 Audit Committee Report
- 143 Remuneration Committee Report
- 145 Nomination Committee Report
- 147 Related Party Transactions Review Committee Report
- 149 Statement of Directors' Responsibilities
- 150 Annual Report of The Board of Directors
- 155 The Board of Directors' Statement on Internal Controls

12 Chairman's Review

The Group continues to outpace benchmarks with smart strategy and careful execution. This year too, we have set our sights on sustainable growth leveraging a strong Balance Sheet and extensive experience in leadership across numerous industry sectors.



157 Financial Statements

- 158 Financial Calender
- 159 Independent Auditor's Report
- 164 Statement of Profit or Loss and Other Comprehensive Income
- 166 Statement of Financial Position
- 168 Statement of Changes In Equity
- 170 Statement of Cash Flow
- 172 Notes to the Financial Statements
- 269 Quarterly Statistics
- 270 Indicative Us Dollar Financial Statements



275 Supplementary Information

- 276 Investor Information
- 281 Decade at a Glance
- 282 Real Estate Holdings of the Group
- 283 Group Directory
- 286 Independent Assurance Statement
- 290 GRI Content Index
- 296 Corporate Information
- 297 Glossary of Financial Terms
- 299 Notes
- 300 Notice of Meeting
- 301 Form of Proxy
- 303 Investor Feedback Form

16 Managing Director's Review

Aitken Spence Hotel Holdings PLC is Sri Lanka's most geographically diversified hotel company operating the highest room inventory, with 23 properties located in Sri Lanka and three other countries offering varied experiences to tourists, we continue to outperform industry as our diversity supports resilience in earnings from inevitable market volatility.

ACROSS THE REGION



OMAN



Al Falaj Hotel
Desert Nights Camp
Al Wadi Hotel
Sur Plaza Hotel

MALDIVES



Adaaran Club Rannalhi
Adaaran Select Hudhuran Fushi
Adaaran Select Meedhupparu
Adaaran Prestige Vadoo
Adaaran Prestige Water Villas
Adaaran Prestige Ocean Villas



Heritage Aarah

SRI LANKA



Heritage Kandalama
Heritage Ahungalla
Heritage Tea Factory
Heritage Ayurveda
Heritage Negombo



Turyaa Kalutara



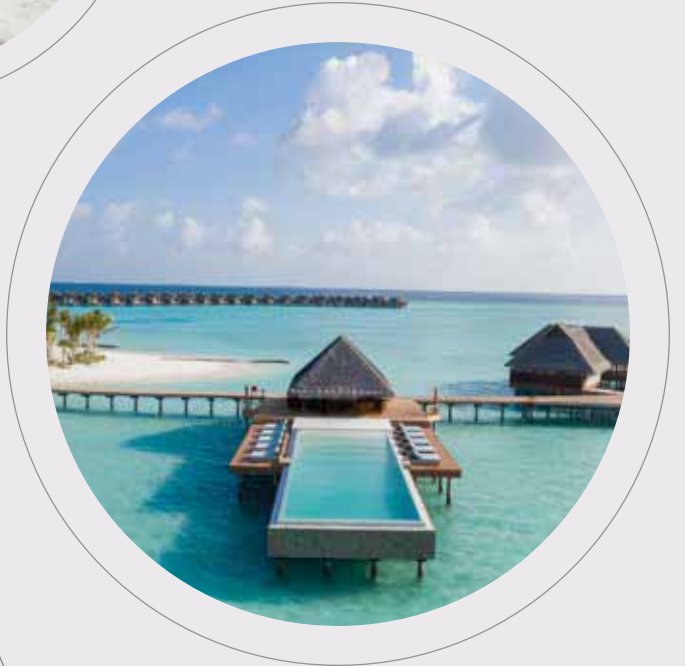
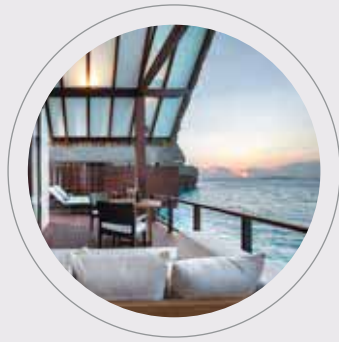
Amethyst Resort Pasikudah
Earl's Regency
Earl's Regent
Bandarawela Hotel

INDIA



Turyaa Chennai





HERITANCE AARAH



The Group marked an important milestone during 2019, launching its first Heritance branded property outside Sri Lanka with the introduction of Heritance Aarah in the Maldives. Nestled in an island in Raa Atoll 40 minutes from the Male international airport, Heritance Aarah is positioned as a premier, all-inclusive resort offering a differentiated Maldivian experience. With the introduction of the Heritance brand to the Maldives, the Group hopes to offer its discerning guests a unique proposition of quintessentially traditional, curated experiences delicately woven into star-classed luxury. Featuring luxury duplex ocean suites, sunset ocean villas and land villas, Heritance Aarah offers eight F&B outlets inclusive of six dining spaces, each featuring distinctive cuisine from around the world. Among the Hotel's key facilities are the overwater swimming pool, a novelty for the Maldivian tourist and the Medi Spa catering to the rising demand in the wellness segment through a vast menu of spa treatments, salon services, beauty treatment and wellness programs. From express weight loss to anti-aging treatments, massage therapy to body care, facial care to revitalisation programs, Heritance Aarah will become a destination for those pursuing leisure and luxury along with wellness.

VISION

To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.

VALUES

- 
- Reliable
 - Honest & Transparent
 - Warm & Friendly
 - Genuine
 - Inspiring Confidence

ABOUT THE GROUP

MOMENTS OF ADVENTURE



At Aitken Spence Hotels, we focus on doing things differently – taking risks, exploring new locations and embarking on visionary strategies to create endless possibilities.

ABOUT THIS REPORT

• 102-46 • 102-50 • 102-51 • 102-53 • 102-54

This year we present our 8th Integrated Annual Report, through which we hope to provide information that communicates the alignment between our strategy, stakeholder needs, business model and triple bottom line performance. As our primary publication to shareholders, the Report mainly addresses the information needs of investors, although it also contains information that is relevant across our stakeholder universe. The Report covers the Group's operations for the period from 1st April 2018 to 31st March 2019 and builds on our previous report for the financial year ending 31st March 2018. We adopt an annual reporting cycle for both financial and sustainability reporting.

Scope and Boundary

The Report covers the operations of Aitken Spence Hotel Holdings PLC ("Aitken Spence Hotels" or the "Company"), its subsidiaries and interests in equity accounted investees (collectively referred to as the "Group"). The Financial Statements presented on pages 159 to 273 and the discussion of financial aspects in the narrative report present a consolidated view of the Group, unless otherwise stated. The non-financial information presented across the narrative report is limited to 16 properties owned by Aitken Spence Hotels across Sri Lanka, Maldives, India and Oman including two associate properties in which the Group has managing control. Key changes to the Group's operations during the year include the opening of

Heritage Aarah in Maldives in April 2019; financial and Non-Financial Information pertaining to this property has been excluded from this year's Report and will be included from 2019/20.

Materiality

In selecting and prioritising the content to be included in this Report, we have adopted the principle of materiality. Material topics are defined as the issues which could impact the Group's ability to create value over the short, medium and long-term and have been determined giving due consideration to the operating context, stakeholder concerns and the Group's strategic objectives. In improving the relevance and meaningfulness of this Report, we have expanded this year's material topic beyond those prescribed by the GRI Standards to reflect issues relevant to the Group and the industry we operate in. The process for determining material topics is given on pages 48 to 50 of this Report.

Reporting Standards and Principles

Financial Statements

Sri Lanka Financial Reporting Standards
Companies Act No. 7 of 2007
Listing Rules of the Colombo Stock Exchange

Strategic Report and Integrated Management Discussion & Analysis

Integrated Reporting Framework of the International Integrated Reporting Council

Sustainability Report

GRI Standards published by the Global Reporting Initiative - 'Core' Option of Reporting
ESG Reporting Guidelines of the Colombo Stock Exchange
Sustainable Development Goals (SDG) set by the United Nations General Assembly

Corporate Governance

Code of Best Practice on Corporate Governance issued by CA Sri Lanka (2017)
Listing Rules of the Colombo Stock Exchange

	Owned Properties	Associate Properties	Managed Properties	Heritage Aarah ♦
Financial information	✓	✓	✓	✗
Non-financial information	✓	✓	✗	✗

♦ Property opened in April 2019, however the investment made has been captured under financial information.



www.aitkenspencehotels.com/about-us/investor-relations.html



Our Annual Report is also available online. Please visit our website at www.aitkenspencehotels.com to access the report

Assuring Our Disclosures

External assurance on the Financial Statements has been provided by Messrs. KPMG and is available on pages 159 to 163 of this Report. Assurance on sustainability reporting has been provided by DNV GL represented by DNV GL Business Assurance Lanka (Private) Limited who have carried out an independent assurance engagement [Type 2, Moderate based on AA1000 AS] for the non-financial qualitative and quantitative information. The assurance opinion is available on pages 286 to 289 of this Report.

Feedback

We understand that Integrated Reporting is an evolving discipline and a journey of continuous improvement. We welcome your ideas and suggestions on our Annual Report and welcome you to direct your feedback through the Investor Feedback Form on pages 303 to 304.

Our contact details are as follows;

Email: info@aitkenspence.lk

Group Business Development Unit -
Aitken Spence PLC

Navigation Icons

In improving the connectivity of information presented, we have used the following navigation icons across the Report.

Capitals defined by the <IR> Framework



Strategic Objectives

- Operational Excellence
- Portfolio Expansion and Upgrade
- Development of Our Talent Pool
- Sustainable Value Creation

Reporting Improvements

- [1] Increased connectivity using navigation focus.
- [2] Expansion of material topics beyond GRI to include industry-specific factors.
- [3] Strategic focus.
- [4] Showcase relevance to Sustainable Development Goals (SDG) where ever applicable.
- [5] Dedicated chapters on,
 - Contextual trends and SWOT analysis.
 - Performance review of key business clusters.
 - Outlook.
- [6] Restatements to reflect revised scope and boundaries - depicted with a "*" in Strategic Report (inclusion of non-financial information of Hotel RIU Sri Lanka).

GROUP PERFORMANCE HIGHLIGHTS

• 102-7 • 201-1

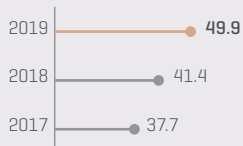
Performance for the Year ended 31st March		2019	2018	Change
Gross Revenue	Rs. '000	19,570,589	18,250,581	7%
Group Profit Before Tax	Rs. '000	1,904,325	2,189,891	-13%
Group Profit After Tax	Rs. '000	1,197,164	1,583,395	-24%
Group Profit Attributable to Equity Holders of the Parent Company	Rs. '000	810,581	1,169,314	-31%
Earnings per Share (EPS)	Rs.	2.37	3.43	-31%
Ordinary Dividend Final (Proposed)	Rs. '000	336,290	420,363	-20%
Dividend per Share	Rs.	1.00	1.25	-20%
Cost of Finance	Rs. '000	934,502	949,117	-2%
Interest Cover	Times	3.18	3.45	-8%
Return on Equity	%	3.90	5.98	-35%
Position as at the Year ended 31st March				
Total Assets	Rs. '000	64,902,384	58,593,397	11%
Long term interest bearing borrowings	Rs. '000	23,405,292	18,154,051	29%
Total Equity	Rs. '000	30,595,435	27,894,003	10%
Number of shares in issue	Number	336,290,010	336,290,010	0%
Net Assets per Share	Rs.	62.96	58.30	8%
Gearing - Debt/(Debt+Equity)	%	43.65	39.78	10%
Debt/Total Assets	%	36.32	31.26	16%
Current Ratio		0.97:1	1.01:1	-7%
Quick Asset Ratio		0.90:1	0.97:1	-6%
Market / Shareholder Information as at year ended 31st March				
Market Price per Share (Closing Price)	Rs.	23.70	33.50	-29%
Market Capitalization	Rs. '000	7,970,073	11,265,715	-29%
Price Earnings Ratio	Times	10.02	9.76	3%
Dividend Payout	%	42.26	36.41	16%
Dividend Yield	%	4.22	3.73	13%
Value Added for the year				
To Government	Rs. '000	1,223,165	1,087,538	12%
To Employees	Rs. '000	3,482,599	3,103,254	12%
To Providers of Capital	Rs. '000	1,321,085	1,363,198	-3%
To Shareholders	Rs. '000	336,290	420,363	-20%
Retained for reinvestment and future growth	Rs. '000	2,348,014	2,564,205	-8%
Total Value Added	Rs. '000	8,711,153	8,538,558	2%
Total Economic Value Added	Rs. '000	1,682	2,166	-22%



2,363 rooms
owned in 17 properties

494 rooms
managed in 6 properties

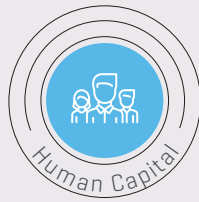
Property, Plant and Equipment (Rs. Bn.)



Capital Expenditure

Rs **6.8** Bn [+33%]
2019

Rs **5.1** Bn
2018



Employees

3,430
2019

3,221
2018



Investment in Training

Rs **15.4** Mn
2019

Rs **17.1** Mn
2018

Avg. Training Hours



Employee Value Added

Rs **3.5** Bn [+12%]
2019



90.9%

Global Review Index Score
[GRI™]

Our Business Partners

898 Tour Operators

1,709 Registered Travel
Agents

1,331 Registered
Corporate Clients

11 Country
Representations

Supplier Value

Rs **16.5** Bn [+30%]
Payments to Suppliers



Investment in Sustainability and Community Development

Rs **17.5** Mn [+59%]



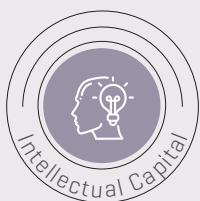
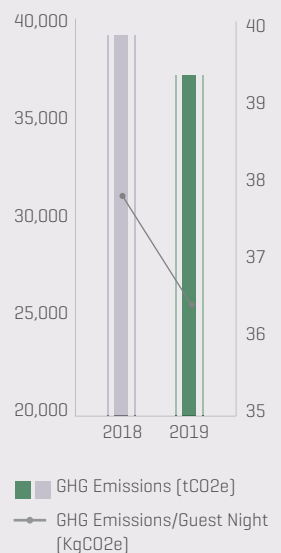
▼ **2%**

Energy Consumption

▲ **6%**

Water Consumption

Carbon Footprint



61

Awards & Recognitions

13

Corporate Awards

28

Property and Brand Awards

20

Online Platform Recognitions

5 years

Average Length of Service of
an Employee



It is my pleasure to welcome you to the 42nd Annual General Meeting and present the Annual Integrated Report for the financial year ending 31st March 2019.

Moving beyond Sri Lanka in 1995, our vision to become a regional player in the hospitality sector has seen our footprint grow to cover four countries. Our growth was driven through consistent investments in iconic properties which have been conceptualised and built according to our specifications, acquisition of properties that meet our exacting standards and management of

properties that enhance our customer value proposition. We continue to raise the bar on service excellence as affirmed by excellent reviews on social media for guest experiences at our hotels, positioning Heritance, Adaaran and Turyaa as premier hospitality brands. Heritance Aarah in Maldives commenced operations in April 2019 adding a further 300 beds to our inventory, becoming the first property overseas to carry our prestigious 'Heritance' brand. Your Company is now poised for growth having consolidated its position as the leading player in Sri Lanka's hospitality industry.

Aitken Spence Hotel Holdings PLC has the country's largest overseas hotel portfolio among its 23 properties owned/ managed by the Group from which it derives 67% of its revenue amounting to Rs.13 billion. Additionally, 64% of the Group's total assets also relate to the overseas portfolio reflecting our geographic diversity which enhances the resilience of the Group.

A Global View

The global tourism industry recorded strong growth of 6% as international tourist arrivals reached 1.4 billion in 2018, reaching the milestone two years ahead

The Group continues to outpace benchmarks with smart strategy and careful execution. This year too, we have set our sights on sustainable growth leveraging a strong Balance Sheet and extensive experience in leadership across numerous industry sectors.

of the UNWTO forecast. Forecasts for 2019 by UNWTO reflect a normalization to historical growth rates of 3-4% supported by affordable and improved air travel. These factors support diversification of source markets and growth in outbound travel from emerging markets. Downside risks to the forecast include geopolitical tensions, uncertainty over Brexit, trade tensions and a wait and see attitude among investors which should be carefully monitored to assess potential impact. It is estimated that travel and tourism account for 10% of employment and that 20% of all new employment opportunities created over the past five years, making tourism a vital sector to drive economic growth.

Tourism in Sri Lanka

Tourist arrivals in 2018 were buoyed by top of the list ratings by global travel influencers such as Lonely Planet and the New York Times supporting strong growth of the industry. Average spend per tourist increased from US\$ 170.2 per day to US\$ 173.8 per day although average duration of the stay remained flat. Gross Income from tourism increased from US\$ 3.8 billion in 2017 to US\$ 4.3 billion in 2018 reflecting economic contribution of this sector.

There was continued interest in expansion of the hotels sector with several proposals being submitted for approval to SLTDA. It is noteworthy that overall occupancy declined marginally from 73.27% to 72.77% as the inventory of graded rooms increased at a faster

pace than tourist arrivals which was exacerbated by the growth of the informal tourism sector.

Performance

Group recorded a Profit Before Tax of Rs. 1.9 billion for the financial year ended 31st March 2019, reflecting a decrease over the previous year. However, profit from operations remained flat as the previous years results included profit from the sale of Hotel Hilltop of Rs. 307 million. The performance of Group is commendable despite both key markets Maldives and Sri Lanka witnessing intensified competition as room inventory increased significantly during the year. The Group has maintained excellent reviews across its properties reflecting the high standards of hospitality maintained throughout the chain.

Growth of our portfolio reflects the diversification across geographies enhancing the customer value proposition. Our overseas portfolio expanded during the year as we invested US\$ 76.3 million in Heritance Aarah in Maldives which supported Balance Sheet growth of 11% to Rs. 65 billion. Heritance Aarah is currently in its soft opening phase.

Market dynamics impacting share price and market capitalization are largely beyond our control. Companies market capitalization decreased from Rs. 11,266 million in 2018 to Rs. 7,970 million at the close of the year with the share closing price moving from Rs. 33.50 to Rs. 23.70.

TOURISM IN NUMBERS

 A GLOBAL VIEW		
	Tourist Arrivals 2018	1.4 BN
Convergence of improved connectivity, new business models and improved visa facilitation were key to growth		
	Tourism Growth Rates	
- World		6%
- Europe		6%
- Asia Pacific		6%
- South Asia		5%
- Americas		3%
- Africa		7%
- Middle East		10%
	Earnings from Tourism	
Domestic Tourism		71%
International Tourism		29%
	SRI LANKA	
	Tourist Arrivals 2018	2.3 MN ↑ 10.3%
Top of the list ratings by prestigious travel influencers combined with increased connectivity supported growth		
	US\$ 4.4BN	↑ 11.6%
Average spend per tourist per day		\$173.8
Key Source Markets		
Europe		44%
Asia and Pacific		47%
Middle East and Others		9%
Purpose of Travel		
Leisure Travel		84.8%
Business and Others		15.2%

OUR LEADERSHIP

CHAIRMAN'S REVIEW

The benchmark ASPI declined by 14% during the period reflecting volatility in equity markets which were impacted by capital outflows stemming from strengthening of the US Dollar.

Sustainability

Tourism is a vital sector that can pave the way for the socioeconomic progress of a country as it creates a significant number of direct and indirect employment opportunities and facilitates connectivity to global markets, promoting trade. It is necessary that growth must also preserve the cultural and natural heritage of destinations which may be at risk through holistic industry wide initiatives. The Group as an early champion of sustainable tourism established environment management systems at all properties owned or managed by us ensuring preservation of areas of high biodiversity adjacent to the properties. This is affirmed by several environmental certifications, the amazing dive sites in the Maldives and the grazing buffalo at Kandalama which are all part of our rich heritage.

Looking Ahead

The Group continues to outpace benchmarks with smart strategy and careful execution. This year too, we have set our sights on sustainable growth leveraging a strong Balance Sheet and extensive experience in leadership across numerous industry sectors. Geographic diversification is a key strategy for the Group as we look to increase our presence overseas through growth of our hotel management business. Heritance Aarah will also deliver a full year's operations boosting the image of the brand and that of the Group. We will continue to develop online sales aggressively, leveraging guest testimonials which have enabled us to maintain excellent ratings on online platforms. We will also strengthen engagement with tour operators to drive growth in existing source markets as well as focusing on developing new source markets.

We continue to invest in state-of-the-art technology to enhance user experiences for potential travelers supporting current travel trends. Our ongoing investments in information technology have seen us build a backbone that redefines industry benchmarks in Sri Lanka this will be further strengthened ensuring that our systems and processes are future fit and provide the MIS and other analytics required to drive competitive advantage. We are also seeking ways of elevating guest experience at our properties through technology driven features that enable future ready rooms, wherever the ambiance of the property deems such offerings appropriate.

The Group takes pride in the modern facilities offered to our staff and has set the industry benchmark for accommodations with its recent investments in Heritance Negombo and Heritance Aarah and upgrading facilities in Kandalama. This will be a pillar of our employee value proposition as we seek to attract, develop and retain the best talent, developing strong talent pipelines for the Group. Enhanced accommodation also support the gender parity initiatives implemented throughout our hotels to attract more female employees in line with Government initiatives to increase female participation in the labour force.

Global growth is forecast to moderate to 3.3% in 2019 with an uptick in the second half of the year as accommodative policy stances in major economies coupled with reduced inflationary pressures reverse tightening financial conditions. Emerging market and developing economies are projected to grow slightly below 5% although there are variations by region and country.

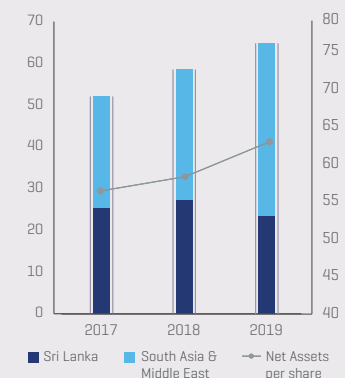
The GDP growth forecast for Sri Lanka was positive at 3.5% for 2019 moving up to 4.8% by 2024; however, this was prior to the Easter Sunday terror attacks of 2019 which are bound to have an implication on the fiscal policy. I urge policymakers to make every effort to

OUR JOURNEY...



GLOBAL ASPIRATIONS

Portfolio Growth

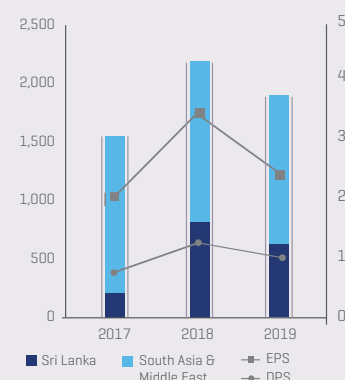


Sustained investments over 5 decades has built a diversified portfolio. Today we operate the largest room inventory of all Sri Lankan players



Sustainable Earnings growth

Earnings



PBT continues to demonstrate sustainable growth across both Sri Lankan and Overseas portfolios.

contain the possibility of fiscal slippage and ensure a healthy Balance of Payment through careful fiscal management. Fiscal planning and policymaking must embrace the containment of inflation, interest rates, and Rupee devaluation as priorities to curb any medium to long term negative impacts.

The terrorist attacks in April 2019 shocked the nation and the world, coming after a decade of peace in the country. Group is taking a lead role in bringing the industry together with the objective of restoring normalcy and driving growth with enhanced security measures. Representations have been made to provide relief through both fiscal measures including relief from VAT and through moratoriums on existing loans to drive foreign exchange earnings. It is also an opportunity for the Government to include the informal tourism sector in the relief measures which will widen the number of contributors to the government coffers, levelling the playing field. We are also engaging with the diplomatic community to understand their concerns and identify opportunities for growth.

We are hopeful that normalcy will be restored soon and that the country's growth trajectory will be resumed in the near future minimizing the country's vulnerabilities. It must also be noted that 67% of PBT was contributed by the South Asian and Middle Eastern portfolio supporting Group growth resilience to uncertainties as we strive to drive sustainable growth.

Appreciations

Mr. J.M.S. Brito retired during the year after 17 years at the helm of The Group, steering our growth to become the largest player in the Tourism sector of the country and I wish to convey my sincere appreciation of his invaluable contribution. He will continue to be a source of rich experience and insight in his capacity as a Non-Executive Director on our Board. I welcome Dr. M.

P. Dissanayake who took over as the Managing Director and look forward to his strategic contribution to take the group to greater heights. I thank Ms. Stasshani Jayawardena Director for providing visionary leadership and for the different perspectives and contributions made in driving growth and performance across our portfolio together with the Senior Management. I am truly appreciative of the warm hospitality extended by our employees who have ensured that our guests have positive experiences adding lustre to our brands. To our supply chain partners, I convey my appreciation of their support along the shared journey.

I look to our stakeholders' continued support as we begin another year of pursuing opportunities for profitable growth.



Deshamanya D.H.S. Jayawardena
Chairman

24th May 2019



Dear Stakeholders,

In my maiden message as Managing Director of Aitken Spence Hotel Holdings PLC [The Group], I am pleased to report that we have delivered a commendable performance amid challenging conditions while also enhancing our earnings capacity. It is a milestone for the Group as we complete 25 years of operations in the Maldives during which time we have become one of the largest players in this popular tourist destination.

Aitken Spence Hotel Holdings PLC is Sri Lanka's most geographically diversified hotel company operating the highest room inventory, with 23 properties

located in Sri Lanka and three other countries offering varied experiences to tourists, we continue to outperform industry as our diversity supports resilience in earnings from inevitable market volatility. Overseas assets account for 64% of Total Assets of the Group reflecting foresight in investments and strong relationships with property owners and tour operators who support growth of our business model.

Overall performance

Group delivered Profit Before Tax of Rs.1.9 billion of which 67% was attributable to the performance of the overseas portfolio. We also recorded total assets

growth of 11% to Rs. 65 billion as we added another overseas property to our portfolio Heritance Aarah in the Maldives. The dip in PBT is due to inclusion of profit on sale of Hotel Hilltop in 2017/18 results. Accordingly, PBT remains flat when the comparative is adjusted to exclude this one-off item.

Revenue increased by 7% during the year to Rs. 19.6 billion supported by revenue growth of 8% in the Sri Lankan portfolio and 7% in the overseas portfolio. The overseas portfolio accounted for 67% of revenue and is expected to account for an even higher share in 2019 with Heritance Aarah on board. Both

Sri Lanka and Maldives faced high levels of competition exerting pressure on average room rates and margins due to increased room inventory in both countries.

Profit After Tax decreased by 24% to Rs. 1.20 billion as the profit on sale of Hotel Hilltop boosted the previous year's profits, masking the marginal increase delivered from normal operations. Earnings per share decreased from Rs. 3.43 to Rs. 2.37 for the same reason.

Resilience of the Group is evident in the broad based performance across geographies which enabled us to weather economic headwinds in key source markets and in countries of operation. Prudent gearing of 43.6% coupled with an interest coverage ratio of 3.18 times affirms the financial stability and risk appetite of the Group, facilitating sustainable growth of the Group and cushioning it against rising interest rates. Earnings capacity of the Group was enhanced through landmark investments as we invested US\$ 76.3 million in Heritance Aarah in the Maldives.

Overseas Operations

Our overseas portfolio has a high concentration in the Maldives where we work together with joint venture partners on all properties except one which is wholly owned by Aitken Spence Hotel Holdings PLC. Our inventory of 1,240 beds at the beginning of the year increases to 1,540 with the commissioning of 300 beds in Heritance Aarah which will become fully operational in August 2019. Our plans for Maldives moving forward will focus on expanding our hotel management services portfolio as room inventory increased outpacing demand as there was little effort to increase promotions in line with supply. We witnessed some pressure on margins which is expected to ease with increased investments in infrastructure including expansion of the airport there by increasing the potential of the Maldives portfolio. All properties in the Maldives

are operated on an all inclusive platform attracting a steady stream of tourists who are delighted by the concept. It is noteworthy that we have maintained excellent ratings between four and five on TripAdvisor supported by similar ranking on other online platforms across our Maldives properties reflecting high standards of service and hospitality.

Our collection of properties in the Maldives all have unique attractions. Hudhuran Fushi has the best surf breaks in Maldives attracting international celebrities to the famous Lohis Break which has both the right waves and the left waves. Meedhupparu with its beautiful beaches and lagoon enchant visitors and has a high percentage of repeaters. Vadoo which is a mere 15 minutes from the Male airport with all rooms over water it is the ideal hideout for honeymooners. Rannalhi offers a good value for money proposition drawing tourists to its beautiful beaches and reefs. Our way forward in the Maldives will be to expand our portfolio through management of properties leveraging our experience and networks to deliver greater value to property owners.

India has been a tough journey. Turyaa Chennai is located in the IT corridor a mere 30 minutes from the airport, it is positioned as a business hotel catering to IT traffic. While competition is high due to excess room inventory, the hotel enjoys good occupancy and is the leader in this niche in terms of occupancy and rates. Present in the market for the past three years, we have delivered an operating profit for the first time although it is inadequate to cover financing cost. Potential of the hotel is expected to increase in line with development in its surroundings which maybe offset by increasing room inventory. We are looking to repay long term loans in India next year. The value of the property has increased during the past three years and we have also obtained a liquor license which will be an added attraction. Our

2018/19 HIGHLIGHTS

A Diversified Portfolio

- Overseas portfolio accounts for
 - 64% of Total Assets
 - 67% of Revenue
 - 67% of PBT

Financial Performance

- Revenue: Rs.19.6 bn  7%
- Operating Profit: Rs.2.7 bn  9%
- PBT: Rs. 1.9 bn  13%
- PAT: Rs.1.2 bn  24%
- Total Assets: Rs.65 bn  11%
- Total Debt: Rs.25.5 bn  13%
- Equity: Rs.30.6 bn  10%

Profitability & Stability

- ROE 4% 
- Debt:Equity 43.65 
- Interest Cover 3.18 
- EPS 2.37 

OUR LEADERSHIP

MANAGING DIRECTOR'S REVIEW

Aitken Spence Hotel Holdings PLC is Sri Lanka's most geographically diversified hotel company operating the highest room inventory, with 23 properties located in Sri Lanka and three other countries offering varied experiences to tourists, we continue to outperform industry as our diversity supports resilience in earnings from inevitable market volatility.

plans in India are to use Chennai as a base to secure management contracts in India in the resort segments which is our key strength.

We entered Oman 8 years ago with management of hotels. Subsequently we acquired Al Falaj in Muscat with five acres of free hold land and manage three properties ranging from a luxury desert camp which is reputed to be the best in Oman. While income is on target the Return on Assets is inadequate as the Middle East crisis impacted performance. We are refurbishing Al Falaj Hotel and will be rebranding the hotel as an 'Adaaran' property on completion of the planned refurbishments this year. We will continue to seek opportunities for management of properties in Oman moving forward.

Sri Lanka

The Sri Lankan portfolio boosted revenues by 8% to Rs. 6.5 billion reflecting strong growth as tourist arrivals in the country grew by 10.3% to 2.3 million boosted by positive reviews of travel influencers. Profits from operations of the Sri Lankan portfolio increased by 17% during the year, after adjusting to exclude the profit on sale of Hotel Hilltop reflecting the pressure on margins due to intense competition within the sector as room inventory increased as new hotels commenced operations exacerbated by the growth of the informal sector.

Our Sri Lankan operations comprise eight owned properties including associate properties and three properties that are managed by us. We have nurtured the Heritance brand which is applied only to our unique collection of properties, differentiating them. This ensures that guests of these iconic properties have tasteful accommodations set amongst panoramic vistas but also enjoy consistently high standards of service from highly trained staff. Our Heritance collection includes the seaside property Heritance Ahungalla and the pastoral Heritance Kandalama built in to the rock, both designed by the legendary Geoffrey Bawa. Heritance Ayurveda was the first hotel built by Group as Hotel Neptune originally designed by Bawa and later converted by a protégé to a tranquil resort for rejuvenation of the mind and body based on ayurveda. Heritance Negombo, our newest addition to the collection in Sri Lanka, gives a more modern vibe in keeping with the hype and happening culture of this seaside town. Heritance Tea Factory nestled in the highlands of the country among lush tea estates gives a glimpse of a 19th century Ceylon tea plantation and amazing vistas. Other properties within the portfolio includes Turyaa Kalutara a beach resort in the south west and properties which are managed on behalf of property owners with whom we have comprehensive agreements on various aspects of their operations, making it difficult to align with

any brand. These are managed to realise their potential within agreed parameters and we have built a track record of delivering value in a consistent manner.

The outlook for this portfolio is uncertain at the time of writing as we are getting back to normalcy after the terror attacks of Easter Sunday. While we expect business to bounce back quickly, foreign arrivals are yet to resume its high growth trajectory. We strongly believe that our relationships with tour operators combined with the lifting of travel advisories, aggressive promotion of online sales and support shown by the global community will drive growth in international tourist arrivals within the next six months.

A People Business

Operating in a people's business, we are aware of the need to ensure that our staff are happy in order for them to offer positive guest experiences. Our team of 3,430 employees are trained to exacting standards to ensure that our service across similar properties in fact have similar standards that are aligned to positive guest experiences. We have observed an increase in the demand for our staff by the global hotel chains commencing operations in Sri Lanka which has increased attrition during the year. In Maldives, we are recruiting and training Maldivians in compliance with the government's naturalization requirements.

I am also pleased to note the initiatives taken by the Hotels to drive their gender diversity agenda at property level. Aspiring to drive the female representation at properties from 10% to 12%, the hotels launched initiatives to attract female employees and facilitated visits of concerned family members to the work environment so they can gain an understanding of their role, allaying any qualms they may have in sending their daughters to work at a hotel. It is a good example of relatively simple solutions

that can be implemented to drive our gender and inclusivity agenda which is in alignment with current Government initiatives as we need to reduce dependency ratios by improving female labour participation.

Sustainable Tourism

Aitken Spence Hotel Holdings PLC was an early adopter of a sustainable tourism agenda and has been a visible champion for over a decade. A dedicated team drives the Group sustainability agenda, ensuring that all properties are aligned and have the necessary support to drive their sustainability priorities. All properties owned by us have environmental management systems in place and a strong policy framework that ensure the preservation of areas of high biodiversity located adjacent to our properties. We also maintain strong relationships with the surrounding communities purchasing fresh produce locally wherever possible. Our commitment to the United Nations Global Compact principles and adoption of relevant Sustainable Development Goals with identified targets, facilitate contributing to sustainable development goals whilst driving shared prosperity. Similarly, our adoption of the Global Reporting Initiative standards provide a reference framework for identification, measurement and management of economic, environmental and social factors, giving us a holistic look at our impacts. This is complemented by the Integrated Reporting Framework which provides a different lens and a way to incorporate business priorities into our material topics in order to make our sustainability material topics even more relevant to businesses.

Opportunities & Challenges

Global tourism is anticipated to grow between 3-4% in 2019 supported by improved airline connectivity, visa facilitation and strong growth from emerging markets. Sri Lanka was also forecast to grow at 3.5% and 4% for 2019 and 2020 prior to the April 2019 terrorist attacks.

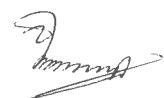
The Group plans to drive growth of our portfolios through expansion of managed properties both overseas and in Sri Lanka. Expanding our geographic footprint will be a priority leveraging the successful deployment of our time-tested business model overseas. Opening of Heritance Aarah in 2019 takes our homegrown Heritance brand beyond Sri Lanka enabling us to increase the visibility of the brand, enhancing brand associations. Strong relationships with key tour operators, local destination management companies and inbound tour operators built over five decades support our expansion plans combining with aggressive online sales initiatives to drive growth. Positive online ratings support our aspirations affirming results from in-house surveys and supporting market development activities. Heritance Aarah in Maldives is expected to significantly contribute to our top line although it will take longer for this investment to contribute positively to the bottom line.

Our top priority in Sri Lanka is to restore confidence and normalcy with enhanced security measures to enhance the safety of travel in Sri Lanka. We are also reviewing our risk grids and disaster recovery plans with fresh insights to ensure that they are sufficiently robust. Online and direct communications with business partners and potential customers frequent and responsible, understanding and allaying their concerns. We will continue to work together with industry bodies to support recovery at a national level, driving change in the right direction.

Appreciations

I convey my appreciation of Mr. J.M.S. Brito's graceful passing on of the baton as he retired in March 2019 having led the expansion of the Group for 17 years. I also wish to thank the Board and the Chairman for their guidance and counsel in strategy formulation and execution. I also thank

Ms. Stasshani Jayawardena Director, for her valuable insights which has added fresh perspectives to our deliberations. I commend the dedication and hard work of the Aitken Spence Hotel Holdings PLC team who uphold a great track record for outpacing industry benchmarks. Our journey has been shared with innumerable business partners and I convey my appreciation of their support. I conclude by thanking the shareholders for the confidence placed in us to mould the Group as a regional player in the tourism industry.



Dr. M.P. Dissanayake
Managing Director

24th May 2019

OUR LEADERSHIP

BOARD OF DIRECTORS



MR. G.P.J. GOONEWARDENA



MR. R.N. ASIRWATHAM



MR. N.J. DE SILVA DEVA ADITYA



MR. C.H. GOMEZ



45% Executive Directors

33% Independent Non-Executive Directors

22% Non-Independent Non-Executive Directors

OUR LEADERSHIP

BOARD OF DIRECTORS

Deshamanya D.H.S. Jayawardena

Appointed in May 2003

Mr. Jayawardena was appointed to the Board of Aitken Spence PLC on 1st April 2000 and has been the Chairman of the Company since 25th April 2003.

A visionary with a good business acumen, he has led many enterprises in diverse fields to achieve great success. He is the Founder Director and current Chairman/Managing Director of the Stassen Group of Companies, the Chairman of Lanka Milk Foods (CWE) PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, Melstacorp PLC, Ambewela Livestock Company Ltd, Lanka Bell Ltd and the Chairman of the Distilleries Company of Sri Lanka PLC. He is also a Director of several other listed and privately held Companies in Sri Lanka and is a former Director of Hatton National Bank PLC, the largest listed bank in Sri Lanka.

Mr. Jayawardena has been sought after to lead large public sector institutions and is a former Chairman of Ceylon Petroleum Corporation and Sri Lankan Airlines.

He is presently the Honorary Consul for Denmark and on 9th February 2010 was knighted by Her Majesty the Queen of Denmark with the prestigious honour of 'Knight Cross of Dannebrog'.

In 2005 Mr. Jayawardena was awarded the prestigious title, 'Deshamanya' in recognition of his services to the Motherland.

Dr. M.P. Dissanayake

*Deputy Chairman & Managing Director
Appointed in March 2019.*

Dr. Parakrama Dissanayake is the Deputy Chairman and Managing Director of Aitken Spence PLC, with effect from 15th March 2019.

Prior to this appointment he was Secretary to the Ministry of Ports, Shipping and Southern Development.

He was appointed as the first non-British International President of the Institute of Chartered Shipbrokers UK founded in 1911 and Royal Charter conferred in 1920.

Dr. Dissanayake has also held positions in the past that include, Chairman Sri Lanka Ports Authority (two stints), Chairman Chartered Institute of Logistics and Transport (Sri Lanka), Board Director Urban Development Authority and Board Director of Ceylon Shipping Corporation.

During the period June 2004 to May 2017 he served as a Director of Aitken Spence PLC and the Chairman & CEO of its Maritime and Logistics sector.

Dr. Dissanayake is an Alumni of the University of Sri Jayewardenepura, NORAD, JICA, Business Alumni of the University of Oxford [UK] and a Fellow of Harvard Business School [EEP].

He is also a Professor in Maritime Studies (visiting) at Shanghai Maritime University and Dalian Maritime University.

Ms. D.S.T. Jayawardena

Appointed in July 2014

Ms. Stasshani Jayawardena joined the Aitken Spence Group in January 2010 as a Management Trainee. After gaining experience in several of its key strategic business units and Group Companies, she was appointed to the Board of Aitken Spence PLC., in December 2013 and to the Board of Aitken Spence Hotel Holdings PLC., in July 2014. She was appointed as Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd in January 2016 and as Director of Aitken Spence Aviation (Pvt) Ltd in July 2017. Ms. Jayawardena is overall responsible for the overall Tourism Sector of the Group that includes hotels, destination management and overseas travel.

A graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom, Ms. Jayawardena was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003. She is the Sri Lankan Ambassador for EY NextGen Club.

At present Ms. Jayawardena leads a team of international professionals in strengthening the service foundations and formulating a strategic road map for the Tourism Sector of the Group.

In 2017 Ms. Jayawardena was recognised with hotel and hospitality sector gold award at the top 50 Professional and Career Women Award in Sri Lanka.

Mr. C.M.S. Jayawickrama

Appointed in April 2005

Mr. Susith Jayawickrama has been with the company for 28 years and is the Joint Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd.

He is responsible for managing all Group Hotels in overseas markets.

Mr. Jayawickrama serves on the Boards of most hotel companies in the Group including that of Aitken Spence Hotel Holdings PLC. A Fellow member of the Chartered Institute of Management Accountants UK, he has substantial experience in senior management positions in the Group's hotel division counting almost three decades of exposure in the tourism industry in Sri Lanka and overseas.

Mr. Jayawickrama is a past Vice President of the Tourist Hotels Association of Sri Lanka [THASL].

Mr. J.M.S. Brito

Appointed in July 2001

Mr. Rajan Brito joined the Board of Aitken Spence PLC. in April 2000, with a multi-discipline academic background and a wealth of experience from a career counting over 40 years that includes working experience with several international organizations. He was appointed as the Deputy Chairman and Managing Director of Aitken Spence PLC., in January 2002 which position he held until his retirement on 15th March 2019. After retirement, Mr Brito continues to be a Non-Executive Director of Aitken Spence PLC.

Mr. Brito is an acclaimed senior professional in both the private and the public sector industries in Sri Lanka. He is a former chairman of DFCC Bank, Employers' Federation of Ceylon, Sri Lankan Airlines, and has also served on the board of Sri Lanka Insurance Corporation. He holds a LLB degree from the University of London, MBA degree from London City Business School and is a Fellow of the Institute of Chartered Accountants of both Sri Lanka and England and Wales.

Mr. G.P.J. Goonewardena

Appointed in March 2018

Mr. Gemunu Goonewardena, who is a Non-Executive Director of the Board of Aitken Spence Hotel Holding PLC and an External Board Member of the Faculty of Management Studies [University of Sabaragamuwa, Sri Lanka]. He continues to serve as a member of the Tourist Hotels Classification Committee since 1998 [till date] and was part of the team which drafted the new Tourist Hotel Classification Criteria / Guideline Standards for hotels.

During his career with Aitken Spence, he was the Vice President, responsible for Resource Planning & Development, Food & Beverage Services and Facilities, as well as a Director of Aitken Spence Resources [Pvt] Ltd responsible for overseas recruitment. He has been an integral part and a key member of the Aitken Spence Group, contributing significantly in Sri Lanka and Maldives to its iconic properties from their inception to forward planning, and operational and continued development.

Mr. Goonewardena is a Graduate of the Ceylon Hotel School, and a Post Graduate of the Culinary Institute of America. He is a Fellow member of the CHSGA [Ceylon Hotel School Graduates Association], an Honorary Consultant for the Postgraduate Diploma in Tourism, Economics & Hotel Managements leading to a Masters Degree, conducted by the University of Colombo. With extensive exposure, having worked in USA, Europe and Australia and counting more than 44 years of valuable experience, Mr. Goonewardena has been an exemplary leader and mentor at Aitken Spence and to the Industry as a whole. He now serves as the Chairman of Win-Stone Group.

Mr. R.N. Asirwatham

Appointed in September 2009

Mr. Asirwatham was appointed to the Board of Aitken Spence PLC., in September 2009. At present, he is the Chairman of the Audit committee, Related Party Transactions Review committee, a member of the Remuneration committee and the Nomination committee.

He was the Senior Partner and Country Head of KPMG from 2001 to 2008. He also served as the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka. He is presently the Chairman of the Financial Systems Stability Committee of the Central Bank of Sri Lanka

Mr. Asirwatham is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Chairman of the Audit Committee. He also serves on the Boards of Dilmah Tea Services PLC., Royal Ceramics PLC., Mercantile Merchant Bank, Dankotuwa Porcelain PLC., Colombo City Holdings PLC., Browns Beach Hotels PLC., and several other companies.

Mr. N.J. De Silva Deva Aditya

Appointed in July 2010

Mr. Niranjana Deva Aditya, was educated in England with a Degree in Aeronautical Engineering and a Post Graduate Research Fellowship in Economics. He has had an illustrious career as one of the most recognised and long serving politicians in the U.K. with over 35 years in public service.

Among his many inspirational and pivotal achievements are; being the first Asian to be elected as a Conservative Member of the British Parliament, first Asian MP to serve in the British Government, the first Asian to be appointed as Her Majesty's Deputy Lord Lieutenant for Greater London, and the first Asian born MP to be elected to the European Parliament, where he serves in a number of key posts, among the most notable being

his Chairmanship of the Delegation for Relations with the Korean Peninsula and his Vice-Presidency of the Development Committee. As a recognition of his accomplishments he was nominated as a candidate for Secretary General to the UN in 2006 and has been honoured for his public and international services by the UK, the Vatican, Sri Lanka, India and China. Mr. Deva Aditya joined the Company in 2006 as an Independent Non-Executive Director and holds the post to date as a Non-Executive Director.

He is a Fellow member of the Royal Society for Arts, Manufacture and Commerce [Est. 1765].

Mr. C.H. Gomez

Appointed in July 2010

Mr. Charles Gomez is a former Banker with over 30 years experience in the finance industry. He has worked for major financial institutions including Barclays Bank PLC., Lloyds TSB Bank PLC., and SG Hambros. He brings to the Company a wealth of experience with regard to international financial markets, financial services regulations, compliance and controls and it was through his intervention that major investors were brought into Aitken Spence PLC., and to other business sectors in Sri Lanka. Mr. Gomez is a Director as well as a part owner of regulated financial services companies based in Gibraltar. He also serves on the Boards of foreign companies which have investments world-wide.

Mr. Gomez was appointed to the Board of Aitken Spence PLC., in 2002 and to the Board of Aitken Spence Hotel Holdings PLC., in 2010. His role in these Companies is that of an Independent Non-Executive Director. He also serves in the Audit Committee, Related Party Transactions Review Committee and the Remuneration Committee.

Mr. Gomez is a member of the Executive Committee of the Gibraltar Amateur Rowing Association.

OUR LEADERSHIP

CORPORATE MANAGEMENT TEAM



Ms. Stasshani Jayawardena
[Profile on page 22]



Mr. Susith Jayawickrama
[Profile on page 22]



Mr. Ranil De Silva

Mr. Ranil De Silva is the Jt. Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., with specific responsibility for the Group's local hotel portfolio having joined the Group in February 2017. He was formerly the Managing Director of the Hemas Hotel Sector and has expansive experience in both local and overseas markets encompassing diverse industries.

He is a Fellow Member of the Chartered Institute of Management Accountants UK, an Associate member of the Institute of Chartered Accountants of Sri Lanka and a Member of the Chartered Institute of Marketing UK.



Mr. Rohitha Rajaratne

Mr. Rohitha Rajaratne is the Head of Engineering for Aitken Spence Hotel Managements with responsibilities in local and overseas properties of the Group. He has over two decades of experience in the engineering sector, both here and abroad. Mr. Rajaratne is a Chartered Mechanical Engineer by profession and has served in the Sri Lanka Navy for over a decade with extensive overseas training and work experience in Australia and New Zealand.

He holds a Postgraduate Marine Engineering qualification from Germany and a MBA from the University of Colombo, along with a MSc. in Sustainable Engineering from the University of KTH Sweden. He is a fellow Member of the Institute of Engineers the Sri Lanka.



Mr. Bjorn van der Horst

Mr. Bjorn van der Horst is the Director - Food and Beverages for both the local and overseas sectors. A multiple Michelin-starred Chef, he holds a wealth of experience opening and building successful independent and branded hotel and, food and beverage businesses in New York, London and the Maldives. With a career spanning over 30 years, Mr. van der Host is a Director and Co-Founder of Bone Tea Ltd a small but burgeoning quick service restaurant and retail brand in the UK and an Honorary Member of the Chefs Guild of Sri Lanka.



Mr. Jeevaka Weerakone

Mr. Jeevaka Weerakone, is the Director Operations for Aitken Spence Hotels in Sri Lanka.

Counting over 27 years of expertise in the hospitality industry in Sri Lanka and overseas, he has extensive knowledge on the industry, property operations and human resources. Prior to taking over his current role, he held the designations of Vice President - Operations for the northern sector, Assistant Vice President - Human Resources and, Learning and Development for Group hotels, Executive General Manager for Heritance Kandalama and General Manager for Earl's Regency.

He holds a MBA and is a graduate of the Sri Lanka Institute of Tourism & Hotel Management [SLITHM]; and is also a Fellow of the Ceylon Hotel School Graduates Association [FCHSGA].

Mr. Weerakone has served as an Executive Committee Member of the Regional Economic Development Agency (REDA) under the Central Provincial Council and was a committee member of the CHSGA in 2010.

He is a Consultant for ISO 9000 quality system

OUR LEADERSHIP

CORPORATE MANAGEMENT TEAM



Mr. Srinith De Silva

Mr. Srinith De Silva is the Chief Executive Officer / Vice President, of Aitken Spence Hotels' Oman Sector.

He is a Graduate of the Victoria University, Melbourne and counts many years of experience in international hotel chains, such as Raffles Singapore, Sheraton and Stamford Hotels and Resorts.

He has more than 23 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Singapore, Saudi Arabia, Australia, India and Sri Lanka.



Mr. Badhiya Gunatilake

Mr. Badhiya Gunatilake is the Chief Operating Officer of the Adaaran Resorts, the Maldives Sector of Aitken Spence Hotels. He is also the Vice President and serves as a Director to Unique Resorts Private Ltd.

He is a Graduate of the Ceylon Hotel School. A professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, Oman & Maldives.



Mr. Dammika Ekanayake

Mr. Dammika Ekanayake is the Asst. Vice President Finance of Aitken Spence Hotels.

He counts over two decades of experience in the fields of auditing, finance, operations and general management, locally as well as internationally. The latter accounts for senior management positions in multinationals including Shell, BP and Castrol in Dubai, Malaysia and India.

He obtained his MBA from University of Colombo. He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka; as well as an Associate Member of the Chartered Institute of Management Accountants UK. He is a gold medalist from the Sri Lanka Institute of Marketing of which he is an Associate Member.

Prior to his appointment at Aitken Spence Hotels, Mr. Ekanayake was the Director Business Administration for CMA-CGM SSC Lanka, owned by the world's third largest containerized French shipping company CMA-CGM.



Ms. Irandi Wijegunawardane

Ms. Irandi Wijegunawardane is the Assistant Vice President of Accommodation sector for Sri Lanka and India. Prior to this she handled Learning & Development. A graduate from Sri Lanka Institute of Tourism and Hotel Management (SLITHM) she counts for over 35 years of extensive experience in the Hospitality Operations and Training & Development in Sri Lanka and Overseas.

She has obtained a National Diploma in Training and Human Resources Development from IPM and holds a Commonwealth MBA from the Department of Management Studies of the OUSL in partnership with the Commonwealth of Learning in Vancouver, Canada. She is a qualified assessor for National Vocational Qualification under Tertiary and Vocational Educational Commission. She is also a Certified Hospitality Educator from American Hotel and Lodging Association

Prior to joining the Group, she worked in many prestigious hotels in Sri Lanka and overseas, she was also a Senior Faculty member of SLITHM – Colombo and the Principal of SLITHM – Kandy. She has been actively involved in numerous curriculum development projects to uplift the service standards of the industry.

She is a Member of the Board of Directors of Sri Lanka Institute of Tourism & Hotel Management and a fellow Member of the Ceylon Hotel School Graduates Association.



Mr. Arun Raj. D

Mr. Arun Raj. D, serves as the Assistant Vice President of Turyaa Chennai – the Group's five star deluxe business hotel in Southern India. He is a graduate from SRM Institute of Hotel Management which is one of the most renowned private institutes for producing hoteliers in India.

He started his career with Taj in the prestigious Butlers Management Team and moved to Adaaran Prestige Water Villas as a pre-opening member. He was part of the management team responsible for gaining international recognition and accolades for Adaaran. He leads the team at Turyaa Chennai, which position he has held for the past 5 years.

He is a member of FHRAI (Federation of Hotels and Resorts Association of India), SIHRA (South Indian Hotels and Resorts Association) and also a member of SKAL International.



Ms. Dinali Alexander

Ms. Dinali Alexander is the Head of Supply chain for operations in Sri Lanka, Maldives, India and Oman, corporate merchandising and exports operations.

Ms. Alexander counts over 15 years of management experience covering procurement, administration, human resources and sustainability, across multiple industries.

ABOUT THE GROUP

• 102-4 • 102-6

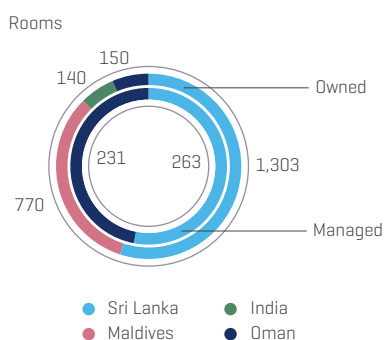
Aitken Spence Hotel Holdings PLC operates a unique collection of 23 properties across 4 countries, offering an array of diverse experiences to the discerning traveler. The Group is Sri Lanka's largest operator in terms of room inventory and has cemented its position as a leader in the hospitality industry by offering an inimitable combination of Sri Lankan heritage, culture, unique architectural and design elements, service excellence and world-class cuisine. We are also the largest

international resort chain in Maldives, owning and operating over 750 rooms across 7 properties. A presence of over 4 decades in the hospitality sector has sharpened the Group's industry insights and allowed it to nurture a strong base of organisational capabilities which have enabled the Group to venture into hotel management, currently managing 6 properties in Sri Lanka and Oman.

Headquartered in Colombo Sri Lanka, the Group is a subsidiary of Aitken Spence PLC- one of Sri Lanka's leading diversified

conglomerates with widespread business interests in Maritime and Logistics, Strategic Investments, Services and Tourism. The Parent entity's vision to achieve excellence in all activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region has been cascaded down to the Group, driving our strategic aspirations and long-term stakeholder value proposition.

Property Portfolio



	Owned		Managed	
	Properties	Rooms	Properties	Rooms
Sri Lanka	8	1,303	3	263
Maldives	7	770	-	-
Oman	1	150	3	231
India	1	140	-	-
Total	17	2,363	6	494

Our Brands



Economic Impact

Employment Generation

3,430

Direct employees

+9,000

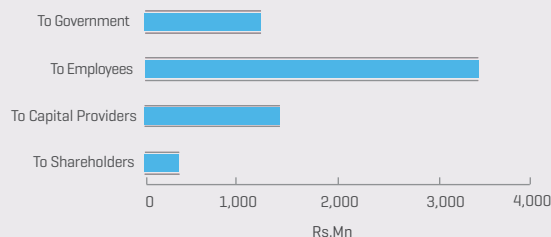
Indirect employees

47%

of employees recruited from local communities

Value Creation

Value Addition



Supply Chain

Local suppliers supported through purchases amounting to Rs. 2.5 Billion during the year

Foreign Exchange

+10%

growth in FOREX generated from foreign guests

Tax Contribution

Rs.707 Million

2019

Rs.606 Million

2018

COMMITMENT TO EXCELLENCE

Delivering the Customer Experience

my stay

This is my 29th visit to this Lovely place., the staff is amazing and very helpful. food and the service also excellent.. I am so happy to stay here. That is why I am keep coming in every year. my room is excellent with a big balcony. I would like to recommend this lovely place to anyone who wants to have a relaxing holiday.

Fred g [16 Mar 2019]

91.1% GRI™
Heritage Ahungalla

GRI™

Guest satisfaction is measured through the Global Review Index™ (GRI™). Please refer Social and Relationship Capital section on page 106 for further information.

Beautiful rooms

We were so impressed by the architecture and style of the building. The room was stunning and had a beautiful view of the lake. We watched monkeys playing in the trees. The customer service was excellent, and the food was gorgeous. We felt extremely lucky to be staying there

Martild from United States [August 2018]

91.4% GRI™
Heritage Kandalama

The perfect launching pad for your Srilankan visit

Negombo is a quieter fishing village away from the city of Colombo. The Heritage is one of the premier properties sitting beachfront with space to enjoy walks, pool time or direct access to the Ocean. Beautifully set rooms (we had an Ocean view) created a comfort and peace in which we knew we were set for an amazing journey. Wide selection of local and Western foods within the restaurant too.

Dyl2510 from Australia [28 Oct 2018]

90.7% GRI™
Heritage Negombo

Vacation

Stayed here for 3 days, lucky we had some really nice weather. Service is great , very attentive. We have also done some day trips (sunset fishing and sand dune) which were awesome !! Amazing place !!!

alanpyc from New Zealand [Aotearoa]
[27 Dec 2018]

Good and pleasant stay!!

We spent 3 nights in this resort and every moment of it was beautiful. The best part of the stay is the view from the ocean villa room. Add to that the amazing hospitality of the staff. Definitely planning to come back here.

Suja B [03 Mar 2019]

97.2% GRI™
Adaaran Prestige Ocean Villas

95.8% GRI™
Adaaran Prestige Vadoo



COMMITMENT TO EXCELLENCE

Awards and Accolades

The Group is a frequent recipient of local and international awards, attesting to its persistent quest for excellence in all aspects of its operations. Key awards and accolades obtained during the period under review are given below;

Corporate Reporting

- Leisure and Connected Services Category Winner: ACCA Sri Lanka Sustainability Reporting Awards
- Hospitality Sector Silver Award Winner: Annual Report Awards 2018 conducted by CA Sri Lanka
- Second Runner Up in the Service Sector Category [excluding Financial Services, Communication & IT]: SAFA Best Presented Annual Report Awards 2018 conducted by the South Asian Federation of Accountants

Overall Awards

- National Business Excellence Awards 2019: Gold award in Hospitality and Tourism sector, Silver award in Overall category, 2 Gold and 4 Silver category awards
- Heritance Ayurveda: Destination specific award as the Leading Wellness & Spa Hotel/Resort at the South Asian Travel Awards 2018
- Heritance Negombo: Destination specific award as the Leading Beach Hotel/Resort in Sri Lanka at the South Asian Travel Awards 2018
- Adaaran Resorts was placed amongst the Gold 100 Companies by Corporate Maldives
- Adaaran Resorts selected as the Most Marketed Hotel Chain in South Asia at the South Asian Travel Awards 2018
- Adaaran Select Meedhupparu: Secured Leading Dive Resort title for both Maldives and South Asia at the South Asian Travel Awards 2018
- Adaaran Prestige Vadoo: Secured Leading All-Inclusive Resort - Maldives at the South Asian Travel Awards 2018
- Turyaa Chennai: Winner of the Leading Design Hotel in South India at the South Asian Travel Awards 2018

Sustainable Tourism

- Heritance Kandalama: Winner in Sri Lanka and South Asia for Leading Eco Hotel/Resort at the South Asian Travel Awards 2018
- Heritance Kandalama: Winner of the Best Hotel-Sustainable and Green Practices at the Sri Lanka Tourism Awards 2018
- Heritance Ayurveda: Silver Award winner at the National Green Awards 2018
- Heritance Ahungalla: Double honour of being recognised as the TUI Environmental Champions of 2019 and winner of the TUI Top Quality 2019 award from TUI Germany, the largest leisure, travel and tourism company in the world



Aitken Spence Hotels team with the awards at the National Business Excellence Awards 2018



Aitken Spence Hotels team at Sri Lanka Tourism Awards 2018

Certifications

A host of international certifications provide assurance to our guests on numerous aspects of our operations including quality, safety, environmental management and sustainable tourism. All our Heritance and Adaaran brand properties are required to obtain Travelife, an industry-leading accommodation sustainability certification.

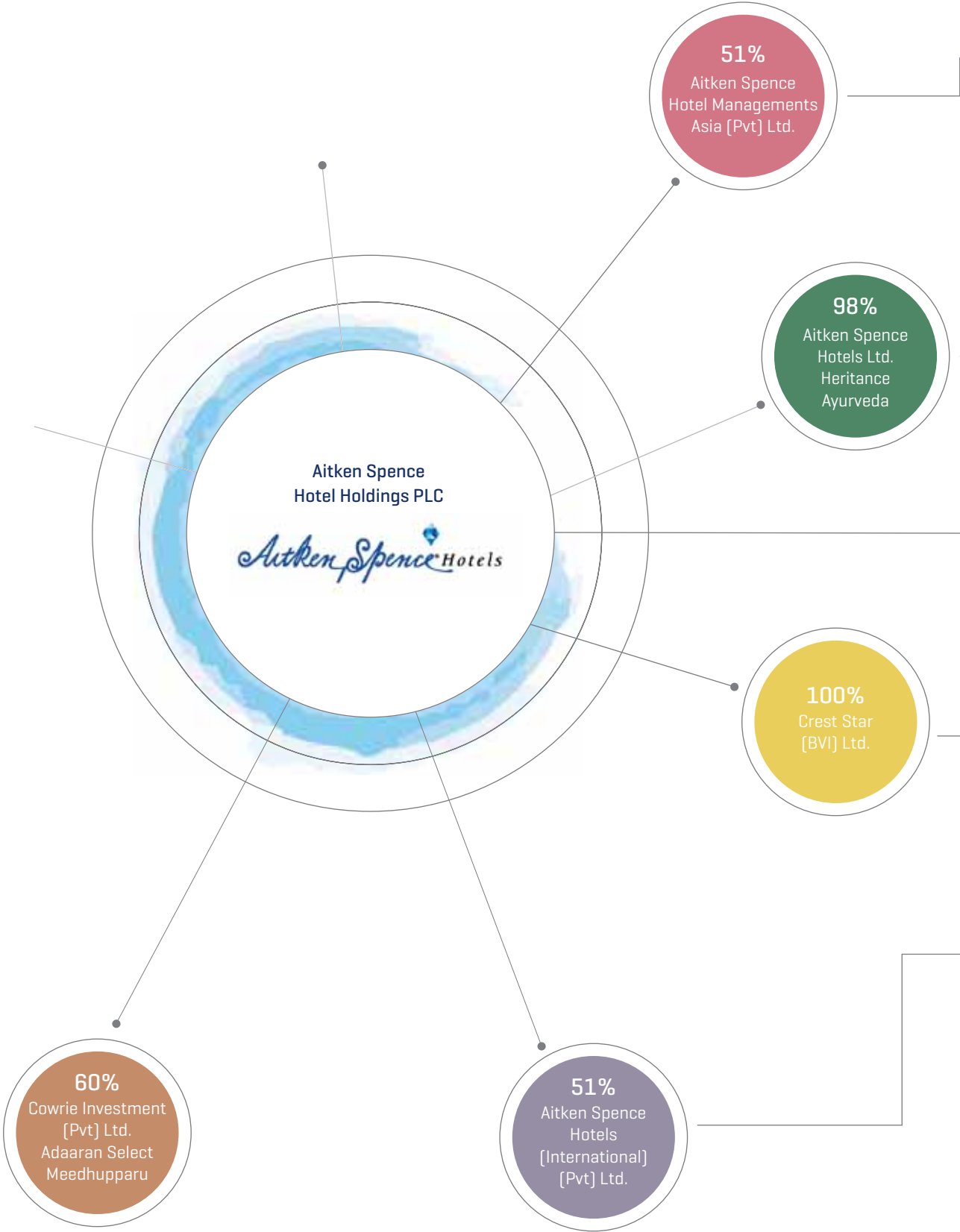
	ISO14001:2015 Environmental Management	ISO22000:2005 HACCP Food Safety	ISO 50001:2011 Energy Management	Travelife Gold	LEED Leadership in Environmental design	Other♦
Heritance Ahungalla	✓	✓	✓	✓		
Heritance Ayurveda			✓	✓		
Heritance Tea Factory	✓	✓	✓	✓		✓
Heritance Kandalama	✓	✓	✓	✓	✓	
Heritance Negombo				✓	✓	
Heritance Aarah					✓	
Turyaa Kalutara	✓	✓				
Adaaran Club Rannalhi		✓		✓		✓
Adaaran Prestige Vadoo		✓		✓		✓
Adaaran Select Meedhupparu		✓		✓		✓
Adaaran Prestige Water Villas						
Adaaran Select Hudhuran Fushi		✓		✓		✓
Adaaran Prestige Ocean Villas						

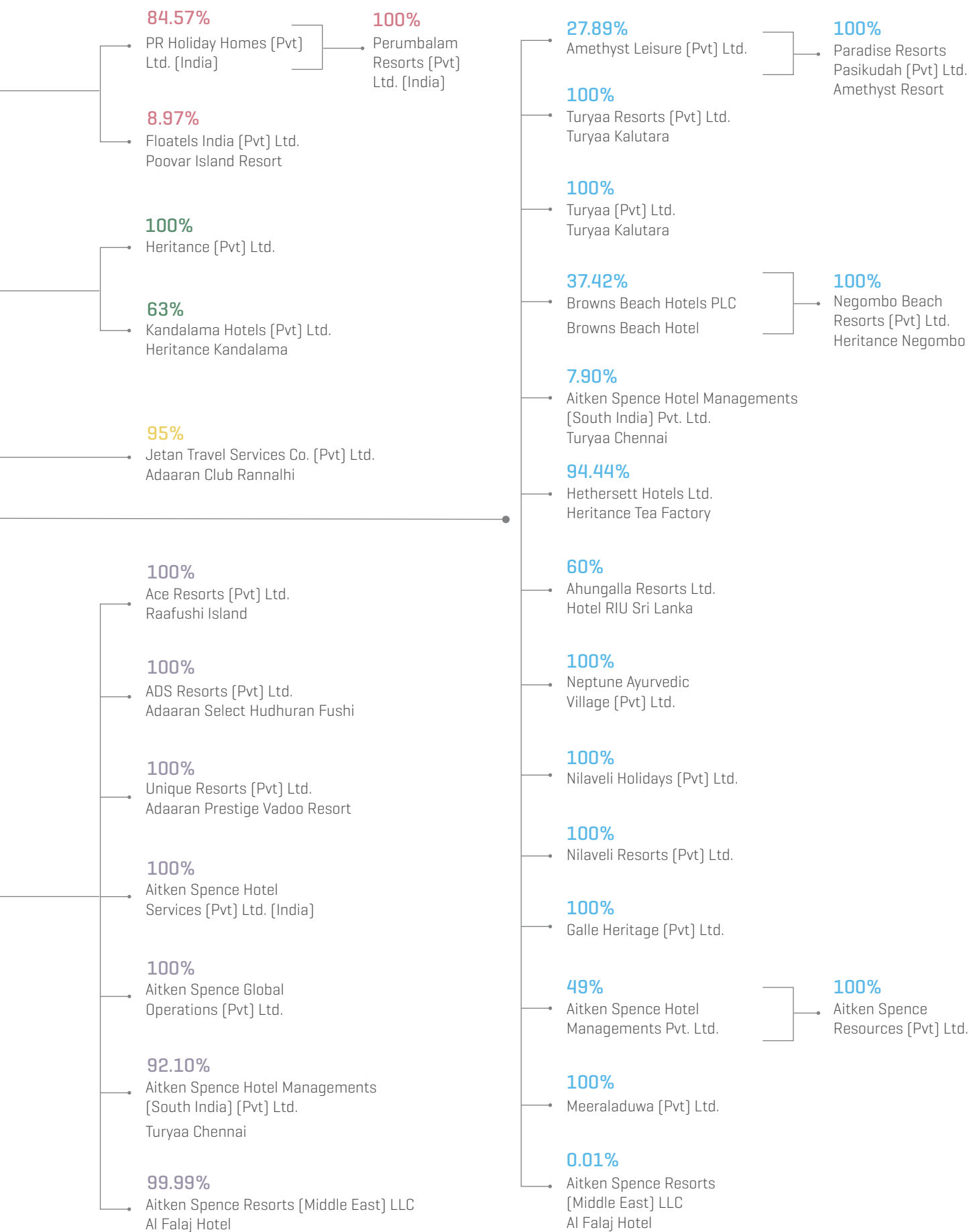
♦ Organic Produce/ Dive Centre Sustainability Certification

- **ISO 14001 Environmental Management System certification [EMS]** is a systematic framework to manage the immediate and long term environmental impacts of an organization's products, services and processes.
- **ISO 50001 Energy Management System certification [EnMS]**, provides a framework for establishing energy management best practice to help organizations to improve energy efficiency, use, and consumption.
- **ISO 22000 Food Safety Management System certification [FSMS]** is a globally accepted international standard, which specifies the requirements for food safety management systems.
- **Hazard Analysis Critical Control Points [HACCP]** is an internationally recognized method of identifying and managing food safety related risk and, when central to an active food safety program, can provide your customers, the public, and regulatory agencies assurance that a food safety program is well managed. Food safety is addressed through the analysis and control of biological, chemical, and physical hazards from raw material production, procurement and handling, to manufacturing, distribution and consumption of the finished product.
- **LEED [Leadership in Energy and Environmental Design]** is the most widely used green building rating system in the world.
- **SLSI Organic Produce certification** assures that the food or other agricultural products are produced using methods that do not involve modern synthetic inputs such as, pesticides & chemical Fertilizers, do not contain GMOs, not produced using irradiation, industrial solvents or chemical additives.
- **Green Fins** is a comprehensive approach that encourages dive centers and snorkel operators, local communities and governments to work together to reduce their environmental impacts.

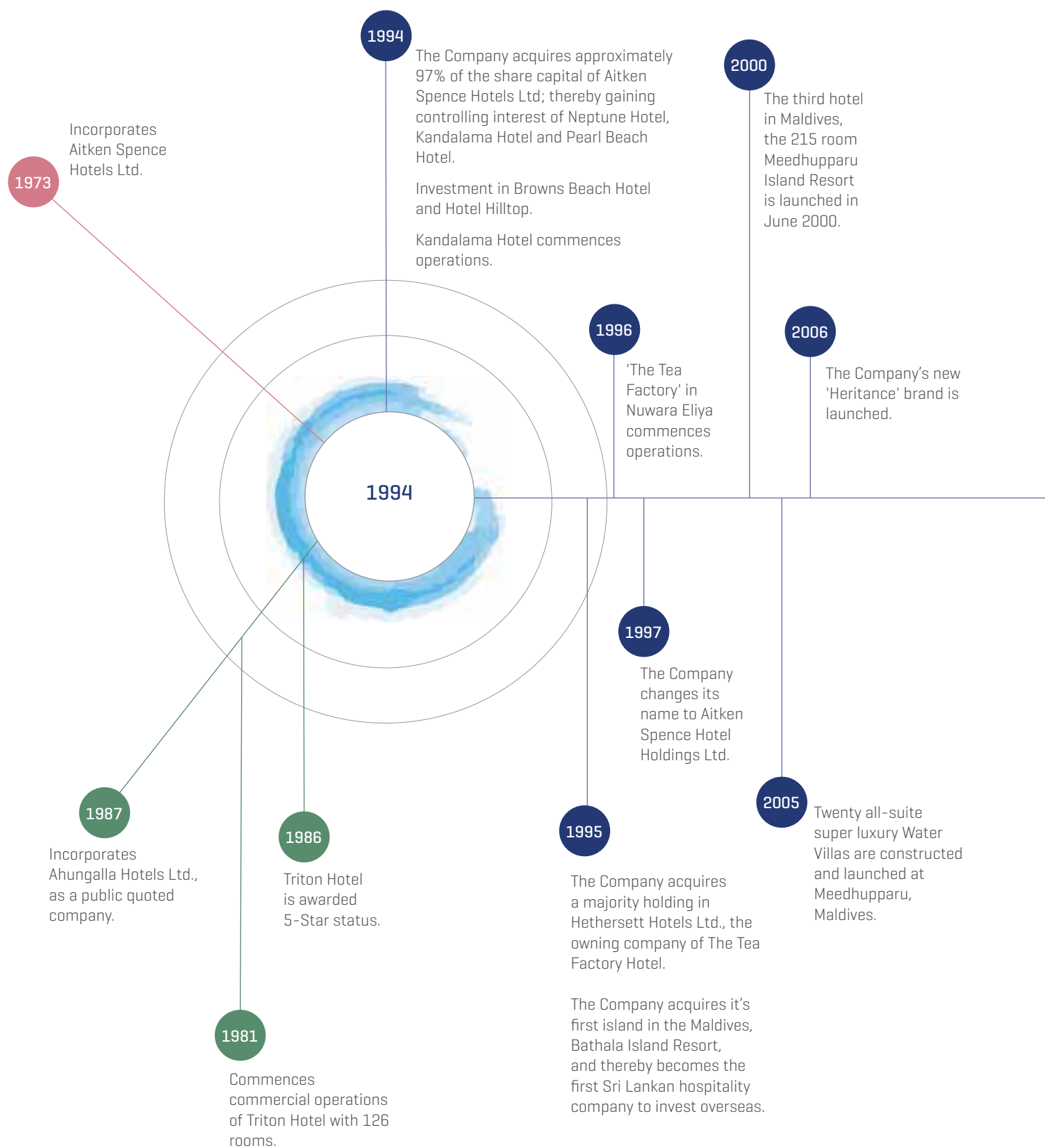
GROUP STRUCTURE

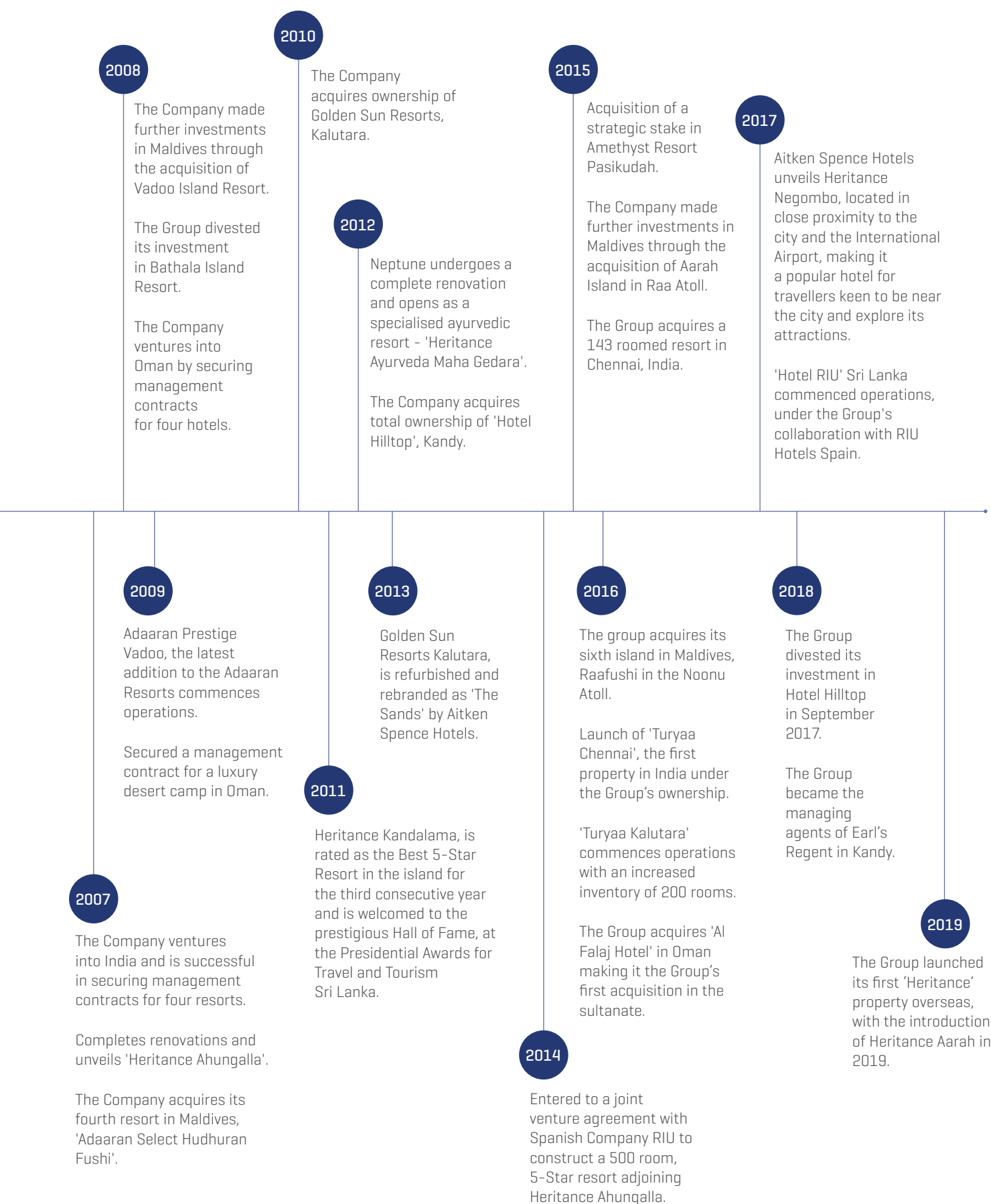
• 102-45





MILESTONES





Live in the moment, and rediscover yourself at any one of our stunning locations...



STRATEGIC REPORT

MOMENTS OF SOARING JOY



We believe in creating moments of happiness and joy through a uniquely crafted model of value creation that uplifts the lives of the diverse people we serve.

VALUE CREATION MODEL

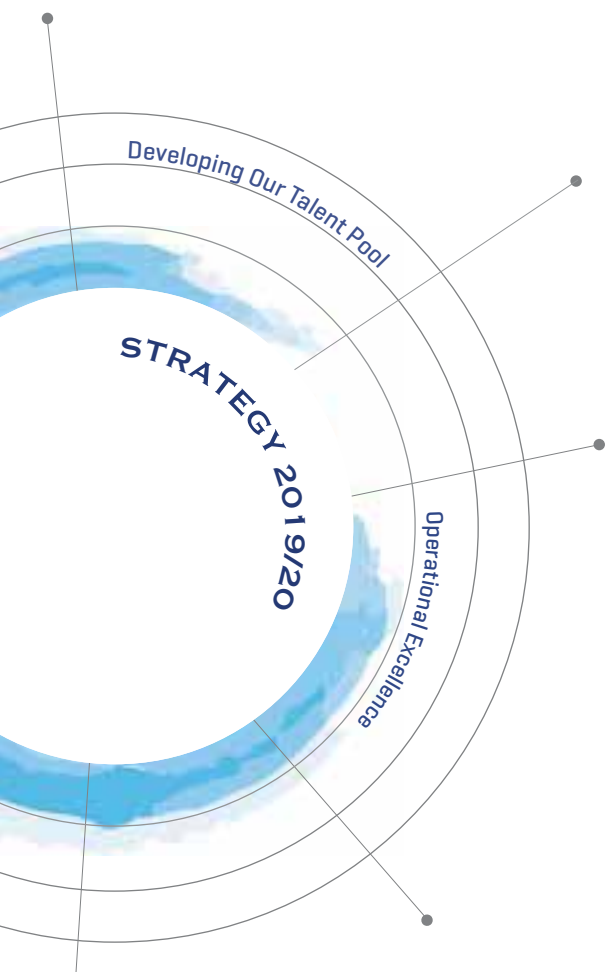
• 102-7



To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.

Competition

Sustainable Tourism



Stakeholder Relationships - Pages 41 to 43

Risk Management - Pages 58 to 61

Corporate Governance - Pages 124 to 139

Outputs / Impacts

Rs **19.6** Bn

Revenue generated

90.9%

Average guest satisfaction score

Rs **3.5** Bn

Payments to employees

Rs **15.4** Mn

Investment in Training

72,291

Training hours

Rs **16.5** Bn

Payments to suppliers

+1 Mn

Guest nights

+50,000

Beneficiaries

Rs **17.5** Mn

Investment in sustainability and community development

Impact

2,520 tons KG

Solid waste generated:

38,756 tCO₂

Carbon footprint:

Outcomes Linked to Stakeholder Values



Shareholders

Sustainable growth in shareholder returns;

Return on equity: **4%**

Net profit: **Rs 1.2 Bn**

Earnings per share : **Rs. 2.37**



Employees

Conducive and enabling working environment with opportunities for skills and career development



Customers

Unique guest experiences



Government

Contributing to the Government's tax revenue and supporting the creation of an enabling industry environment



Business Partners

Sustainable business growth through rewarding, mutually-beneficial relationships



Communities

Driving meaningful change and socio-economic empowerment

VALUE FORMATION AND TRADE-OFFS

The Group's value creation model [on pages 38 to 39] graphically illustrates our approach to creating stakeholder value which is underpinned by the way we capture capital [inputs], transform these inputs [through business activities], what it generates [outputs] and the long-term consequences for our stakeholders [outcomes]. Our value generation is dependent on our access to affordable financial resources, physical infrastructure, skilled and empowered people, high quality relationships with business partners and communities as well as natural resources. These capitals are supported by a clear commitment to our stakeholders and robust governance and risk management practices. The business also revolves around four strategic pillars which represent our key areas of focus in driving stakeholder value; these are operational excellence, portfolio expansion and upgrade, development of a talent pool and sustainability.

Capital Trade-Offs

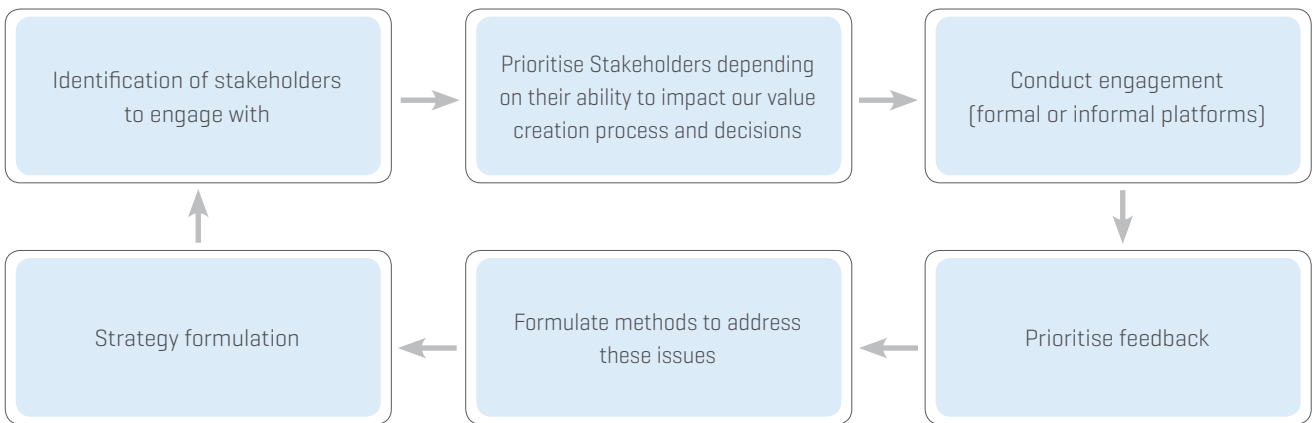
In utilising capitals and allocating resources effectively to generate stakeholder value we are compelled to evaluate tough trade-off decisions to drive long-term value creation. The Group's key capital trade-offs during the year are given below.



STAKEHOLDER RELATIONSHIPS

• 102-42 • 102-43

The achievement of our long-term strategic aspirations is dependent on a robust stakeholder engagement framework which enables the timely identification of legitimate stakeholder concerns while driving reputational value. The Group’s approach to stakeholder engagement takes into consideration the various risk exposures faced by the Group and responds to these topics, concerns and interests through integration to our strategic actions. In determining which stakeholders to engage with, we prioritise stakeholders based on their ability to impact our decisions and their level of interest. Our stakeholder engagement process is illustrated below.



STAKEHOLDER RELATIONSHIPS

• 102-40 • 102-44

3,399
Shareholders

Over 1 Mn Guest Nights
from +90 Markets

	Shareholders	Customers
Methods of Engagement	- Annual General Meeting (AGM) - Annual Report and Quarterly Updates - One to One (Periodic) - Website and Media (Ongoing)	- Feedback Form (Upon Departure) - Satisfaction Surveys (Periodic) - Through Front Line Staff (Ongoing) - Website and Social Media (Ongoing)
Quality of Relationship	High Influence/High Interest	High Influence/ Medium Interest
Topics of interest		
Financial performance and growth	●	
Governance practices and transparency	●	
Compensation and benefits to employees		
Opportunities for training		
Job security		
Career progression		
Safe work environment		
Diversity and equal opportunity		
Guest experience and service delivery		●
Value for money of offering		●
Environmental and social sustainability	●	●
Safety and security		●
Compliance	●	
Job creation and value addition		
Contribution to policy development		
Ease of transacting and professionalism		●
Timely payments		
Ethical business conduct	●	
CSR and community engagement initiatives		
Community based procurement		



Department of Inland Revenue
Ministry of Tourism Development
Local Authorities

Communities adjacent
to our properties

Employees

Business Partners and Suppliers

Communities

- Performance Appraisal (Bi-Annual)
- Multi-level Meetings(Ongoing)
- Trade Unions (Ongoing)
- Satisfaction Surveys (Periodic)
- Grievance Handling Mechanism (Ongoing)
- Intranet and Social Media

- Regulatory Reporting [Ongoing]
- Participation in Forums [Ongoing]
- Direct Dialogue [Ongoing]

- Direct Dialogue and Site Visits
[Ongoing]
- Contracts and Agreements
[Ongoing]
- Supplier Performance Reviews
[Periodic]
- Seminars and Workshops
[Periodic]

- CSR Programmes [Ongoing]
- Dialogue with Community Representatives [ongoing]
- Seminars to Share Best Practices [Periodic]

High Influence/High Interest

High Influence/Medium InterestHigh Influence/High Interest

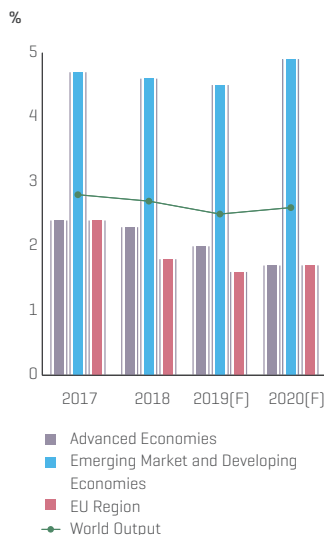
Moderate Influence/High Interest

OUR OPERATING ENVIRONMENT

Aitken Spence Hotels constantly monitors evolving trends in the operating landscape which could potentially impact its performance and competitive position over the short, medium and long-term. Emerging opportunities and threats are a key input when determining strategy and responses are formulated to ensure that we have the capacity for adaptation. The following discussion provides a high-level overview of our operating environment in 2018 and contextual trends that could impact our operations in the future.

Global Economic Environment

World Economic Growth



Source: IMF

Global economic growth is estimated at 3.7% in 2018¹, unchanged over the previous year as activity slowed during the second half of the year reflecting country and region-specific factors in monetary and fiscal policy, political conditions and weather patterns. The slowdown reflects tightening financial conditions in advanced economies, global trade tensions, policy uncertainty and natural disasters. Growth in the EU region slowed to 1.8% due to political uncertainty and slower export growth. A sizable fiscal stimulus continued to

drive growth in the USA which expanded by 2.9% in 2018. Emerging markets and developing economies expanded by 4.6% supported by domestic demand led growth and higher commodity prices. Global trade slowed to 4% (from 5.3% in 2017) reflecting escalating trade tensions between US and its main trading partners and tighter credit market conditions. Meanwhile rising commodity prices including rising oil prices in 2018 resulted in global inflation edging upwards during the year.

Sri Lankan Economy

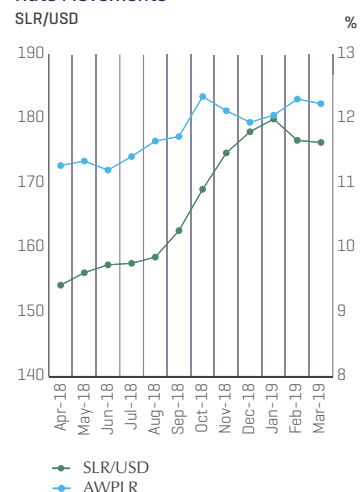
Sri Lanka's GDP growth moderated to 3.2% in 2018 reflecting a slowdown in the industrial sector [+0.90%] as the construction sub-sector weakened during the year. The agriculture sector grew by 4.8% during the period resulting from favourable weather conditions. Expansion of the financial services, trade and other personal services sub-sectors resulted in the country's service sector expanding by 4.7% in 2018.

Exchange Rate: The Rupee depreciated sharply against the US Dollar in 2018, falling by 17% in 2018. While the depreciation was triggered by the heavy foreign outflow due to the broad-based strengthening of the US Dollar in the global markets, Sri Lanka's position was further weakened by political instability and resultant impact on investor sentiments in the last quarter of the year.

Given the widening trade deficit, The Central Bank of Sri Lanka (CBSL) also sought to curtail the import of motor vehicles and non-essential goods with a suite of import restrictions. This together with continued growth in tourism earnings supported the current account of the Balance of Payments. The Sri Lankan Rupee strengthened by 2% during the first quarter of 2019 supported by net inflows to the government securities market and the slowdown in imports.

Interest Rates: The CBSL signalled an easing of monetary policy during the first part of the year, reducing the upper bound of the policy interest rates corridor in April 2018. However, a more neutral monetary policy stance was adopted during the latter part of the year given the gradual tightening of global interest rates. In November 2018, the statutory Reserve Ratio (SRR) was reduced by 150 basis points and in February 2019 the SRR on rupee deposits were reduced by 1% in order to address the persistent rupee liquidity deficit in the domestic market.

Exchange and Interest Rate Movements



Source: Central Bank of Sri Lanka

The Global Tourism Industry

The Travel and Tourism Sector is a key contributor to socio-economic activity around the world, generating employment, driving export growth and creating opportunities for business creation across the value chain including accommodation, food and beverage, retail and culture. As an engine of employment to marginalised groups of society such as women, youth and economically underserved communities, Travel and Tourism is widely regarded as a sector that can play a vital role in addressing prevalent economic and social issues. In 2018 the Sector's total contribution to global GDP and employment generation

1. World Economic Outlook Update (January 2019) : International Monetary Fund

was 10.8% and 3.8% respectively². Apart from its direct economic contribution the Sector has emerged as an effective platform in sharing cultures and fostering mutual understanding in an increasingly polarised world.

10.4%

Contribution to Global GDP

1/10

Jobs Supported Worldwide

7%

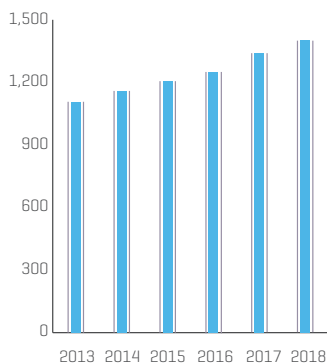
Global Exports

1/5

New Jobs Created

International Tourist Arrivals

Arrivals Mn.



Source: World Bank

The Travel and Tourism Sector expanded by 3.9% in 2018 outpacing global economic growth for the 8th consecutive year. International tourist arrivals increased by 6% to 1.4 billion in 2018³ led by healthy growth in global consumer spending and a persistently widening base of middle-class households. Arrivals to Middle East (+10%) and Africa (+7%) led growth, supported by Asia Pacific and

Europe which recorded 6% increase in arrivals. Meanwhile, China maintained its position as the world's largest tourism spender while the Russian Federation (+16%), France (+10%) and Australia (+9%) recorded strong growth in tourism expenditure.

Sri Lankan Tourism Sector

Sri Lanka's hospitality sector experienced a year of mixed fortunes in which moderate growth in tourist arrivals and the benefit afforded by the depreciation of the Rupee was somewhat countered by intensifying price competition between operators, rising costs, changing traveller demographics and political instability towards the latter part of the year. Tourist arrivals into the country increased by 10.3% to 2.33 million in 2018 (compared to the subdued growth of 3.2% in 2017), although falling short of the Government's target of 2.5 million for the year.

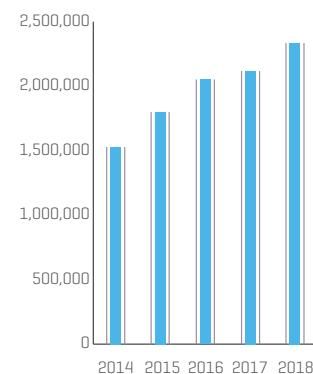
The Asia and Pacific region maintained its position as Sri Lanka's largest source market and grew by 3.5% in 2018, while arrivals from Europe-our second largest source market recorded healthy growth of 21% during the year. India maintained its position as the single largest individual source market, followed by China and United Kingdom; it is noteworthy that arrivals from China which had in previous years recorded healthy growth declined marginally during the year. Average spending per tourist per day rose to 173.8 (from USD 170.2) while duration of stay remained flat (2018 - 10.8 days; 2017 - 10.9).

The rapid increase in the country's room inventory in recent years has led to intense competition among operators. For instance, the informal sector's room capacity surged by around 35% over the last five years. This has exerted severe pressure on traditional hotel operators particularly given guest preference towards more authentic experiences such as home-stays. In 2018 the

graded establishment's occupancy rate amounted to 72.8%, compared to 73.3% in 2017.

Tourist Arrivals to Sri Lanka

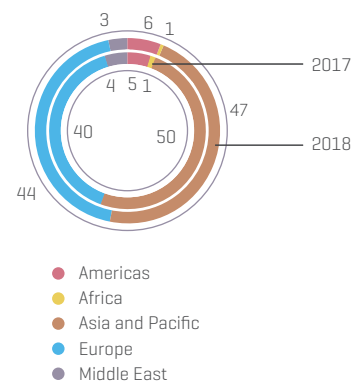
Arrivals



Source: SLTDA

Guests by Source Markets

%



Source: SLTDA

The country's room inventory is expected to increase by at least another 8,500 rooms over the medium-term. By end-December 2018, the SLTDA had granted approval to 157 projects of which 103 are currently under construction comprising 6,815 rooms. The persistent increase in room inventory underscores the need for a cohesive national strategy in driving tourist arrivals in order to achieve Sri Lanka's full potential as a leading tourist destination.

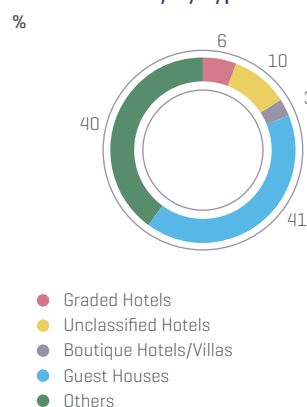
2. World Travel and Tourism Council-Travel & Tourism, Economic Impact 2019
3. UNWTO Tourism Barometer 2019

OUR OPERATING ENVIRONMENT

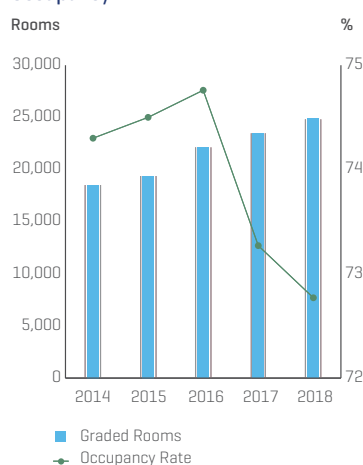
• 201-2

	No. of Projects	No. of Rooms	Investment [USD]
Under Construction	103	6,815	1,754.5
Projects Not Yet Started	54	2,042	237.5

Room Inventory by Type



Sri Lanka - Room Supply and Occupancy



Outlook

Sri Lanka

The Easter Sunday terrorist attacks will understandably have a significant impact on the tourism sector's growth prospects over the short-term given heightened security concerns and the travel advisories issued by major markets. However, we remain confident regarding the medium to long-term prospects for the industry and believe that the sector will demonstrate resilience and post recovery in the upcoming winter season.

Promotional and marketing campaigns carried out under Sri Lanka Tourism's new branding campaign 'So Sri Lanka' and the country being declared as the top destination to travel in 2019 by Lonely Planet is expected to augur well for long-term growth, driving increased arrivals to the country. On the other hand, the demographic profile of the tourists visiting the country is undergoing a shift with increased interest from younger travellers seeking experiential value; these individuals typically have lower spending power and challenge the established norms of travelling driving different accommodation models. Unless a cohesive strategy is adopted to attract high-spending tourists, the increasing prevalence of this demographic in the arrivals profile could render it challenging to meet the profit targets set out by the Government while affecting the long-term sustainability of graded establishments. Other downside risks include shortage of skilled labour, increasing price competition, inadequacies in the transport infrastructure and implications of climate change.

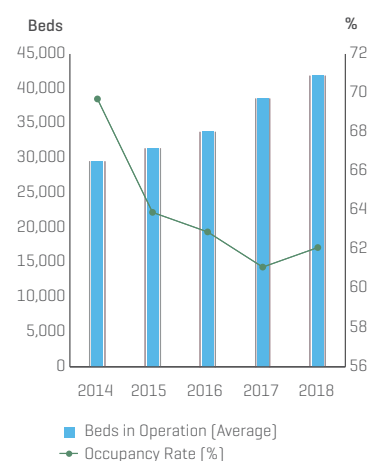
Maldives

Tourist arrivals into Maldives increased by 6.8% to reach a record high of 1.4 million in 2018, upheld by strong growth from the European region (+ 12.4%) which continues to be the major source market for Maldives. China maintained its position as the largest individual source market, although arrivals declined by 7.6% during the year, reflecting subdued economic growth. While demand growth was satisfactory, the rapid expansion in room inventory (both among resort operators and the informal sector) in recent years has led to intense competition among resort operators. Over the last few years, a significant

number of uninhabited islands were leased to resort developers, resulting in total beds in operation increasing by more than 40% since 2014. Resultantly average occupancy levels have declined to around 60% from 70% levels recorded over a decade ago.

The long-term outlook, however, remains positive with the new Maldivian Government pledging to ramp up destination promotion and investing in enhancing the transport infrastructure which will facilitate better connectivity. For 2019 budgetary allocations for tourism promotion amounted to USD 6.7 million compared to USD 2.2 million in 2018.

Maldives - Room Supply and Occupancy



Oman

Oman's tourism sector is positioned for strong growth, with the Government unveiling plans to double international arrivals by 2040 and develop strategic tourism clusters across the country. The National Tourism Strategy places emphasis on diversifying the country's offering beyond that of a luxury destination to boost the performance of other avenues including MICE, ecotourism and adventure travel. As such, the Government plans to develop a series of clusters across the sultanate offering a variety of experiences centered on the country's culture and natural sites. With

substantial investments in strengthening infrastructure and an increase in the number of hotels in recent years, Oman is positioned to emerge as a major destination for both regional and global travellers.

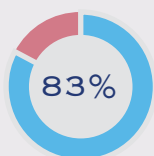
Despite a marginal decline in tourist arrivals during the year, the country's hospitality sector recorded some rebound in 2018 following a disappointing performance over the last 3 years. Europe continues to be the main source market, followed by domestic travellers and GCC countries. Hotel occupancy rates increased marginally to 57% during the year.

Contextual Trends

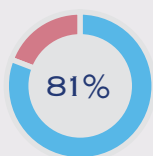
Unprecedented changes in economic, social, technological and political factors are driving new imperatives for business-presenting unique opportunities and challenges for the Travel and Tourism sector. In order to capitalise on these opportunities and sharpen our competitive edge it is vital to obtain a nuanced understanding of the factors driving change in our industry.

Demographic Changes

Millennials and Generation Z's have emerged as leaders in global travel and are driving the need for more authentic and personalised experiences. Due to limitations in spending power these travellers seek value for money offerings leading to an increase in demand for alternative hospitality offerings such as home stays and apartments.



Prefer to explore outdoors and be active



Crossing off my bucket list imperatives



81% of Generation Z said Budget is a key factor

Source: Expedia Media Solutions

The Ethical Consumer

The Tourism sector has been called upon to contribute towards the Sustainable Development Goals (SDG) through concerted efforts to promote economic prosperity, social inclusion as well as cultural and environmental preservation. This has been complemented by the increasing prevalence of ethical consumers with social and environmental considerations emerging as critical drivers of decision making.



66% Consumers say they will pay more for environmentally friendly products

Source: Expedia Media Solutions

Connectivity

An unprecedented level of connectivity through online and mobile technology platforms have transformed how guests reserve travel and share their travel experiences in unique ways. The use of the Internet to research and book holidays has compelled leisure sector operators to be transparent in their pricing structures and maintain a high level of engagement with potential guests.



45% of travellers use an app to help plan travel



7/10 Travellers post vacation photos via social media

Source: Amadeus

Experiential Travelling

As disposable incomes and material wealth grows, many consumers are pursuing creative or adventurous experiences as a means for fulfilment and creating stronger connections. For instance, traditional destinations are still coveted but unique destinations and deeper creative experiences across the world are gaining popularity.

There is also a gravitation towards unplugged, tech-free experiences with a recent study revealing that UK Internet users commonly pursued a digital 'detox' by putting away devices and engaging more actively in their own and others' lives.

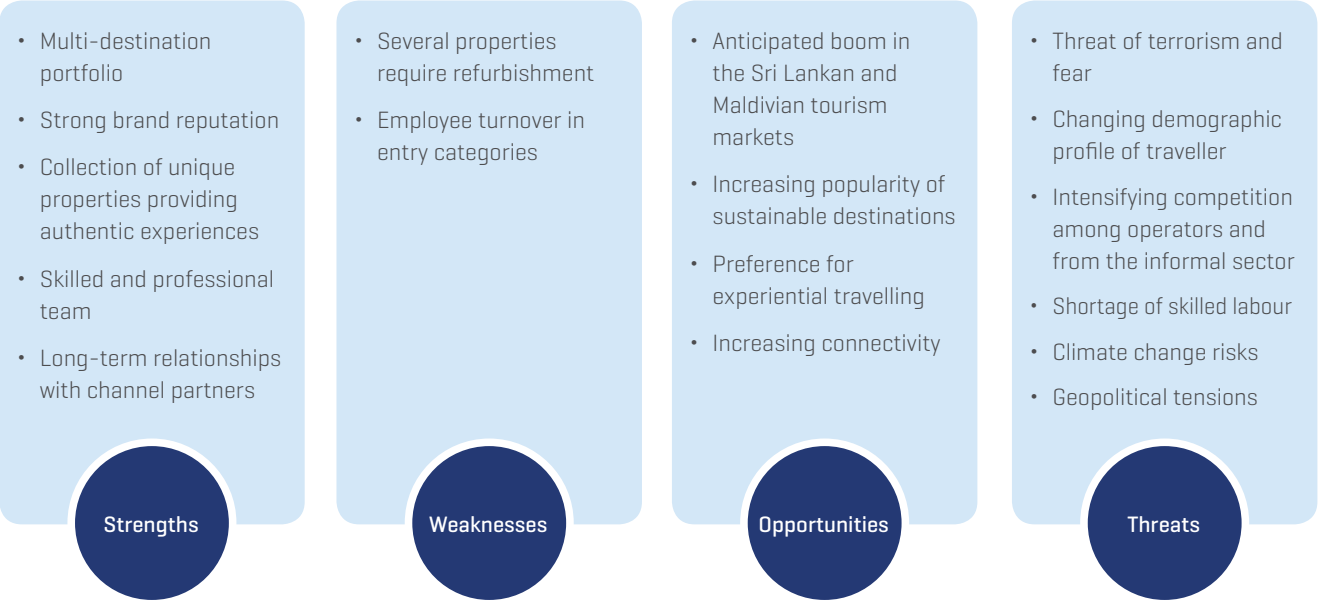
>77% US Millennials say experiences create irreplaceable memories

55% US Millennials report spending more on live events and experiences than they used to

Source: World Travel and Tourism Council

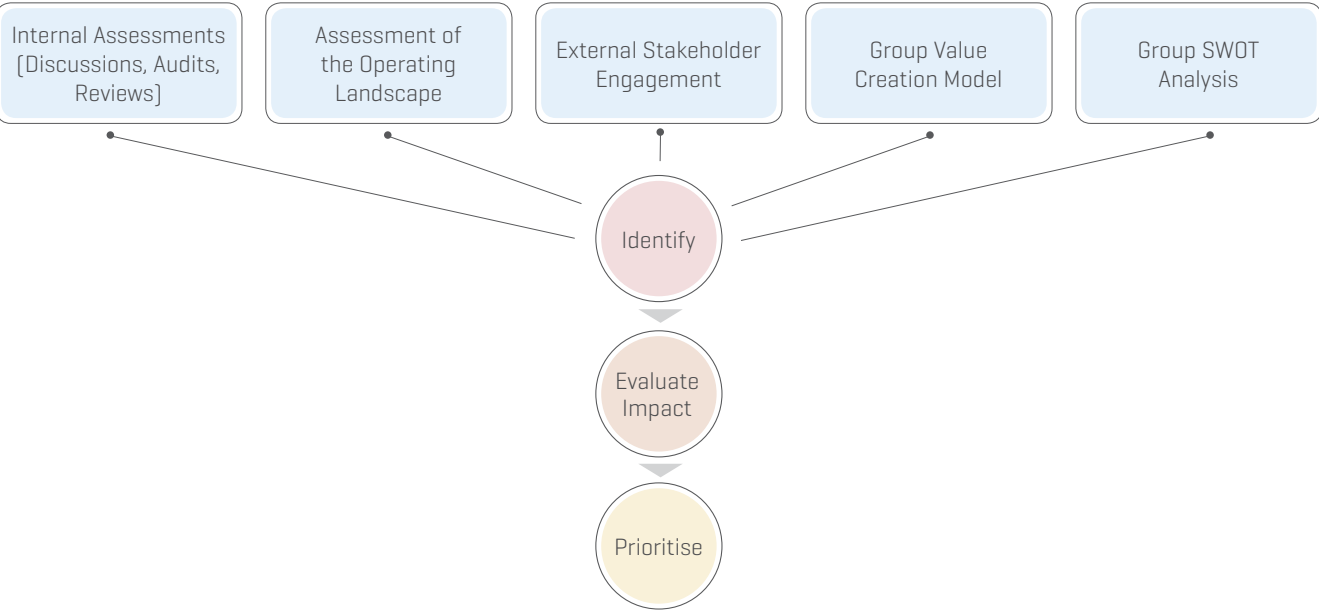
SWOT & MATERIALITY ANALYSIS

SWOT ANALYSIS



MATERIALITY ANALYSIS

The Group’s material topics represent the issues that are most relevant to the Organisation and its stakeholders; we consider a topic to be material if it could potentially impact the Group’s ability to create value over the short, medium and long-term. We constantly review the list of material topics in view of the environment, the Sustainable Development Goals and new requirements for sustainability issues. This year, we have sought to widen the scope of our material issues beyond those prescribed by the GRI Standards to include factors specific to our business and industry. The process we follow in determining material topics is illustrated graphically below;



The Group's material topics for 2018/19 are mapped alongside based on the impact on the organisation and influence on stakeholder decisions.



The material issues shown below are listed in order of priority demonstrating relevance to our strategic objectives, the Sustainable Development Goals (SDG) and corresponding GRI topics. (Please refer to GRI Index in Pages 290 to 295 for detailed information on the material topics as required by GRI)

Material Topic	Strategic Priority	SDG	Relevant GRI Topic	GRI Indicators
[1] Customer satisfaction	●			
[2] Financial performance	●		Economic performance	201-1,201-2
[3] Travel safety	●			
[4] Property portfolio	●			
[5] Talent management	●	  	Market presence Employment Labour management relations Training and education Diversity and equal opportunity	201-3,202-1,202-2,203-2 401-1,401-2 402-1 404-1,404-2,404-3,410-1, 412-2 405-1,405-2,406-1,407-1
[6] Brand and reputation	●			203-1,204-1,417-1,417-2, 417-3,418-1
[7] Service and operational excellence	●			
[8] Health and safety	● ●		Customer health and safety Occupational health and safety	416-1,416-2 403-1,403-2
[9] Product responsibility	●		Customer privacy Marketing and labelling	418-1 417-1,417-2,417-3
[10] Carbon footprint (energy, emissions]	●	 	Energy Emissions	201-2, 302-1,302-3,302-4 305-1,305-2,305-5

SWOT & MATERIALITY ANALYSIS

Material Topic	Strategic Priority	SDG	Relevant GRI Topic	GRI Indicators
[11] Water and biodiversity	●		Water Biodiversity	303-1,303-2,303-3,306-5 304-1,304-2,304-3,304-4
[12] Effluents and waste	●		Effluents and waste	306-2,306-3,306-5
[13] Raw material consumption	●		Raw materials	204-1,301-1
[14] Procurement practices	● ●		Procurement practices Social supplier assessment	204-1 414-1,414-2
[15] Local communities	● ●		Economic performance Significant indirect economic impacts Local communities	201-1,201-2,201-3 203-2 413-1 413-2
[16] Good governance	● ●		Anti-corruption Non-discrimination Environmental compliance Child labour Forced labour Socio-economic compliance	205-1,205-2,205-3, 206-1,407-1,406-1 307-1 408-1 409-1 419-1

- Operational Excellence
- Portfolio Expansion and Upgrade
- Developing a Talent Pool
- Sustainability

STRATEGY AND RESOURCE ALLOCATION

The Group's strategic agenda clearly sets actionable plans for 2019 and 2020 and is aimed at sharpening our competitive edge in an increasingly competitive and dynamic operating environment. Our strategic plan has been carefully formulated to include the expectations of our different stakeholders and reflect the various material issues selected and the importance given to each of them.

The four strategic pillars are listed below, and the subsequent pages provide an overview of how resources were allocated towards achieving these objectives, strategic initiatives and how we measured our progress relevance to our business clusters. Capitals are shown through navigation icons in the respective sections of the Report.

Strategic Priorities 2019



STRATEGY AND RESOURCE ALLOCATION

Operational Excellence



Objective:

Stability and growth in performance while providing satisfactory returns to shareholders through,

- (1) Engaging with new channel partners
- (2) Harnessing cross-destination synergies
- (3) Reinforce brand attributes
- (4) Leverage on technology as a competitive advantage
- (5) Restructure capital to optimise returns

Progress in 2018/19:

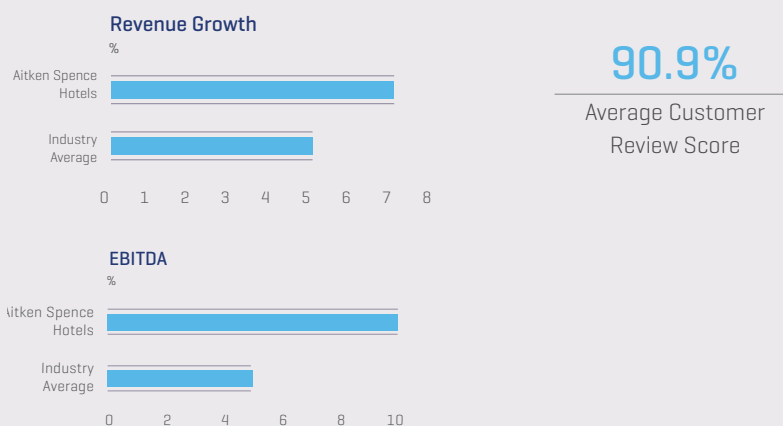
- Entered into new partnerships with over 900 channel partners in all regions
- Proactive monitoring of pricing on Online Travel Agents using sophisticated systems
- Focus on new markets such as Australia and USA
- Targeted marketing through data mining and use of advanced Customer Relationship Management (CRM) software
- Investment in state-of-the-art system for revenue management

Resources allocated:

Investment in IT infrastructure: Rs. **177** million

Investment in brand development: Rs. **336** million

Key performance indicators:



Outlook for 2019/20:

Achieve growth targets above the industry average

Implementation of the new loyalty programme – Heritage Rewards of the Group offering a wider range of benefits to our patrons

Sustain and leverage the developed brand proposition based on the results of the brand exercise and consolidate our portfolio of brands to drive planned enhancements

The Group will continue to look at optimising its funding avenues in order to offer better returns to stakeholders

Portfolio Expansion and Upgrade



Objective:

Expanding our room inventory through adding new properties and upgrading existing properties to drive enhanced customer experience.

- [1] Strengthen regional presence
- [2] Source new channel partners
- [3] Expand presence across all our operating geographies
- [4] Rationalise portfolio

Progress in 2018/19:

- Launch of Heritance Aarah in Maldives – a 150 villa, 5 Star property positioned as a premium all-inclusive offering

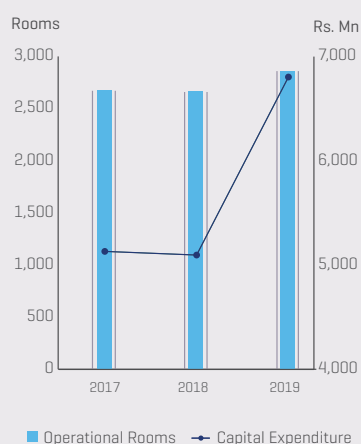
Resources allocated:

Investment in Heritance Aarah: USD **76.3** million

New employees recruited for Heritance Aarah: **217**

Key performance indicators:

Capacity Additions



191

New Rooms added during the year

Outlook for 2019/20:

Refurbishment of Heritance Kandalama, Heritance Tea Factory and Adaaran Select Meedhupparu

Development of the hotel portfolio across all operating segments provided the new properties added to the portfolio (either through the investment model or the management model) complement the Group's brand offering

Upgrade of Kitchen at Heritance Ayurveda

STRATEGY AND RESOURCE ALLOCATION

Developing a Talent Pool



Objective:

Develop a vibrant and inspiring team to delight customers.

- (1) Address industry skill gaps through multi-faceted initiatives
- (2) Employee retention

Progress in 2018/19:

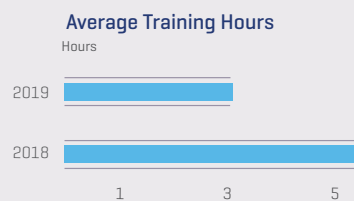
- Upgrading staff accommodation and facilities at Heritance Kandalama
- Training initiatives centered on selected competencies
- Driving gender diversity at executive level

Resources allocated:

Investment in training: Rs. **15.4** million

Total payments to employees: Rs. **3.5** billion

Key performance indicators:



72,291

Total Training Hours

18.3%

Staff Cost as a % of Turnover

Outlook for 2019/20:

Ongoing investment in training and development to bridge competency gaps and enable employees to perform on par with standards and expectations

Further enhancement of the facilities provided to increase managerial level training

Sustainability



Objective:

Drive sustainable value creation to all stakeholders while minimising adverse environmental impacts of our operations.

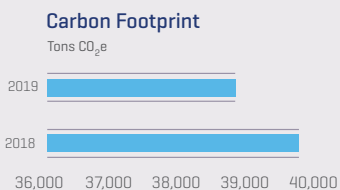
Progress in 2018/19:

- All Heritance and Adaaran properties certified/re-certified for Travelife Gold
- Continued recruitment from local communities

Resources allocated:

Investment in sustainability and community development: Rs. **17.5** million

Key performance indicators:



47%

Recruited from Local Community

58%

Spending on Local Suppliers

Outlook for 2019/20:

Adopt a focused, differentiated and branded sustainability initiative which is in sync with the Group's values, passion and objectives to make a significant impact

Managing Risks and Opportunities

Our portfolio of properties are spread over 4 countries with diverse offerings to tourists. This exposes us to diverse risks, necessitating a systematic approach to risk management and high levels of risk awareness across our properties. A strong focus on risk management, foresight and business acumen have enabled us to successfully navigate diverse risks and reap the benefits as we identified opportunities for growth in the process.

Risk Environment

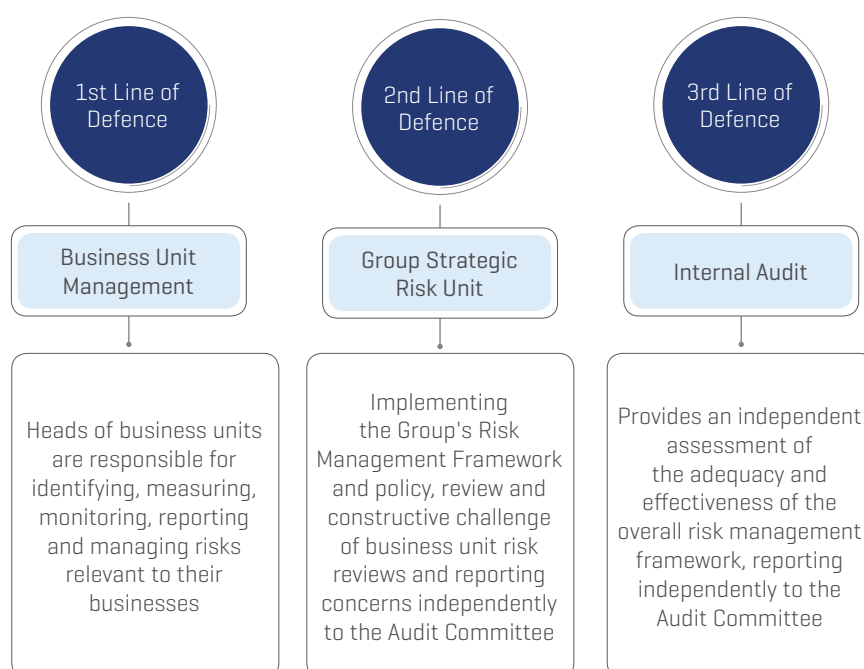
Global tourist arrivals increased by 6% to 1.4 bn while the tourism sector grew by 3.9% outpacing global growth of 3.6% and contributing an estimated 10% to global GDP. Tourism is forecast to grow at a more modest 3-4% in 2019 due to forecast moderation in global growth to 3.3%. However, downside risks increased during this period as the face of populism, protectionism, climate change, extreme weather events and terrorism threats impacted business in source markets and tourist destinations in complex combinations, a trend that is expected to continue in to 2019.

Managing a diverse portfolio across 4 countries has developed a broad view of risk and a sharp eye for opportunities to leverage synergies and cushion adverse impacts. While Sri Lanka, Maldives and India recorded an uptick in occupancy, operations in Oman were impacted by the Middle East crisis. The benign conditions that prevailed at the close of the financial year changed in April 2019 as terrorist strikes took a cruel toll on lives after a decade of peace in the country. Swift action of the local law enforcement agencies together with the collaboration of international intelligence agencies have served to quell the threat in a relatively short time. Business has returned to a new norm with heightened security and the country is looking to restore confidence in its tourism industry, drawing from the experiences of countries such as

Bali, Turkey, Egypt and Kenya as well as the experiences of advanced economies at the time of writing. Other destinations in our portfolio, particularly Maldives, are expected to cushion the impact on Sri Lankan operations to a large extent during what we hope will be a short recovery period as authorities and key players work together to provide the necessary assurance.

Approach to Risk Management

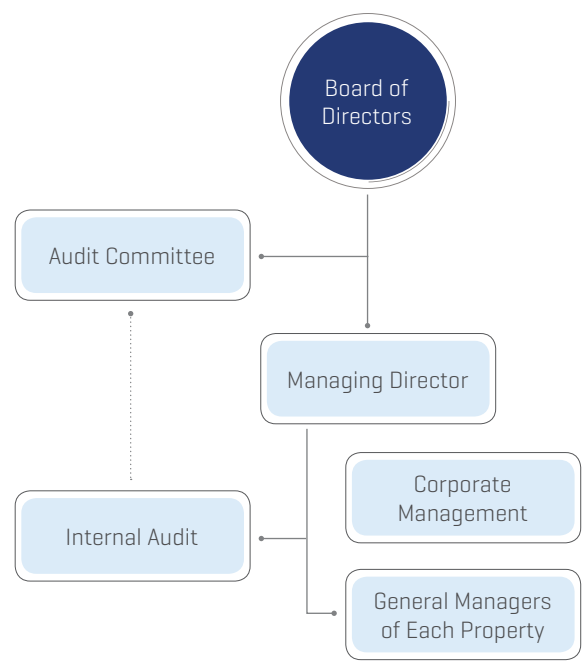
As part of the Aitken Spence Group, our approach to risk is based on the Three Lines of Defence model as summarized below to manage its risk with clear segregation of responsibilities facilitating objective oversight. This approach also drives high levels of risk awareness across our properties strengthened by centralized reviews and sharing of learnings to strengthen risk management and mitigation. This is strengthened by the objective review of the parent company's Group Strategic Risk Unit who review ASHH risk assessments and constructively challenge them to enhance objectivity of the same, reporting directly to the Audit Committee of ASHH.



RISK MANAGEMENT

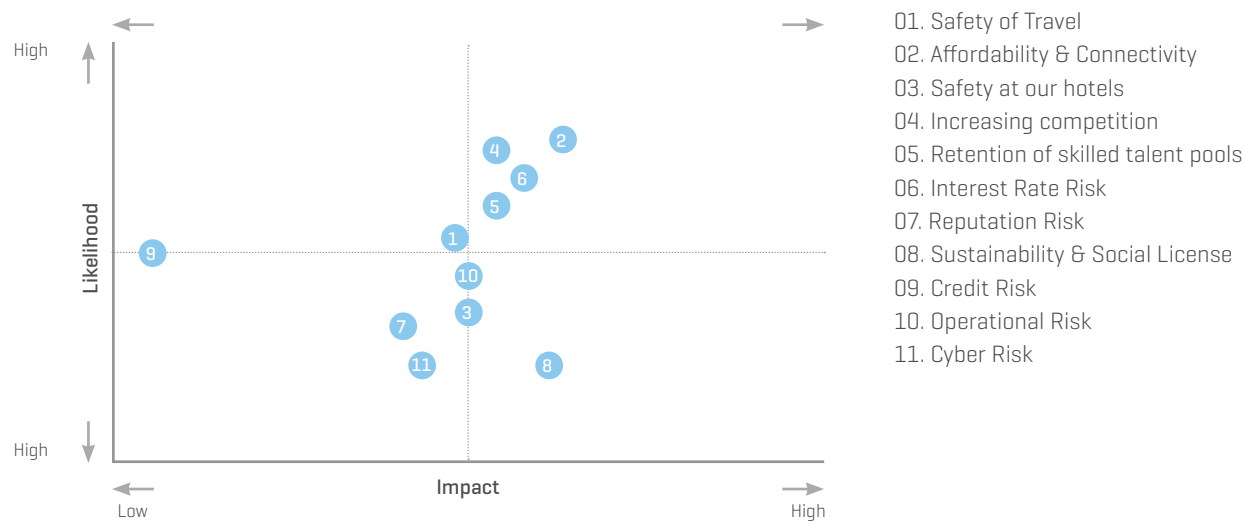
Risk Governance

Responsibility for managing risk lies with the Board who have set in place a framework, structure and process for effective management of risk taking into account strategy, the operating environment and other factors. They are assisted in this by the Audit Committee who have oversight responsibility for risk management. Internal Audit conducts risk based audits of processes and entities within the ASHH Group, reporting directly to the Audit Committee covering all entities in an annual cycle. Corporate Management located in Head Office review risks on a holistic basis as it relates to ASHH as a whole. Resident General Managers of the properties have responsibility for identifying, measuring and reporting on risk and implementing mitigation strategies which are agreed with Corporate Management for each individual property.



Risk Management Process

Risk management is a continuous process facilitating constant review of external and internal developments and their impact on operations of the ASHH Group as a whole and at property level. The process also enables identification of opportunities for growth, service excellence and differentiation due to the multi-layered review, consolidation, prioritisation and oversight functions.



Principal Risks

Our principal risks are identified through the Risk Prioritisation and Assessment process and those risks with the potential to adversely impact on our ability to create sustainable value. The information presented is our assessment of risks and includes events after the balance sheet date up to the sign-off of the report based on reliable forecasts and insights in to a wide range of variables.

Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
1. Safety of Travel					
Threats including political unrest, extreme weather events, epidemics, terrorism and political unrest deter travel to high risk destinations during periods of elevated threat			Terrorist attacks in April 2019 in Sri Lanka Sri Lanka is likely to have Presidential and General elections in 2019 or 2020	Swift action taken by government with the involvement of international intelligence agencies to curtail threats from terrorism in the aftermath of attacks	Chairman's Review (Pages 12 to 15) Managing Director's Review (Pages 16 to 19) Social & Relationship Capital (Pages 104 to 113)
Assessment				Geographic diversification across 4 countries with Sri Lanka and Maldives being key contributors to top and bottom lines	
Impact		Moderate		Continuous dialogue with diplomatic missions to communicate threats and progress with the aim of providing necessary information for travel advice Compliance with international best practice to ensure safety of tourists at entity level coordinated by central specialist services	
Likelihood		Moderate			
Direction					
2. Affordability & Connectivity					
Airline connectivity and affordability play a key role in choice of destination			Decrease in destinations served by SriLankan Airlines in 2018	Strong relationships with global tour operators	Managing Director's Review (Pages 16 to 19)
Assessment				Growth of charter operators	
Impact		High	Decrease in flights to Sri Lanka in response to temporary dip in demand	Destination promotion by ASHH and Group companies to drive demand to all four countries with additional focus on Sri Lanka's recovery initiatives	Operating Environment (Pages 44 to 47)
Likelihood		High			
Direction					

RISK MANAGEMENT

Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
3. Safety at our hotels					
Safety of our guests and staff at our hotels is our #1 priority			Need to address stakeholder concerns about measures taken to assure their safety within our premises following terrorist attacks on Sri Lanka	Comprehensive Health & Safety policy framework with implementation responsibility at multiple levels	Social & Relationship Capital [Pages 104 to 113]
Assessment				A strong safety culture at all hotels with regular fire drills, disaster recovery plans and high levels of risk awareness	
Impact		Moderate			
Likelihood		Low			
Direction					Implementation of additional security checks prior to entry to our properties in Sri Lanka
			Centralised high level security function for Aitken Spence Group		
			Regular debriefing of staff on security related information		
4. Increasing competition					
Increased number of hotels leading to intense competition and lower margins			Rapid growth of room inventory in Sri Lanka and Maldives outpacing growth of tourist arrivals	Working together with tour operators to increase occupancy	Operating Environment [Pages 44 to 47]
Assessment				Consistently favourable reviews of our properties by guests strengthening brand equity	
Impact		Moderate			
Likelihood		High			
Direction			Differentiated offerings in our properties		Social & Relationship Capital [Pages 104 to 113]
5. Retention of skilled talent pools					
High staff turnover in key segments such as travels and hotels			Sharp increase in industry and competitor activities	Comprehensive talent management programme to build talent pipelines including succession planning	Human Capital [Pages 90 to 97]
Indicators				Limited availability of skilled talent pools	
Attrition Rate		29%			
Assessment			Economic migration to cities and more developed countries		
Impact		Moderate			
Likelihood		High			
Direction			Updating Human Resources policies and practices cognizant to trends in the industry.		

Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
6. Interest Rate Risk					
Exposure to movements in market interest rates related to borrowings			Borrowings of Rs. 27.6 billion in LKR, USD and Euro exposes ASHH to movements of related interest rates as indicated alongside	The Group’s treasury division continues to negotiate with banks and financial institutions to secure the best possible rates for the Group’s borrowings and investments. Present leverage of the Group is 43.65% well within the risk appetite	Note 29 to the Financial Statements [Pages 227 to 230]
Indicators					
LKR AWPR Movement	Financial year	68 bps			
GBP/USD LIBOR movement					
Euro LIBOR/ Euribor					
Assessment					
Impact		High			
Likelihood		Moderate			
Direction		✈			
7. Reputation Risk					
Social media has elevated this key risk for the hospitality industry as every guest and stakeholder is a potential influencer			Sites such as TripAdvisor and Expedia provide easy platforms for guest reviews and statistics aggregating the same Facebook, Instagram, Snapchat all provide platforms for instant sharing of experiences Negative publicity has a tendency to become viral	Maintaining high standards of service at our hotels through investments in infrastructure and training of staff to deliver consistently positive guest experiences Monitoring social media and guest reviews on aggregator sites by a dedicated team A hospitality mindset supports our legacy and we are careful to nurture it through communication and a balanced assessment of performance	Intellectual Capital [Pages 98 to 103]
Indicator					
GRI™ rating					
Heritage Brand	90.3%	Excellent			
Adaaran Brand	94.6%	Excellent			
Assessment					
Impact		Moderate			
Likelihood		Low			
Direction		✈			

RISK MANAGEMENT

Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
8. Sustainability & Social License					
An early adopter of ESG reporting, ASHH is passionate about ensuring that we maintain good relations with our stakeholders including the communities that we operate in			Higher stakeholder expectations on environmental and social governance Strategic differentiation through sustainability	Heritance hotels are ISO 50001 certified for their Environment Management Systems while other hotels also have in place reliable environment management systems Invested Rs. 17.5 million in giving back to our communities, mainly at local levels High standards of ESG reporting as we were adjudged the Best Sustainability Report in the Hotel sector at the ACCA Sustainability Reporting Awards in 2018	Natural Capital [Pages 114 to 122] Social & Relationship Capital [Pages 104 to 113] Human Capital [Pages 90 to 97] Intellectual Capital [Pages 98 to 103]
Indicators					
Zero litigation					
Zero complaints from local communities or regulators					
Assessment					
Impact		High			
Likelihood		Low			
Direction		✈			
9. Credit Risk					
Risk of loss arising from debtors’ inability to meet their financial obligations on time			We provide credit to tour operators and corporate customers who are high net worth customers	Comprehensive credit policies and procedures are in place to verify the creditworthiness and determine the potential credit risk associated with a client Established advanced systems for effective monitoring and reporting of outstanding trade balances.	Note 39.3 to the Financial Statements [Pages 249 to 251]
Indicators		2018/19			
Percentage of trade debtors over 90 days		2.8%			
Assessment					
Impact		Low			
Likelihood		Moderate			
Direction		✈			
10- Operational Risk					
The prospect of loss resulting from inadequate or failed procedures, systems or policies; employee errors; systems failures; fraud or other criminal activity or any event that disrupts business processes.			Employee errors System failures Fraud Disruptive events	Strengthening relationships with trade unions and using this as a platform to resolve grievances before they escalate into risk threats. Regular servicing and maintenance of machines in order to minimize breakdowns. Updating of the vehicle fleet through periodic replacement.	
Assessment					
Impact		Moderate			
Likelihood		Moderate			
Direction		✈			

Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
11. Cyber Risk					
All significant processes are supported by one or many Internet driven services			Potential loss of information assets of the Group Impact on customer privacy in the event of a potential loss event	Well-defined group-wide cyber security incident response process.	Intellectual Capital [Pages 98 to 103]
Assessment				Conducting cultural change management programmes to create staff awareness on the importance of maintaining information security and handling of sensitive information.	
Impact		Moderate		Implementation of network protection technology to manage network perimeter defense, data loss, cyber-spoofing, distributed denial of service attack, mobile devices and monitor suspicious cyber activities together with regular testing and verification of controls.	
Likelihood		Low			
Direction					

Opportunities

Expanding Our Offshore Managed Properties Portfolio

- With a track record of increasing value to property owners in several locations, we are well positioned to pursue this opportunity

Sustainability & Responsible Tourism

- Potential for strategic differentiation through sustainability
- Embedding sustainability into our processes and organisation culture provides opportunities to drive cost efficiencies across our businesses enhancing productivity and returns

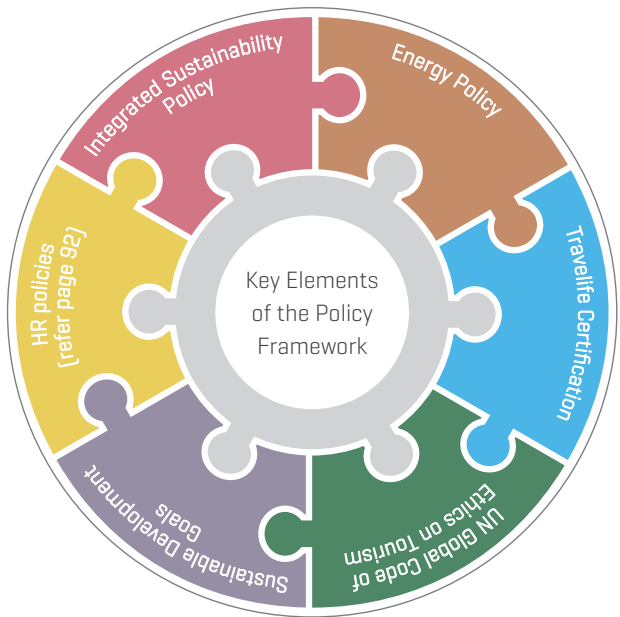
Group synergies and linkages

- As part of the Aitken Spence Group, ASHH has access to relationships with global players who have interests and connectivity in several areas of business

SUSTAINABILITY AT AITKEN SPENCE HOTELS

Approach and Governance

As a Group with widespread business interests in diverse operational geographies, Aitken Spence Hotel Holdings PLC is cognisant of the role it can play in addressing the country's key economic, social and environmental issues. The Group adopts a focused and holistic approach towards sustainability and as a subsidiary, Aitken Spence Hotel Holdings PLC's sustainability agenda is aligned to the Integrated Sustainability Framework of the parent entity. The policy architecture governing our approach to sustainability is illustrated below;



Integrated Sustainability Policy

- Exceed legal and other requirements for the sustainable operation and development of the Group
- Facilitate the adoption of SDGs
- Use Environmental Management Systems in all operations/ activities
- Encourage supply chain to adopt sustainable practices
- Support local communities by providing employment and purchasing from local suppliers whenever possible



Access full Integrated Sustainability Policy

Energy Policy

Serves as the framework for continually improving energy efficiency and has been designed in line with ISO 50001:2011 - Certified Energy Management Systems.

- Provide information and resources required to effectively implement the energy management plan
- Purchase of energy efficient products and services

Travelife Certification

The certification contains 163 criteria classified into several categories as follows:

- Business policies and strategies
- Compliance to legislation and standard
- Reporting and communication on progress
- Environmental management including energy, water, waste, harmful substances and bio-diversity
- Labour and human rights including employee welfare and child protection
- Community integration
- Supply chain and guests

For further information refer page 103.

UNWTO Global Code of Ethics on Tourism

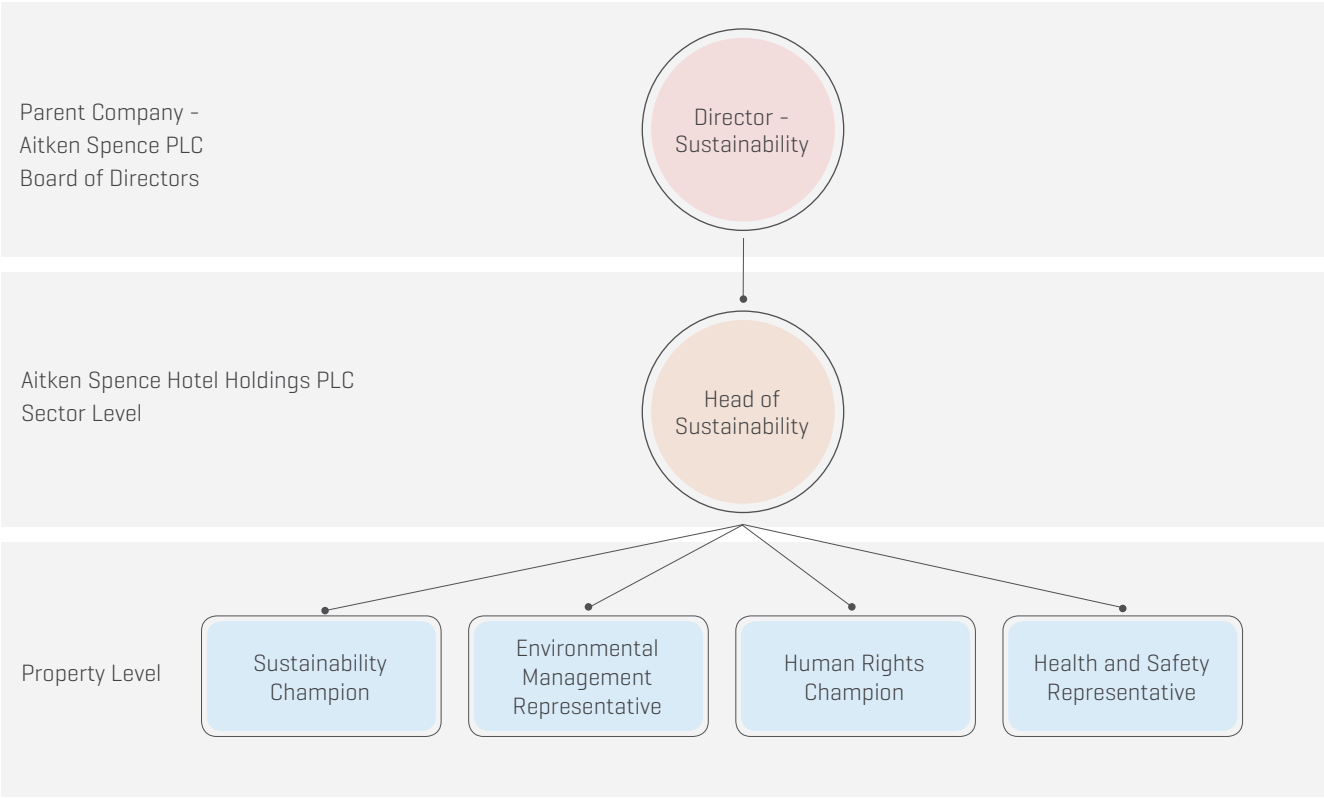
Comprehensive set of principles designed to guide tourism sector players including governments, travel industry, communities and tourists. Key principles include (among others):

- Mutual understanding and respect between people and societies
- Tourism as a user of cultural heritage
- Obligations of stakeholders in tourism development
- Rights of workers and entrepreneurs

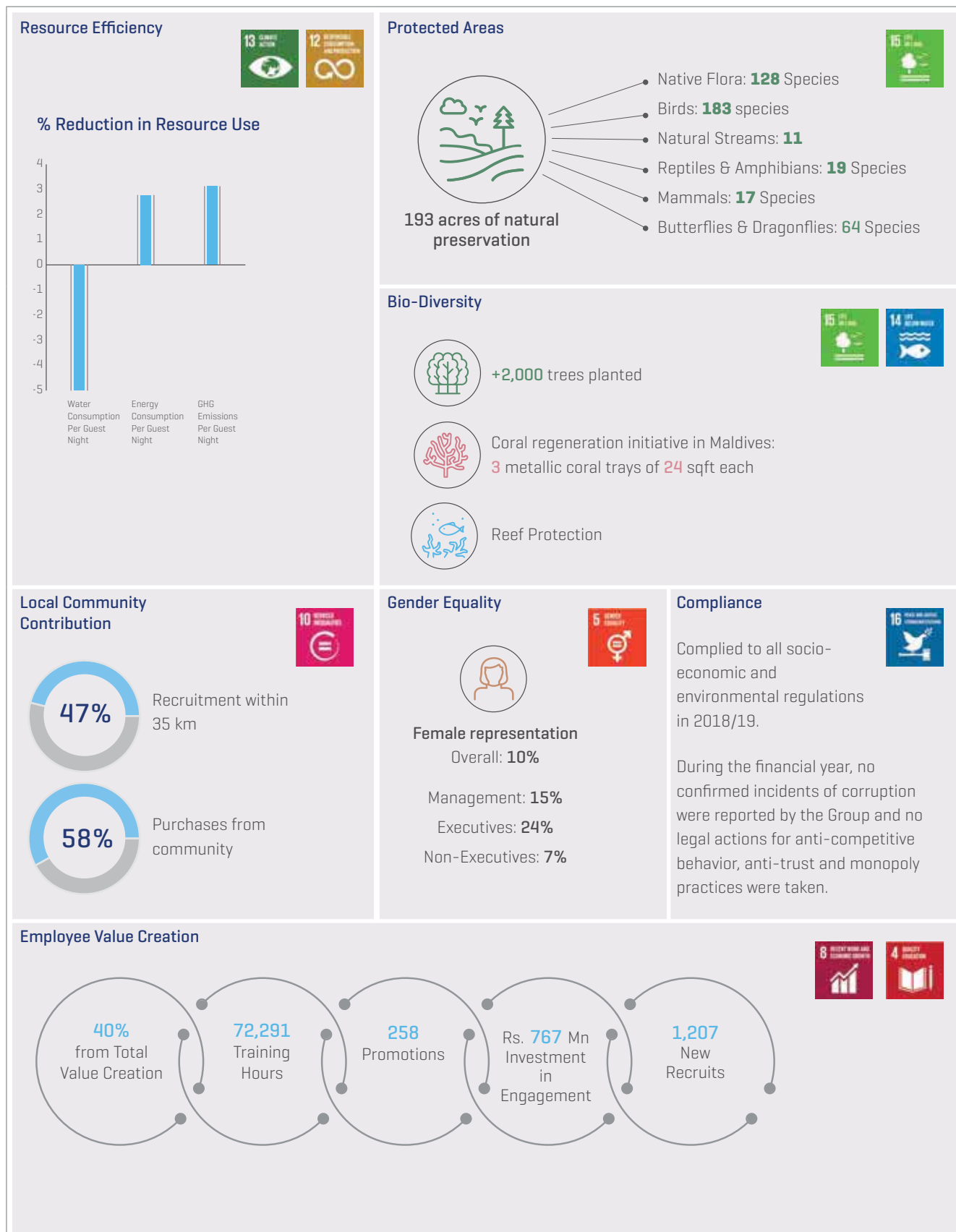
Governance Structure

Dedicated Sustainability Heads have been appointed at each business sector within Aitken Spence PLC who report to the Director- Sustainability, a member of the parent entity’s Board of Directors through the Managing director. At Aitken Spence Hotels, sustainability champions and committees have been appointed at each property to drive social and environmental projects and programs aligned to the Group’s overall sustainability agenda. These champions report to the Sector Head of Sustainability on a quarterly basis while sustainability performance has been included as a KPI in the performance management framework of all properties. Several Heritance properties also compile detailed sustainability reports in compliance with the reporting requirements of the National Green Reporting System and Travelife Gold certification; these reports can be accessed online via QR Code.

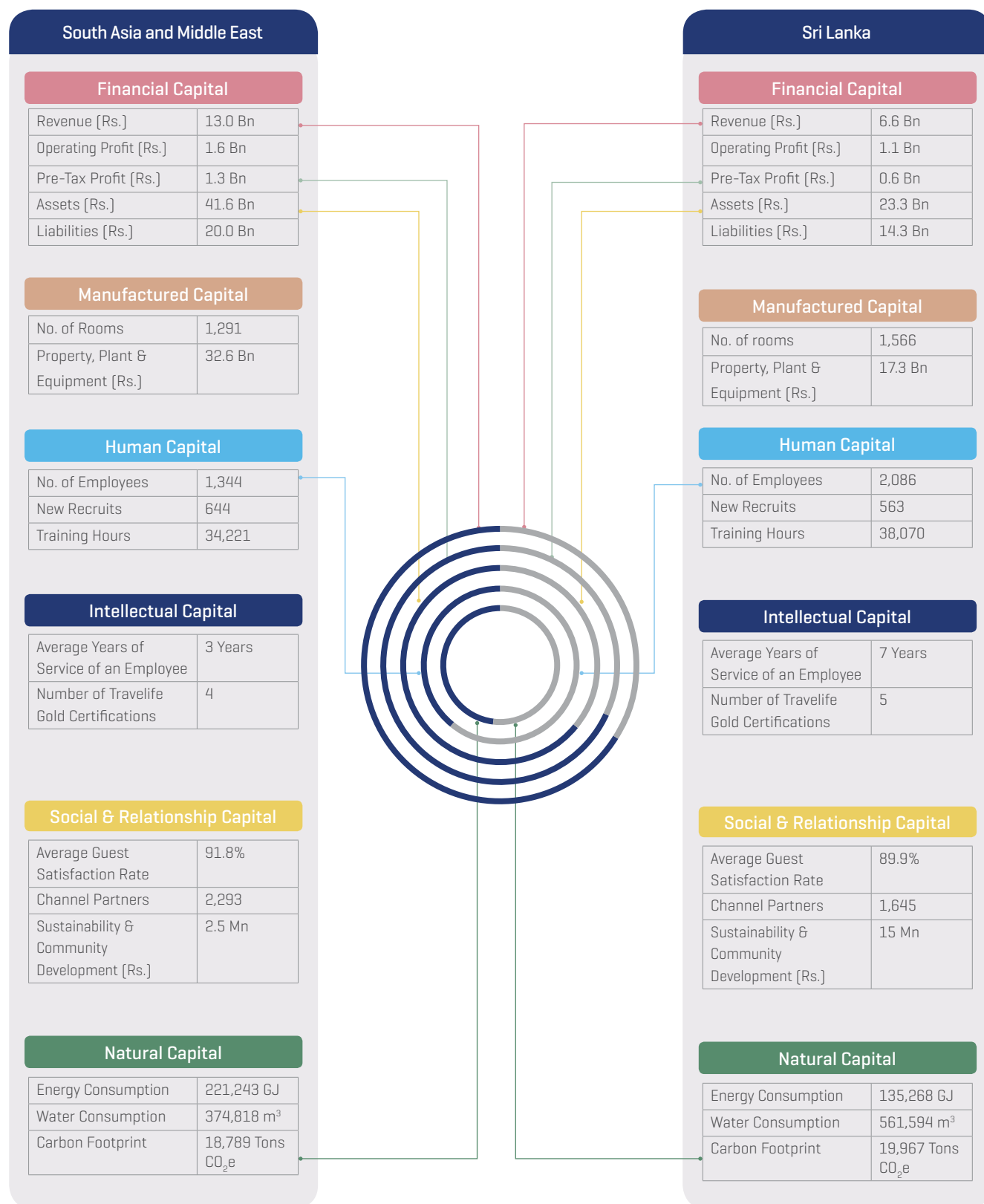
Sustainability considerations are embedded in our daily strategic decision making process as we strive to minimize any adverse social and environmental impacts of our operations and drive meaningful change in the communities we work in. The pictogram on page 64 demonstrates how the Group contributed to social and environmental sustainability as well as achievement of the SDGs during the year; detailed information is available in subsequent sections of this Report.



Sustainable Tourism Dashboard



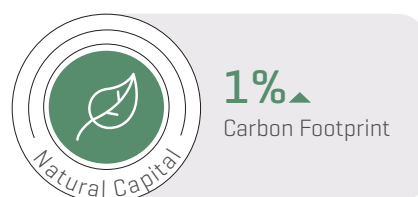
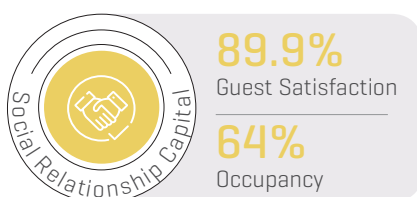
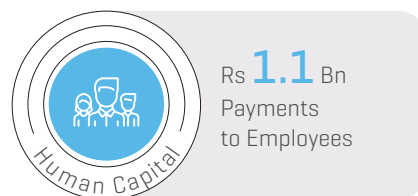
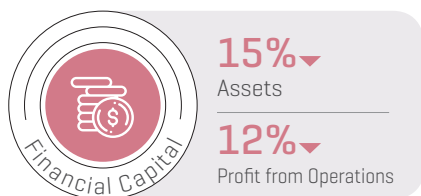
OPERATIONAL REVIEW



OPERATIONAL REVIEW

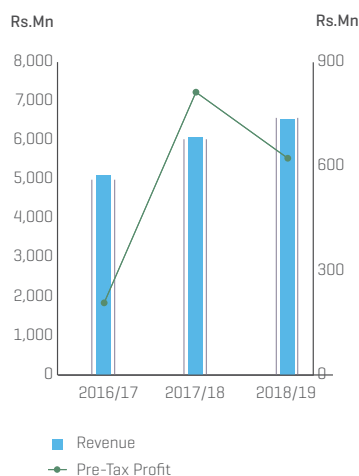
SRI LANKAN SECTOR

Capital Value Creation



Financial Highlights

Sri Lankan Cluster Performance



Property Portfolio

Owned Properties	Rooms
Heritage Kandalama	152
Heritage Ahungalla	152
Heritage Tea Factory	54
Heritage Ayurveda	64
Heritage Negombo	143
Turyaa Kalutara	199
Hotel RIU Sri Lanka	501
Amethyst Resort Pasikudah	38
Managed Properties	Rooms
Earl's Regency	134
Earl's Regent	96
Bandarawela Hotel	33

Operating Environment

Tourist arrivals to Sri Lanka: +10%

Rapid increase in room inventory

Changing customer preferences

Average occupancy of graded establishments: 72.8%

[Refer to page 45 for further information]

Strategy and Performance

- Driving cost efficiencies through streamlining the supply chain and menu engineering
- Ongoing investment in employee skill development
- Pursuing growth in new markets

Strategy and Performance

The Sri Lankan cluster turned in a year of strong operational performance supported by an increase in average occupancy levels to 64% (from 63% the year before), growth in new markets and focus on cost efficiencies. Revenue growth of 8% outperformed industry growth while operating profit increased by 17% (excluding profit on disposal of a subsidiary which is a one-off gain last year) to Rs. 1.1 billion during the period, contributing 40% to consolidated operating profit. The performance of Hotel RIU Sri Lanka and Heritance Negombo, the latest additions to the Group's Sri Lankan portfolio exceeded expectations recording commendable revenue growth. The Sector's pre-tax profit grew by 23% (after normalising the one-off capital gain of last year) resulting from the strong performance of these two properties.

Our hotels recorded an average satisfaction rate of 89.9% during the year and compares among the highest in the respective localities. Strong brand equity and reputation for service excellence allowed the Group to maintain prices despite sharp depreciation of the Rupee, enabling preservation of margins. We also pursued growth in new markets such as Australia in which we established a representation office and engaged in targeted promotional activities.

The depreciation in the Rupee led to a sharp escalation in the cost of imported products and we focused on driving cost efficiencies to counter this. Accordingly, emphasis was placed on streamlining the supply chain, enhancing employee productivity and engineering our menus to drive increased customer value. Overall, however, the depreciation of the exchange rate had a favourable impact on the Group due to the foreign currency denominated revenue streams.

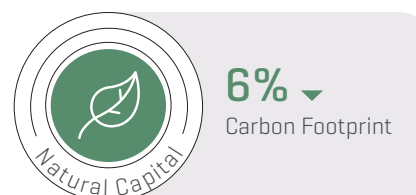
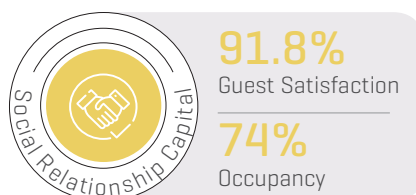
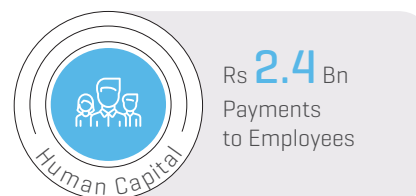
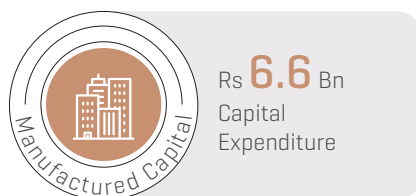
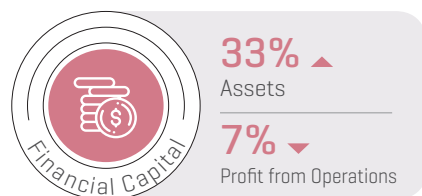
Way Forward

The short-term outlook for the Sri Lankan sector remains challenging given heightened security concerns and travel advisories issued by several markets. That said, management strongly believes that the medium to longer-term outlooks remains positive, with the sector expected to recover and post a turnaround by busy winter season (November to April) where the impact will be minimal. Over the medium to long-term we will seek to refurbish our Heritance properties in Sri Lanka, which continue to face intense competitive pressures from newer hotels. Our long-term outlook for the country's tourism sector remains promising and we will seek further expansion of our room capacity through the construction or acquisition of new properties. The Group is also keen to widen its portfolio of managed properties and will continue to seek management opportunities across the island.

OPERATIONAL REVIEW

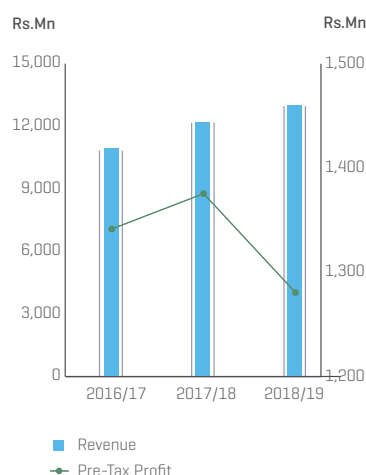
SOUTH ASIAN AND MIDDLE EAST SECTOR

Capital Value Creation



Financial Highlights

South Asia & Middle East Cluster Performance



Property Portfolio

Owned Properties	Rooms
Adaaran Club Rannalhi	130
Adaaran Select Hudhuran Fushi	165
Adaaran Select Meedhupparu	218
Adaaran Prestige Vadoo	50
Adaaran Prestige Water Villas	20
Adaaran Prestige Ocean Villas	37
Heritage Aarah	150
Al Falaj Hotel	150
Turyaa Chennai	140
Managed Properties	Rooms
Desert Nights Camp	53
Al Wadi Hotel	78
Sur Plaza Hotel	100

Operating Environment

Increase in room inventory in Maldives inserting pressure on prices

Rebound in tourism of Oman in 2018 and positioned for long-term growth [Refer to page 46 for further information]

Strategy and Performance

Launch of our newest property in Maldives, Heritage Aarah

Strategy and Performance

The South Asian and Middle East Sector, led by Maldives recorded a revenue growth of 7% during the year, contributing 67% to Consolidated revenue. Revenue expansion during the year was supported by improved occupancy levels at Adaaran Club Rannalhi; Adaaran Select Hudhuran Fushi, and the sharp depreciation of the Sri Lankan Rupee during the year. The surge in room inventory in the Maldives in recent years and growing competition from the informal sector has pressured profitability margins. As a result the Sector's operating profit margin narrowed to 13% from 15% the previous year. Resultantly the Sector's operating profit and pre-tax profit declined by 7% during the year. The Sector's relative contribution to Consolidated operating profits amounted to 60% during the year under review.

The Group's recent capital expenditure has primarily been directed towards the South Asia and Middle East cluster in which we see long-term potential for growth. The Group's first Heritance branded property outside Sri Lanka, Heritance Aarah was launched in the Maldives during the year featuring a premier, all-inclusive offering. The Property is aptly positioned to capitalise on the long-term growth opportunities presented by the Maldivian tourism sector.

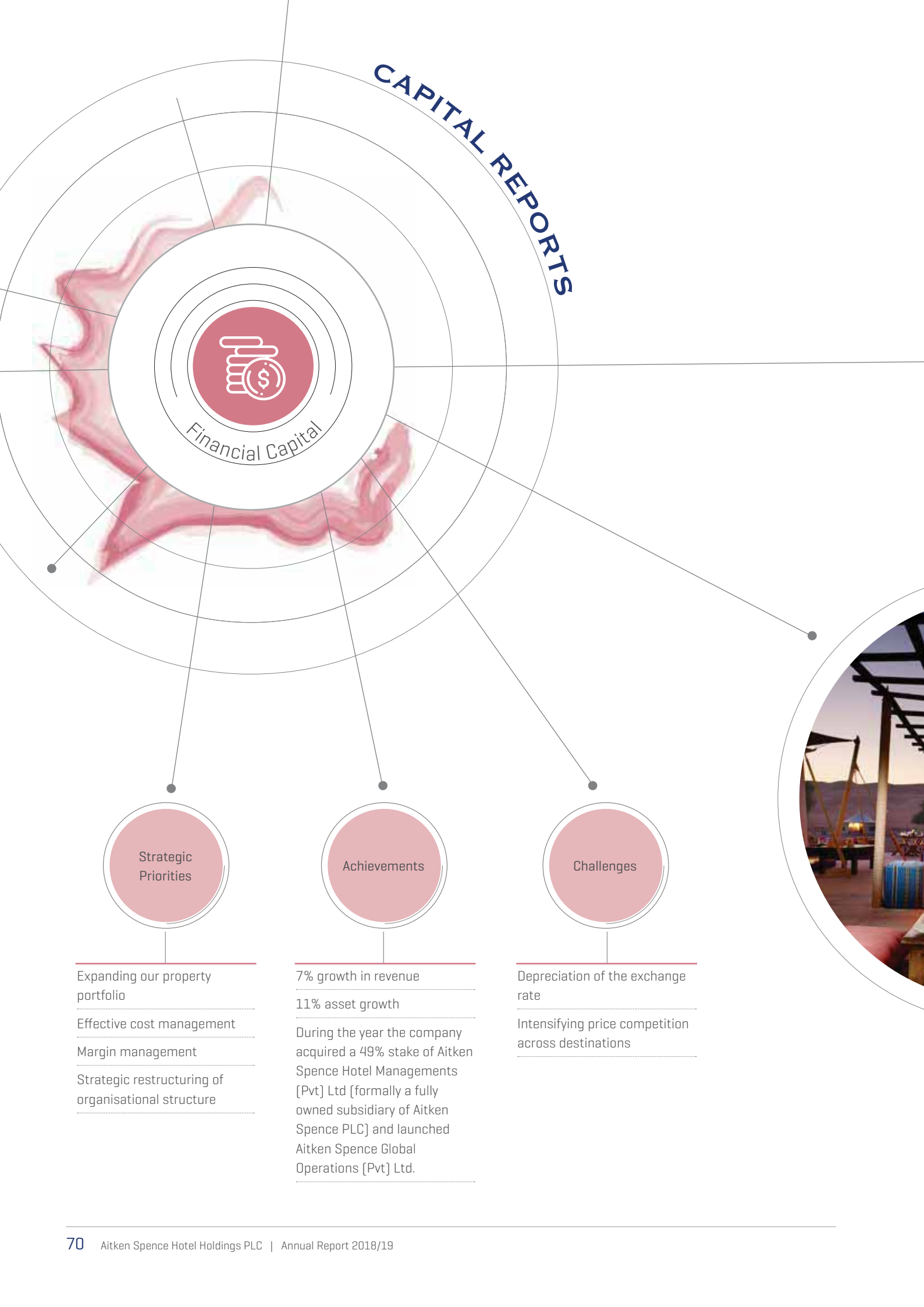
The performance of Al Falaj Hotel, our owned property in the Middle East was below expectations during the year primarily due to intense competition and subdued tourist arrivals into the region. Meanwhile the managed properties are generating good returns and we hope to pursue further management opportunities in the region over the short-to-medium term. In India, Turyaa Chennai recorded commendable growth during the year generating an operating profit for the first time. Despite intense competition on the IT corridor in which the Hotel is located, Turyaa recorded

above average occupancy levels as we sought to widen our target market to include both business and leisure travellers.

Way Forward

The Maldivian government's ongoing investments in strengthening the country's infrastructure, will drive improved connectivity to the destination. Following the successful launch of Heritance Aarah, we hope to further enhance our portfolio through refurbishing and repositioning several of our other properties in Maldives. We are also actively pursuing management agreements in existing destinations as well as new markets, thereby leveraging on our unique base of tacit knowledge to drive business growth.

CAPITAL REPORTS



Strategic Priorities

Expanding our property portfolio

Effective cost management

Margin management

Strategic restructuring of organisational structure

Achievements

7% growth in revenue

11% asset growth

During the year the company acquired a 49% stake of Aitken Spence Hotel Managements [Pvt] Ltd (formally a fully owned subsidiary of Aitken Spence PLC) and launched Aitken Spence Global Operations [Pvt] Ltd.

Challenges

Depreciation of the exchange rate

Intensifying price competition across destinations





The Group's financial capital is represented by the pool of financial resources that Group has as its disposal; the quality and quantity of the financial capital determines the Group's ability to drive its strategic aspirations and deliver consistent shareholder returns.

Financial Capital: Key Performance Indicators				
		2018/19	2017/18	YoY Change %
Revenue	Rs. Mn	19,571	18,251	7
Gross Profit	Rs. Mn	14,907	13,871	7
Operating Profit	Rs. Mn	2,735	3,014	-9
Net Finance Expenses	Rs. Mn	694	686	1
Pre-Tax Profit	Rs. Mn	1,904	2,190	-13
Profit After Tax	Rs. Mn	1,197	1,583	-24
Total Assets	Rs. Mn	64,902	58,593	11
Total Borrowings	Rs. Mn	27,589	24,297	14
Equity	Rs. Mn	30,595	27,894	10
Earnings Per Share	Rs.	2.37	3.43	-31
Net Assets Per Share	Rs.	62.96	58.30	8
Dividend Per Share	Rs.	1.00	1.25	-20

CAPITAL REPORTS

FINANCIAL CAPITAL

Summary of Key Income Statement Items

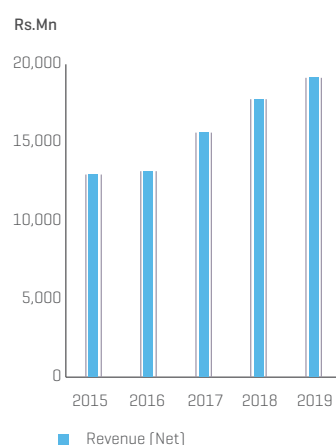
Rs. Millions	2018/19	2017/18	% Change	Explanatory Notes
Net Revenue	19,571	18,251	7	Growth in Sri Lankan sector revenue by 8% and South Asian and Middle East sector revenue by 7%. 2017/18 Revenue includes Hilltop [Hotel was disposed during the last FY]
Other Operating Income	[61]	260	[123]	2017/18 Includes a gain of Rs. 308 million recognised from the divestment of MPS Hotels Pvt Ltd/Hotel Hilltop. An amount of Rs 87 million was reported as an exchange loss mainly from revaluation of foreign currency denominated debt [Rs 75 million in 2017/18]
Staff Costs	[3,483]	[3,103]	12	'Staff salary revisions across all grades
Depreciation & Amortisation	[1,874]	[1,815]	3	Increased depreciation due to increased investments and capital expenditure incurred on property upgrades
Other Operating Expenses - Direct	[4,148]	[3,899]	6	Due to increase in operational activity
Other Operating Expenses - Indirect	[6,755]	[6,198]	9	Increase in LKR value of overseas operational expenses due to the appreciation of the USD against LKR
Finance Income	241	263	[9]	Due to decrease in funds available for investment [Funds utilised for Capex]
Finance Expense	[935]	[949]	[2]	
Share of Profit/(Loss) of Equity Accounted Investees Net of Tax	[137]	[138]	[1]	Mainly from groups share of losses at Browns Beach Hotels PLC
Taxation	[707]	[606]	17	

Revenue

The Group's consolidated revenue increased by 7% to Rs.19.57 billion during the year under review, supported by top line expansion in both the Sri Lankan sector [+8%] and South Asian and Middle East sector [+7%]. Performance of the Sri Lankan sector was upheld by broad-based revenue expansion across our properties with the Sector's average occupancy of 64% and recording improvement compared to the previous year. The Group's newest property, Hotel RIU Sri Lanka, delivered a strong performance during the year, contributing towards the sector's top line growth. These performance trends reflect a 10% growth in tourist arrivals into the country during the calendar year 2018.

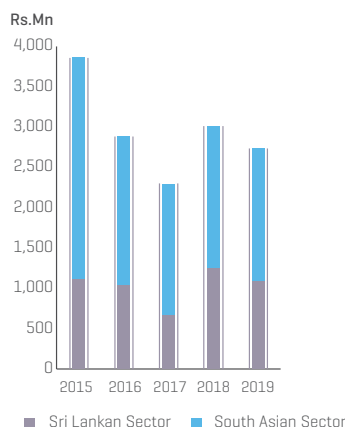
The South Asian and Middle East sector, led by the Maldivian resorts continues to be the largest contributor to Group revenue accounting for 67% of consolidated revenue during the year. Revenue growth moderated in comparison to previous year, reflecting the rapid increase in room inventory in recent years and intensification of competitive pressures in the Maldives. Revenue growth of the sector was driven by the increase in occupancy and rates at Adaaran Club Rannalhi following the 96 room refurbishment carried out at the property during summer of 2017. Turyaa Chennai also performed well during the year recording YoY revenue growth. The sector's contribution to Group revenue is expected to strengthen further from 2019/20 given the opening of Heritance Aarah in March 2019.

Revenue Growth



Operating Profitability

Segmental Profit from Operations



Group gross profit increased by 7% to Rs.14.91 billion during the year and despite intense price competition across its destinations and escalating costs the Group was able to maintain its GP margin at 78% supported by ongoing focus on driving cost optimisations and efficiencies. Margins are expected to gradually improve over the long-term as

the recently launched properties benefit from economies of scale as occupancies increase.

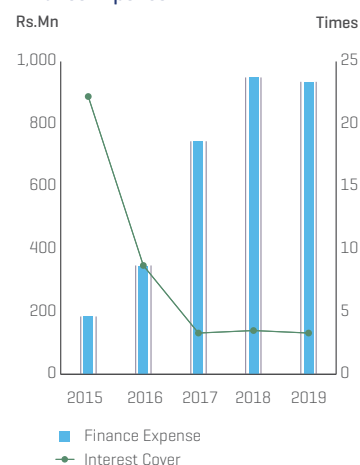
Indirect overhead costs increased by 9% to Rs.12.11 billion during the year driven primarily by increases in staff costs [+12%] and other indirect operating expenses [+9%]. The increase in staff costs reflect salary revisions across all grades while the appreciation of the USD against the Sri Lankan Rupee impacted on the indirect operational expenses of our overseas operations. Meanwhile other operating income for the year of a negative Rs.60.81 million reflected a Rs.87.0 million exchange loss mainly arising from the revaluation of foreign currency denominated debts.

The Group's consolidated operating profit showed a decline of 9% to Rs.2.73 billion during the year, mainly due to the normalisation of profits compared to last year in which a capital gain of Rs. 308.0 million was recognised on the divestment of MPS Hotels Pvt Ltd (Hotel

Hilltop). Excluding this capital gain, the Group's operating profit is estimated to have increased by 1% during the reviewed period. The Sri Lankan sector's operating profit is estimated to have increased by 17% excluding the capital gain of last year and contributed 40% to the Consolidated EBIT in 2018/19. The South Asian and Middle East Sector recorded a decline of 7% in operating profit mainly due to the increase in rupee value of operational expenses during the year. Overall the Group's EBIT margin narrowed marginally to 14% [from 15% last year-excluding capital gain] reflecting the escalation in costs.

Finance expenses

Finance Expense



Despite a 14% increase in Group's total borrowings, the increase in net finance expenses was contained to 1%, amounting to Rs.694 million during the year, reflecting the Group's timely and astute borrowing strategy. Increasing reliance on foreign currency denominated borrowings to fund the new projects and capital expenditure has enabled the Group to contain interest expenses despite the rising interest rate scenario. The Group's average cost of borrowing amounted to 4.43% during the year. Meanwhile finance income declined by 9% to Rs.241 million as funds were utilised for ongoing projects.

Group Expenses and Profit from Operations as a Percentage of Net Revenue

	2019		2018		Annual Increase
	Rs Mn	% of Net Revenue	Rs Mn	% of Net Revenue	
Net Revenue	19,055		17,770		7
Profit on Disposal of Subsidiaries	-		308		
Other Gains/([Expenses])	[61]		[48]		
Total Other Income/([Expenses])	[61]	0	260	1	-123
Staff Costs	3,483	18	3,103	17	12
Depreciation & Amortisation	1,874	10	1,815	10	3
Other Operating Expenses - Direct	4,148	22	3,899	22	6
Other Operating Expenses - Indirect	6,755	35	6,198	35	9
Gross Profit	14,907	78	13,871	78	7
Profit from Operations	2,735	14	3,014	17	-9
Profit from Operations Excluding Profit on Disposal of Subsidiaries	2,735	14	2,706	15	1

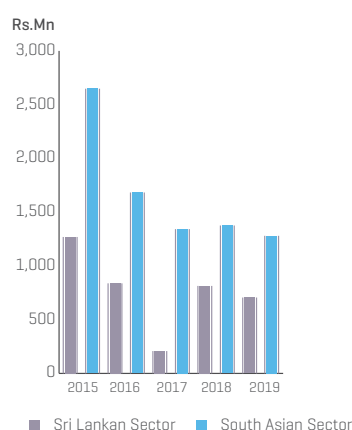
CAPITAL REPORTS

FINANCIAL CAPITAL

The Group's debt protection metrics remain healthy with an interest cover of 3.18 times during the year under review. The expansion of our property portfolio across destinations have placed the Group in a strong footing to drive growth over the medium to long-term and we are confident in our ability to service the increased debt.

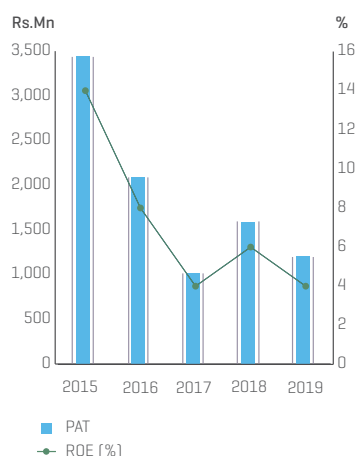
Profitability

Segmental Profit Before Tax



Consolidated pre-tax profit recorded a decline of 13% to Rs.1.9 billion during the year while excluding the capital gain of the previous year PBT is estimated to have increased by 1%. The improvement in profitability is commendable given escalating costs, fluctuating exchange rates and intensifying price competition across our destinations. The South Asian Sector continued to be the largest contributor to earnings accounting for 67% of PBT during the year. Value created to the Government in the form of income tax increased by 17% to Rs.707 million during the year while the Group's effective tax rate clocked in at 37%, compared to 28% the year before. Meanwhile, losses arising from equity accounted investees amounted to Rs. 137 million during the year mainly stemming from Browns Beach Hotels PLC.

Profit After Tax & ROE



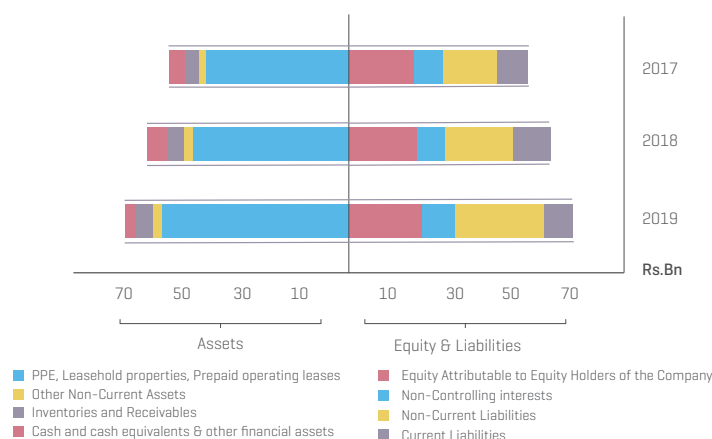
Group Profit After Tax recorded a decline of 24% to Rs. 1.20 billion during the year while excluding the capital gain of last year, PAT reported a drop of 6% mainly on account of the increase income tax liability. Meanwhile, the Company recorded a post-tax profit of Rs. 859 million supported by dividend income of Rs. 911 million received from subsidiary companies. Group Return on Equity for the year declined marginally to 4%, compared to 6% the year before.

by end-March 2019, driven primarily by the increase in Property, Plant and Equipment in view of the construction of Heritance Aarah during the year. Following increased capital expenditure in recent years, the Group's asset profile has tilted more towards longer-term assets with non-current assets accounting for 87% of total assets by end-March 2019. Meanwhile investment in working capital increased by 5% due to the increased operational activity while cash and cash equivalents declined during the year as excess funds were utilised for ongoing development projects.

The Group's capex over the last few years has been aligned to its strategic expansion plans, with approximately Rs.32.86 billion being added to manufactured capital over the last 5 years. Approximately 88% of capex during the year was incurred on the increase in room inventory, followed by routine operational requirements (9%) and product enhancements and upgrades (4%).

Balance sheet strength

Group Financial Position

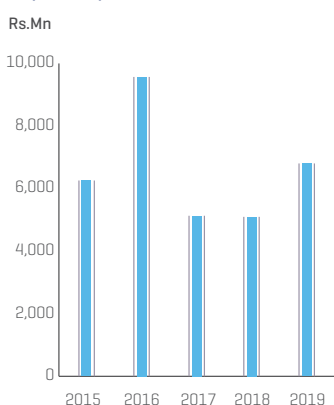


The Group's financial position continues to be healthy, characterised by consistent asset growth, a strong equity base and manageable debt levels. Total assets grew by 11% to Rs.64.9 billion

Summary of Key Balance Sheet Items

Rs. Millions	31st March 2019	31st March 2018	% Change	Explanatory Notes
Property, Plant and Equipment & Leasehold Property & Prepaid Operating Leases	54,057	45,201	20%	Mainly due to development work carried at Heritance Aarah in Maldives
Other Non Current Assets	2,663	2,482	7%	
Inventory	553	429	29%	As per operational requirements
Cash and Cash Equivalents & Other Financial Assets	3,206	5,948	-46%	
Other Current Assets Including Trade and Other Receivables	4,424	4,534	-2%	
Total Assets	64,902	58,593	11%	
Shareholders Equity	21,339	19,771	8%	Due to increase in retained earnings and reserves
Non Controlling Interests	9,257	8,123	14%	
Long Term Debt	25,480	22,474	13%	Increase in long term debt for funding the ongoing projects.
Short Term Debt	2,109	1,822	16%	In line with short term operational requirements
Other Current Liabilities (Including Trade and Other Payables)	4,255	4,680	-9%	Mainly due to drop in amounts due to ultimate holding company
Total Liabilities	64,902	58,593	11%	

Capital Expenditure & Investments



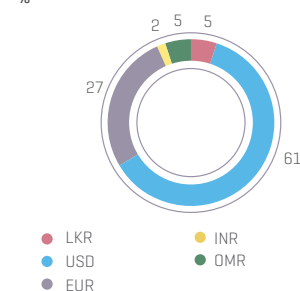
Gearing and Capital structure

The Group's equity base strengthened by 10% to Rs. 30.6 billion as at end-March 2019 supported by profit retention during the year. The funding composition continued to be strong with equity funding 47% of the Group's assets as at end-March 2019.

Meanwhile, total borrowings increased by 14% to Rs. 27.59 billion by end-March 2019 mainly to fund the developments at Heritance Aarah. The Group has relied increasingly on long-term, foreign denominated borrowings which has enabled it to effectively manage its interest expenses in recent years. This has also allowed us to effectively hedge the foreign currency denominated revenue streams against liabilities, thereby mitigating exposure to fluctuations in the foreign exchange

rate. The Group gearing ratio (debt/debt+equity) increased to 43.6% from 39.8% the year before; however, we believe these debt levels are manageable given the Group's strong debt protection metrics and the anticipated increase in projected cash flows over the medium to long-term.

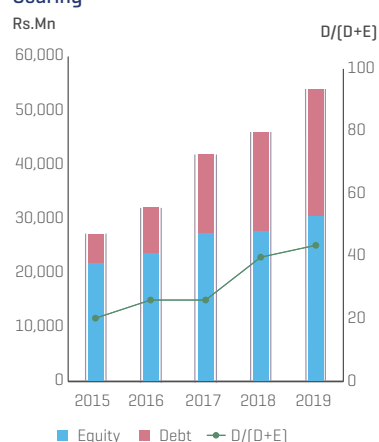
Composition of Debt by Currency



CAPITAL REPORTS

FINANCIAL CAPITAL

Gearing



Cashflow

The Group's operating cash flow strengthened during the year, with net cash flow generated from operating activities increasing to Rs.2.86 billion from Rs.2.80 billion the year before. Net cash flow from investing activities recorded an outflow of Rs. 6.80 billion primarily reflecting the capex pertaining to the construction of Heritage Aarah. Meanwhile net cash flow from financing activities was an inflow of Rs.767 million. The Group's total movement in cash and cash equivalents amounted to a negative Rs.2.65 billion during the year mainly due to the outflow of investing cash flows.

Shareholder Returns

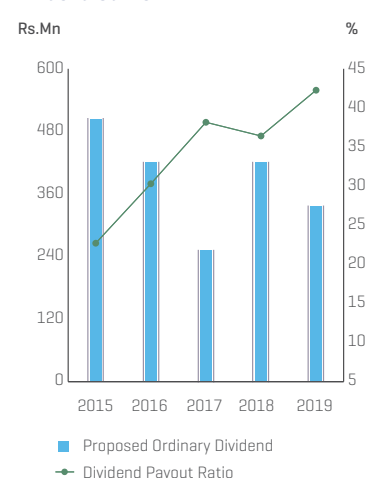
The Group continued to deliver on its shareholder commitments generating an earnings per share of Rs. 2.37 during the year. Net asset value per share has shown continued growth, reaching Rs. 62.96 by end of the year. The share price declined by 29% to close the year at Rs. 23.70 reflecting the broader market downturn in view of weak investor sentiments during the year. The share traded between a low of Rs. 21.00 and a high of Rs. 33.50 during the year while market capitalisation was Rs. 7,970 million by end-March 2019.

	2018/19	2017/18	Y-o-y change
Earnings per share	2.37	3.43	-31%
Net assets per share	62.96	58.30	8%
Share price [closing]	23.70	33.50	-29%
Market capitalisation (Rs Mn)	7,970	11,266	-29%
P/E ratio	10.02	9.76	3%
Dividend per share	1.00	1.25	-20%
Dividend pay out	42.26%	36.41%	16%
Dividend yield	4.22%	3.73%	13%
Long term debt	25,480	22,474	13%
Short term debt	2,109	1,822	16%
Other current liabilities (Including trade and other payables]	4,255	4,680	-9%
Total Liabilities	64,902	58,593	11%

Dividends

The Group's dividend policy aims to balance shareholder returns over the short, medium and long-term while ensuring that adequate funds are retained for future investments. Accordingly, the Directors recommended a final dividend per share of Rs.1.00, which translated to a dividend pay out ratio of 42% during the year. The total dividend outflow for 2018/19 amounted to Rs.336.29 million during the year.

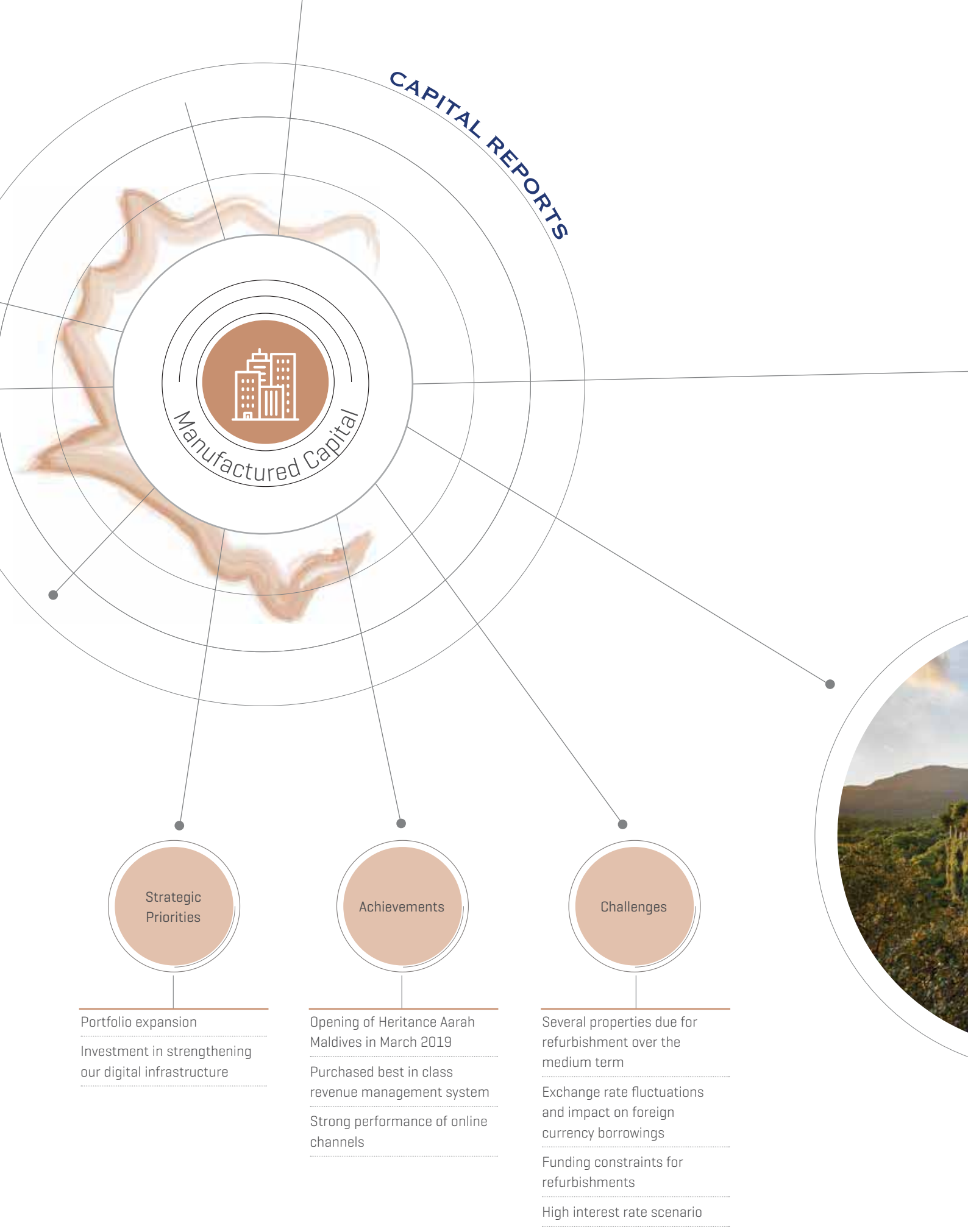
Dividend Outflow



Economic Value Added

The Economic Value Added is a measure of the total economic value created over and above the average cost of funding of the Company [Weighted Average Cost of Capital - WACC]. It is the Profit generated in excess of the rate of return required by the investors. The Company's WACC is a function of the Group's average cost of borrowing, required rate of return on equity and the cost of preference share capital. The economic value added by the Group for the past five years is tabulated below.

Economic Value Added [EVA]					
Rs. '000	2018/19	2017/18	2016/17	2015/16	2014/15
Profit for the Year	1,197,164	1,583,395	1,013,739	2,087,762	3,435,622
Add:					
Depreciation and Amortisation	1,873,724	1,815,254	1,583,237	1,055,064	807,255
Non-Cash & Non-operational adjustments	256,804	[63,083]	340,310	135,776	[18,408]
Total Interest on debt	934,502	949,117	745,013	347,314	185,491
Adjusted Profit After Tax	4,262,194	4,284,682	3,682,299	3,625,916	4,409,960
Total Investment Capital					
Total Equity	30,595,435	27,894,003	27,432,688	23,834,903	21,869,232
Add:					
Total Long-Term Debt	23,405,292	18,154,051	14,450,707	8,186,477	5,363,625
Total Short-Term Debt	4,184,006	6,142,605	5,057,481	2,663,196	2,386,745
Cumulative Depreciation	14,147,105	11,465,586	9,729,411	8,031,791	6,789,099
Adjusted Investment Capital	72,331,838	63,656,244	56,670,287	42,716,367	36,408,701
Economic Value Added					
Weighted Average Cost of Capital [WACC]	5.9%	6.73%	6.50%	8.01%	7.78%
Cost of Average Investment	4,260,511	4,282,516	3,680,926	3,423,209	2,832,129
Economic Value Added	1,682	2,166	1,373	202,707	1,577,831





Our collection of unique and iconic properties is a key determinant of our customer experience and a source of competitive advantage. We place strategic emphasis on expanding and upgrading our portfolio to ensure that this advantage is sustained in the face of intense competitive pressure.

Manufactured Capital: Key Performance Indicators				
		2018/19	2017/18	YoY Change %
Room inventory				
- Owned	Number of	2,363	2,213	7
- Managed	Rooms	494	453	9
Property, Plant & Equipment	Rs. Mn	49,918	41,405	21
Capital Expenditure				
- Sri Lanka		251	469	-46
- South Asia and Middle East	Rs. Mn	6,552	4,628	42
Capital Expenditure				
- Capacity Enhancement		5,958	4,263	40
- Product Enhancement		250	240	4
- Operational Capex	Rs. Mn	595	594	-

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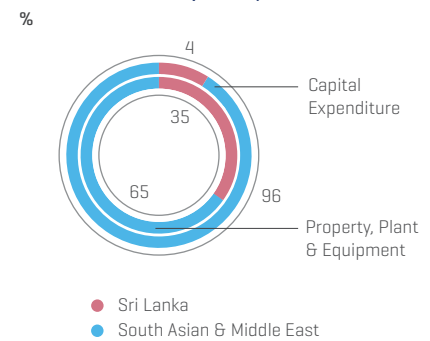
MANUFACTURED CAPITAL

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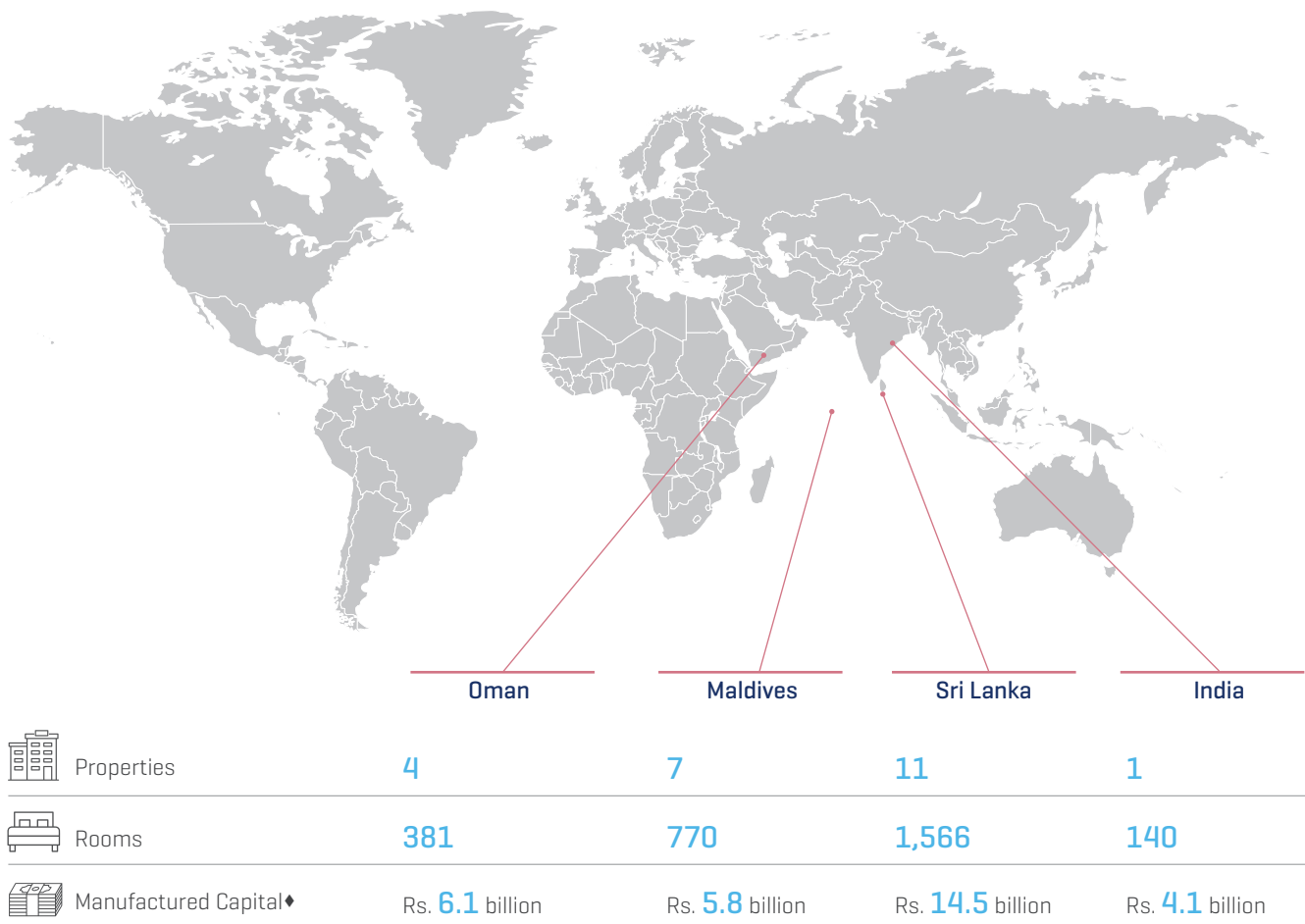
Asset Management

Ongoing investments in upgrading and maintaining physical infrastructure is vital in the hospitality industry given its direct impact on the customer experience. As an owner and developer, we constantly monitor trends in the real estate market in order to capture opportunities in investment, divestment, refurbishment or redesign of our hotel assets. The Group is also pursuing initiatives in new and current destinations through joint ventures and further opportunities in property management which supports low intensity capital growth. This strategy is aimed at optimising investments, maximising returns from properties in which investment has been made and creating unique and differentiated product offerings.

Manufactured Capital by Cluster



Our Property Portfolio



♦ Net book value of land and building as at 31st March 2019



From the moment you walk into the lobby, with its towering ceiling and infinity pool which seems to reach the horizon, you are met with enthusiastic staff who are eager to make your stay as memorable as it can be. Whether its sipping delicious cocktails by the pool, enjoying their beautiful beach or being drawn to their many events, a magnificent stay is guaranteed. Have a quiet day on the beach, relax at the spa or be a part of the many explorations and activities which are offered as Heritance Ahungalla caters to every traveler's needs.

Heritance Ahungalla gives you a unique experience of comfort, luxury and relaxation with exceptional personal service, the most breathtaking view of a Sri Lankan sunset and award-winning cuisine.



Sustainability and eco-tourism are a large part of the agenda here and provide guests with unique opportunities to experience Sri Lanka's natural world like never before. Heritance Kandalama boasts an impressive view of Sigiriya rock and miles of unique natural beauty. Guests can enjoy many excursions to witness the wilderness, culture and activities which surround the area. You can enjoy morning yoga to the sounds of birds or spend a romantic evening dining on the rooftop. The friendly staff and world class food will definitely keep you wanting more – Heritance Kandalama is an experience for everyone.

Heritance Kandalama takes 'being one with nature' to another level. A kilometer of seven stories seems to have been built right into the mountainside as the abundant wildlife visitors would agree.

CAPITAL REPORTS

MANUFACTURED CAPITAL



With a beautiful beach and pristine views, Heritance Ayurveda hands you the most relaxing, harmonious and peaceful Ayurvedic experience possible. The exceptional personalized Ayurvedic treatments are accompanied with exceptional staff, service and food which enhance the experience to be a wholesome retreat. With a platform for the local residents to showcase their traditional crafts and skills, Heritance Ayurveda provides guests with a unique way to immerse themselves in the local culture.

An oasis for rejuvenation and revitalizing the mind, body and spirit - Heritance Ayurveda surrounds its guests with a peaceful and relaxing atmosphere beside the beach where tourists can experience professional authentic ayurvedic treatments in the utmost comfort.



Situated at 2 km above sea level, the highest elevation for a hotel in Sri Lanka, Heritance Tea Factory, boasts 54 rooms, countless activities and world class service for its guests. A stay in Sri Lanka's hill country is not complete without the Heritance Tea Factory experience of tea plucking and enjoying high tea at the acclaimed origin of Pure Ceylon Tea. Although the architecture reminisces of a time long ago, the services and staff are some of the best you will find today. They are always on point to make sure guests leave wanting more.

Surrounded by the famed Ceylon tea plantations, this one of a kind hotel will leave you talking about it for years to come. 6,800ft above sea level, you can pick your own tea in the cool climate and enjoy the divine scenery all around you.



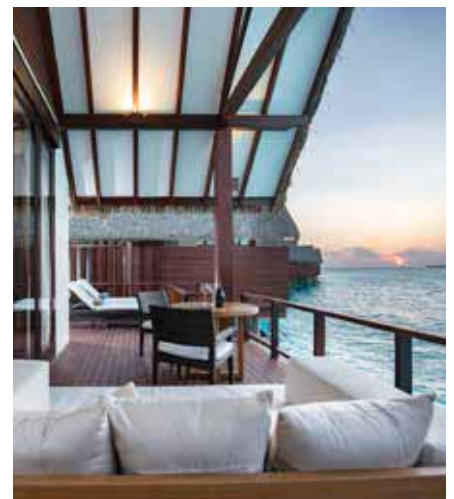
Conveniently located near the airport, Heritance Negombo allows you to enjoy the pristine beach along with its relatively new and modern amenities and services. Since its inception in 2017, Heritance Negombo has provided its guests with the best hospitality possible along with a wonderful dining experience. Friendly staff, an abundance of activities and a beautiful pool in which to relax after a day in the sun is just a mere glimpse at the luxury this hotel has to offer.



Embrace Sri Lanka's west coast with the utmost luxury. Heritance Negombo combines another iconic location with rich culture and experiences for its guests to enjoy.



Choose your experience from a beach villa to an overwater ocean residence with your own private pool designed with interiors to lull your senses to reflect your setting. Dive in to swim with the teeming marine life in the morning, soak up the sun, pamper yourself at our Medi Spa and wind up a perfect day with a private dining experience on the beach with your favourite sundowner. At Heritance Aarah, premium luxury is redefined.



The newest jewel in our collection is ready to welcome you to its aquamarine waters where you can thrill or chill as the fancy takes you. Take a breathtaking air tax ride for 45 minutes of wonder to reach this magical island where you can kickback, relax and find a blissful harmony with nature.

CAPITAL REPORTS

MANUFACTURED CAPITAL



Spend your vacation tanning on the perfect beaches or exploring the surrounding reef and marine life. Vadoo has something to offer for each traveler and is only 15 minutes away from the airport and city of Male. With private rooms, views of the sunrise and sunset, surrounded by many shades of blue is an exclusive experience reserved only for those who choose to venture to this spectacular island. Experience true comfort and unparalleled personal service here at Adaaran Prestige Vadoo.

Waking up to Pristine white beaches surrounded by the teal colored waters is an experience reserved for the Maldives. At Vadoo you can enjoy an unparalleled level of luxury isolated on an island with beautifully structured over-water villas.



Situated in a reef lined lagoon, Adaaran Select Meedhupparu is the perfect destination to enjoy a wide variety of water sports including diving lessons available for beginners and experts alike. This allows guests to experience the clear blue Maldivian waters in a unique way with many pictures to keep. After a long day of activities, the magnificent cuisine and friendly staff will ensure you end your day relaxed and feeling well taken care of. The island will leave you with a taste for the peace and serenity found only here, at Meedhupparu.

Just outside these luxurious villas you can see through clear water into the reefs which surround the island resort. With private sun-decks you enjoy your stay at Adaaran Select Meedhupparu with a beautiful view of the horizon or with a relaxing day at the spa. Exceptional hospitality, food and service is what makes this an experience like no other.



ADAARAN
Club
RANNALHI
MALDIVES

Your tranquil stay here is only enhanced by the vast marine life that inhabits the waters and reef surrounding the island. With its over water villas, you can view the underwater life from the comfort of your deck. Tranquility, relaxation and satisfaction are guaranteed here with their pleasant staff and range of services encased within a lush beautiful island.

Exotic is a word best reserved for Adaaran Club Rannalhi. With shades of blue stretching out from the island, the island resort combines luxury and nature into one beautiful memorable stay.



ADAARAN
Select
HUDHURAN FUSHI
MALDIVES

Over water villas and amazing cuisine guarantee an amazing stay at this beautiful resort. In addition to the luxurious experience, there are also surf excursions conducted during the summer after which guests can enjoy a delicious drink and flavorful food on the beach while watching the sun go down. Explore the vibrant marine life around the island or relax at the spa, Adaaran Select Hudhuran Fushi guarantees a great stay.

A lush green island with perfect white sand, Adaaran Select Hudhuran Fushi is an island vacation like no other. Surrounded by contrasting blue waters in the North Male Atoll, the island resort welcomes you with warm staff, an unparalleled experience and luxury you will be sad to leave.

CAPITAL REPORTS

MANUFACTURED CAPITAL



Al Falaj caters to the person in Oman for meetings as much as for those on vacation. Close to the beach and in the city, the hotel provides guests with many options for tourist attractions, recreational sports and lessons as well as two gorgeous outdoor pools in which to relax after a long work day.

Great food, great hospitality and comfort is what Al Falaj Hotel provides for its busy travelling guests. Found at the center of the city, it is the perfect place from which to get to meetings with ease.



Spectacular views, comfortable rooms and a rooftop infinity pool make Turyaa Chennai the choice for business deals or exploring the city of Chennai. Great food and splendid staff make up a wonderful experience with close proximity to many tourist and commercial hot-spots and activities.

In the heart of South India's hub for tourists and business travelers alike, Turyaa Chennai provides you with a convenient location for your stay as well as a premium experience full of culture and comfort.

Development Strategy

Expanding and upgrading the property portfolio is a vital pillar of the Group's medium-term strategic agenda as we seek business growth and customer penetration in new and existing markets. The key achievement for the year was the opening of Heritance Aarah Maldives, a 150 villa premium property, offering a range of accommodation options such as family and pool beach villas, ocean suites and ocean villas among others. Completed at an investment of USD 76.3 million, the addition of Heritance Aarah has increased the Group's room inventory in Maldives by 24%. In the last 3 years the Group has invested approximately Rs. 15 billion in enhancing and expanding its portfolio with its total room inventory expanding by nearly 34% since 2016.

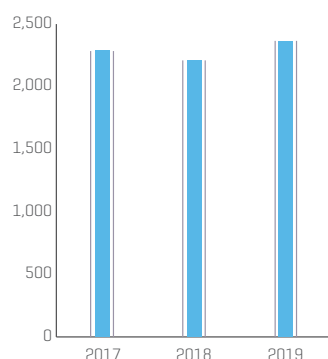
Capital expenditure during the period under review amounted to Rs. 6,804 million primarily reflecting investments in Heritance Aarah.



Aitken Spence Hotels owns and controls the operations

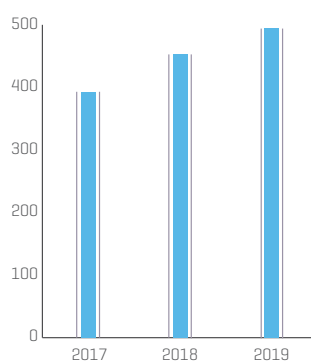
Owned Rooms

Rooms



Managed Rooms

Rooms



The Group manages the property on behalf of its owners with one of its brands



CAPITAL REPORTS

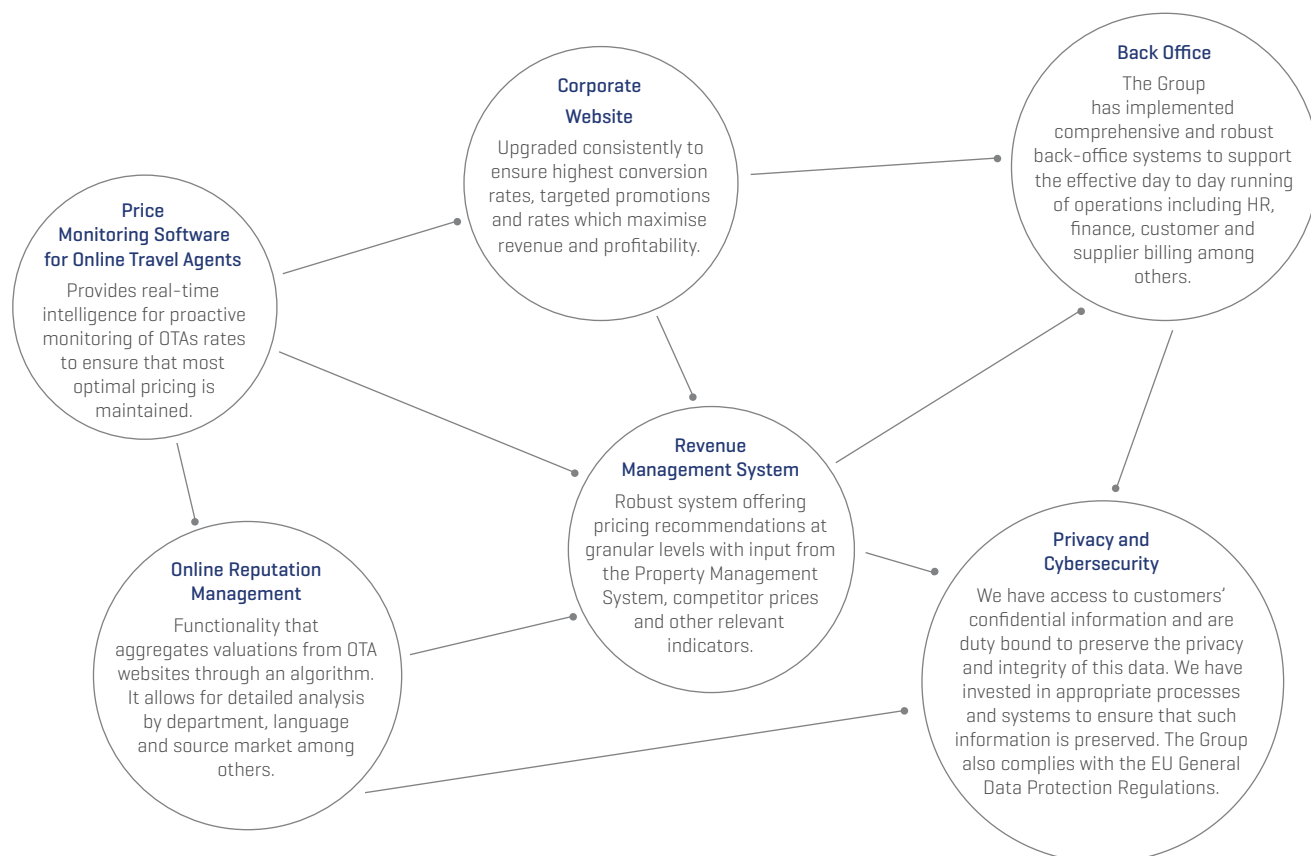
MANUFACTURED CAPITAL



"Expanding and upgrading the property portfolio is a vital pillar of the Group's medium-term strategic agenda as we seek business growth and customer penetration in new and existing markets."

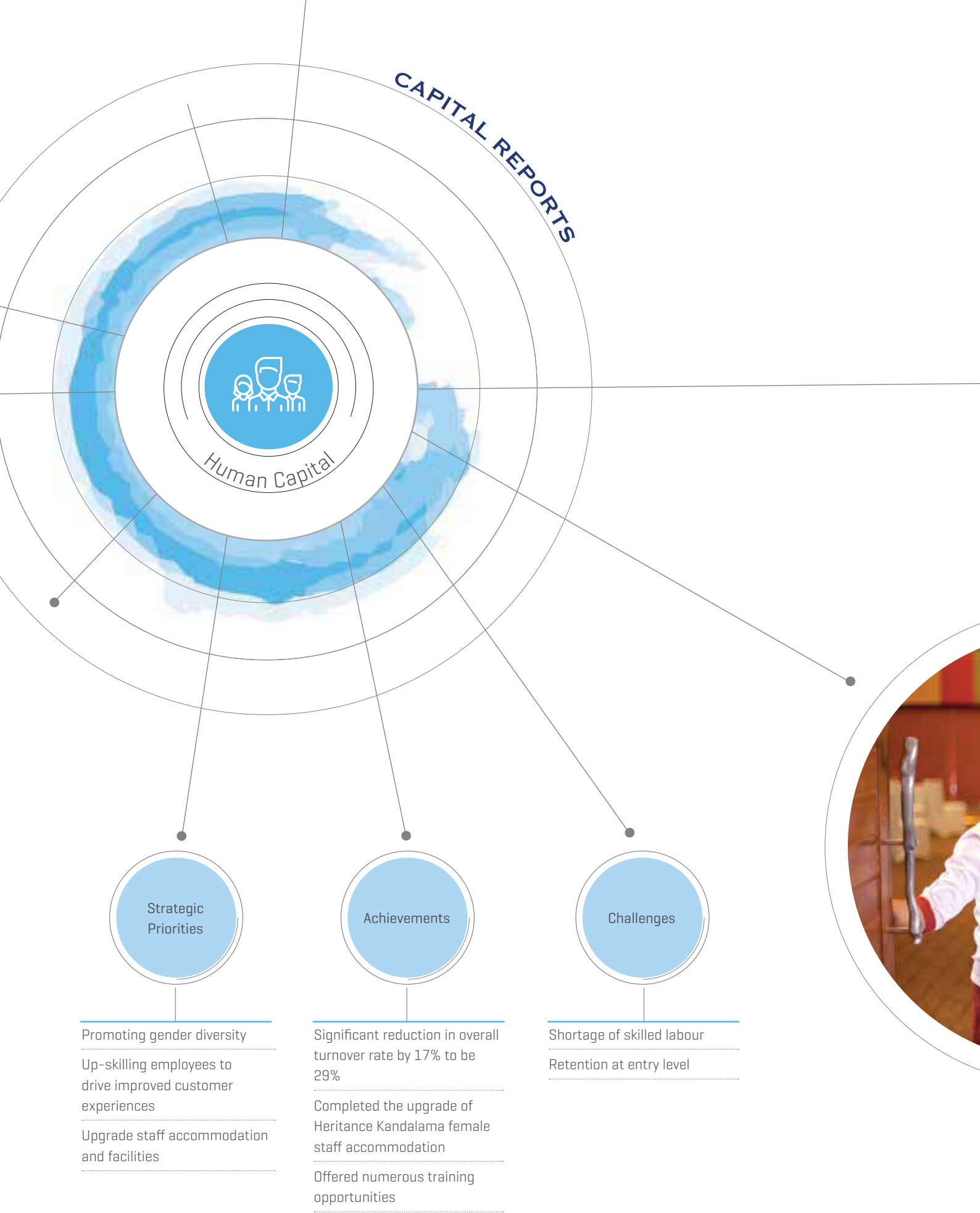
Digital Infrastructure and Innovation

Unprecedented changes in the digital environment is transforming the way companies engage with customers. We have placed strategic emphasis on capitalising on the opportunities offered by the digital age by investing in state-of-the-art digital infrastructure and driving changes in the way of analysing and working with information with the objective of enhancing revenue and channel profitability. Investments in such best-in-class systems and a dynamic team have made us one of the best in the industry in managing our online platforms. This has enabled targeted digital marketing and more effective deployment of resources. Investment in IT for the year amounted to Rs. 177 million and include (but are not limited to) the following projects;



Way Forward

We will continue to invest in expanding and upgrading our property portfolio and hope to carry out refurbishments in Heritance Kandalama, Heritance Ahungalla and Heritance Tea Factory over the medium term. Planning and designing work is currently ongoing for our proposed 250 room resort in Raa Fushi Island, Noonu Atoll in Maldives. Construction is expected to commence at the earliest. The Group will also continue to strengthen its digital infrastructure in driving more effective digital marketing and reinforcing our digital channels. To this end, we hope to implement an advanced Customer Relationship Management (CRM) system as well as launch a new and refined loyalty program- 'Heritance Rewards' in the upcoming year.





Our employees are our best ambassadors and we ensure that they have positive experiences and are given opportunities to grow professionally throughout their journey with us. We want our employees to be the architects of their career development while feeling valued and recognised.

Human Capital: Key Performance Indicators				
		2018/19	2017/18	YoY Change %
Employees	No. of	3,430	3,221	6
Payments to Employees	Rs. Mn	3,482.6	3,103.3	12
Investment in Training	Rs. Mn	15.4	17.1	-10
Training Hours	Hours	72,291	37,187	94
Promotions	No. of	258	235	10
Female Representation	%	10	9	11
New Employees	No. of	1,207	1,109	9
Employee Turnover Rate	%	29	35	-17
Number of Significant Accidents Reported	Number	57	48	19

Management Approach

The Group's talent management policy frameworks and practices are aligned to that of Aitken Spence PLC. Sectors operate their own Human Resource departments which are supported by services from the Group's centralised HR function ensures adherence to Aitken Spence Group standards. The policies and procedures are designed to go beyond legal compliance embracing voluntary standards and industry best practices. Key HR policies in place include the Recruitment policy, Grievances policy, Learning and Development policy and Remuneration and Compensation policy among others. These are discussed in detail in subsequent sections of the Report.

Value Proposition



Attraction and Retention

Our employees have access to attractive remuneration schemes, opportunities for skill and career development across geographic locations and business sectors in a conducive and dynamic work environment. This proposition has enabled us to emerge as a preferred employer despite intensifying demand for labour in the hospitality industry. We are an equal opportunity employer and do not discriminate on gender, age or ethnicity. During the financial year under review no incidents of discriminations were reported. All efforts are made to recruit from the localities in which we operate, contributing to employment generation and economic empowerment. During the year under review we recruited 1,207 new employees, mainly at staff grade level. All new recruits undergo a comprehensive induction program covering the Group's Standard Operating Procedures, Code of Ethics and key hotel operations among others. We retain our employees by creating a conducive work environment in which employees can work in dignity and respect while maintaining work life

Recruitment Policy: Preference will be given to the candidates those who reside within close proximity of our properties

balance and developing skills. The Group's overall turnover rate is 29% which reflects relatively high turnover levels in the entry categories-an industry wide phenomenon while at higher grades the Group's turnover levels are healthy.

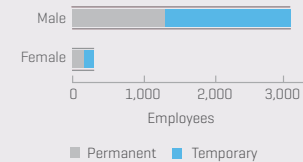
Group Code of Ethics

Provides a blueprint for integrity in employee engagement with external and internal stakeholders. Under areas of conduct;

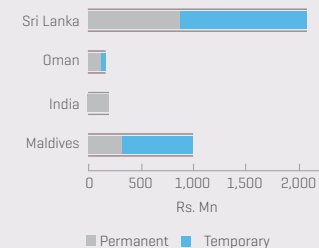
- Principles of conduct
- Entertainment
- Financial conflicts
- Business conduct and ethics
- Self-dealing
- Non-personal conflicts
- Conflicts of interest
- Confidentiality
- Fair dealing

Our Team

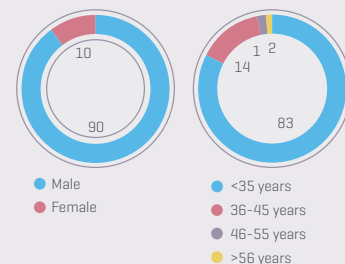
Employees by Contract and Gender



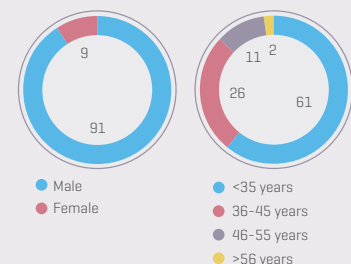
Employees by Contract and Region



New Recruits by Gender and Age



Turnover by Gender and Age



Rewards and Remuneration



We offer attractive remuneration and benefits aimed at drawing and retaining top talent. The Aitken Spence PLC's Rewards and Remuneration policy is cascaded to the Group, customised to include industry-specific elements. Remuneration is determined based on qualifications, experience, skills and on performance appraisals. All executive staff are evaluated in a three-step process of goal planning, mid-year review and annual goal evaluation. These evaluations are facilitated by the online Human Resources Information System (HRIS) and include the analysis of work, workload, responsibilities, accountabilities and expectations as well as grievances. This performance appraisal is a two-way process which allows feedback from the employee at all stages. The performance of the non-executive staff is evaluated through a paper-based system. Apart from the basic remuneration, the following benefits are available to our employees;

- Annual bonuses and allowances
- Service charge; dependent on the skills, educational background, experience and the attendance of the employees. The practices may vary depending on the property
- Free medical insurance for all hotel employees who have completed 1 year (including non-executives) with coverage also available for family members at a nominal fee
- Reimbursement of medical expenses
- Annual holiday packages; Entitlement based on employment categories

Rewards Policy: A discussion is conducted between the individual team members and Head of Departments on their annual KPI's, competency level and behavioural aspect in a transparent manner on a bi-annual basis.



Staff at Heritance Ayurveda

CAPITAL REPORTS

HUMAN CAPITAL

• 404-1 • 404-2 • 410-1 • 412-2

Learning and Development

Following a comprehensive training needs analysis, Aitken Spence Hotels launched a robust competency framework across five employee grades, formulating a training and behavioural curriculum. Opportunities for training are provided based on the required competencies as determined through the performance appraisal framework, which facilitates the identification of training needs. Training includes structured external/ internal training programmes, on the job-training and cross functional exposure. During the year more than 90% of employees underwent training on a range of aspects including customer service, F&B, personal grooming, multi-skilling and etiquette among others. Video learning and mobile learning has also been introduced enabling employees to develop skills in an innovative manner at their convenience. In supporting the lifelong development and employability of our employees we provide opportunities for enhancing English and communication skills through ongoing programmes across all properties.



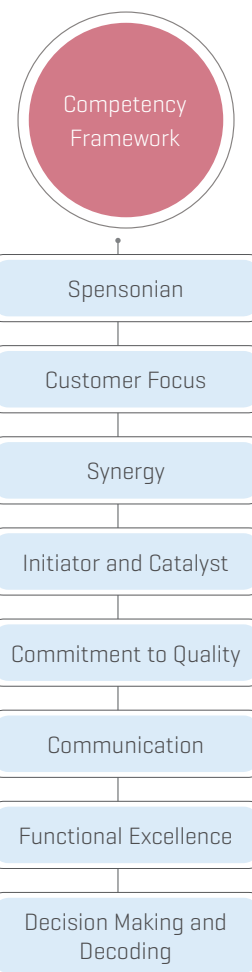
Butler Training Program [All Inclusive Super Butler Development for Aitken Spence Hotels] conducted at Heritance Kandolama in March 2019

Average Training Hours by Category

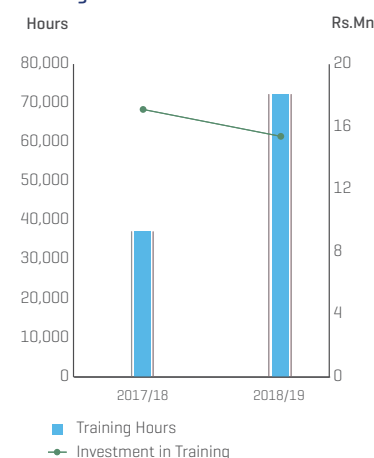
	2018/19	2017/18*
Executives	5.03	6.71
Non-Executives	3.01	5.29
Average for the Year	3.13	5.42

*Restated due to change in boundaries [Inclusion of all regions]

During 2018/19, we revisited and refined our training proposition following the standardisation and centralisation of the hotel SOPs [Standard Operating Procedures], thereby integrating all hotels under one learning umbrella to drive a consistent customer experience. The AASK Trainers [Aitken Spence Attitude Skill Knowledge] were engaged in training employees across functions, including Front Office, Housekeeping



Training Record



and F&B in line with the standardised SOPs. This led to the largest number of training hours in the Group's L&D history, directed towards a focused group of individuals who play a vital role in delivering the customer experience. Although the per person percentage of training demonstrates a reduction compared to the previous year. By April 2019, the AASK trainers achieved 100% coverage in Sri Lanka on the SOP training and have now commenced testing and retraining.

In addition to this unique training program, the L&D unit also conducted numerous tailor-made training programmes for other employees. Core areas of focus for training in 2019/20 include leadership development and high-level strategic skills with enhancing basic training.

Training Proposition at Adaaran

Employee training in the Group's Adaaran properties are handled by a dedicated L&D team who conducts/organises multiple training initiatives including Associate training, Associate development, Associate engagement, Certification training and Process Development training among others. Key programmes carried out during the year include,

- SALT-Supervisory and Leadership Training Programme: Aimed at developing supervisor level competencies among employees with focus on product and service knowledge and interpersonal skills
- Dhasvaaru Training Programme: Aimed to train, develop and provide employment opportunities to young Maldivians who are currently following BTEC courses at local island schools
- Management Trainee Programme: conducted in the Maldives consecutively for 9 times, this programme is a signature 5 day (64 hour) Executive Development Programme based on the philosophy of managing scientifically with respect to humanity
- Heritage Hunavaru – Rookies Programme: Raa Atoll local talent development programme specially tailor-made for our newest property Heritage Aarah

Our employee development commitment was recognised at the Maldives HR Awards 2018, where Adaaran Resorts Learning and Development won the "Excellence in Learning & Development" award.



Human Rights, Non-Discrimination Awareness, Health & Safety and Safeguarding Children Training Conducted at Adaaran Resorts in Oct 2018

Employee Engagement

An open-door policy and a range of formal and informal engagement platforms facilitate effective communication with employees. Numerous corporate and property-level engagement initiatives are held throughout the year to foster team spirit and ensure that our workplaces are conducive to optimal performance. Each hotel also operates an active welfare society, facilitating key events held during the year which includes sporting events, interdepartmental drama competitions, inter-hotel cricket tournaments, religious and cultural ceremonies and inter-hotel quiz competitions among others. The Group also conducts town-hall meetings through which performance of the property and targets for the future are shared with the employees. Monthly awards are also given for high-performing employees. Any significant changes in work conditions are implemented after a minimum of four weeks' notice period.

Industrial Relations

We recognise our employees' right to freedom of association and around 31% of our employees are represented through two trade unions in three properties- namely Sri Lanka Nidahas Sevaka Sangamaya and the Food, Beverages & Tobacco Industry Employees' Union. These employees are covered by collective bargaining discussions. The Group maintains cordial and co-operative relationships with the unions and during the year there were no disruptions to work arising from trade union action.

CAPITAL REPORTS

HUMAN CAPITAL

• 403-1 • 403-2

Grievance Mechanism

The high level of engagement we maintain with our employees ensure that they have the opportunity to bring forward their grievances. A structured grievance handling mechanism ensures a transparent process in addressing and responding to all legitimate grievances while maintaining anonymity. The Group whistle-blowing policy and open-door policy encourages employees to report grievances, complaints or feedback to an independent third party. There were no grievances filed through formal grievance mechanisms during the reporting period.

Working Conditions

Given the nature of our industry the facilities we provide to employees including quality of staff accommodation and other amenities is a key determinant of how satisfied our employees are. In recent years we have placed emphasis on upgrading staff accommodation and in 2018/19 completed the upgrade at Heritance Kandalama at a total investment of Rs.72 million mainly catering to the female employees.

Health and Safety

We are committed to ensuring that our employees can perform their duties in a safe and injury-free environment. Our health and safety practices are guided by the requirements of the Travelife certification which mandates the use of personal protective equipment where necessary, safety training, fire drills and audits among others. Each property also has a health and safety representative and a steering committee, represented by worker-elected members who conduct H&S internal audits and conduct training for mitigation and prevention of potential H&S risks. All our employees are represented in such committees. During the year, the management sought to identify the key reasons for absenteeism and formulate strategies to address these issues.

Occupational Health Indicators

	2019
Workplace Related Accidents and Incidents	57
Number of Occupational Diseases	-
Number of Lost Working Days Due to Work Related Injuries	682.5
Number of Lost Days Due to Absenteeism	594



Fire Drill and Training conducted at Heritance Ahungalla



Employee of the Month Recognition at Heritance Ahungalla in Monthly Meeting in September 2018

Talent Management and Succession Planning

High-performing employees are identified through the performance management framework and a personal development plan is designed for each of these employees. This has enabled the nurturing of strong talent pipelines with high-performing employees given the opportunity for cross-sectoral and overseas exposure. Preference is given to internal candidates when filling vacancies and during the year we promoted 258 employees.

The Group also intends to partner with TUI in establishing a hotel school which will enable underprivileged youth to become certified hospitality professionals while obtaining practical work experience at our hotel properties. Around 60 students from the Southern belt are expected to go through training in 2019. The Aitken Spence hospitality academy has trained, certified and empowered over 300 youth in its properties as well as other hotels.

Upward Mobility Policy: Internal employees are given preference for filling vacancies, in line with the approved cadre for the property

Gender Diversity and Busting Myths

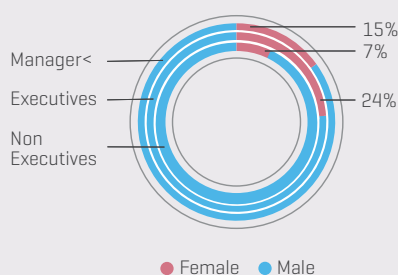
The Group is cognisant of both the commercial and social benefits of building a diverse workforce and has in recent years proactively sought to promote gender diversity, particularly at executive levels. Negative perceptions regarding the suitability of the industry for women has rendered it difficult to attract and retain female employees. The Group has sought to proactively address this issue by conducting school level awareness programmes and inviting families to observe the working environments at our properties. We have also made substantial investments in upgrading the accommodation and amenities available for female employees. There is no gender discrimination in the basic salary paid to men and women. The Group ensures that all employees receive a living wage which is above the minimum wage stipulated.

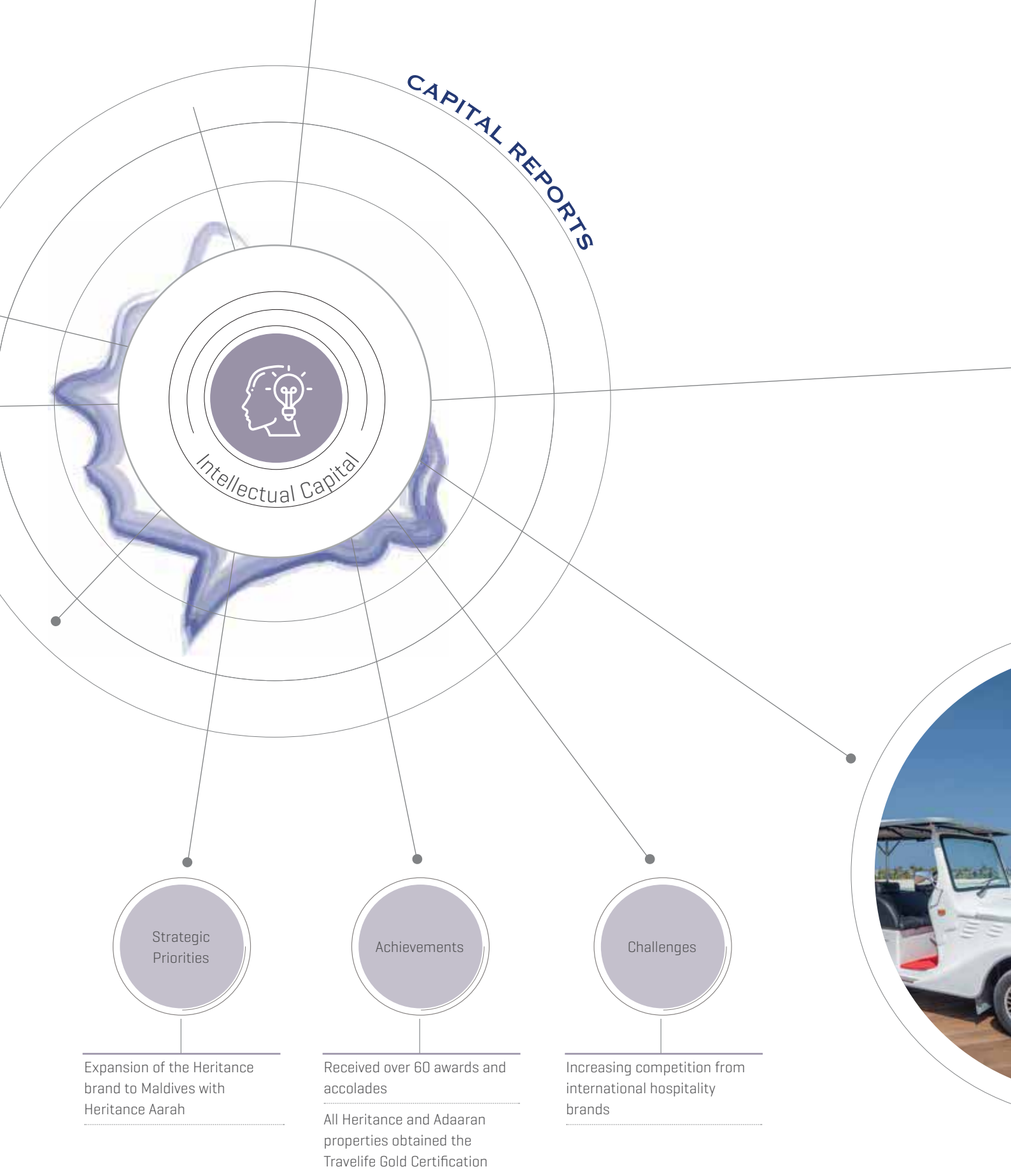
At Managers & above level: **15%**

At Executive level: **24%**

At Non-Executive level: **7%**

Female Representation







The organisational capital nurtured over our four decade presence in the hospitality industry and the systems and processes we have refined across all aspects of our hotel operations are a key source of competitive edge to the Group; facilitating operational and service excellence.

Intellectual Capital: Key Performance Indicators				
		2018/19	2017/18	YoY Change %
Average Length of Service	Years	5	5	-
Travelife Gold Certification	No.	9	8	12
Investment in Branding	Rs. Mn	336	233	44

CAPITAL REPORTS

INTELLECTUAL CAPITAL

Systems and Processes

The Group has placed strategic emphasis on refining its systems and processes to drive service excellence and operational efficiency. Standard Operating Procedures have been adopted and employees trained for key functions such as F&B, Front Office and Housekeeping ensuring optimal efficiency and a consistent customer service. The Group also complies with a host of accreditations and certifications relating to food safety, environmental management and sustainable tourism providing independent assurance to our stakeholders regarding the integrity of our systems and processes [refer page 31 for the full list of certifications].

Group Support Services

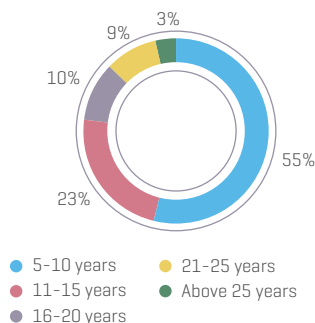
We have also sought to drive increased efficiency by centralising several key processes such as Reservations, Sales & Marketing, Branding & Communications, Corporate Housekeeping, Corporate Food & Beverages, Corporate Finance, Corporate Learning & Development, Purchasing & Merchandising and Engineering & Projects, thereby freeing up property resources to focus on customer service and guest experience. We also rely on the Aitken Spence Group Support Services for specialised functions such as Group Sustainability, Legal, Corporate Finance, Corporate Communications, Financial Shared Services and Business Development among others.

Organisational Tacit Knowledge

The Group's over four decade presence in the hospitality industry and its expansion into multiple destinations has strengthened its understanding of the industry, allowing it to nurture an unmatched base of organisational knowledge. This tacit knowledge is reinforced across the organisation through a strong mentoring culture, a high level of employee engagement and formal and informal training initiatives. With an average service tenure of five

years, our team of capable and dynamic employees play a critical role in sharing best practices and propagating our intellectual capital in driving service and operational excellence.

Employees by Years of Service



Our Brands

Combining the attributes of heritage and inheritance, the Heritance brand has created a unique identity within the hospitality sector offering an authentic Sri Lankan experience and effectively differentiating itself from competition. During the year significant investments were made in strengthening the brand presence in new markets such as Australia and the USA while the opening of Heritance Aarah in Maldives marks the

brand's first venture outside Sri Lanka. The Group's other properties in Maldives are under the Adaaran brand and signify the quintessential Maldivian experience. The brand Turyaa, is targeted towards the modern traveller- such as go-getters and trend-setters offering comfort, great food, good value and outstanding 'can-do-service'. The three brands offer distinctly different experiences with all operational aspects of the hotels designed to align with the attributes and personality of the brands.



Aitken Spence Hotels Support Services

Central Reservations
Sales & Marketing
Branding and Corporate Communications
Corporate Housekeeping
Corporate Food & Beverages
Central Purchasing & Merchandising
Engineering & Projects
Corporate Finance
Corporate Learning & Development

Aitken Spence Group Support Services

Financial Shared Services Centre
Group Sustainability
Corporate Finance
Company Secretarial & Legal
Human Resources
Internal Audit & Risk
Group Security
Business Development
Group IT



Awards and Accolades

Our hotels are frequent recipients of local and international awards and accolades for numerous aspects of its operations including guest satisfaction, cuisine, sustainability considerations and customer service. Key awards obtained during the year under review are given below;

Overall Awards Institute of Chartered Accountants of Sri Lanka: 54th Annual Report Awards Silver Award - Hospitality Sector Category National Business Excellence Awards 2018 Silver - Overall Category Gold-Hospitality and Tourism First runner up - Extra Large Category' Gold-Excellence in Environmental Sustainability Gold-Excellence in Corporate Social Responsibility Silver-Excellence in Capacity Building Silver-Excellence in Performance Management Silver-Excellence in Global Market Research South Asian Travel Awards [SATA] 2018 Adaaran Resorts: Most Marketed Hotel Chain in South Asia ACCA Sri Lanka Sustainability Reporting Awards 2018 Winner - Leisure & Connected Services Category SAFA Best Presented Annual Report Awards 2018 Second Runner Up - Service Sector (Excluding Financial Services, Communication & IT) 100 Gold Companies by Corporate Maldives Adaaran Resorts		Heritance Ayurveda Leading Wellness & Spa Hotel/ Resort in Sri Lanka: South Asian Travel Awards [SATA] 2018 Silver Award: National Green Awards, 2018 Best Partner Ayurveda Resort 2018 in Ayurveda & Yoga Category: Neue Wege - Specialist Ayurveda Tour Operator in Germany.
Turyaa Chennai Leading Design Hotel South India: South Asian Travel Awards [SATA] 2018 Trip Advisor: Certificate of Excellence 2018 Certificate of Excellence: Trip Advisor		Heritance Negombo Leading Beach Hotel/Resort in Sri Lanka: South Asian Travel Awards [SATA] 2018 2019 Travelers' Choice Award & 2018 Certificate of Excellence: Trip Advisor Loved by Guests Luxury Winner 2018 : Hotels.com
Amethyst Resort 2019 Travelers' Choice Award & 2018 Certificate of Excellence: Trip Advisor	Heritance Ahungalla TUI Environmental Champions of 2019 & Winner of the TUI Top Quality 2019: TUI Germany Sri Lanka Master Baker of the year 2018 [2 Gold] Sri Lanka Artistic Creative Pastry Chef 2018 [Gold] IDL Sri Lanka Arrack and Vodka Cocktail Championship 2018 [Gold & Silver] Scan Sunquick Mocktail Competition 2018 [Gold] Sri Lanka Festive Buffet Culinary Hotel Championship [4 Bronze] Organized by Chef Guild of Lanka 2019 Travelers' Choice Award & 2018 Certificate of Excellence: Trip Advisor 2019 HolidayCheck Award	
Heritance Tea Factory 2019 Travelers' Choice Award & 2018 Certificate of Excellence: Trip Advisor Nagarayata Uyan Vathu Competition [Winner at District level] : Department of Agriculture [Central Province]		

CAPITAL REPORTS

INTELLECTUAL CAPITAL

Heritage Kandalama Best Hotel – Sustainable and Green Practices: Sri Lanka Tourism Awards 2018 Leading Eco Hotel/Resort in Sri Lanka & Leading Eco Hotel/Resort in South Asia: South Asian Travel Awards [SATA] 2018 2019 Travelers' Choice Award & 2018 Certificate of Excellence: Trip Advisor	Adaaran Select Meedhupparu Leading Dive Resort in Maldives & Leading Dive Resort in South Asia: South Asian Travel Awards [SATA] 2018 Hot Cooking – Beef [Silver]: Hotel Asia Exhibition 2018 Certificate of Excellence: Trip Advisor 2019 HolidayCheck Award	Adaaran Prestige Vadoo Leading All-Inclusive Resort – Maldives: South Asian Travel Awards [SATA] 2018 Live Cooking Lamb [Silver] Live Cooking Beef [Silver] Dress the Cake [Merit] Live Cooking Seafood [Merit] Live Cooking Poultry Young Chef at Hotel Asia Culinary Challenge
Adaaran Club Rannalhi Winner in Top Hotel Partner: Schauinsland Reisen Winner in Most Affordable Honeymoon Resort: Wedding Sutra Most Outstanding Service Award: Gohotels.com 2018 Certificate of Excellence: Trip Advisor 2019 HolidayCheck Award		Fourth Place in Travelife Waste Champions on plastic waste management – Worldwide: Travelife



Silver Award Winner – Hospitality Sector Category at 54th Annual Report Awards: Institute of Chartered Accountants of Sri Lanka

Industry Involvement

The Group is an active contributor in various industry forums, engaging with the government and industry counterparts in promoting Sri Lanka as a destination and sharing insights with the aim of creating a conducive industry environment. The Group holds memberships in the following associations;

- Sri Lanka Tourism Development authority
- Maldives Association of Tourism Industry
- The Pacific Asia Travel Association
- The Ceylon Chamber of Commerce
- The Hoteliers' Association of Sri Lanka
- The Employers' Federation of Ceylon
- The Field Ornithological Group of Sri Lanka
- The Environmental Management System Users and Promoters Association
- Business and Bio Diversity Platform-Heritage Kandalama
- Sri Lanka Bureau of Foreign Employment
- Institute of Supply and Materials Management

- Exporters' Association of Sri Lanka
- Lanka Fruit and Vegetables Producers, Processors and Exporters Association
- Responsible Tourism Partnership

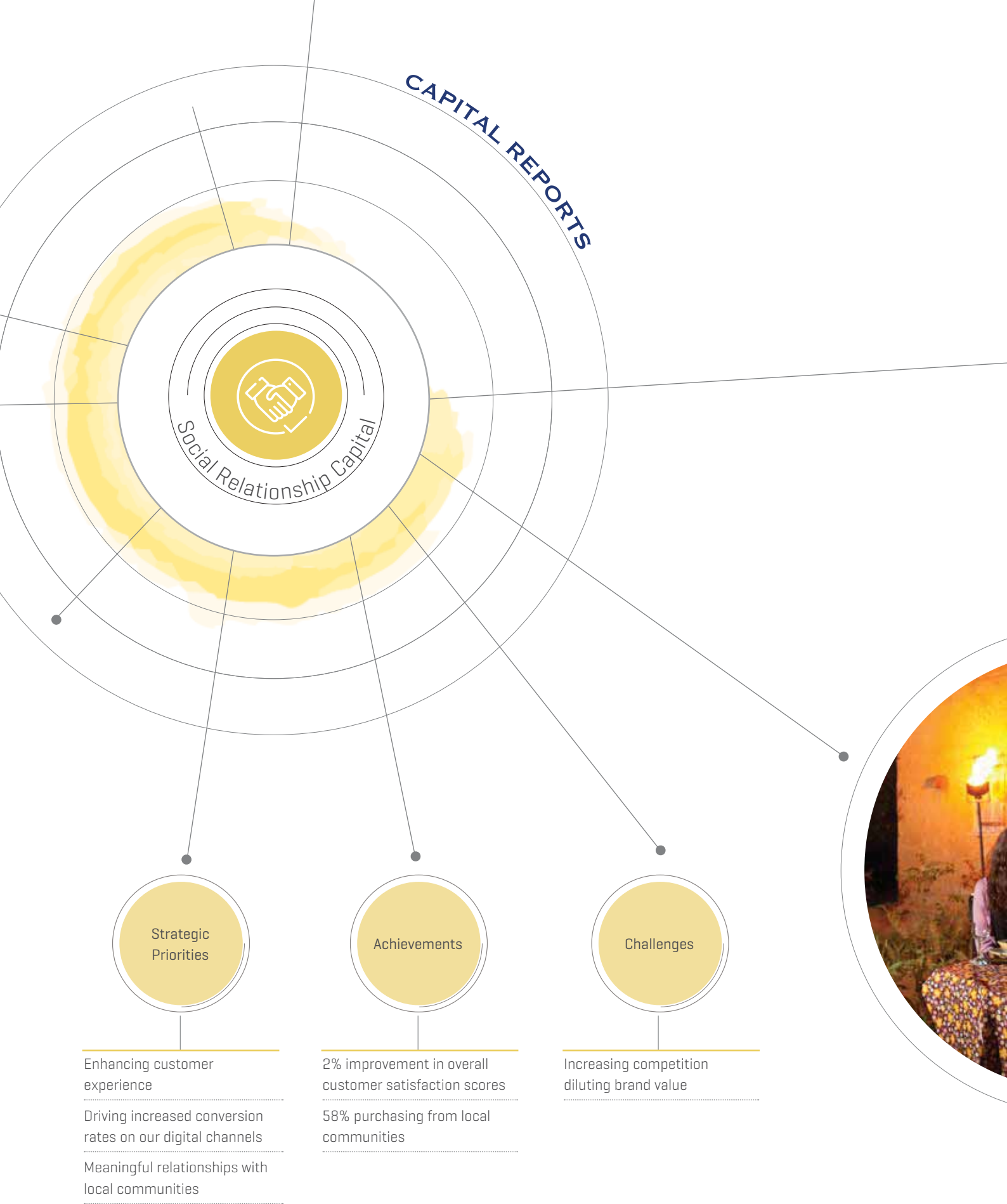
Commitment to the External Initiatives & Endorsements

- UN Global Compact
- UNWTO Global Code of Ethics for Tourism
- The Women's Empowerment Principles
- GRI Standards for Sustainability Reporting
- Integrated Reporting Framework by the International Integrated Reporting Council
- Travelife and GSTC

Travelife and GSTC

Travelife is a Sustainability certification system which contains a range of criteria that assess accommodation performance in the areas of human rights, labor, community engagement and environmental impacts, our GSTC-recognised standard was designed by the tourism industry, for the tourism industry. Our global team of independent auditors visit every property to conduct an audit against the Travelife Standard.

The Global Sustainable Tourism Council (GSTC) is managing the GSTC Criteria, the global baseline standards for sustainable travel and tourism.





The quality of the relationships we have nurtured with our diverse stakeholders is a key determinant of our commercial and social sustainability. We strive to foster meaningful and mutually beneficial relationships with all relevant stakeholders, thereby nurturing our social and relationship capital.

Social & Relationship Capital: Key Performance Indicators				
		2018/19	2017/18	YoY Change %
Average Guest Satisfaction Rate:				
Sri Lanka		89.9%	89.2%	1
Maldives		94.6%	90.9%	4
India		87.6%	86.2%	2
Oman		79.5%	78.3%	2
Payments to Suppliers	Rs. Mn	16,451	12,693	30
Employees from Local Community	%	47	49	-4
Total Channel Partners	No.	3,938	2,998	31
Investment in Sustainability and Community Development	Rs. Mn	17.5	11.0	59

CAPITAL REPORTS

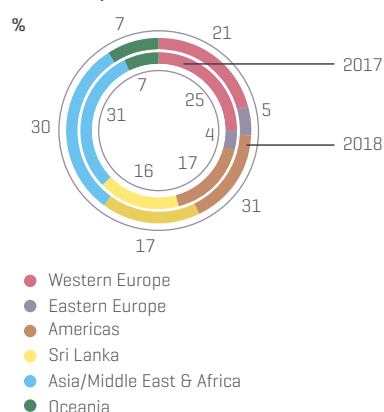
SOCIAL RELATIONSHIP CAPITAL

• 203-2

Our Customers

Customers are at the heart of everything we do and our ability to remain relevant, competitive and financially sustainable is dependent on how we attract and delight customers. Demographic changes and global wealth distribution have led to significant changes in source markets; having identified these trends the Group sought to strengthen its branding in new markets through targeted branding initiatives. Our top three source markets are India, Britain and Germany while arrivals from China and Middle East declined during the year. For the Sri Lankan sector, we see tremendous potential in new markets such as Australia and have sought to strengthen our presence in the region through opening a representation office and conducting road shows.

Guests by Source Markets



Guest Satisfaction

Guest satisfaction is measured through the Global Review Index™ (GRI™), the in-house hotel surveys, social media and through our business channels. GRI is an online reputation score that collects review data from online travel agencies and review sites such as booking.com, Trip Advisor and Agoda; the score also allows for drill down on specific service aspects such as cleanliness, room, gastronomy, location and value among others. The Group proactively monitors its GRI™ scores with reasons for negative feedback evaluated and required improvements made to processes, training plans and operations.

On average the GRI™ scores of our owned hotels in Sri Lanka and Maldives recorded an improvement and our scores continue to be among the highest in all the regions we operate.

Property	2018/19	2017/18	YoY Change
Heritage Ahungalla	91.10%	92.00%	-0.9
Heritage Ayurveda	90.20%	85.40%	4.8
Heritage Kandalama	91.40%	91.70%	-0.3
Heritage Negombo	90.70%	90.80%	-0.1
Heritage Tea Factory	88.10%	88.50%	-0.4
Turyaa Kalutara	91.10%	91.70%	-0.6
Adaaran Club Rannalhi	93.80%	90.10%	3.7
Adaaran Select Hudhuran Fushi	95.10%	89.80%	5.3
Adaaran Select Meedhupparu	92.00%	89.20%	2.8
Adaaran Prestige Ocean Villas	97.20%	89.60%	7.6
Adaaran Prestige Vadoo	95.80%	92.20%	3.6
Adaaran Prestige Water Villas	93.50%	94.50%	-1.0
Al Falaj Hotel	79.50%	78.30%	1.2
Turyaa Chennai	87.60%	86.20%	1.4

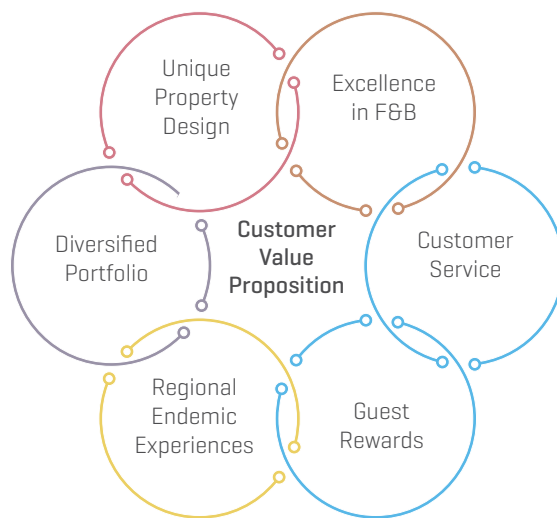


Traditional Sri Lankan New Year Celebration at Adaaran Properties

Guest Experience

Intensifying competitive pressures on international operators, boutique hotels and operators offering authentic experiences have compelled us to focus on key elements driving customer experience at our hotels. The Group's key differentiating factors include unique architectural design of its properties, customer service and excellence in F&B. During the year emphasis was placed on enhancing our offering through menu engineering, sourcing high-quality ingredients and implementing unique projects in hotels to add customer value [Eg: 'Beach Bar' at Amethyst, 'Wadiya' at Heritage Ahungalla].

During the year, no incidents of non-compliance concerning product and service information and labeling or marketing communications were reported.



Happy Guest Departure at Heritage Aarah

Health and Safety Policy: Conduct regular assessments to identify and assess risks to health and safety of our stakeholders, through daily inspections of our premises.

Customer Health and Safety

Measures are in place to minimise the risk of guest accidents, particularly slips and trips which are among the most common accidents to arise within hotels. This risk is mitigated by ensuring all floors are maintained in good condition and that there are no bumps in carpets, loose fitting tiles or damaged vinyl as well as suitable signages in areas with low ceilings or steps. We further ensure that cables are fastened into place, evaluation routes are well lit and accessible in the event of an emergency and that fire risks are minimised through smoke alarms in all required places. We also have a clearly communicated evaluation plan in place for each property.

Guest bedroom safety considerations include the maintenance of in-room electrical equipment, potential trip hazards from bedding, the stability of furniture and other areas that could cause injury including shelving and television brackets fitted to the wall. We also pay close attention to windows and balconies in the room, considering the risks associated with falling and assess whether there is a need to fit safety brackets that only allow the window to be opened to a certain degree and ensuring the allocation of suitable rooms for guests travelling with young children.

Meanwhile eight of our properties have obtained the ISO 22000:2005/HACCP certification on Food Safety Systems. Regular fire evacuation and periodic emergency evacuation drills are conducted at all properties to ensure emergency readiness while a resident doctor is available at three of our Adaaran properties whilst the others have a

CAPITAL REPORTS

SOCIAL RELATIONSHIP CAPITAL

• 418-1



The Butler – True Art of Service 10 Day in-House Workshop carried out at Heritance Aarah

Doctor-on-call with emergency medical facilities accessible within 30 minutes of the property. Health and safety impacts are assessed for all areas in relation to services provided including, [but not limited to] F&B, hotel facilities, pools & physical layout of the hotels & excursions. No Incidents of non-compliance concerning the health and safety impacts of products and services were reported during the year under review.

Customer Loyalty

We are working on enhancing our customer value proposition through the launch of Heritance Rewards, the loyalty program which will replace the concept of 'The Points System' with the 'Nights System', which will offer its members with a more attractive and improved variety of benefits and rewards. Expected to be launched during the first quarter of 2019/20 this scheme will replace the current Diamond Club rewards scheme which is currently in place.

Customer Privacy

Systems and Procedures are in place to ensure the customer data and privacy is maintained in compliance with General Data Protection Regulation (GDPR) – an EU regulation on data protection and privacy for all individuals within the European Union and the European Economic Area.

GDPR is applicable across all departments in the hotel, from management to front office associates. Hotel staff are trained in the collection, access, use and disclosure of personal information, as well as how to restrict access to customers' personal and payment data based on established standard operating procedures. Measures and SOPs include:

- Limiting access to personal data to only those who need to see it
- Advise and train employees on how to responsibly dispose documents containing payment card data and personal information
- Send email marketing communications to only those who have explicitly opted in to the guest marketing program

Hotels receive information from many sources, including third-party booking systems, point-of-sale systems, booking engines, email marketing messages, phone, even scribbled Post-It notes.

Actions can include deletion, redaction, encryption, quarantine, or storage in an accredited, cloud-based storage solution, where it can be accessed by staff. We also ensure systems are up to date for maximum data protection.

No substantiated complaints concerning breaches of customer privacy and losses of customer data reported during the year.

Social Media Engagement

The Group maintains an active presence on all key social media platforms, proactively engaging with current and potential customers. Data analytics are used to assess the demographic profiles and preferences of our social media subscribers in transforming these platforms to conversion channels while focusing on brand building as well. We continue to see penetration through our social media channels with increased subscriber numbers across the board compared to the previous year, mainly through organic conversion.

Growth % in Subscribers/Followers

 29%

 14%

 92%

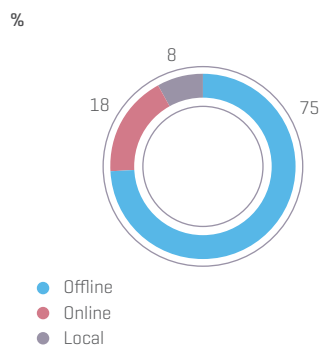
 30%

Channel Partners

Our key channel partners are tour operators, Destination Management Companies (DMC), Online Travel Agents (OTAs), Company website and the local segment including corporates. The Group has developed strong relationships with over 3,900 channel partners across all regions it operates in and maintains proactive engagement with all channel partners. In recent years strategic emphasis has been placed on enhancing conversions across our online channels, with significant investments directed towards optimising OTA relationships and upgrading our website. We have continued to consolidate our website as a key sales channel and this year the website has more than 1.3 million users, an increase of 21% compared to last

year. Efforts have been directed towards improving user experience and conversion rates.

Channels to Market



Unique Experiences You Will Cherish for a Life Time

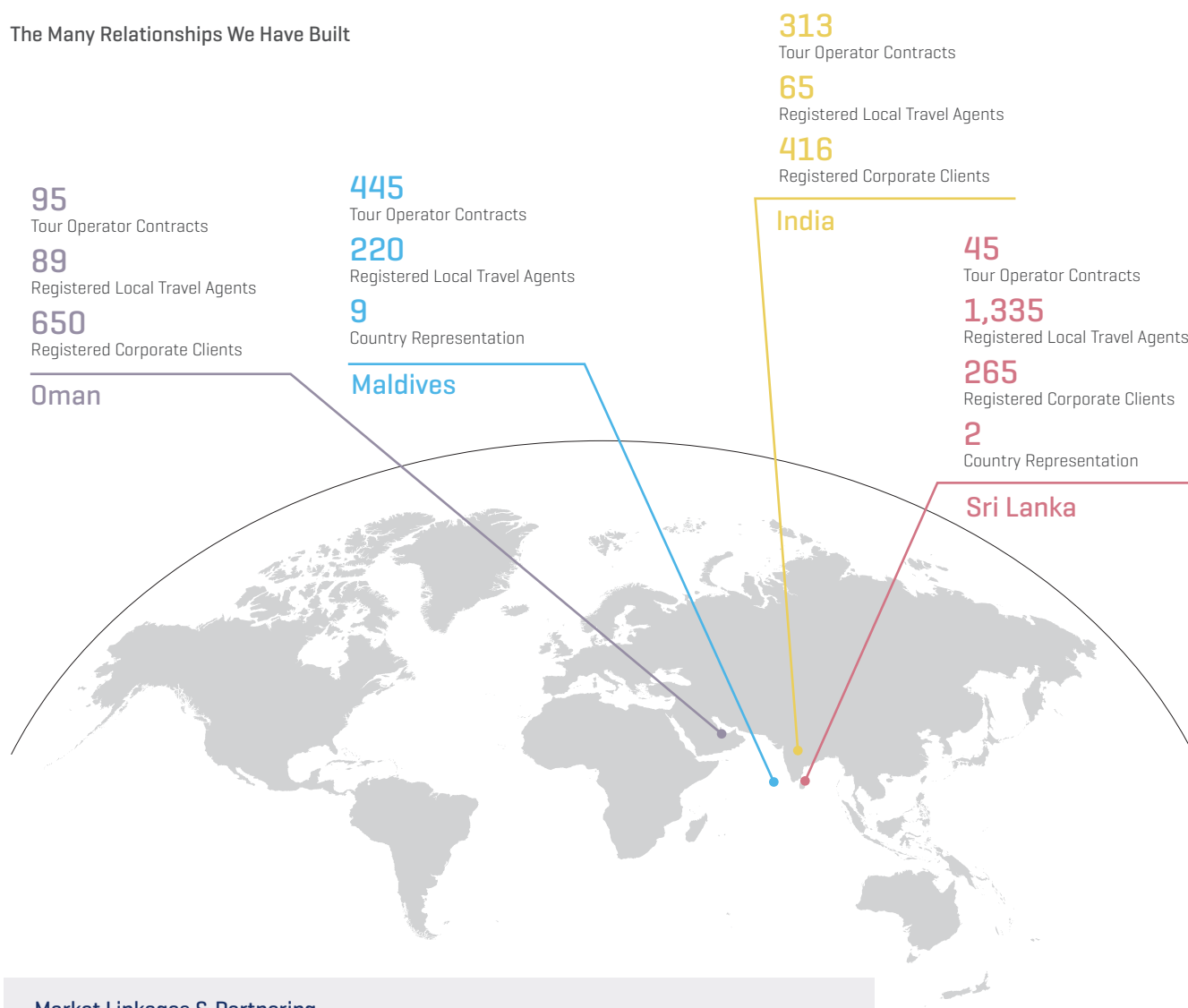


New Year Celebrations at Heritage Kandalama

CAPITAL REPORTS

SOCIAL RELATIONSHIP CAPITAL

The Many Relationships We Have Built



Market Linkages & Partnering

The Group leverages on its industry expertise by partnering with property owners in providing hotel management services. We maintain proactive engagement with these partners, sharing market insights, facilitating the transfer of knowledge and thereby generating long-term mutual value. As at end March 2019, the Group managed six properties in Sri Lanka and Oman as listed below.

- Oman Hotels and Tourism Company – Owners of Desert Nights Camp, Al Wadi Hotel, Sur Plaza Hotel
- Earls Court – Owners of Earl's Regency and Earl's Regent Hotels
- Millers PLC – Owners of Bandarawela Hotel

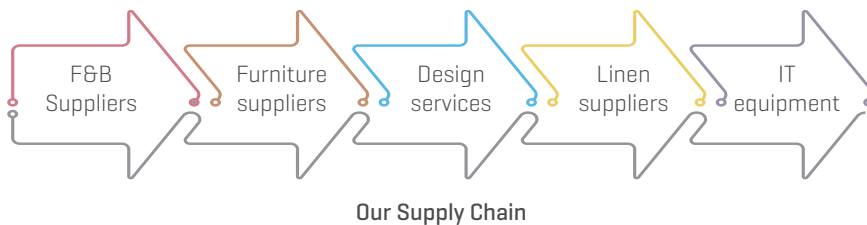
The group has invested in a 60% stake in Hotel RIU Sri Lanka a partnership with RIU Hotels & Resorts Spain. The property is managed by RIU Hotels and Resorts (Who has invested the balance 40%) and the model has enabled the company to make investments with global hospitality brands who would bring in their expertise in managing resorts to Sri Lanka.

Meanwhile, the Group benefits from the business synergies accruing from its relationship with Aitken Spence Travels [Pvt.] Limited – a sister company and Sri Lanka's largest inbound tour operator.



Suppliers

The Group has an extensive supply chain comprising over 600 local and international suppliers through whom it procures items ranging from perishables to furniture to other services.



Chef DK at His Finest

Management Approach

The Group's approach to procurement and supply chain management is governed by a formalised Procurement Policy which clearly sets out guidelines to be followed in supplier selection, maintaining confidentiality, supplier support and termination among others. In addition to factors such as product quality, cost and financial position, environmental and social practices, Human Rights and prevention of forced or child labour are also considered when assessing suppliers. During the year, 90 new suppliers were screened for sustainability criteria including labour and environmental practices and there were no identified instances of actual or negative social impacts. We also conduct site inspections and supplier audits and work with our partners in reducing the environmental impacts of their operations.

Supplier Engagement - Ensuring the Highest Standards

Aspect	Process Followed
Transparency	Tender procedures, blind testing
Confidentiality	Secure supplier data base and price list
Determining one supplier over another	Based on price, quality, past performance and availability to meet our demand
Supplier concerns /discontent	Managed and handled on a case by case basis
Facilities to support suppliers	Inspections on quality checks, central warehouse in Colombo for delivery
Termination of suppliers	Decided by management based on various factors such as quality, performance, ability to service etc.
Service Improvements	Long term contracts with fixed pricing, reduce and reuse packaging

CAPITAL REPORTS

SOCIAL RELATIONSHIP CAPITAL

• 202-2 • 204-1 • 413-1 • 413-2

During the financial year, the Group introduced a new procurement platform through Oracle Applications Cloud (Oracle Fusion) allowing the Group to centralise and streamline its sourcing initiatives at the Corporate Purchasing and Merchandising Division. The new platform will enable the Group to perform a number of tasks including supplier identification, request for proposals, submission of proposals, evaluation, contracting and supplier management, thereby enabling the Group to have clear visibility of the sourcing process in real time, shorten contracting life cycles and facilitate better supplier related decisions based on more accurate analytics.

Local Community Purchasing

Efforts are made to source locally whenever possible, facilitating value injection to the surrounding communities. Main items procured from adjacent communities include perishables, agricultural produce and fuel wood for bio mass plants. Proportion of spending on local procurement during the year is given below.



Property	% of Procurement Expenditure to Local Suppliers
Heritage Kandalama	35%
Heritage Ahungalla	33%
Heritage Tea Factory	21%
Heritage Ayurveda	35%
Turyaa Kalutara	29%
Amethyst Resort	73%
Hotel RIU Sri Lanka	14%
Maldives	80%
Oman	95%
India	61%

Community Relationships

Our hotels are an integral part of the communities we operate in and we strive to nurture meaningful and mutually beneficial relationships with these communities. This is achieved through employment generation, pursuing opportunities for local procurement, creating indirect employment, sponsorships and engaging in numerous community initiatives.

% of Managers from Local Community	
Heritage Kandalama	55%
Heritage Ahungalla	17%
Heritage Tea Factory	45%
Heritage Ayurveda	57%
Heritage Negombo	18%
Turyaa Kalutara	60%
Hotel RIU Sri Lanka	42%
Maldives	20%

Direct Employment Generation

Approximately 47% of hotel employees are recruited from within 35 km of the respective hotel [refer to page 92 for further information]



Blood Donation Campaign

Several of our Hotels organise Blood Donation Campaigns in their properties.

- Heritance Tea Factory organised blood donation campaigns annually in collaboration with the Nuwara Eliya Base Hospital's Blood Bank
- Adaaran Prestige Vadoo organised a blood donation campaign for the 2nd consecutive year in partnership with the Maldives Blood Bank

Dogs Spay Clinic

Aitken Spence Hotels began the Spay Clinics in the areas surrounding our properties in 2016, partnering with the Kandy Association for Community Protection through Animal Welfare [KACPAW]. The program was initiated with the objective of controlling the births of dogs in the area. Since then the program has also included the services of the Government veterinary department in the North-Eastern province.

Last year, the program spayed 206 and vaccinated 244 animals against rabies bringing the total animals treated to 435 since 2016. Considering several cases of dog bite attacks faced by our guests and community in the past, the clinics are a long-term win-win solution to addressing the risk of rabies and injury posed by stray animals.

Skill Development

We enhance the employability and skills of the youth we employ by providing access to best-in-class training at dedicated training centres. Over the long-term this leads to socio-economic empowerment and better living standards in these families. Other projects included,

- Heritance Ayurveda: An awareness programme was conducted for 20 students from a nearby school in celebration of World Tourism Day
- Amethyst Resort: A programme was conducted to educate more than 120 students from schools located in Pasikudah on the Hospitality industry and its importance
- Adaaran Properties: Adaaran Kurimagu Management Trainee Program and local student empowerment programs with neighbouring schools, youth awareness programs on hospitality and sustainability, Open Days for recruitment in collaboration with schools and universities. Adaaran and Heritance Properties in Maldives works with 24 schools on education and career development



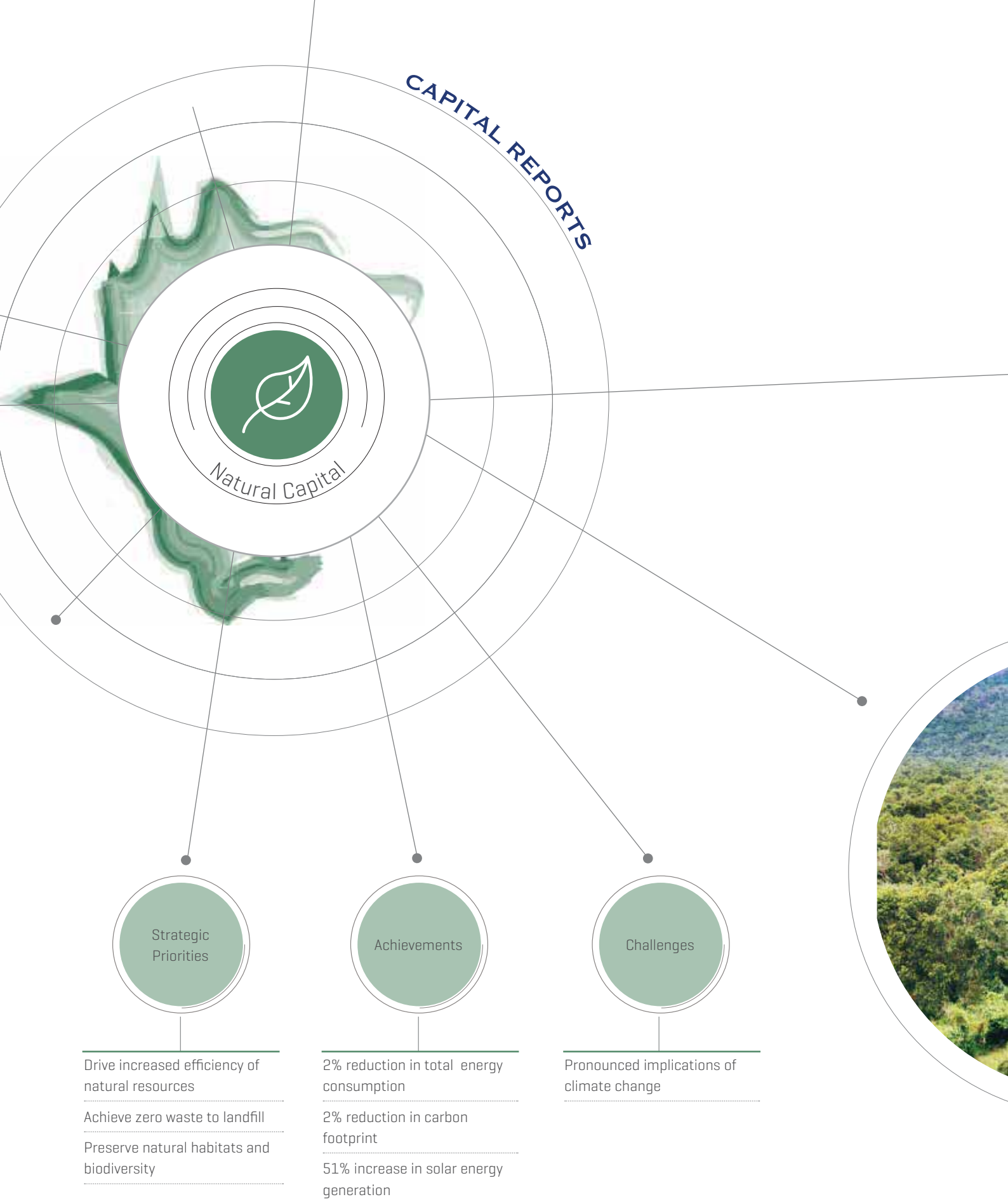
23,122

Individuals
trained

Indirect Employment Creation and Local Procurement

Our hotels support economic activities and indirect employment generation in adjacent communities through,

- Local procurement of perishable items such as fruits, vegetables, fish, meat, poultry items and skilled and unskilled labour from local third-party suppliers [refer to page 112 for further information]
- Arrange excursions for guests in partnership with communities
- Day visits permitted by screened local homes





The natural eco system we operate in and the resources we consume are a critical element of our value creation process. It enhances the attractiveness of the destination and directly impacts the customer experience. We are committed to ensuring that our activities contribute towards protecting the destinations in which we operate, beyond just mitigating the environmental impacts of our operations.

Natural Capital: Key Performance Indicators				
		2018/19	2017/18*	YoY Change %
Energy Consumption	GJ	356,511	363,566	-2
Energy Consumption per Guest Night	MJ	336.10	345.70	-3
Water Consumption	Litres	936,412	883,208	6
Water Consumption per Guest Night	m ³	882.81	839.82	5
Water Recycled and Reused	m ³	738,522	692,580	7
GHG Emissions [Scope 1 & 2]	tCO ₂ e	38,756	39,673	-2
GHG Emission per Guest Night	KgCO ₂ e	36.54	37.72	-3

*Indicates figures restated due to change in scope and boundary for accurate comparison.

Management Approach

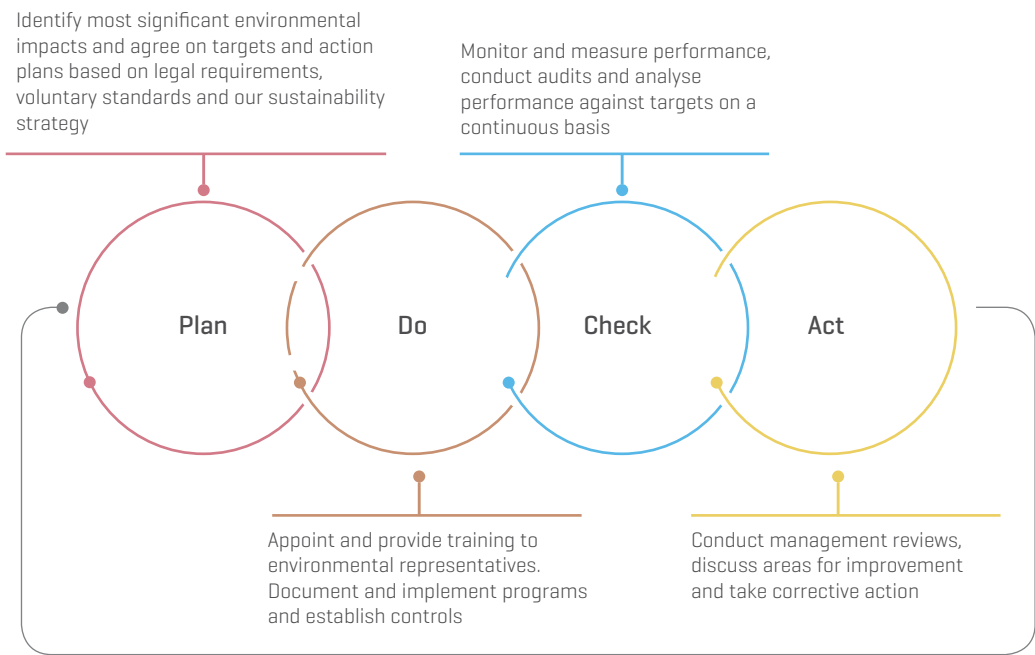
The Group is cognisant of the environmental footprint of its operations and adopts a strategic and systematic approach towards minimising its impacts contributing positively to the natural ecosystem. All owned properties have implemented comprehensive Environmental Management Systems through which material environmental impacts such as water, energy, waste, chemical use and emissions are tracked and reported to the Group Head of Sustainability. A variety of national and international environmental certifications

also ensure that impacts are identified, monitored and reported in a consistent and reliable manner. environmental KPIs have been integrated to the property performance management framework, driving concerted efforts towards enhancing resource efficiency.

Environmental Management System

Driving progress of our environmental commitments require the constant management and monitoring of our resource consumption levels. Key elements of the Group’s comprehensive EMS is illustrated below;

Environmental Management: Steering Instruments	
Internal	
	Group Integrated Sustainability Policy
	Energy Policy
	Environmental Management System [EMS]
External	
	ISO 14001:2015; Environmental Management [4 properties]
	ISO 50001:2011; Energy Management [4 properties]
	Travelife Gold Certification: [9 properties]



Compliance: Regulatory compliance to environmental laws are ensured at a property level and reported to the Group Head of Sustainability on a regular basis. During the year there were no instances of non-compliance pertaining to any environmental laws or regulations.

Impacts of Climate Change

Climate change and global warming has dominated the global risk landscape with the World Economic Forum ranking extreme weather conditions and natural disasters as the top two risks in terms of likelihood in 2018. The hospitality industry is directly affected given its dependence on the quality of the natural environment in destinations and weather patterns. Implications of climate change on the Group is summarised alongside;

Natural Disasters and Extreme Weather
Impact on infrastructure and natural eco system
Loss of lives
Impact on living conditions

Impacts on Biodiversity and Ecosystem
Depletion of resources
Affects attractiveness of destination

Energy



Energy is a key input to our operations and account for around 10% of the total direct and indirect operating expenses. Primary sources of energy in our properties are electricity, diesel, petrol, LPG and bio-energy. Concerted efforts at driving energy efficiency have been implemented across the Group resulting in a consistent reduction of energy intensity (defined as energy consumption per guest night) in recent years. Key energy initiatives and energy consumption trends are listed below. For more information refer the published sustainability reports of our properties.



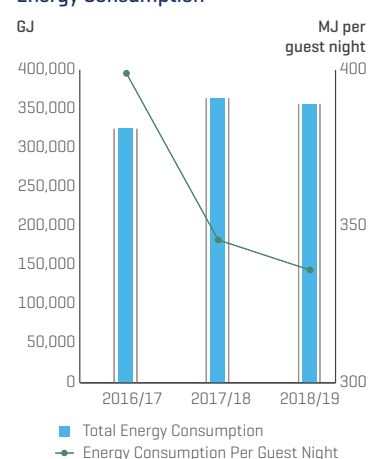
Property	Energy Initiatives
All Properties	- Use of energy efficient lighting solutions such as LED lighting - Installation of inverter type air conditioners - Encouraging guests to adopt green practices - Key card activation for electricity and air conditioning in rooms - Energy efficiency of products given due consideration during point of purchase
Heritage Kandalama	- Generation of bio-energy to power boilers and generate steam. The initiative has also supported livelihood development, as gliricidia and cinnamon sticks are sourced from neighbouring communities. - Cable modification in generator and optimising generator usage - Optimising usage of vehicle fleet
Heritage Ayurveda	- Installation of solar lighting. - Optimising pathway lights
Adaaran Prestige Vadoo	- Installed timers for outside lights in staff rooms - Photocell system for the outside lights in water villas - Replaced CFL bulbs with LED lighting
Adaaran Select Meedhupparu	- Replaced halogen bulbs with LED lighting - Strict control in loading capacity of laundry machines
Adaaran Club Rannalhi	- Lights in 34 water bungalows replaced with LED lighting - Photocell system for garden and exterior lights - Solar power solutions for outdoor lighting

Energy Consumption

	2018/19	2017/18	2016/17
Total Energy Consumption [GJ]			
Sri Lanka	135,268	137,459*	109,733
Maldives	190,424	191,128	181,167
Oman	17,459	21,196	21,322
India	13,360	13,783	13,102
Total	356,511	363,566*	325,324
Energy Consumption per Guest Night [MJ]	336.10	345.70*	398.96

*Indicates figures restated due to change in scope and boundary for accurate comparison

Energy Consumption



Reduction in Energy Intensity - Energy Consumption Reduction Per Guest Night - MJ

	Sri Lanka	Maldives	Oman	India	Group
2018/19	7.48	[0.57]	48.71	42.16	9.60
2017/18	43.32*	25.71	8.09	34.51	53.26

*Indicates figures restated due to change in scope and boundary for accurate comparison

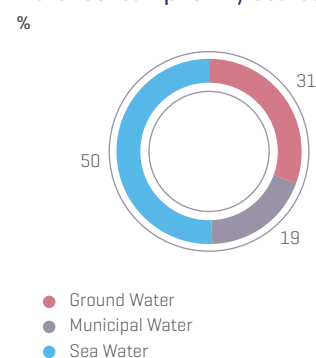
Water



Water efficiency is a key priority for the Group, and We are committed to reducing water withdrawal through recycling and engaging guests in conservation. Sub-metering is used to monitor water usage at usage and actual consumption is monitored against targets on an ongoing basis. The Group's water requirements are fulfilled primarily through sea and ground water sources, although none of these bodies are significantly affected from our water withdrawal. Water consumption per guest night has been on a declining trend reflecting organisation-wide efforts towards enhancing water efficiency. Key initiatives and consumption during the year are as follows;

Property	Initiatives
All Properties	- Providing a range of green options to customers including towel and linen changes - Maintaining water flow rates - Optimising garden irrigation times to ensure minimal consumption - Water flow rates maintained within the targeted range
Heritage Kandalama	- Use of treated water for staff urinals - Optimising water usage in laundry machines - Reuse of treated grey water for gardening
Adaaran Select Huduran Fushi	100% recycling of water for flushing and gardening - Monitoring of sectional water usage
Adaaran Club Rannalhi	Rainwater harvesting for cleaning purposes

Water Consumption By Source



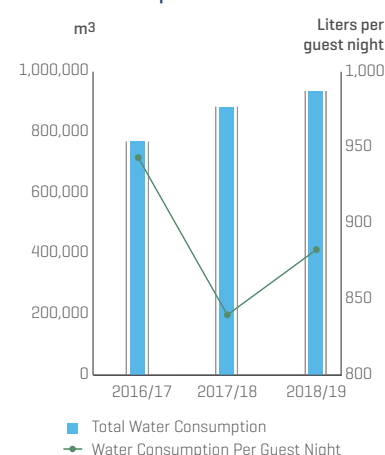
Water Consumption

	2018/19	2017/18	2016/17
Total Water Consumption [m ³]			
Sri Lanka	561,594	509,766*	392,907
Maldives	271,741	267,703	269,359
Oman	63,536	67,105	73,601
India	39,541	38,634	33,446
Total	936,412	883,208*	769,313
Water Consumption per Guest Night [litres]	882.81	839.82*	943.44

Total water consumption does not include water obtained for drinking purposes through bottled water and bowlers obtained during drought period.

*Indicates figures restated due to change in scope and boundary for accurate comparison

Water Consumption



Total Water Withdrawal by Source – m³

	2018/19	2017/18	2016/17
Ground Water	410,788	403,138*	318,500
Municipal water	253,883	212,367*	181,454
Sea Water	679,353	669,257	673,398

No water source or bodies were significantly affected due to withdrawal/discharge of water or runoff.

*Indicates figures restated due to change in scope and boundary for accurate comparison

Water Recycled & Reused – m³

	2018/19	2017/18
Sri Lanka	466,781	424,877*
Maldives	271,741	267,703
Oman	-	-
India	-	-
Group	738,522	692,580

*Indicates figures restated due to change in scope and boundary for accurate comparison

Effluent and Waste



The Group's waste management is guided by its internally developed 7R approach which has been implemented across the Aitken Spence Group to drive increased reuse and recycling of resources, aimed at reaching zero waste to landfill status. Key waste generated from our operations include food waste, kitchen waste and human waste. All resorts engage in responsible disposal with systems in place for the effective segregation, recycling and disposal of waste. Food waste is used for compost or sent to piggeries while kitchen waste is treated to trap the oils and fats and used for fertilizer while human waste is sun-dried and converted to fertilizer. During the financial year under review, no significant spills were reported which negatively impacted on the environment or health.

The 7R Approach to Waste Management

Reject	→	All non-biodegradable items such as plastics and packaging material wherever possible
Reduce	→	Reduce the use of resources including energy, water and non-biodegradable material that cannot be rejected
Reuse	→	Every possible resource especially those that cannot be rejected or reduced such as paper, plastic packaging material, construction material etc.
Reclaim	→	What cannot be totally reused
Replace	→	What can not be rejected, reused or reduced with more environmentally friendly material
Repair	→	Repair broken items if possible without purchasing new items
Recycle	→	Every material, so that nothing goes to waste. This includes Waste water, cooking oil, engine oil, metal cans, plastic containers, PET bottles etc. [In short, all materials that cannot be rejected, reduced, reused, reclaimed, replaced, or repaired.]

CAPITAL REPORTS

NATURAL CAPITAL

• 306-2

Meanwhile waste water generated from hotel operations are treated at dedicated effluent treatment plants and reused or discharged into sewerage lines. Discharge water quality levels (BOD, COD, TSS, pH and oil and grease levels) are monitored continually to comply with government standards.

Key waste/effluent initiatives in place are listed below;

Property	Initiatives
All Properties	- Purchasing Policy specifies the procurement of sustainable products which are more durable, organic and recyclable - Composting food and garden waste to biodegradable fertilizer
Heritage Kandalama	Coconut shells sent to produce activated carbon
Heritage Ahungalla	All glassware, plastic and paper are collected, segregated and sent for recycling
Heritage Ayurveda	Awareness program for hotels in coastal areas on preventing sea dumping and new technology in waste water management
Adaaran Prestige Vadoo	- Food waste and garden waste converted to bio degradable fertilizer - Use of recycled material for Christmas décor

Waste Management Performance

Waste Type		2018/19	2017/18	2016/17	Remarks
Paper	Kg	9,113	10,239	11,505	Segregated and sold/sent for recycling
Cardboard	Kg	22,038	20,596	19,249	Segregated and sold/sent for recycling
Plastic	Kg	12,128	12,189	12,250	Segregated and sold/sent for recycling
Polythene	Kg	4,979	4,995	5,011	Segregated and sold/sent for recycling, Supplier education on reducing packaging material planned
CFL bulbs	Units	700	788	886	Sent for recycling, Energy efficient LED lighting replacement program
Lead Acid Batteries	Kg	468	521	581	Segregated and sold/ Stored for later recycling
Alkaline Batteries	Units/Kg	-	-	-	Segregated and sold/ Stored for later recycling
Tires	Units/Kg	24	20	-	Sent for Retreading/Sold to recycle
Scrap Metal	Kg	23,447	23,033	22,625	Segregated and sold
Glass	nos /Kg	10,892/35,067	9,862/29,041	9,302/31,041	Segregated and sold/sent for recycling
Soiled cotton	Kg	674	651	629	
Food waste	Kg	2,412,122	2,376,476	2,341,355	Composted, Used in Bio Gas Generators, Sold / Given to piggery
Waste Oil	l	5,879	5,776	5,674	Sold to Soap manufacturer
E - waste	Units/Kg	33/216	22/231	13/341	Sold/sent for recycling

Carbon Footprint

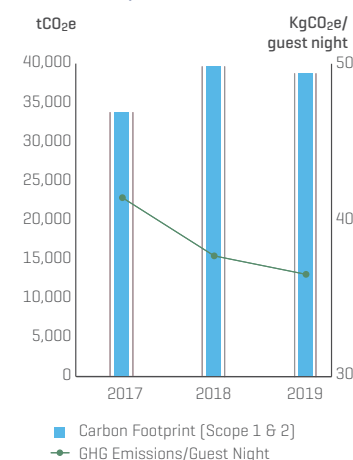


Efforts to drive energy efficiency is reflected in the consistent decline of the Group's carbon intensity ratio, the total carbon footprint decreased by 2.31% due to the increased efforts in efficiency drives. The Greenhouse Gas Protocol of the World Resource Institute and the World Business Council for Sustainable Development is used to compute emissions; The Group currently computes Scope 1 emissions occurring directly from sources that are owned/controlled and Scope 2 which comprise of emissions generated through purchased electricity.

	2018/19	2017/18*	2016/17
GHG Emissions (Tons CO ₂ e)			
Scope 1 Emissions	16,442	16,627	14,711
Scope 2 Emissions	22,314	23,046	19,079
Total	38,756	39,673	33,790
Emissions per Guest Night (KgCO ₂ e)	36.54	37.72	41.44

* Indicates figures restated due to change in scope and boundary for accurate comparison

Carbon Footprint



Biodiversity



The natural eco system and biodiversity of surrounding areas in several of our properties such as Heritance Kandalama, Heritance Tea Factory and the Maldivian hotels plays a significant role in enhancing the overall attractiveness and customer experience. Efforts are made to seamlessly integrate our operations to the natural ecosystem causing minimal disruption to habitats and biodiversity in the area. For instance, at Heritance Kandalama, habitats of animals that lived in the area prior to the construction of hotel have been preserved reflecting the Hotel's design sensitivity. During the year, the Slender Loris, the smallest mammal in the world and a species endemic to Sri Lanka was discovered in the area. Several of our properties have implemented ongoing projects to preserve the rich biodiversity in the localities.

• Eco Park at Heritance Kandalama

The Eco Park includes a wildlife orphanage and rehabilitation centre for injured animals, a state-of-the-art waste water recycling plant, compost fertilizer

pits, wet and solid waste recycling centres, elephant dung paper making facility, herbal garden and an eco-library. The park is a popular attraction among guests and visitors alike, with 3,128 individuals visiting the park in 2018/19 gaining knowledge on the rich biodiversity and conservation efforts by our resident naturalists.

• Reef and Coral Preservation

Adaaran Prestige Vadoo has launched a coral regeneration initiative in 2016 through which broken coral pieces are collected from the reef and harvested by attaching them to metallic coral trays. As at end-March 2019, corals have been placed on three metallic coral trays [24 sqft]. Similarly, coral transplant projects have been initiated at all our Adaaran properties in Maldives while regular beach cleaning programmes are organised by all our beach properties. Inland and city properties conduct shramadana campaigns and city beautification programmes.

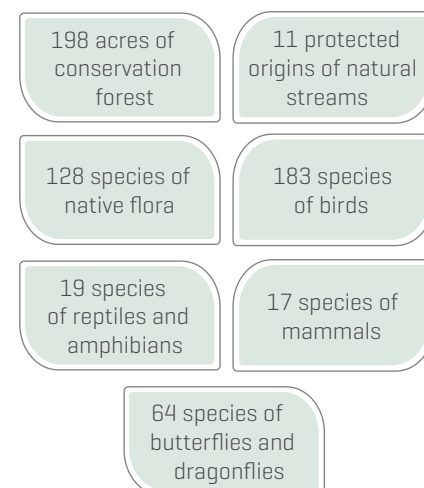
• Tree Planting

Most of our local hotels and our Adaaran properties engage in tree planting activities in commemorating

World Environment Day, Earth Hour. etc in addition to providing guests the opportunity to plant trees in commemoration of special occasions such as wedding anniversaries, birthdays, repeat visits. Accordingly, the Group planted more than 2,100 trees during the year.



Access Page 124 of 2017/18 Annual Report for IUCN Red List species and national conservation list species with habitats in areas affected by operations via QR Code.



Other Projects by Our Hotels

Heritage Ayurveda Release of hatched turtles to the sea with guest engagement in collaboration with Sri Lanka Navy Life Saving Unit

Heritage Tea Factory & Heritage Kandalama

Maintenance of nature trails surrounding properties

Adaaran Properties

Removal of sea urchins to preserve coral habitats and maintain biological diversity



Coral Planting on World Wild Life Day March 2019 at Adaaran Resorts

Raw Materials



Our main raw materials consist of food and beverage inputs, food packing material, linen and consumable room amenities, fuel and other engineering raw materials. Ongoing efforts are in place to source and consume materials which are sustainable - for instance reusable and recyclable packing materials, reducing the consumption of plastic straws and stirrers, replacing butter sachets with blocks whilst maintaining ISO 22000/ HACCP Standards and reducing the use of cling film. As an example the total reduction of cling-film 29 rolls (8,700m) or 8.7km worth despite 16.5 % increase in number of covers served at Heritage Negombo. Efforts and plans are also in place to eliminate PET water bottles in future.



World Tourism Day Celebration at Heritage Tea Factory - Planting Trees by Each Employee in September 2018

GOVERNANCE

MOMENTS OF SERENITY



Our steadfast, stable principles inspire the highest levels of confidence and trust among our stakeholders, ensuring a continued assurance and peace of mind.

CORPORATE GOVERNANCE

Chairman’s Message



Dear Shareholder,

As one of the country’s oldest and most respected corporate Groups Aitken Spence Hotel Holdings PLC [ASHH PLC] inherits strong governance frameworks, structures and processes and a culture of professionalism and fair play. This has underpinned our growth to become the country’s leading hotel company with a regional footprint. The Board continues to nurture our legacy, a framework based on five key principles which I have described below as a prologue to the Governance Report.

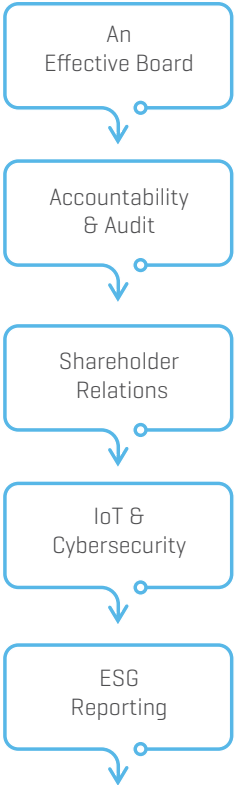
Leadership

The Board bears ultimate responsibility for the performance of the Group and is accountable to the shareholders who appoint the Directors. We discharge our responsibility by providing guidance for formulation of an appropriate strategy that integrates financial, economic, social and environmental performance and setting in place a comprehensive

governance framework to enable effective oversight of the operations of the Group and provide guidance to the executives who manage the day to day operations. The governance framework comprises an organisational structure, a comprehensive policy framework, reporting mechanisms, internal controls and risk management processes designed to facilitate clear definition of roles and responsibilities, accountability, measurement and management of key variables and performance. Increasing levels of automation and integration of non-financial measures present both opportunities and risks and the Board continues to focus on the same to ensure that our strategy and governance frameworks are fit for purpose in the current operating context.

**Corporate Governance
Report 2018/19**

Our Corporate Governance Report has been arranged under the following headings which is aligned to the focus areas of the Code of Best Practice on Corporate Governance.



It is supported by the following:

- **Annex I:** Compliance with the Code of Best Practice on Corporate Governance and section 7.10 of the listing rules of CSE – page 133
- **Annex II:** Compliance with section 7.6 of the listing rules of CSE – page 139

Culture & Ethics

Our culture is shaped by the Group's Code of Ethics which articulates the standards of conduct expected of Directors and employees. This is also reviewed and updated from time to time to ensure it is fit for purpose in a rapidly evolving business environment. It enshrines principles of equal opportunity, inclusivity, integrity and fair play to create a workplace that is conducive to high performance, innovation and teamwork. Gender equality is a key area for the Group as we shift gears to encourage women to move beyond traditional roles in alignment with the country's focus on improving female participation in the labour force.

Culture is also shaped by our behaviour. We are extremely fortunate to have a mix of long serving employees and professionals who challenge the status quo to find positive behaviour and introduce new perspectives, ensuring that our culture stays relevant to the current times. A strong mentoring culture also supports the passing down of wisdom that comes with experience, drawing the lines and defining boundaries of expected behaviour.

Risk Management & Internal Control

Ensuring a robust system of internal controls and risk management processes is a key responsibility of the Board and the Board is assisted in this by the Audit Committee due to the time, focus and effort required. The Board determines the level of risk that it is willing to accept in pursuing its strategic objectives and regularly reviews risk assessments provided by SBUs to ensure alignment.

Group Internal Audit supports the Audit Committee and the Board in regularly reviewing the efficiency and effectiveness of internal controls. A whistle blowing policy reinforces these processes, providing a direct communication line

for employees to report in good faith any genuine suspicions of fraud, bribery or malpractice. The policy provides for anonymity and protection of the reporting employee.

Accountability

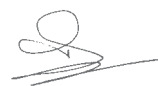
The Board goes beyond the regulatory requirements to provide shareholders with a comprehensive account of the performance of the Group. This Annual Report complies with the requirements of widely accepted standards, codes and frameworks which have been voluntarily adopted to ensure that our corporate reporting is in line with international best practice. Our sign off processes ensure that the report provides a balanced review of the Group's performance with high levels of transparency.

Shareholder Relations

We maintain regular communications with shareholders through quarterly reporting, annual reporting, announcements to the CSE, press releases and a dedicated page of our website for investor relations. The Annual General Meeting is the main platform for communicating with the shareholders and we urge all shareholders to participate at the same. Shareholders are also able to contact the Company Secretaries directly or through the Registrars during the year on any urgent matters.

Compliance Statement

On behalf of the Board of Aitken Spence Hotel Holdings PLC, I declare that the principles of good corporate governance are applied consistently across the Group and that the Corporate Governance Report provides a fair account of Corporate Governance practices within the Group. I am also pleased to report that the Group complies with the relevant provisions of the Code of Best Practice of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

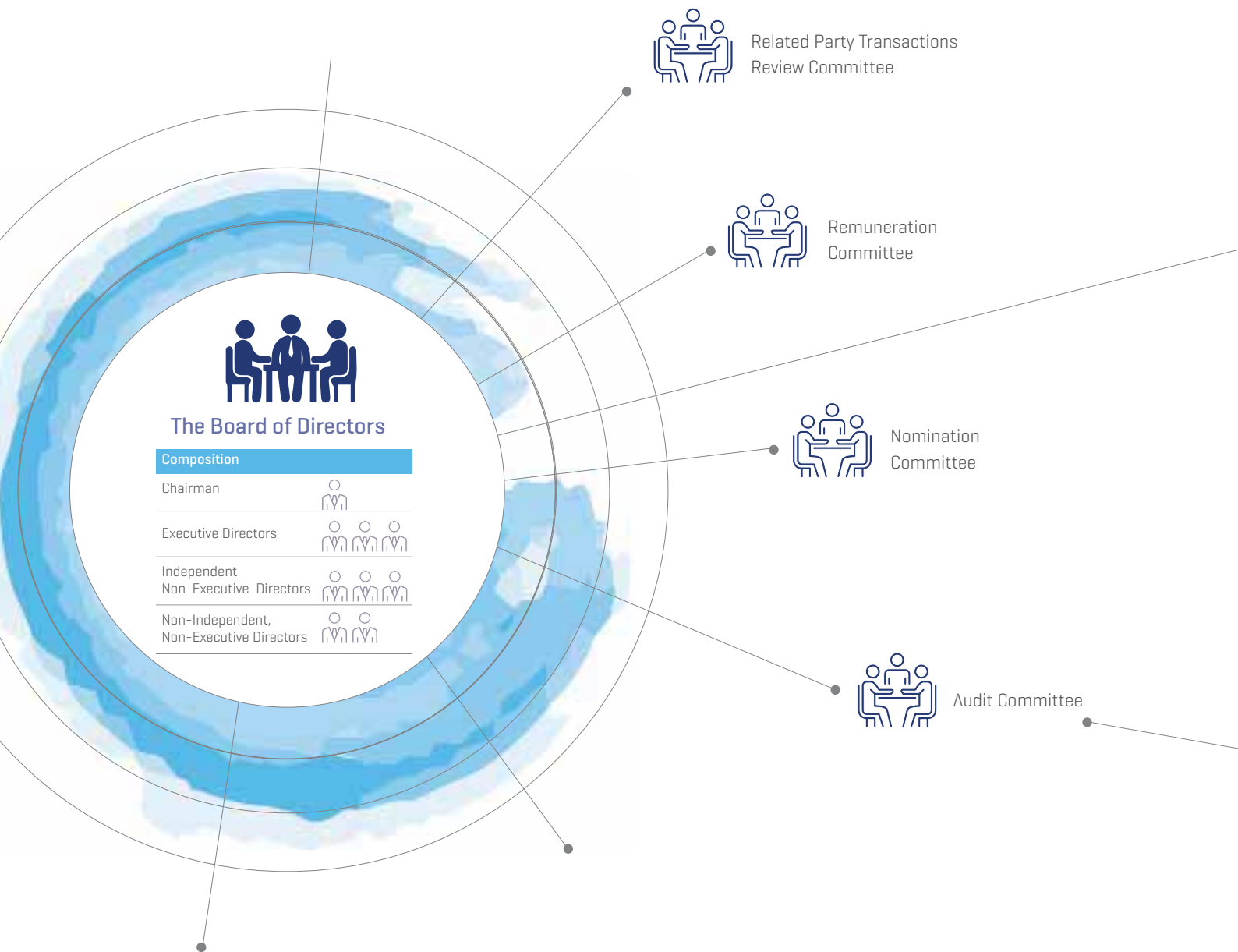


Deshamanya D.H.S. Jayawardena
Chairman

Colombo
24th May 2019

1. An Effective Board

Composition of the Board determines the tone at the top while governance frameworks, structures and processes facilitate effective oversight, fundamental to sound Corporate Governance.

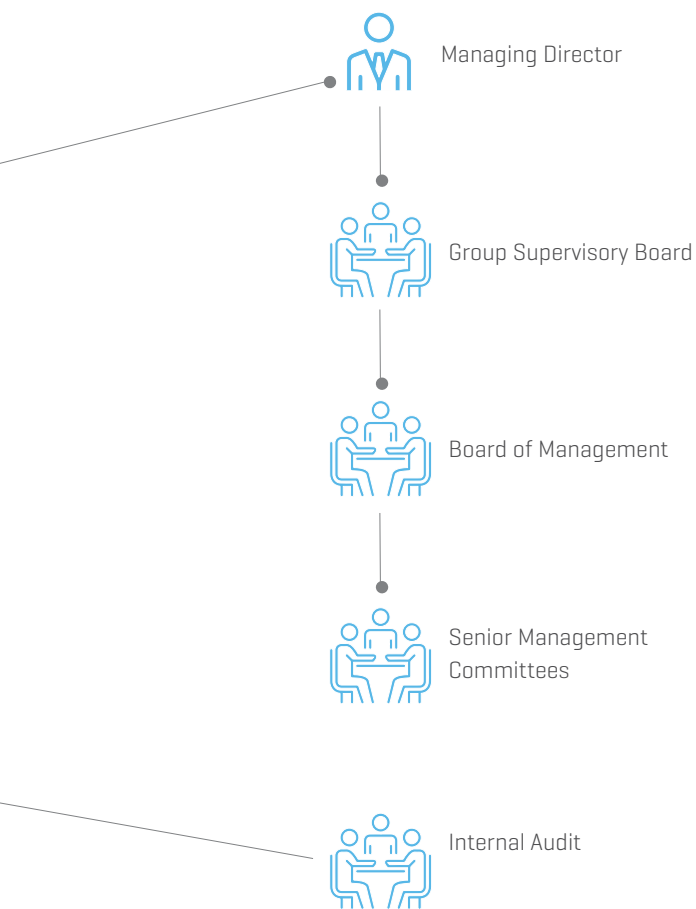


Administration of the Board

 Company Secretarial services are provided by Aitken Spence Corporate Finance (Private) Limited, a subsidiary of our parent company, Aitken Spence PLC.

	Board Sub Committees of Parent Company
	Executive Committees

Board Profiles on pages 20 to 23



Compliance Framework

Mandatory

Companies Act No. 7 of 2007
 Articles of Association
 Listing Rules of the Colombo Stock Exchange [CSE]
 Central Depository System Rules
 Securities & Exchange Commission Rules
 Sri Lanka Accounting and Auditing Standards
 Group Code of Ethics

Voluntary

Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants 2017
 Aitken Spence Integrated Sustainability Policy and its Implementation Framework
 Codes of Regulatory Authorities and Trade Associations
 United Nations Global Compact
 GRI Standards
 Integrated Reporting Framework
 Women's Empowerment Principles
 Social and Environmental Certification Requirements

Roles & Responsibilities of the Board	Chairman's Role	Appointment & Re-election
- Oversees formulation and implementation of a sound business strategy - Ensuring that the Managing Director and Management Team possess the relevant skills, experience, knowledge and capacity to implement the strategy - Approving Budgets and major capital expenditure - Establishing effective systems to secure the integrity of information, internal controls, business continuity and risk management - Ensuring the compliance of the Group's statutory and regulatory obligations and safeguarding the Group's reputation by promoting corporate values and an ethical culture - Considering and carefully balancing stakeholder interests in corporate decisions - Recognising sustainable business development in Corporate Strategy, decisions and activities - Setting the Company values and standards with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations - Establishing a process of monitoring and evaluation of progress on strategy implementations, budgets, plans and related risks	The role of the Chairman and the Managing Director are separate, facilitating a balance of power and authority. The Role of the Chairman is as follows: - Providing leadership to the Board - Facilitating effective discharge of its functions - Ensuring compliance with relevant legal and regulatory frameworks - Balancing of stakeholder interests and meeting obligations - Facilitating participation by both Executive and Non-Executive Directors - Ensuring that all directors are adequately briefed on matters arising at Board Meetings - Ensuring that Directors contribute effectively leveraging the collective skills and experience of the Board - Ensuring that shareholders are given adequate opportunity to make observations, express their views and seek clarifications at meetings of shareholders	- Shareholders appoint the Directors at the Annual General Meeting following a formal and transparent process. The Board makes recommendations to shareholders taking into consideration the views of the Nomination Committee who reviews potential nominees for Board appointments. - Casual vacancies are filled by the Board based on the recommendations of the Nomination Committee. A Director so appointed will offer himself or herself for election at the next Annual General Meeting. - Disclosures are made to the Colombo Stock Exchange on appointment along with a brief resume of the Director. - Retiring Directors are eligible to submit themselves for re-election at the Annual General Meeting. The Nomination Committee evaluates the contributions made by these Directors to assess their eligibility for re-election. - Directors wishing to resign are required to provide a written communication to the Chairman together with the reasons for such resignation which is tabled at the Board meeting.
Induction & Training Directors receive a Letter of Appointment outlining the terms of the appointment, duties, responsibilities and expected time commitments. They are also taken through a formal customized induction programme as soon as practicable co-ordinated by the Managing Director. Regular presentations by management, consultants and other experts serve to ensure that the Board is apprised of relevant regulatory and industry developments, trends and benchmarks. Additionally, Directors are encouraged and expected to stay abreast of developments in their respective area of expertise, facilitating effective contribution to the Board.		

1.1 Meetings, Attendance & Minutes

The Board met four times during the year with all meetings presided over by the Chairman according to a calendar tabled at the last Board Meeting of the preceding year. Directors who are unable to participate at any meetings receive the Board papers and are briefed at a later date by the Chairman or the Managing Director. Attendance at Board and Board Committee meetings is given below.

Table 1: Attendance at Board and Board Committee Meetings

	Board Meetings	Audit Committee	Nomination Committee	Remuneration Committee	Related Party Transactions Review Committee
Executive Directors					
Deshamanya D.H.S. Jayawardena [Chairman]	4	-	1	-	-
Dr. M.P. Dissanayake ¹ [Managing Director]	N/A	N/A	N/A	N/A	N/A
Ms. D.S.T. Jayawardena	4	-	-	-	-
Mr. C.M.S. Jayawickrama	4	-	-	-	-
Non-Executive Directors					
Mr. J.M.S. Brito ²	4	N/A	-	-	N/A
Mr. N.J. De Silva Deva Aditya	4	3	-	-	2
Independent Non-Executive Directors					
Mr. R.N. Asirwatham	4	8	1	1	4
Mr. C.H. Gomez	2	1	-	1	1
Mr. G.P.J. Goonewardena	4	-	-	-	-
Total No. of Meetings	4	8	1	1	4

1. Appointed as the Managing Director w.e.f. 15.03.2019.

2. Retired from the office of Managing Director w.e.f. 15.03.2019 and continues to be a Non-Executive Director/Appointed as a member of the Audit committee and the Related Party Transactions Review Committee w.e.f. 23.05.2019.

Notice of Board and Committee Meetings along with the agenda and Board papers are circulated at least seven days prior to each meetings allowing enough time for review and request for any additional information they may require.

Extracts from the minutes are forwarded to the MDs of the relevant SBUs within ten days of the meeting for follow-up action.

1.2 Conflict of Interests

Directors abstain from voting where there is a conflict of interest and generally excuse themselves from the discussion. In the event of conflicts and concerns that cannot be resolved unanimously, Director's dissent is recorded in the

Board minutes. In urgent circumstances necessitating decision making through circular resolutions and efforts are made to provide all relevant information required to enable directors to clearly understand the issue/s and potential consequences.

1.3 Board Evaluation

The Board carries out a self appraisal of itself and its Committees annually with Director is individually appraising his/her own performance with reference to his/her key responsibilities as outlined in the Nomination Committee Report on page 145. This serves to identify areas for improvements and gaps pertaining to Board administration and processes.

1.4 Directors' Remuneration

The Remuneration Committee of Aitken Spence PLC (ASPLC) serves as the Remuneration Committee of ASHH PLC. It comprises of three Non-Executive Directors of whom all three are independent.

The Remuneration Committee makes recommendations to the Board with the consultation of the Chairman and the Managing Director regarding the remuneration of Executive Directors and the Senior Management within agreed terms of reference and in accordance with the remuneration policy of the Group. No Director is involved in determining his or her own remuneration.

CORPORATE GOVERNANCE

The Committee considers the skills, attributes and experience of the Executive Directors and the operating environment in determining the level of remuneration. Executive Directors remuneration comprises a fixed portion and a variable portion in the form of a performance bonus linked to achievement of corporate and individual goals and targets.

Remuneration of Non-Executive Directors reflects the time commitment and responsibilities of their role. They are remunerated based on their attendance at Board and/or Committee meetings.

Directors' remuneration in respect of the Company and the Group for the Financial Year ended 31st March 2019 are disclosed on page 197 of the Financial Statements are subject to shareholder approval.

2. Accountability & Audit

The Board makes every effort to provide a balanced and readily understandable assessment of the Company's financial, economic, environmental and social performance and position in compliance with relevant legislative, regulatory and voluntary standards and frameworks in line with international best practice.

Quarterly Financial Statements and other price sensitive announcements, press releases and regulatory reports also provide a balanced assessment of the matters discussed.

Mandatory disclosure requirements of the Companies Act No. 7 of 2007 are given in Table 2 below.

Table 2 : Mandatory disclosure requirements of the Companies Act No. 7 of 2007

Section	Requirement	Compliance Status	Reference
168 (1)(a)	Any change during the accounting period in the nature of business of the Company or any of its subsidiaries and the classes of business in which the Company has an interest	☑	Refer Group Directory on pages 283 to 285 of this Annual Report.
168 (1) (b)	Financial Statements of the Company and the Group for the accounting period completed and signed.	☑	Refer Financial Statements on pages 164 to 273 of this Annual Report.
168 (1) (c)	Auditors' Report on Financial Statements of the Company and the Group	☑	Refer Independent Auditors' Statement on pages 159 to 163 of this Annual Report.
168 (1) (d)	Change of accounting policies during the accounting period	☑	Refer Section 3 of the Annual Report of the Board of Directors on page 150 of this Annual Report.
168 (1) (e)	Particulars of entries in the interest register made during the accounting period	☑	Refer section 8.5 of the Annual Report of the Board of Directors on page 152 of this Annual Report.
168 (1) (f)	Remuneration and other benefits paid to the Directors during the accounting period	☑	Refer Note 9 to the Financial Statements on page 197 of this Annual Report.
168 (1) (g)	Total amount of donations made by the Company during the accounting period	☑	Refer Section 4.2 of the Annual Report of the Board of Directors on page 150 of this Annual Report.
168 (1) (h)	Directorate of the Company and the Group as at the end of accounting period along with the changes which occurred during the accounting period	☑	Refer Group Directory on pages 283 to 285 of this Annual Report.
168 (1) (i)	Amount payable to the Auditors as audit fees and fees payable for other related services provided by them	☑	Refer Note 9 of the Financial Statements on page 197 of this Annual Report.
168 (1) (j)	Relationship or interest of the Auditors with the Company or any of its subsidiaries	☑	Refer Section 16 of the Annual Report of the Board of Directors on page 154 of this Annual Report.
168 (1) (k)	Annual Report of the Board of Directors to be signed on behalf of the Board	☑	Refer pages 150 to 154 of the Annual Report of the Directors of this Annual Report.

2.1 Declarations by Board, CEO & CFO & Governance Disclosures

The Annual Report includes the following reports of the Board and its Committees provide key declarations on effective discharge of their duties.

- Annual Report of the Board of Directors – page 150
- The Board of Directors' Statement on Internal Control – page 155
- Responsibility for preparation and presentation of Financial Statements – page 167
- Reports of the Board Committees – pages 140 to 148
- Corporate Governance Report – [this report] pages 124 to 139

The Board has obtained a declaration from the Managing Director and the Assistant Vice President – Finance to affirm that the financial records of the entity have been properly maintained and that the Financial Statements comply with the Sri Lanka Financial Reporting Standards giving a true and fair view of the financial position and performance of the Group. Further, they also confirm that the systems of risk management and internal control operate effectively.

2. Risk & Internal Control

The Board is responsible for setting in place a process to identify, measure, monitor and manage the principal risks of the Group and determining the level of risk it is willing to accept in relation to its strategic goals. The Board is also responsible for setting in place a system of internal controls to safeguard the assets and investments of the Group and shareholders. The Group Internal Audit function reviews the risk management processes and the internal controls according to an Annual Audit Plan approved by the Audit Committee. The Audit Committee also reviews the Internal Audit Reports and ensures that recommendations included

are implemented in a timely manner, minimizing risk. The following reports provide further information in this regard:

- Risk Management Report on page 55
- The Board of Directors' Statement on Internal Controls on page 155
- Audit Committee Report on page 140

2.3 Audit Committee

The Audit Committee of our parent company serves as the Audit Committee of the Company as permitted by Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange as both the parent company and the subsidiary company are listed companies. ASHH PLC is a subsidiary of ASPLC where together with subsidiaries hold 77.68% of the total ordinary shares of the Company.

The Audit Committee of Aitken Spence PLC is given below.

Audit Committee	
Mr. R.N. Asirwatham – <i>Chairman</i>	Independent Non-Executive Director
Mr. G.C. Wickremasinghe	Independent Non-Executive Director
Mr. C.H. Gomez	Independent Non-Executive Director
Mr. N.J. De Silva Deva Aditya/Mr. A.L. Gooneratne [Alternate Director to Mr. N.J. De Silva Deva Aditya]	Non-Executive Director
Mr. J.M.S. Brito [Appointed w.e.f 23.05.2019]	Non-Executive Director

Composition of the Audit Committee is in line with the requirements D.3.1 of the Code which requires that it must comprise a minimum of 3 Non-Executive Directors of whom at least two should be independent. The Audit Committee met 8 times during the year and the report of its activities is given on page 140.

As the Company belongs to the tourism segment of Aitken Spence Group all policy decisions pertaining to the Company are taken by the parent company. Therefore, it is necessary that board sub committees of the parent company look into the matters of the subsidiary company in order to make sure that the policies and decisions of the subsidiary are in conformity with that of the parent company.

2.4 Related Party Transactions Review Committee

The Related Party Transactions Review Committee of ASPLC functions as the Related Party Transactions Review Committee of the Company and provides feedback to the Board of the Company on relevant material matters in line with its mandate. The composition of the Committee is given below which complies with the requirement D.4.2 of the Code which are similar to those for the Audit Committee as mentioned above.

Related Party Transactions Review Committee	
Mr. R.N. Asirwatham – <i>Chairman</i>	Independent Non-Executive Director
Mr. G.C. Wickremasinghe	Independent Non-Executive Director
Mr. C.H. Gomez	Independent Non-Executive Director
Mr. N.J. De Silva Deva Aditya/Mr. A.L. Gooneratne [Alternate Director to Mr. N.J. De Silva Deva Aditya]	Non-Executive Director
Mr. J.M.S. Brito [Appointed w.e.f 23.05.2019]	Non-Executive Director

2.5 Code of Ethics

The Company complies with the Group's Code of Ethics which seeks to provide guidance to employees an outline of expected behaviours in potential situations which could impact the business and an individual in his position. It clearly expresses how an employee should act with integrity under different circumstances. Both the Board and employees are required to adhere to the Code of Ethics to minimise reputation risk to the Group. Violations of the Code of Ethics is an offence subject to disciplinary action.

The main areas covered under the Group Code of Ethics include handling source of conflict, entertainment, financial conflicts, self-dealing, non-personal conflicts and business conduct and ethics.

3. Shareholder Relations

At the close of the financial year 2018/19, the Company had 3,399 shareholders. National Institutions and individuals held 99% of shares while Foreign Investors held the remaining 0.59%. ASPLC is the largest shareholder owning 71.21% of shares at close while the 20 largest shareholders held 92%.

During the year we made 7 announcements to the CSE to communicate changes in directorate, and registrars, first and final dividends and dealings by directors in shares of the Company. Shareholders also use the investor relation page of our website to access information regarding the Group.

The Annual General Meeting is the principal forum for engaging with shareholders and 59 shareholders holding 86.95% of shares attended and voted at the meeting held on 29th June 2018.

4. Internet of Things & Cybersecurity

The Company engages with customers across several social media platforms, corporate website, and through online aggregators with an increasing number of bookings originating from online engagements. We are also custodians of significant information assets which we have a responsibility to safeguard. Therefore, IoT and cybersecurity are key concerns for the Board and receive significant attention on the agenda. We have implemented a state of art Property Management and Reservations software and Enterprise Resource Planning software across the Group which are reviewed regularly.

We have also implemented IT policies across the Group which provide for adequate systems and controls and disaster recovery capability to facilitate safeguarding of the Group's information assets. The Company is also compliant with the payment card industry data security standards using tools and services from a leading specialist third party provider.

The Chief Information Security Officer [CISO] supported by Group IT of the AS

Group is responsible for ensuring the security of interacting sources and third party platforms which are necessary for our business. CISO is a member of the IT Steering committee and reports to the CFO of ASPLC, a member of the Group Supervisory Board and IT Steering Committee. Cybersecurity is discussed at the monthly IT Steering Committee meeting and subsequently at the Audit Committee meeting, with matters escalated to the ASHH PLC Board, where deemed necessary considering risk, impact and other prudential measures. It is also reviewed by the Board through the Audit Committee minutes. The information security division conducts regular vulnerability assessments on all IT related systems and a dedicated central IT team is in place to support all IT related matters of the Group.

5. ESG Reporting

The Company has a proud history of being a pioneer in ESG reporting in the country and awards won affirm high levels of commitment to transparency and a passion for excellence in ESG reporting. The following reports address the requirements of the Code.

Principle as per Code	Reference
Principle 1 - Reporting of Economic Sustainability	Financial Capital - page 70
Principle 2 - Reporting on the Environment	Natural Capital - page 114
Principle 3 - Reporting on Labour Practices	Human Capital - page 90
Principle 4 - Reporting on Society	Social & Relationship Capital - page 104
Principle 5 - Reporting on Product Responsibility	
Principle 6 - Reporting on Stakeholder identification, engagement and effective communication	Stakeholder Relationships - page 41
Principle 7 - Sustainable reporting to be formalised as part of the reporting process and to take place regularly	About this Report - page 8

Annex I: Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017 and the Colombo Stock Exchange Listing Rules.

Reference to ICASL Code & CSE Listing Rules	Corporate Governance Principle	How we Comply	Compliance Status
A. Directors			
A. 1.1/A1.2	Board Meetings/Role and Responsibilities of the Board	Refer An Effective Board of the Corporate Governance Report on page 126	☑
A. 1.3	Compliance with laws and access to independent professional advice	In discharging its duties, the Board seeks independent professional advice from external parties when necessary at the Company's expense. All Directors are further encouraged to attend seminars/training programmes relevant and useful to them in enhancing their business acumen and professionalism in carrying out their duties.	☑
A. 1.4	Access to advice from the Company Secretary and Indemnifying the Board, Directors and Key Management Personnel	The Directors have access to advice and services of the Company Secretaries who play a key role in facilitating the conduct of Board and General Meetings and ensuring that requirements of the Companies Act No. 7 of 2007 and the Listing Rules of the CSE are complied with. The appointment and removal of the Company Secretaries is a matter for the entire Board. Directors of the Company and the Group are indemnified by the Company.	☑
A.1.5	Independent judgment of the Directors	Directors of the Company exercise independent judgement on all matters set before the Board without bias. Two directors, Deshamanya D.H.S. Jayawardena and Miss D.S.T. Jayawardena are related to each other. However, they act in the best interests of the Group using their independent judgement on matters referred to the Board.	☑
A. 1.6	Dedicating adequate time and effort	All Directors devote sufficient time to the affairs of the Company to facilitate discharge of their duties effectively. Board papers are circulated at least one week prior to the meeting providing sufficient time to review and call for any further information required to contribute effectively to the deliberations at the Board Meeting.	☑
A. 1.7	Calls for resolutions	One third of the Directors may call for a resolution to be presented to the Board in the best interests of the Company.	☑
A. 1.8	Training of Directors	Please refer Induction and Training on page 128 in the Corporate Governance Report.	☑
A.2	Chairman and Chief Executive Officer Clear division of responsibility. No one Director with unfettered power.	There is a clear division of responsibilities at the Company with separation of the roles of the Chairman and the Managing Director who is our Chief Executive Officer. Deshamanya D.H.S. Jayawardena is the Chairman and Dr. M.P. Dissanayake is the Managing Director who is the CEO of the Company.	☑
A.2.1	Decision to combine the posts of Chairman and CEO	The role of the Chairman and the Managing Director are distinct and separate ensuring a balance of power within the Company. Consequently, there is no requirement for disclosure in accordance with this principle.	N/A

Reference to ICASL Code & CSE Listing Rules	Corporate Governance Principle	How we Comply	Compliance Status
A.3	Chairman's Role	Please refer Role of Chairman on page 128 in the Corporate Governance Report.	☑
A.4	Financial Acumen	All Directors have a sound knowledge of finance ensuring a sufficiency of financial acumen as apparent from their Board profiles. Additionally, two directors are Chartered Accountants and one Director is a Management Accountant ensuring a sufficiency of knowledge on matters of finance within the Board.	☑
A.5/A.5.1 <u>7.10.1(a) (b)</u> <u>(c)</u> <u>7.10.2(a)</u>	Board balance and Presence of Non-Executive Directors	The Board comprises of the Chairman, Managing Director, two Executive Directors and five Non-Executive Directors of whom three are independent. Majority of the Board comprises of Non-Executive Directors. The gender balance of the Board as at 31.03.2019 was 11% female and 89% male.	☑
A.5.2/ A.5.3/A.5.5 <u>7.10.3(a)</u> <u>7.10.3(b)</u> <u>7.10.4(a) to (h)</u>	Independence of Non-Executive Directors	The Board comprises of five Non-Executive Directors namely Mr. J.M.S. Brito, Mr. R.N. Asirwatham, Mr. N.J. De Silva Deva Aditya, Mr. C.H. Gomez and Mr. G.P.J. Goonewardena. The period of service of Mr. R.N. Asirwatham and Mr. C.H. Gomez as Board Members of the Company exceed nine years. Additionally, Mr. R.N. Asirwatham and Mr. C.H. Gomez are Directors of the parent company in which majority of the other Directors of the Company (ASHH PLC) are Directors, and which has a significant shareholding in the Company (ASHH PLC). However, their period of service and their office of Independent Non-Executive Director of the parent company do not compromise their independence and objectivity in discharging their functions as Non-Executive Directors of the Company. Hence, Mr. R.N. Asirwatham and Mr. C.H. Gomez are determined by the Board to be independent Directors. Mr. G.P.J. Goonewardena served as an Executive Director of the Company until his retirement on 30.06.2017 which was during the period of two years immediately preceding his appointment as a Non-Executive Director on 30.03.2018. However, his appointment as an Executive Director within two years period immediately preceding his appointment as a Non-Executive Director of the Company does not compromise his independence and objectivity in discharging his functions as a Non-Executive Director of the Company. Hence Mr. G.P.J. Goonewardena is determined by the Board to be an Independent Director.	☑
A.5.4 <u>7.10.2(b)</u>	Annual Declaration of Independence by the Non-Executive Directors	Each Non-Executive Director submits a signed declaration annually with regard to his independence/non-independence against specified criteria.	☑
A.5.6	Alternate Director to a Non-Executive Director	During the year under review, there were no appointments of alternate Directors.	☑

Reference to ICASL Code & CSE Listing Rules	Corporate Governance Principle	How we Comply	Compliance Status
A.5.7/5.8	Senior Independent Director	Although the Chairman is not an Independent Director, a Senior Independent Director has not been formally appointed.	Mr. R.N. Asirwatham in his capacity as the lead Independent Director acts as a sounding board to the Chairman on matters of concern.
A.5.9	Chairman meeting with the Non-Executive Directors	Informal discussions take place on matters that require the attention of the Non-Executive Directors.	☑
A.5.10	Recording concerns	Where applicable, any conflict/concerns that cannot be unanimously resolved are recorded in the Board Minutes.	☑
A.6/6.1	Supply of Information Obligation of the Management to provide appropriate and timely information	All Board members receive information regarding operations and performance of the Group on a monthly basis.	☑
A.6.2	Timely provision of Board Papers	Board papers are provided one week prior to the Board meeting.	☑
	Board meeting minutes	Extracts from the minutes are forwarded to the MDs within ten days of the meeting for follow-up action.	
A.7.1/A.7.2	Nomination Committee and the assessment of composition of the Board	The Nomination Committee of ASPLC serves as the Nomination Committee of the Company. It is comprised of the Chairman and two Independent Non-Executive Directors of ASPLC. The Nomination Committee Report provides further information on page 145.	☑
A.7.3 <u>7.10.3(d)</u>	Disclosure of Appointment of a New Director	Dr. M.P. Dissanayake was appointed to the Board as the Managing Director of the Company during the year under review. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange with a brief resume of such a Director containing the nature of his expertise, other directorships held, memberships in Board Committees and the nature of appointment.	☑
A.8/A. 8.1 /A.8.2	Re-election	All Directors who are retiring by rotation in terms of the Articles of Association of the Company and over the age of 70 years in terms of the Companies Act No. 7 of 2007, submit themselves for re-election / re-appointment by the shareholders of the Company at the forthcoming Annual General Meeting of the Company.	☑

CORPORATE GOVERNANCE

Reference to ICASL Code & CSE Listing Rules	Corporate Governance Principle	How we Comply	Compliance Status
A.8.3	Resignation	In the event that a Director wishes to resign from his or her position as a Director, he or she is expected to provide a written communication to the Board formally tabling his or her resignation along with reasons for such resignation.	☑
A.9/A.9.1/ A.9.2/A.9.3	Appraisals of the Board and the sub committees	Refer Board Evaluation on page 129	☑
A.10, A.10.1 7.10.3 [c]	Profiles of the Board of Directors and other related information	The names of the Directors of the Board and their profiles are given on pages 20 to 23.	☑
A.11/ A.11.1/A.11.2	Setting of the annual targets and the appraisal of the CEO	The performance evaluation of the Managing Director is carried out by the Chairman, in line with the financial and non-financial objectives set out in consultation with the Board at the commencement of each financial year.	☑
B. Directors' Remuneration			
B.1/B.1.1/ B.1.2/B.1.3 7.10.5[a] 7.10.5[b]	Establishment of a remuneration committee and its composition	Refer Directors' Remuneration on page 152. The Report of the Remuneration Committee on page 143 gives the composition of the Committee and a description of its activities during the year.	☑
B.1.4/B.2.10	Determination of the remuneration of the Non-Executive Directors	Remuneration of Non-Executive Directors reflects the time commitment and responsibilities of their role. They are remunerated based on their attendance at Board and/or Committee meetings.	☑
B.1.5	Consultation with the Chairman and the Managing Director	The Remuneration Committee consults the Chairman and the Managing Director on the proposals of the Committee regarding Executive Director remuneration and that of the Corporate Management Team. No director is involved in determining his/her own remuneration.	☑
B.2/B.2.1/ B.2.2/ B.2.3/B.2.4	The level and make-up of the remuneration of Directors and comparison of remuneration with other companies	The Remuneration Committee is responsible for evaluating the performance of the Managing Director, Executive Directors and the individual and collective performance of the Directors and Senior Management. Remuneration packages are structured to attract, retain and motivate them taking into consideration their roles and responsibilities, skills, experience, attributes. The Committee also considers external factors such as cost of living, inflation and industry norms.	☑
B.2.5	Performance based remuneration	Performance based remuneration of employees, including Executive Directors and Senior Management, is directly linked to the achievement of agreed targets and goals by the company and the individual.	☑
B.2.6	Executive share options	As at date, the Company has no share options available to its Directors.	N/A
B.2.7	Designing schemes of performance based remuneration	Refer the Report of the Remuneration Committee on page 143.	☑
B.2.8/B.2.9	Early Termination of Directors	The Remuneration Committee determines the remuneration of Directors in the event of early termination.	☑

Reference to ICASL Code & CSE Listing Rules	Corporate Governance Principle	How we Comply	Compliance Status
B.3.1 7.10.5.(c)	Disclosure of Remuneration	Refer the Report of the Remuneration Committee on page 143 and Notes 9 and 42.3 in the Financial Statements on page 197 and 264.	☑
C. Relations with Shareholders			
C.1.1	Dispatch of Notice of AGM and related papers to shareholders	Notice of Meeting, the Agenda for the Annual General Meeting and the Annual Report are circulated to shareholders within the stipulated time in accordance with the Articles of Association and the Code.	☑
C.1.2	Separate resolution for substantially separate issues.	Separate resolutions are proposed for substantially separate issues to provide shareholders the opportunity to deal with each significant matter separately.	☑
C.1.3	Accurate recording and counting valid proxy appointments received for general meeting	All proxy appointments received are duly recorded and counted in respect of each resolution, where a vote has been taken by a show of hands. In the event the appropriate number of shareholders give their intimation in writing and request for a poll, the procedure involved in voting would be circulated. In the absence of such intimation, all issues at the AGM will be passed by a show of hands.	☑
C.1.4	Availability of Chairman of Board Committees at the Annual General Meeting	The Chairmen of the Board Committees are present to answer any queries of the shareholders directed to them by the Chairman of the Company.	☑
C.1.5	Summary of Notice of General Meetings and procedures governing voting at General Meetings	In the event the appropriate number of shareholders give their intimation in writing and request for a poll, the procedures involved in voting would be circulated. In the absence of such intimation, all issues at the Annual General Meeting will be passed by a show of hands.	☑
C.2.1 to C.2.7	Communications with Shareholders	The Company encourages effective communication with the shareholders and answers queries and concerns of shareholders through the Company Secretaries, Registrars who will deal with such matters. Communications directed to the Corporate Communications Team will be referred to the Company Secretaries or Registrars who will deal with the matter.	☑
C.3.1 & C.3.2	Disclosure of Major Transactions	During the financial year there were no major transactions, which materially altered the Company's net asset base or the consolidated Group's net assets base. In the unlikely event that the net assets of the Company fall below half of shareholders' funds, the shareholders of the Company would be notified and an Extraordinary General Meeting would be called to propose the way forward in terms of the necessary statutory and regulatory requirements.	☑
D. Accountability & Audit			
D.1.1 to D.1.8	Accountability and Audit	Refer Accountability & Audit on page 130	☑
D.2.1 to D.2.5	Risk Management and Internal Control	Refer Accountability & Audit on page 131	☑

CORPORATE GOVERNANCE

Reference to ICASL Code & CSE Listing Rules	Corporate Governance Principle	How we Comply	Compliance Status
D.3.1/ D.3.2/D.3.3 <u>7.10.6(a)(b)(c)</u>	Audit Committee	Refer Accountability & Audit on page 131.	☑
D.4	Related Party Transactions Review Committee	Refer Related Party Transactions Review Committee on page 147.	☑
D.5.1	Board declaration for compliance with Code	Refer Chairman's message on page 124.	☑
D.5.2	Price sensitive information	Material and price sensitive information is promptly disclosed to the CSE by the Company Secretaries.	☑
D.5.3	Monitor Share purchase by Directors/ KMPs	Immediate disclosures of Directors pertaining to acquisition/disposal of relevant interest in shares issued by the Company are obtained from the Directors in accordance with Section 200 of the Companies Act No. 7 of 2007 and necessary disclosures are made to the CSE within two markets days. Also refer the Related Party Transactions Review Committee Report on page 147.	☑
D.5.4	Chairman's statement	Refer the Chairman's Message on Corporate Governance on page 124 and The Board of Directors' Statement on Internal Controls on pages 155 to 156.	☑
D.6	Corporate Governance disclosures	The Corporate Governance Report on pages 124 to 139 together with its Annexes comply with this requirement.	☑
E. Institutional Investors			
E.1.1	Institutional investors	The Company conducts regular discussions with Institutional Investors. The Annual Report provides a balanced review of the Group's performance supporting analysis and objective decision making. Shareholders are provided an opportunity to comment, discuss and seek clarifications on any relevant issue with the Chairman and the Board at the AGM, on conclusion of formal proceedings or by prior appointment.	☑
E.2	Evaluation of Governance Disclosures	Institutional investors are provided sufficient information to deliberate on matters relating to the structure and composition of the Board, facilitating evaluation of the same.	☑
F. Other Investors			
F.1	Investing and divesting decision	The Company provides sufficient relevant and material financial and non-financial material in its Annual Report to facilitate meaningful analysis and obtaining independent annual advice regarding their investment.	☑
F.2	Encouraging shareholder participation	Refer Shareholder Relations on page 132.	☑
G. Internet of things and cybersecurity			
G	Internet of things and cybersecurity	Refer Internet of Things & Cybersecurity on page 132.	☑
H. Environment, Society & Governance			
H	Environment, society and governance	Refer ESG Reporting on page 132.	☑

Annex II - Listing Rules of the Colombo Stock Exchange – Contents of the Annual Report

Section/ Rule	Requirement	Nature of Compliance by Aitken Spence Hotel Holdings	Compliance Status
7.6	Contents of the Annual Report		
i]	Names of directors of the entity	Refer Corporate Information on page 296 of this Annual Report.	☑
ii]	Principal activities of the entity and its subsidiaries during the year under review	Refer Group Directory on pages 283 to 285 of this Annual Report.	☑
iii]	20 largest holders of voting and non-voting shares and the percentage of shares	Refer Investor Information on pages 276 to 280 of this Annual Report.	☑
iv]	The Public Holding percentage, Float Adjusted Market Capitalisation, the options of compliance with the Minimum Public Holding requirement	Refer Investor Information on pages 276 to 280 of this Annual Report.	☑
v]	Directors and CEO's holding in shares of the entity at the beginning and end of each year	Refer Investor Information on pages 276 to 280 of this Annual Report.	☑
vi]	Information pertaining to material foreseeable risk factors	Refer Risk Management on pages 55 to 61 of this Annual Report.	☑
vii]	Details of material issues pertaining to employees and industrial relations	Refer Human Capital of integrated Management Discussion & Analysis on pages 90 to 97 of this Annual Report.	☑
viii]	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties	Refer Note 14.3.1 to the Financial Statements on page 208 and Real Estate Holdings of the Group on Page 282.	☑
ix]	Number of shares representing the Stated Capital	Refer Investor Information on pages 276 to 280 of this Annual Report.	☑
x]	Distribution schedule of the number of holders and the percentage of their total holding	Refer Investor Information on pages 276 to 280 of this Annual Report.	☑
xi]	Ratios and market price information	Refer Investor Information on pages 276 to 280 of this Annual Report.	☑
xii]	Significant changes in the entity's or its subsidiaries fixed assets and the market value of land	Refer Note 14 to the Financial Statements on pages 206 to 209 of this Annual Report.	☑
xiii]	If during the year the entity has raised funds either through a public issue, rights issue and private placement	The Company had no public issue, rights issue or private placement during the year under review.	☑
xiv]	Employee share options/purchase schemes	As at date, the Company has no share option/ purchase schemes made available to its Directors or employees.	☑
xv]	Corporate Governance Disclosures	Refer Corporate Governance on pages 124 to 139 of this Annual Report.	☑
xvi]	Related Party Transactions	Refer Note 42 to the Financial Statements on Pages 257 to 264.	☑

AUDIT COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company Aitken Spence PLC. The Audit Committee of Aitken Spence PLC thus acts as the Audit Committee of Aitken Spence Hotel Holdings PLC which has complied with the policies and procedures set out by the Group Audit Committee.

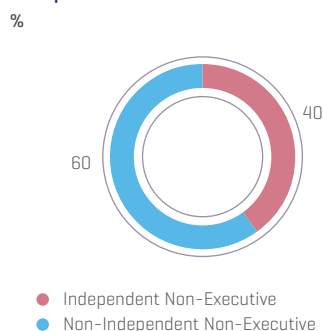
Composition of the Committee

Audit Committee Members	
Chairman	Mr. R.N. Asirwatham*
Members	Mr. G.C. Wickremasinghe* Mr. C.H. Gomez* Mr. N.J. De S Deva Aditya/ Mr. A. L. Gooneratne [Alternate Director to Mr. N. J. De S Deva Aditya]*
Secretary to the Committee	Mr. H.K.A. Rathnaweera - Chief Internal Auditor, Aitken Spence PLC
Attendance by invitation	Mr. J.M.S. Brito* - Managing Director, Aitken Spence Hotel Holdings PLC [Retired from the office of Managing Director w.e.f. 15.03.2019] Ms. D.S.T. Jayawardena - Executive Director, Aitken Spence Hotel Holdings PLC Ms. N. Sivapragasam - Chief Financial Officer, Aitken Spence PLC Mr. D.G.P. Ekanayake - Assistant Vice President - Finance, Aitken Spence Hotel Holdings PLC
Mr. J.M.S. Brito* - Appointed to the Committee w.e.f. 23.05.2019	

* Independent Non-Executive Director • Non-Executive Director

The Audit Committee comprised of three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors and is chaired by an Independent Non-Executive Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka. The profiles of the members are given on pages 20 to 23 of this report.

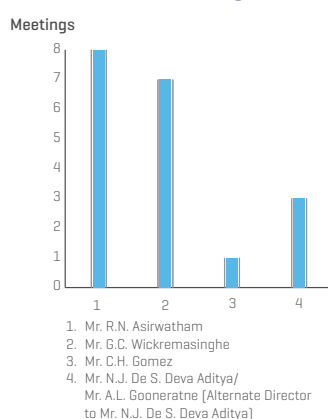
Independence of the Audit Committee



Committee Meetings

The Audit Committee functioned throughout the financial year and held eight formal meetings [with the exception of Mr. J.M.S. Brito who was appointed to the Committee w.e.f. 23.05.2019]. The attendance at the Audit Committee meetings held during the year under review were as follows:

Audit Committee Meeting Attendance



Mr. J.M.S. Brito - Appointed w.e.f. 23.05.2019

Attendance by Invitation

Mr. J.M.S. Brito, the then Managing Director along with Ms. D.S.T. Jayawardena, Executive Director, Ms. N. Sivapragasam, Chief Financial Officer, Aitken Spence PLC, Mr. D.G.P. Ekanayake, Assistant Vice President - Finance attended the meetings by invitation. Further, Senior Officers of the Group as well as the partner of KPMG responsible for the Group's audit attended the meetings by invitation as and when required.

Scope of Work

- Ensure that the financial statements are prepared, presented and the information is adequately disclosed in accordance with the Sri Lanka Accounting Standards [SLAS].
- Ensure that financial reporting requirements and information requirements of the Companies Act and other relevant financial reporting requirements are duly complied with.

- Ensure that Group internal control and risk management processes are adequate to meet the SLAS requirements.
 - Assessment of the independence and the performance of the External Auditors.
 - Make recommendations to the Board pertaining to the appointment, re-appointment and/or removal of the External Auditors and to approve their remuneration and terms of engagement.
- Key Highlights during the year under review**
- Monitored the integrity of the Group's financial statements, ensured compliance with financial reporting requirements and regulations and reviewed significant financial reporting judgments contained in them.
 - Reviewed the prevalence and adequacy of Group's internal control and risk management framework.
- The Audit Committee is responsible for overseeing the Group's relationship with the external auditor including reviewing the quality and effectiveness of their performance, their External Audit plan and process, their independence from the Group, their appointment and their audit fee proposals.
 - Reviewed the role and effectiveness of the Group Internal Audit function.

Summary of key focus areas during the year ended 31st March 2019

Risk Management and Internal Control

- Monitored the Group's risk management and internal control processes through detailed discussions with management and Executive Directors.
- Ensured that the risks are appropriately monitored and controlled, by considering the Group's principal risks and uncertainties and by reviewing the mitigating actions taken by the management.
- Reviewed the processes to ensure that the internal controls and risk management framework are adequate to meet the requirements of the SLAS.

Financial Reporting and Financial Control

- Reviewed the Group's quarterly and annual financial statements with regard to the following aspects:
 - Adequacy of disclosures.
 - Uniformity and appropriateness of the accounting policies adopted.
 - Major judgmental areas and ensured that they were in compliance with the Companies Act No. 7 of 2007.
 - Applicable Sri Lanka Accounting Standards and other applicable Accounting Standards of jurisdictions in which each subsidiary operates in.
 - Listing Rules of the Colombo Stock Exchange.
 - Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.
 - Requirements of other regulatory bodies as applicable for the Group.
- Discussed with the Management and External Auditors on future accounting developments which are likely to affect the financial statements.
- Reviewed the budgets and strategic plans of the Group in order to ensure that all forward-looking statements made within the Annual Report reflect the actual position of the Group.
- Reviewed the operational and other management information reports submitted by the Group's management to the Audit Committee and made recommendations for improvements.

AUDIT COMMITTEE REPORT

External Audit

- Reviewed and approved the External Auditor's work plan and resources and agreed on various key areas of focus.
- Carried out a review of the effectiveness and the progress of the External Auditor and the audit process.
- Discussed the management letter of the External Auditors and ensured that the management had taken appropriate action to satisfactorily resolve highlighted issues.
- Assessed the performance and effectiveness of the External Auditors, their independence professional capabilities and made recommendations to the Board pertaining to the re-appointment of the External Auditors.
- Held discussions from time to time to assess the current developments in respect of reporting and compliance in view of the changes in the Auditing Standards, Inland Revenue Act etc.

Internal Audit

- Reviewed and approved the Annual Audit Plan after considering its depth and coverage in the Group.
- Reviewed the Audit Reports, IT security reports and risk reports submitted by Internal Audit Department along with the respective sector's management response.
- Reviewed and evaluated the independence, effectiveness and competency of the Group's Internal Audit function, their resource requirements, and made recommendations for any required changes.
- The Audit Committee continued to ensure the co-ordination between Group Internal Audit and External Auditors.

Reporting

- The Chairman of the Audit Committee reports to the Board at each meeting on the activities of the Committee. Minutes of the Audit Committee meetings are also tabled at the Board Meeting.
- The Annual Report incorporates the Audit Committee Report.
- The Chairman of the Audit Committee attends the Annual General Meeting.

Re-Appointment of External Auditors

The Audit Committee having evaluated the performance of the External Auditors, decided to recommend to the Board the re-appointment of M/S KPMG, Chartered Accountants as the auditors of the Company for the current year, subject to the approval of the shareholders at the forthcoming Annual General Meeting.



R.N. Asirwatham
Chairman
Audit Committee

Colombo
24th May 2019

REMUNERATION COMMITTEE REPORT

• 102-35 • 102-36 • 102-37

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Remuneration Committee.

Composition of the Committee

Remuneration Committee Members	
Chairman	Mr. G.C. Wickremasinghe*
Members	Mr. R.N. Asirwatham* Mr. C.H. Gomez*
Attendance by invitation	Deshamanya D.H.S. Jayawardena - Chairman, Aitken Spence Hotel Holdings PLC Mr. J.M.S. Brito - Managing Director, Aitken Spence Hotel Holdings PLC [Retired from the office of Managing Director w.e.f. 15.03.2019] Ms. D.S.T. Jayawardena - Executive Director, Aitken Spence Hotel Holdings PLC

* Independent Non-Executive Director

Independence of the Committee

The members of the Committee are composed of three Independent Non-Executive Directors. They are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent, unbiased judgement. The members of the Committee refrain from taking part in determining their own remuneration.

Committee Meetings

The Committee formally met once during the year under review with the attendance of all its members. Deshamanya D.H.S. Jayawardena, Chairman, Aitken Spence Hotel Holdings PLC together with Mr. J.M.S. Brito, Managing Director, Aitken Spence Hotel Holdings PLC [Retired from the office of Managing Director w.e.f. 15.03.2019] and Ms. D.S.T. Jayawardena, Executive Director, Aitken Spence Hotel Holdings PLC attended the meeting by invitation.

The Remuneration Policy

The Group follows a formal and transparent procedure to ascertain the remuneration packages for individual Directors. The Committee considers the importance of formulating remuneration packages that are sufficient to motivate, attract and retain the Directors and considers the employment conditions of the Group companies and of the relevant industries.

The Group remuneration policy which was reviewed by the Committee remained unchanged during the year under review.

Key Highlights during the year under review

- The Committee invited each Managing Director to present recommendations.
- The direction was given based on sector performance, individual performance & potential, market conditions and respective industry practices.

Responsibilities

- Determining the policy of the remuneration package of the Directors.
- Evaluating performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units.
- Deciding on overall individual packages, including compensation on termination of employment.

Key Functions of the Committee

The Committee's decisions were based on the following policies:

- **Remuneration policy**
 - Evaluated the Group Remuneration Policy against the current market trends and industrial norms.
 - Reviewed and ensured the implementation of the Group Remuneration Policy.
 - Reviewed the policy of the remuneration package of the Directors.

REMUNERATION COMMITTEE REPORT

- Reviewed the specific application of the Group Remuneration Policy to the Managing Director and Executive Directors and general application to the Key Management Personnel below the Directorate of the Company.
- **Performance based remuneration**
 - Evaluated the performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units.
 - Reviewed, monitored and evaluated performance of Key Management Personnel as well as their management development and succession planning.
 - Evaluated the achievements as well as unaccomplished targets, results of which are used in determining the performance based remuneration.
- **Performance Incentives**
 - Evaluated the achievements as well as unaccomplished targets and results which are used to determine the performance based incentives.
- **Remuneration of Managing Director**
 - Evaluated the performance of the Managing Director and the Group management development plan and the succession planning process.



G.C. Wickremasinghe
Chairman
Remuneration Committee

Colombo
24th May 2019

NOMINATION COMMITTEE REPORT

• 102-24

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Nomination Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Nomination Committee.

Composition of the Committee

Nomination Committee Members	
Chairman	Mr. G.C. Wickremasinghe*
Members	Deshamanya D.H.S. Jayawardena* Mr. R.N. Asirwatham*

- Independent Non-Executive Director
- Executive Chairman

The Committee is composed of two Independent Non-Executive Directors along with the Chairman of the Company who served as members throughout the year under review. The Chairman of the Committee is an Independent Non-Executive Director of the parent company. The members of the Committee possess wide experience as well as financial and business acumen.

Committee Meetings

The full Committee met once during the year under review with the attendance of the Deputy Chairman and Managing Director of the parent company, Aitken Spence PLC who is also the Managing Director of the Company.

Key Highlights during the year under Review

- Considered each Director's knowledge and experience to carry out their responsibilities, the number of directorships held by each Director and the adequacy of the knowledge and experience each Director possesses to carry out duties in the capacity as a Director. The Committee was satisfied with the level of knowledge, commitment and skills of each Director.
- Recommended indemnity for each Director within the provisions of the Companies Act No. 7 of 2007.

Responsibilities of the Committee

- Broaden, balance and diversify the effectiveness and composition of the Board of Aitken Spence Hotel Holdings PLC and its Group Companies.
- Identify and recommend suitable candidates as Directors to the boards of Aitken Spence Hotel Holdings PLC and its Group Companies.
- Review the structure, size and composition of the Boards of Group Companies.
- Oversee the performance of the Board, its Committees and Individual Directors and evaluate their performance.
- Ensure that the Boards consist of persons with a wealth of knowledge, experience, competency and entrepreneurial skills to advance the effectiveness of the Boards.
- Review the Charter for the appointment and the re-appointment of Directors to the Boards of the Group companies and suggest amendments wherever necessary.
- Recommend insurance covers for Directors of Aitken Spence Hotel Holdings PLC and its Group companies.

Key Functions of the Committee

The Committee reviews and makes recommendations that are fair, free from any bias and not influenced by personal or business relationships, thereby enabling the Company to make sound and measured judgments in order to attract the best talent to the Group. During the year under review the Committee performed the following functions:

- Ensured the diversity and effectiveness of the Aitken Spence Hotel Holdings PLC Board and the Boards of its Group companies as well as the Key Management Personnel [KMPs].
- Reviewed and recommended necessary appointments to the Boards of the Group companies wherever necessary.
- Evaluated and recommended suitable internal and external candidates to higher levels of management.
- Reviewed the Group's policy and guidelines for appointment, re-appointment and succession planning.
- Evaluated the eligibility of the Directors who have offered themselves for re-election/re-appointment to the Board and made necessary recommendations to the Board.
- Recommended insurance covers for the Directors of Aitken Spence Hotel Holdings PLC and its Group companies.

NOMINATION COMMITTEE REPORT

The Committee further ensures that the combination of varied skills, knowledge and experience of the Directors of the Company and of the Group companies match the required strategic demands of the Group.

Re-election and re-appointment of Directors

Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. De S Deva Aditya who retire from the Board at the conclusion of the forthcoming Annual General Meeting in terms of Section 210(2) of the Companies Act No.7 of 2007, have offered themselves for re-appointment.

In terms of Article 83 of the Articles of Association, Mr. C.H. Gomez retires by rotation and has offered himself for re-election at the forthcoming Annual General Meeting.

Having given due consideration to each Director's performance, the Committee believes that the said Directors are eligible for re-appointment/re-election to continue as Directors of the Company.



G.C. Wickremasinghe

Chairman

Nomination Committee

Colombo
24th May 2019

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

• 102-34

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Related Party Transactions Review Committee.

Composition of the Committee

Related Party Transactions Review Committee Members

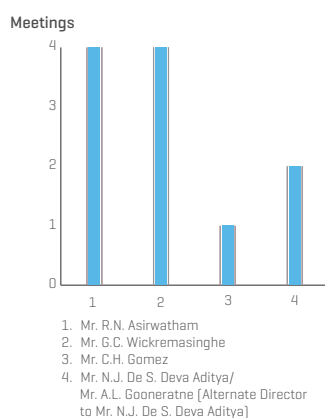
Chairman	Mr. R.N. Asirwatham*
Members	Mr. G.C. Wickremasinghe*
	Mr. C.H. Gomez*
	Mr. N.J. De Silva Deva Aditya/Mr. A.L. Gooneratne [Alternate Director to Mr. N.J. De Silva Deva Aditya]*
Mr. J.M.S. Brito* - Appointed to the Committee w.e.f. 23.05.2019	

- Independent Non-Executive Director
- Non-Independent Non-Executive Director

The Committee is composed of three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors. The Committee is chaired by an Independent Non-Executive Director who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Members of the Committee possess a wealth of knowledge and experience.

Committee Meetings

Related Party Transactions Review Committee Meeting Attendance



Mr. J.M.S. Brito - Appointed w.e.f. 23.05.2019

Key Highlights during the year under review

- Reviewed all proposed Related Party Transactions as well as post quarter confirmations.
- Communicated the activities of the Committee to the Board on a quarterly basis through tabling the minutes of the meetings of the Committee at Board Meetings.
- Review the threshold for Related Party Transactions which require either shareholders' approval or immediate market disclosures, as the case may be.
- Review the criteria of Key Management Personnel.
- Regularly report to the Board on the Committee's activities.

Responsibilities

The Committee's key focus is to review all proposed Related Party Transactions prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing Rules of the Colombo Stock Exchange and the responsibilities of the Committee are as follows:

- Evaluate any proposed Related Party Transactions on a quarterly basis and recommend to the management and the Board, the appropriate course of action to be taken in order to adhere to the compliance regulations of the Listing Rules and the Code of Best Practices on Related Party Transactions.
- Review any post quarter confirmations on Related Party Transactions.

Key Management Personnel

The Board of Directors of the Company is construed as the Key Management Personnel [KMPs] of Aitken Spence Hotel Holdings PLC. Further, Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as KMPs of such companies to establish greater transparency and governance.

Declarations are obtained from each KMP of the Company and its subsidiaries for the purpose of identifying related parties on a quarterly and annual basis to determine Related Party Transactions and to comply with the disclosure requirements, if any.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Key Functions of the Committee

- Policies and procedures adopted;
- The Group Company Secretaries obtain quarterly confirmations from the Key Management Personnel of any proposed Related Party Transactions and any post-quarter transactions. All such responses are tabled at each Related Party Transactions Review Committee meetings.
- Confirmations are obtained from all Group Companies of any proposed Related Party Transactions and any post-quarter transaction and all responses are tabled at each Related Party Transactions Review Committee Meeting.
- Non-recurrent transactions if any, are communicated to the Group Company Secretaries who in turn notify the Committee, if required.
- Review of Related Party Transactions
- Reviewed all proposed Related Party Transactions as well as post quarter confirmations.
- Activities of the Committee were communicated to the Board by tabling the minutes of the Committee Minutes.



R.N. Asirwatham

Chairman

Related Party Transactions Review
Committee

Colombo
24th May 2019

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the Financial Statements and other statutory reports. The responsibilities of the Directors, in relation to the Financial Statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this Report.

The Directors confirm that the Financial Statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2019 incorporated in this report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the companies within the Group maintain adequate and accurate records which reflect the true financial position of each such company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed and its impact to the Company.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the Financial Statements.

The Financial Statements presented in this Annual Report for the year ended 31st March 2019, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/ LKASs) which came into effect from 1st January 2012. The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the financial statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2019 and the Comprehensive Income Statement for the Company and the Group for the financial year ended 31st March 2019 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Independent Auditor's Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory

authorities due and payable by the Company and its Subsidiaries have been either duly paid or adequately provided for in the Financial Statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,
Aitken Spence Hotel Holdings PLC



**Aitken Spence Corporate Finance
[Private] Limited**
Secretaries

24th May 2019
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS

• 102-32

The Board of Directors of Aitken Spence Hotel Holdings PLC, has pleasure in presenting the Annual Report and the Audited Financial Statements for the year ended 31st March 2019 which were approved by the Board of Directors on 24th May 2019. The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange and the best accounting practices.

1. Principal Activities

The principal activities of the Company are that of an investment holding company and hoteliering and the subsidiary companies are also engaged in the business of hoteliering. During the year there were no significant changes in the principal activities of the Company and the subsidiaries.

2. Review of Operations

A review of operational and financial performance, the future of the Company and the Group are described in greater detail in the Chairman's Statement, Managing Director's Review and the Integrated Management Discussion and Analysis of the Annual Report. These reports together with the Audited Financial Statements of the Company and the Group reflect the respective state of affairs of the Company and the Group. The Group consists of the subsidiaries and equity accounted investees of Aitken Spence Hotel Holdings PLC and details of the Group structure is given on pages 32 to 33 of the Annual Report.

3. Accounting Policies and Changes During the Year

The Company and the Group prepared the Financial Statements in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs). The significant accounting policies adopted in the preparation of the Financial Statements of the Company and the Group and the changes made during the year are given on pages 172 to 268.

4. Synopsis of the Income Statement of the Company and the Group

4.1 Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs.884 million. [2018 - Rs. 824 million]. The Group revenue was Rs. 19,571 million [2018 - Rs. 18,251 million] which is a growth of 7% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in notes 4 & 5 to the Financial Statements on pages 192 to 196. The profit after tax of the Group was Rs. 1,197 million [2018 - Rs.1,583 million]. The Group's profit attributable to the equity shareholders of the parent company for the year was Rs. 811 million [2018 - Rs. 1,169 million]. The segmental profits are disclosed in note 4 of the Financial Statements on page 192.

4.2 Donations

During the year, donations amounting to Rs. 395,796/- were made by the Company, while the donations made by the Group during the year amounted to Rs. 2,758,937/-.

For the year ended 31st March	Group	
	2019 Rs. '000	2018 Rs. '000
Net Profit before tax	1,904,325	2,189,891
Provision for taxation including deferred tax	[707,161]	[606,496]
Net profit after tax	1,197,164	1,583,395
Other comprehensive income	2,014,543	[864,167]
Total comprehensive income for the year	3,211,707	719,228
Total comprehensive income attributable to non-controlling interest	1,191,773	62,255
Total comprehensive income attributable to equity shareholders	2,019,934	656,973
Transactions directly recognised in the equity statement	[17,115]	36,489
Balance brought forward from the previous year	16,216,628	15,607,239
Amount available for appropriations	18,219,447	16,300,701
Final dividend	[435,213]	[84,073]
Total reserves and earnings	17,784,234	16,216,628
Stated Capital	3,554,587	3,554,587
Balance attributable to equity holders of the Company at the end of the period	21,338,821	19,771,215

4.3 Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in note 11 of the Financial Statements. It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method. The deferred tax balances of the Group companies are given in notes 21 and 30 of the Financial Statements.

4.4 Dividends

The Directors recommend a preference dividend of cents 90 per share on the cumulative preference shares and a first and final ordinary dividend of Rs. 1/- per share on the ordinary shares. The entirety of the preference dividend and the ordinary dividend will be paid out of dividends received by the Company where 14% withholding tax on dividends have been deducted. The Directors are confident that the Company will meet the solvency test requirement under section 56(2) of the Companies Act No. 7 of 2007 immediately after the payment of preference dividend and the first and final ordinary dividend.

5. Synopsis of the Statement of Financial Position of the Company and the Group

5.1 Stated Capital and Reserves

As at 31st March 2019 the Company had issued 336,290,010 ordinary shares and 16,500,000 redeemable cumulative preference shares. The stated capital of the Company was Rs. 3,555 million. The Company's reserves as at 31st March 2019 were Rs. 7,075 million [2018 - Rs. 6,622 million] whereas the total Group's reserves as at 31st March 2019 were Rs. 17,784 million [2018- Rs. 16,217 million]. The movement in these reserves is shown in the Statement of Changes in Equity - Group on Page 168.

5.2 Property, Plant and Equipment

The carrying value of property plant and equipment for the Company and the Group as at 31st March 2019 amounted to Rs. 1,602 million and Rs. 49,918 million respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets acquired by the Company and the Group amounted to Rs. 47 million and Rs.6,804 million respectively.

5.3 Market Value of Freehold Properties

Land recognised as property, plant and equipment in the Financial Statements in the Group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years. Details of the revalued land, revaluation surplus, and the original cost are given in note 14.3 of the Financial Statements. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

5.4 Contingent Liabilities

The details of contingent liabilities are disclosed in note 37 of the Financial Statements on page 240.

6. Events occurring after the Reporting Date

No event of material significance that requires adjustments to the Financial Statements has arisen other than that disclosed in note 44 to the Financial Statements on page 264.

7. Going Concern

The Board of Directors is satisfied that the Company and the Group have adequate resources to continue their operations without any disruption in the foreseeable future. The Company's and the Group's Financial Statements are therefore prepared on a going concern basis.

8. Information on the Board of Directors and the Board Sub-Committees

8.1 Board of Directors

The names of the Directors of the Company who held office during the financial year is given in the following table and their brief profiles are given on pages 20 to 23 of the Annual Report. All of the below Directors held office during the entire year, with the exception of Dr. M.P. Dissanayake who was appointed as the Managing Director of the Company w.e.f. 15.03.2019. Mr. J.M.S. Brito retired from the office of Managing Director w.e.f. 15.03.2019 but will continue as a Non-Executive Director.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

For the year ended 31st March 2019	Executive	Non-Executive	Independent Non-Executive
Deshamanya D.H.S. Jayawardena [Chairman]	☒		
Dr. M.P. Dissanayake [Managing Director] [Appointed w.e.f. 15.03.2019]	☒		
Ms. D.S.T. Jayawardena	☒		
Mr. C.M.S. Jayawickrama	☒		
Mr. J.M.S. Brito [Retired from the office of Managing Director w.e.f. 15.03.2019 but will continue as a Non-Executive Director]		☒	
Mr. R.N. Asirwatham		☒	☒
Mr. N.J. De Silva Deva Aditya		☒	
Mr. C.H. Gomez		☒	☒
Mr. G.P.J. Goonewardena		☒	☒

8.2 Board Sub-Committees

The following Committees of the parent company namely Aitken Spence PLC function as the Audit, Remuneration, Nomination and Related Party Transactions Review Committees as permitted by the Listing Rules.

Audit Committee

Mr. R.N. Asirwatham [Chairman]
Mr. G.C. Wickremasinghe
Mr. C.H. Gomez
Mr. N.J. De S. Deva Aditya/Mr. A.L. Gooneratne [Alternate Director to Mr. N.J. De S. Deva Aditya in the parent company's Directorate]
Mr. J.M.S. Brito [Appointed w.e.f. 23.05.2019]

Remuneration Committee

Mr. G.C. Wickremasinghe [Chairman]
Mr. R.N. Asirwatham
Mr. C.H. Gomez

Nomination Committee

Mr. G.C. Wickremasinghe [Chairman]
Deshamanya D.H.S. Jayawardena
Mr. R.N. Asirwatham

Related Party Transactions Review Committee

Mr. R.N. Asirwatham [Chairman]
Mr. G.C. Wickremasinghe
Mr. C.H. Gomez
Mr. N.J. De S. Deva Aditya/ Mr. A.L. Gooneratne [Alternate Director to Mr. N.J. De S. Deva Aditya in the parent company's Directorate]
Mr. J.M.S. Brito [Appointed w.e.f. 23.05.2019]

8.3 Re-appointment of Directors who are over 70 years of age and Re-election of Directors

Upon the recommendation of the Nomination Committee and the Board, it is recommended that Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. De S. Deva Aditya who are over 70 years of age and who vacate office in term of Section 210 (2) (b) of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors. Mr. C.H. Gomez who retires by rotation in terms of Article

83 of the Articles of Association of the Company offers himself for re-election and the Board recommended same.

8.4 Directors' Shareholding

The Directors' shareholdings are provided on page 279 of the Annual Report.

8.5 Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007. Any interest in transactions disclosed to the Board by a Director in accordance with Section 192 of the Companies Act No. 7 of 2007 is duly recorded in the Interest Register.

8.6 Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2019 are disclosed on page 197 of the Financial Statements.

8.7 Related Party Transactions

Related party transactions of the Company and the Group are disclosed in note 42 to the Financial Statements. These are recurrent and non-recurrent related party transactions, which required disclosure in the Annual Report in accordance with the Sri Lanka Accounting Standard No. 24-Related Party Disclosures. However, there were no recurrent related party transactions which in aggregate value exceeded 10% of the consolidated revenue of the group as per the Audited Financial Statements as at 31st March 2018.

There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Company as per the Audited Financial Statements as at 31st March 2018, which required additional disclosures in the Annual Report under Section 9.3.2(a) of the Listing Rules of the Colombo Stock Exchange.

The Key Management Personnel and the Group companies (including the Company) have disclosed on a quarterly basis, the proposed related party transactions (if any) falling under the ambit of Section 9 of the Listing Rule of the Colombo Stock Exchange which were to be entered into with the Company and or with another company within the Group and or with any other 'Related Party' as defined in the Sri Lanka Accounting Standards [as applicable]. The disclosures so made were tabled at the quarterly meetings of the Related Party Transactions Review Committee, in compliance with the requirements of the above-mentioned Section.

The Directors declare that the Company is in compliance with Section 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year ended 31st March 2019.

8.8 Subsidiary Board of Directors

The names of Directors of the subsidiary companies who held office as at 31st March 2019 and Directors who ceased to hold office during the accounting period are set out on pages 283 to 285 of this Annual Report.

9. Human Resources

Our Human Resources strategies and practices have translated into the creation of a dynamic and competent human resource team with sound succession planning and a remarkably low attrition rate. Our employment strategies are reviewed periodically by the relevant Committees and the Board of Directors.

10. Corporate Governance

The Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant national and international laws and the regulations of Professional Institutes and Associations, Industrial Associations, Chambers of Commerce and Regulatory Bodies. The

Group complies with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka. The Group applies very high standards to protect and nurture the environment in which it operates and ensures strict adherence to all environmental laws and practices.

The Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavors to ensure the equitable treatment of shareholders. The Company's Corporate Governance practices are set out on pages 124 to 139 of this Annual Report.

11. Risk Management

The Directors have established and adhere to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievement of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the Risk Management Process through the Audit Committee. The Risk Management Report of the Group is on pages 55 to 61 of this Report.

12. Internal Controls

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

Board of Director's Statement on Internal Controls on pages 155 to 156, the Statement of Directors' Responsibilities on page 149 and the Audit Committee Report set out on pages 140 to 142 of this Report provide further information in respect of the above.

13. Statutory Payments

The Directors to the best of their knowledge and belief are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately provided for in the Financial Statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 149 of this Annual Report.

14. Corporate Sustainability

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Integrated Management Discussion and Analysis of this Report.

15. Shareholder Information

There were 3,399 shareholders as at 31st March 2019. The distribution schedule of the number of shareholders and their shareholdings are detailed on page 276 of this Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2019 are given on page 279 of this Annual Report. The percentage of the shares held by the public as at 31st March 2019 was 25.40% and the number of shareholders who held the public holding was 3,388. Information relating to Earnings Per Share and the Net Assets Per Share for

ANNUAL REPORT OF THE BOARD OF DIRECTORS

the Company and the Group, the Dividend Per Share and the Market Price Per Share are given on pages 10 and 277 of this Annual Report.

16. Auditors

The Independent Auditors' Report on the Financial Statements is given on pages 159 to 163 of this Annual Report. The retiring auditors Messrs. KPMG, Chartered Accountants have expressed their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General Meeting. The fees payable to the Company auditors Messrs. KPMG, Chartered Accountants was Rs. 936,000/- (2018 - Rs. 875,000/-) In addition to the above, Rs 512,600/- (2018 - Rs 437,185/-) was payable by the Company for permitted non audit related services including tax advisory services. Messrs. KPMG, Chartered Accountants the auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 283 to 285 of the Annual Report.

The amount payable by the Group to Messrs. KPMG, Chartered Accountants as audit fees was Rs 10,682,521/- (2018- Rs 9,158,070/-) while a further Rs.1,658,002/- (2018- Rs.950,154/-) was payable for permitted non audit related services including tax advisory services.

In addition to the above, Rs 1,665,655/- (2018 - Rs 1,419,317/-) was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non-audit related services including tax advisory services was Rs. 2,458,499/- (2018- Rs. 3,305,155/-). As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



Aitken Spence Corporate Finance
[Private] Limited
Secretaries

Colombo
24th May 2019

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

• 102-16 • 102-17

Responsibility

The Board of Directors ["Board"] has the overall responsibility of maintaining a sound system of internal controls and for periodically reviewing its effectiveness and integrity, in order to ensure, the Group's risks are within acceptable risk profile. Accordingly, the Board can provide reasonable assurance against misstatement of management and financial information and records. The Board has established an organizational structure, which clearly defines lines of accountability and delegated authority.

The Board has instituted an ongoing process for identifying, evaluating and mitigating significant risks faced by the Group, this process entails enhancing the internal control system as and when there are changes to the business environment and regulatory guidelines.

The Board has delegated specific responsibilities to the following four sub-committees:

- Audit Committee
- Nomination Committee
- Remuneration Committee
- Related Party Transactions Review Committee

These committees are chaired by Independent Non-Executive Directors and have the authority to examine particular issues and report back to the Board with their recommendations.

The Board is confident that the internal controls are adequate to provide reasonable assurance regarding the reliability of financial reporting which are in accordance with acceptable accounting principles and the applicable regulatory requirements.

Internal Audit

The Group's Internal Audit function is an independent function that reports directly to the Audit Committee, which also reviews and approves the annual audit plan. Audits are performed on all business units, functions and processes at a frequency which is predetermined based on the level of risk assessed.

The Group Internal Audit function provides independent assurance on the efficiency and effectiveness of the internal control systems and monitors compliance with policies and procedures. Findings and non-compliances are reported via Internal Audit reports.

The Audit Committee reviews all internal audit findings, management responses and the adequacy and effectiveness of the internal controls. The minutes of the audit committee meetings are tabled at the Board Meeting on a periodic basis.

Review adequacy and effectiveness

The Board and the Audit Committee, have taken steps to ensure adequacy and effectiveness of the internal controls of both financial and operational processes and remedial steps are taken where necessary.

The Board and the Audit Committee concluded that an effective system of risk management and internal controls are in place to safeguard the shareholders' investment and the Group's assets.

Policies, Procedures and Budgets

Policies and procedure to ensure the compliance with internal controls and relevant laws and regulations are set out in operations manuals, which are updated from time to time.

Annual budgets are approved by the respective Boards and the subsidiaries' performance are assessed against the approved budgets and explanations are provided for significant variances periodically to the respective Boards.

Whistle Blowing Policy

The Group encourages a whistle blowing policy which enables employees to bring irregularities in operational and financial policies and procedures as well as irregularities or weaknesses in financial reporting, internal controls, control procedures and management reporting or other matters within the Group to the notice of the higher management.

Proper arrangements have been put in place to facilitate fair and independent investigation for such matters (if any). The Group prohibits retaliation against anyone who raises a business conduct concern or co-operates in a Group investigation. Complaints made in good faith will not expose the concerned party, regardless of whether the underlying facts prove to be correct or result in any corrective action.

The prevalence and effectiveness of this policy is monitored by the Audit Committee from time to time.

The Group Code of Ethics

The Group Code of ethics which includes a strong set of corporate values and conduct, is circulated to Directors and all employees. The Board ensures that Directors and all employees strictly comply with the Group code of ethics in exercising their duties, communications, role modelling and in any other circumstances, so as to uphold the Group's image. Strict disciplinary action is initiated for any violation of the Group Code of Ethics.

Cyber Security

The Group has become more data driven, thus increasing the Group's reliance on technology. In this era, securing and protecting the Group's information assets becomes a priority. The Board has taken necessary precautions to minimize the risk of a security breach. During the year under review, necessary steps have been rolled out to curtail the exposure to cyber-attacks by reducing the threat surface and any potentially exploitable vulnerabilities.

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

Going Concern

The statement of going concern is set out in the 'Annual Report of the Board of Directors' on page 151.



Dr. M.P. Dissanayake
Managing Director

Risk Management

An overview of the Group's risk management framework is set out on page 55.



R.N. Asirwatham
Chairman
Audit Committee

Annual Report

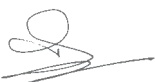
The Board is responsible for the preparation of the Annual Report and confirm that the quarterly reports, annual financial statements and the annual review of operations of the Group and its equity accounted investees that are incorporated in this Annual Report have been prepared and presented in a reliable manner, based on a balanced and comprehensive assessment of the financial performance of the entire Group.

Colombo
24th May 2019

Confirmation

All financial statements are prepared in accordance with the requirements of the Companies Act No. 7 of 2007, the Sri Lanka Accounting and Auditing Standards Act, and the Listing Rules of the Colombo Stock Exchange and other regulatory bodies as applicable for the Group.

We have duly complied with all the requirements prescribed by the regulatory authorities including the Colombo Stock Exchange and the Registrar of Companies. The consolidated financial statements for the year ended 31st March 2019 have been audited by Messrs. KPMG, Chartered Accountants.



Deshamanya D.H.S. Jayawardena
Chairman

FINANCIAL STATEMENTS

MOMENTS OF CELEBRATION



Over the years we have achieved immense growth, becoming a dominant force in the industry – a name synonymous with exceptional performance and quality.

FINANCIAL CALENDER

Events / Information	2019
Forty Second Annual General Meeting	28th June
First and Final Dividend for 2018/2019	9th July
Ex Dividend	1st July
Interim Statement for the three months ended 30th June	1st week of August
Interim Statement for the six months ended 30th September	1st week of November

Events / Information	2020
Interim Statement for the nine months ended 31st December	1st week of February

INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel : +94 - 11 542 6426
Fax : +94 - 11 244 5872
+94 - 11 244 6058
Internet : www.kpmg.com/lk

TO THE SHAREHOLDERS OF AITKEN SPENCE HOTEL HOLDINGS PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Aitken Spence Hotel Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31st March 2019, and the statement of profit or loss and comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 164 to 268 of this Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31st March 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka [Code of Ethics], and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company financial statements and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of Freehold Land

Refer the Accounting Policies in Note 3.5.1 and Note 14 to the financial statements

Risk Description

The Group has recorded a net gain on revaluation of Freehold Land amounting to Rs. 374 Mn as at 31st March 2019 by revaluing the Freehold land during the year.

Freehold land is measured at revalued amounts in the statement of financial position. The Group has engaged independent professional valuers with appropriate expertise in valuing properties, in locations of properties being valued to determine the revalued amounts of the land in accordance with recognized industry standards.

We identified this as a key audit matter because of the significant judgments and estimates involved in assessing the fair value of the Freehold Land.

Our response

Our audit procedures included,

- Assessing the objectivity, independence, competence and qualifications of the external valuers with the involvement of component auditors.
- Assessing the key assumptions applied and conclusions made by the external valuer in deriving the fair value of the properties and comparing the same with evidence of current market values.
- Assessing the adequacy of disclosures in relation to fair value of Land in the financial statements.

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA
T.J.S. Rajakarier FCA
Ms. S.M.B. Jayasekara ACA
G.A.U. Karunaratne FCA
R.H. Rajan FCA

P.Y.S. Perera FCA
W.W.J.C. Perera FCA
W.K.D.C. Abeyaratne FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel ACA

C.P. Jayatilake FCA
Ms. S. Joseph FCA
S.T.D.L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA

INDEPENDENT AUDITOR'S REPORT



Carrying amount of Goodwill

Refer the Accounting Policies in Note 3.5.5 and Note 17 to the financial statements

Risk Description	Our response
The Group has goodwill amounting to Rs.457 Mn as at 31st March 2019. The carrying amount of goodwill could be materially misstated if inappropriate judgments and estimates were used by the management in calculating the recoverable amount for each cash generating unit ('CGU') as part of their impairment assessment. The recoverable amount of the goodwill is determined based on value in use calculation. These calculations used cash flows projected using judgments and estimates based on the financial budgets approved by the management. We have identified the recoverable amount of the goodwill as a key audit matter since that is based on forecasted and discounted cash flows, which are inherently judgmental.	Our audit procedures included, - Evaluating the reasonableness of the Group's key assumptions for its cash flow projection such as discount rates, cost inflation and business growth with reference to the internally derived sources including Group budgetary process and reasonableness of historical forecasts. - Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation methods. - Considering the adequacy of the Group disclosures in the financial statements in respect of impairment testing.

Impairment of investments in subsidiaries and investments in equity accounted investees

Refer Accounting Policies in Note 3.1 and Note 18 and 19 to the financial statements

Risk Description	Our response
The company hold investments in subsidiaries and investments in equity accounted investees amounting to Rs. 7,704 Mn and Rs. 1,283 Mn respectively as at 31st March 2019. Further the Group holds investments in equity accounted investees amounting to Rs. 1,250 Mn. The carrying amount of each investments in subsidiary and investments in equity accounted investees have been tested for impairment as individual cash generating units. The carrying amount of these investments could be materially misstated if inappropriate judgments and estimates were used by the Directors in calculating the recoverable amount for each cash generating unit ('CGU') as a part of their impairment assessment. Investments which have not generated adequate returns may be an indication of impairment. Due to the investments being material it will have a significant impact on financial performance of the Company/ Group. We have identified the impairment of investments in subsidiaries and investments in equity accounted investees as a key audit matter since that is based on forecasting and discounting cash flows, which are inherently judgmental.	Our audit procedures included, - Assessing the impairment indications of investments made in subsidiaries and equity accounted investees and assessing the reasonableness of the discounted cash flow models, key assumptions, principles and accuracy of the forecasts. - Reviewing of Value in Use computations for investments with impairment indications and discussion with management of the Group/ Component. - Assessing the adequacy of disclosures in the financial statements.



Recoverability of Deferred Tax Assets	
Refer Accounting Policies in Note 3.11.4 and Note 21 to the financial statements	
Risk Description	Our response
The Group has recognized deferred tax assets amounting to Rs. 161 Mn as at 31st March 2019. Group had recognized significant deferred tax assets in respect of the future benefit of deductible temporary differences and accumulated tax losses which management considered would probably be utilised or recovered in the future through the generation of future taxable profits by the Group entities or by set-off against deferred tax liabilities. The recognition of deferred tax assets relies on the exercise of significant judgment by management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profits and the probability of such future taxable profit being generated and future reversals of existing taxable temporary differences. We identified the recognition of deferred tax assets as a key audit matter because of its significance to the consolidated financial statements and because of the significant management judgment and estimation required in forecasting future taxable profits which could be subject to error or potential management bias.	Our audit procedures included, - Assessing and challenging the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets. This included challenging the key assumptions in future taxable profits forecasts for each Group entity with accumulated unutilised tax losses by comparing the most significant inputs used in the forecasts, including future revenue, margins and operating cost growth rates, with the historical performance of the entities, management's forecasts used for other purposes and our knowledge of the business gained from other audit procedures. - Assessing adequacy of the disclosures in the financial statements.

Financial Instruments	
Refer Accounting Policies in Note 3.3 and Note 39.5.1.3 to the financial statements	
Risk Description	Our response
The effective portion of a Cash Flow Hedge has been recognized under other comprehensive income amounting to Rs. 84 Mn as at 31st March 2019. Group is exposed to financial risks arising from exchange rates. A subsidiary company has hedged its Euro currency revenue against the contractual future loan repayments. Rules on hedge accounting requirements and documentation can be complicated. Lack of compliance with documentation rules, hedge effectiveness rules, and probability criteria could lead to income statement volatility. Hedge relationships are formally documented and designated at inception. The documentation includes identification of the hedged item and the hedging instrument and details of the risk that is being hedged and the way in which effectiveness will be assessed at inception and during the period of the hedge. If the hedge is not highly effective in offsetting changes in fair values or cash flows attributable to the hedged risk, consistent with the documented risk management strategy, hedge accounting is discontinued. We identified this as a key audit matter due to the complexities and high level of judgment involved in determining the hedging item, hedge instrument and the testing effectiveness as required by the accounting standards.	Our audit procedures included, - Assessing the nature of the hedge relationships and testing compliance with specific hedge accounting requirements for foreign currency hedging. - Examining the accounting treatment applied for Hedge, in particular when reclassifying gains and losses from reserves to the income statement and adjustments to the carrying value of the hedged item. - Assessing the adequacy of the disclosure in financial instruments by agreeing the financial statements to the underlying workings prepared by management and ensuring classification is consistent with the accounting principles.

INDEPENDENT AUDITOR'S REPORT



Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 [2] of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2618.



CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

24th May 2019

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

• 102-7

For the year ended 31st March	Notes	Group		Company	
		2019 Rs. '000	2018 Rs. '000	2019 Rs. '000	2018 Rs. '000
Revenue	5	19,570,589	18,250,581	883,896	824,226
Revenue taxes		(516,004)	(481,042)	(19,532)	(18,119)
Net revenue		19,054,585	17,769,539	864,364	806,107
Other income / [expenses]	6	(60,812)	259,848	915,198	1,007,189
Staff costs		(3,482,599)	(3,103,254)	(194,318)	(176,836)
Depreciation		(1,746,184)	(1,702,725)	(57,016)	(63,223)
Amortisation and impairment		(127,540)	(112,529)	(41,288)	(656)
Other operating expenses - direct	7	(4,147,894)	(3,898,583)	(228,970)	(222,821)
Other operating expenses - indirect	8	(6,754,597)	(6,198,462)	(326,304)	(319,450)
Profit from operations	9	2,734,959	3,013,834	931,666	1,030,310
Finance income		240,574	263,213	97,461	102,119
Finance expense		(934,502)	(949,117)	(165,074)	(216,329)
Net financing income / [expense]	10	(693,928)	(685,904)	(67,613)	(114,210)
		2,041,031	2,327,930	864,053	916,100
Share of [loss] of equity accounted investees [net of tax]	19	(136,706)	(138,039)	-	-
Profit before taxation		1,904,325	2,189,891	864,053	916,100
Income tax [expense] / refund	11	(707,161)	(606,496)	(5,286)	6,506
Profit for the year		1,197,164	1,583,395	858,767	922,606
Attributable to:			-		
Equity holders of the parent company		810,581	1,169,314	858,767	922,606
Non - controlling interests		386,583	414,081	-	-
		1,197,164	1,583,395	858,767	922,606
Earnings per ordinary share - Basic / Diluted (Rs)	12	2.37	3.43	2.51	2.70

Figures in brackets indicate deduction

For the year ended 31st March	Group		Company	
	2019	2018	2019	2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit for the year	1,197,164	1,583,395	858,767	922,606
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	373,720	53,104	-	80,093
Share of other comprehensive income of equity accounted investees	264	2,193	-	-
Actuarial gains/ (losses) on defined benefit obligations	13,002	(20,900)	2,082	(5,417)
Income tax on other comprehensive income	(93,771)	(171,474)	(291)	(95,513)
	293,215	(137,077)	1,791	(20,837)
Items that are or may be reclassified to profit or Loss				
Foreign currency translation differences of foreign operations	1,805,457	233,308	-	-
Net movement in cashflow hedging	(84,129)	(960,398)	-	-
	1,721,328	(727,090)	-	-
Other comprehensive income for the year net of tax	2,014,543	(864,167)	1,791	(20,837)
Total comprehensive income for the year net of tax	3,211,707	719,228	860,558	901,769
Attributable to:				
Equity holders of the parent company	2,019,934	656,973	860,558	901,769
Non - controlling interests	1,191,773	62,255	-	-
	3,211,707	719,228	860,558	901,769

Figures in brackets indicate deductions

The notes on pages 172 to 268 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31st March	Notes	Group		Company	
		2019	2018	2019	2018
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS					
Non-Current Assets					
Property, plant and equipment	14	49,918,218	41,404,788	1,602,490	1,616,249
Leasehold properties	15	2,214,518	2,023,903	-	-
Prepaid operating leases	16	1,924,329	1,772,172	-	-
Intangible assets	17	472,879	416,053	3,061	1,505
Investment in subsidiaries	18	-	-	7,704,201	7,534,781
Investment in equity accounted investees	19	1,249,902	1,158,581	1,282,873	1,094,994
Other financial assets	20	778,986	763,780	632,311	660,419
Deferred tax assets	21	160,942	143,906	-	-
		56,719,774	47,683,183	11,224,936	10,907,948
Current Assets					
Inventories	22	552,878	428,537	20,287	21,240
Trade and other receivables	23	2,094,744	2,078,519	161,267	192,549
Amounts due from holding company	24	1,150,073	1,464,164	312,619	531,570
Amounts due from parent's group entities	25	303,397	368,783	111,589	316,451
Deposits and prepayments		764,124	533,238	25,645	9,921
Prepaid operating leases	16	74,969	66,203	-	-
Current tax receivable		36,537	23,233	12,190	-
Other financial assets	26	53,108	528,567	39,975	26,546
Cash and cash equivalents	26	3,152,780	5,418,970	456,931	367,291
		8,182,610	10,910,214	1,140,503	1,465,568
TOTAL ASSETS		64,902,384	58,593,397	12,365,439	12,373,516
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Company					
Stated capital	27	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	28	4,997,135	3,795,028	705,961	705,961
Retained earnings		12,787,099	12,421,600	6,329,264	5,916,326
		21,338,821	19,771,215	10,589,812	10,176,874
Non -controlling interests		9,256,614	8,122,788	-	-
Total Equity		30,595,435	27,894,003	10,589,812	10,176,874

As at 31st March	Notes	Group		Company	
		2019	2018	2019	2018
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Non-Current Liabilities					
Interest - bearing borrowings	29	23,405,292	18,154,051	400,600	667,000
Deferred tax liabilities	30	953,790	646,389	49,783	46,149
Other Liabilities	31	1,302,017	881,272	-	-
Employee benefits	32	206,750	195,194	35,472	35,162
		25,867,849	19,876,906	485,855	748,311
Current Liabilities					
Trade payables		923,504	600,229	29,165	38,823
Other provisions and payables	33	2,977,093	2,950,425	143,309	116,355
Amounts due to holding company		110,020	834,985	24,149	276,489
Amounts due to parent's group entities	34	56,051	66,719	783,146	717,312
Interest bearing borrowings	29	2,075,035	4,320,375	279,630	266,400
Current tax payable		188,426	227,525	-	9,108
Short term bank borrowings	26	2,108,971	1,822,230	30,373	23,844
		8,439,100	10,822,488	1,289,772	1,448,331
TOTAL LIABILITIES		34,306,949	30,699,394	1,775,627	2,196,642
TOTAL EQUITY AND LIABILITIES		64,902,384	58,593,397	12,365,439	12,373,516

The above Statements of Financial Position are to be read in conjunction with notes to the financial statements on pages 172 to 268.

I certify that the financial statements for the year ended 31st March 2019 are in compliance with the requirements of the Companies Act No. 07 of 2007.



D.G.P Ekanayake

Assistant Vice President - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board



Deshamanya D.H.S Jayawardena

Chairman



Dr. M. P. Dissanayake

Managing Director

24th May 2019
Colombo
Sri Lanka

STATEMENT OF CHANGES IN EQUITY

Group	Attributable to equity Holders of the Parent								
	Stated Capital	General Reserve	Foreign Currency Translation Reserve	Cashflow hedge Reserve	Revaluation Reserve	Retained Earnings	Total	Non Controlling Interests	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April 2017	3,554,587	22,929	1,718,952	-	2,610,938	11,254,420	19,161,826	8,270,862	27,432,688
Profit for the year	-	-	-	-	-	1,169,314	1,169,314	414,081	1,583,395
Other comprehensive income	-	-	227,980	(576,239)	(150,208)	(13,874)	(512,341)	(351,826)	(864,167)
Total comprehensive income for the year	-	-	227,980	(576,239)	(150,208)	1,155,440	656,973	62,255	719,228
Effect of change in percentage holding in subsidiaries	-	-	-	-	-	160,151	160,151	(160,151)	-
Transfer of capital reserves on disposal of subsidiary	-	-	-	-	(59,324)	59,324	-	-	-
Purchase of owned shares by Subsidiary	-	-	-	-	-	(123,662)	(123,662)	(7,280)	(130,942)
Dividends	-	-	-	-	-	(84,073)	(84,073)	-	(84,073)
Dividends of Subsidiaries to non controlling interest	-	-	-	-	-	-	-	(42,898)	(42,898)
Balance as at 31st March 2018	3,554,587	22,929	1,946,932	(576,239)	2,401,406	12,421,600	19,771,215	8,122,788	27,894,003
Adjustment on initial application of SLFRS 09, net of tax	-	-	-	-	-	[13,373]	[13,373]	(434)	(13,807)
Restated balance as at 01st April 2018	3,554,587	22,929	1,946,932	(576,239)	2,401,406	12,408,227	19,757,842	8,122,354	27,880,196
Profit for the year	-	-	-	-	-	810,581	810,581	386,583	1,197,164
Other comprehensive income	-	-	1,102,199	(50,477)	150,385	7246	1,209,353	805,190	2,014,543
Total comprehensive income for the year	-	-	1,102,199	(50,477)	150,385	817,827	2,019,934	1,191,773	3,211,707
Effect of change in percentage holding in subsidiaries	-	-	-	-	-	(3,742)	(3,742)	3,742	-
Dividends	-	-	-	-	-	(435,213)	(435,213)	-	(435,213)
Dividends of Subsidiaries to non controlling interest	-	-	-	-	-	-	-	(61,255)	(61,255)
Balance as at 31st March 2019	3,554,587	22,929	3,049,131	(626,716)	2,551,791	12,787,099	21,338,821	9,256,614	30,595,435

Dividend per ordinary share - [Note 13] Rs. 1.00 [2017/18 - Rs. 1.25]

Figures in brackets indicate deductions

Company	Notes	Stated Capital Rs. '000	General Reserve Rs. '000	Revaluation Reserve Rs. '000	Retained Earnings Rs. '000	Total Equity Rs. '000
Balance as at 01st April 2017		3,554,587	22,929	699,210	5,082,452	9,359,178
Profit for the year		-	-	-	922,606	922,606
Other comprehensive income		-	-	[16,178]	[4,659]	[20,837]
Total comprehensive income for the year		-	-	[16,178]	917,947	901,769
Dividends	[Note 13]	-	-	-	[84,073]	[84,073]
Balance as at 31st March 2018		3,554,587	22,929	683,032	5,916,326	10,176,874
Adjustment on initial application of SLFRS 09, net of tax					[12,407]	[12,407]
Restated balance as at 01st April 2018		3,554,587	22,929	683,032	5,903,919	10,164,467
Profit for the year		-	-	-	858,767	858,767
Other comprehensive income		-	-	-	1,791	1,791
Total comprehensive income for the year		-	-	-	860,558	860,558
Dividends	[Note 13]	-	-	-	[435,213]	[435,213]
Balance as at 31st March 2019		3,554,587	22,929	683,032	6,329,264	10,589,812

Dividend per ordinary share - Final Proposed [Note 13] Rs.1.00 (2017/18 - Rs. 1.25)

Figures in brackets indicate deductions

The notes on pages 172 to 268 form an integral part of these financial statements.

STATEMENT OF CASH FLOW

For the year ended 31st March	Group		Company	
	2019	2018	2019	2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit before taxation	1,904,325	2,189,891	864,053	916,100
Adjustments for				
Depreciation	1,746,184	1,702,725	57,016	63,223
Amortisation of lease and intangible assets	127,540	112,529	1,288	656
Impairment/ (reversal of impairment) of trade debtors	7,704	[11,989]	717	1,059
Impairment of financial assets	[7,816]	-	[6,214]	-
Impairment of equity accounted investees	-	-	40,000	-
Amortisation of government grant	-	[143]	-	-
Interest expense	934,502	949,117	165,074	216,329
Interest income	[240,574]	[263,213]	[97,461]	[102,119]
Loss on disposal of Investments	5,556	316	-	-
Profit on disposal of property, plant & equipment	[13,415]	[166]	[98]	[270]
Gain on disposal of Subsidiaries	-	[307,616]	-	[409,961]
Provision for retirement benefit obligations	40,944	43,430	6,463	6,228
Share of profit/(loss) of equity accounted investees (net of tax)	136,706	138,039	-	-
Effect of movement in exchange rates	87,125	75,046	4,929	[13,714]
Operating profit before working capital changes	4,728,781	4,627,966	1,035,767	677,531
(Increase)/decrease in inventories	[124,341]	43,798	953	1,596
(Increase)/decrease in trade and other receivables	[23,929]	[149,512]	24,751	[81,603]
(Increase)/decrease in amounts due from holding company	314,091	[1,108,501]	218,951	[531,570]
(Increase)/decrease in amount due from parent's group entities	65,386	73,313	204,862	5,501
(Increase)/ decrease in deposits & prepayments	[230,886]	168,860	[15,724]	13,489
Increase/(decrease) in trade payables	323,275	29	[9,658]	11,714
Increase/(decrease) in other provisions & payables	26,668	102,908	26,954	[53,984]
Increase/(decrease) in amounts due to holding company	[724,965]	486,656	[252,340]	68,959
Increase/ (decrease) in amount due to parent's group entities	[10,668]	[63,197]	65,834	56,409
Cash generated from operations	4,343,412	4,182,320	1,300,350	168,042
Interest expenses paid	[898,722]	[949,117]	[151,844]	[216,329]
Retirement benefit obligations paid	[25,012]	[38,850]	[4,071]	[5,844]
Income taxes paid	[560,737]	[392,361]	[21,221]	[5,961]
Net cash flow generated from operating activities	2,858,941	2,801,992	1,123,214	[60,092]

Figures in brackets indicate deduction

For the year ended 31st March	Group		Company	
	2019	2018	2019	2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net cash flow generated from operating activities	2,858,941	2,801,992	1,123,214	[60,092]
[brought forward from previous page]				
Cash flow from investing activities				
Investments in debt securities	-	[688,752]	-	[995,752]
Proceeds from debt securities	26,546	1,787	26,546	1,787
Investments in equity	[227,879]	-	[401,079]	50,000
Purchase of owned shares by subsidiary	-	[130,942]	-	-
Acquisition of property, plant & equipment	[6,803,628]	[5,097,080]	[47,275]	[57,472]
Purchase of intangible assets	[12,830]	[7,633]	[2,844]	[738]
Net cash inflow on divestment of Subsidiary	-	722,725	-	717,706
Proceeds from disposal of investments	13,677	22,973	3,780	-
Proceeds from disposal of property, plant & equipment	22,391	3,928	4,116	296
Interest received	220,599	274,688	83,195	100,233
Proceeds / (Purchase) of term deposits	488,888	1,847,497	-	100,000
Net cash used in investing activities	[6,272,236]	[3,050,809]	[333,561]	[83,940]
Cash flow from financing activities				
Proceeds from long-term borrowings	7,701,286	11,864,095	-	-
Repayment of long-term borrowings	[6,437,502]	[8,470,986]	[266,400]	[66,600]
Dividends paid to equity holders of the parent	[435,213]	[84,073]	[435,213]	[84,073]
Dividend paid to shareholders of non controlling interest	[61,255]	[42,898]	-	-
Net cash generated / (used) in financing activities	767,316	3,266,138	[701,613]	[150,673]
Net increase / (decrease) in cash & cash equivalents	[2,645,979]	3,017,321	88,040	[294,705]
Cash & cash equivalents at the beginning of the year	3,689,788	579,419	338,518	638,152
Cash & cash equivalents at the end of the year	1,043,809	3,596,740	426,558	343,447
Analysis of cash & cash equivalents at the end of the year.				
Cash at bank and in hand	2,503,071	4,473,848	456,931	367,291
Short term deposits	649,709	945,122	-	-
Short term bank borrowings	[2,108,971]	[1,822,230]	[30,373]	[23,844]
Cash & cash equivalent as previously reported	1,043,809	3,596,740	426,558	343,447
Effect of movement in exchange rates	-	93,048	-	[4,929]
Cash & cash equivalents at the end of the year	1,043,809	3,689,788	426,558	338,518

Figures in brackets indicate deduction

The notes on pages 172 to 268 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 315, Vauxhall Street, Colombo 02.

The consolidated financial statements of the Company as at and for the year ended 31st March 2019 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

The immediate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC and ultimate parent is Milford Exports (Ceylon) [Pvt] Ltd.

1.1. Principal activities and nature of operations

The principal activities of the company are that of an investment holding company and hoteliering and the subsidiary companies are also engaged in the business of hoteliering and auxiliary services and there has been no change in the nature of such activities during the year.

2. BASIS OF PREPARATION

2.1. Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs) effective from 1st January 2012, laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirement of the Companies Act No. 07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995. These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatment, which is not in compliance with the requirements of the SLFRSs and LKASs, regulations governing the preparation and presentation of the Financial Statements.

2.2. Components of Financial Statements

The consolidated Financial Statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information

on the financial performance of the Group and the Company for the year under review.

- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- a Statement of Changes in Equity depicting all changes in shareholders funds during the year under review for the Group and the Company
- a Statement of Cash Flow providing the information to users, on the ability of the of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows.
- notes to the Financial Statements comprising significant accounting policies and other explanatory information.

2.3. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.4. Reporting date

The financial statements of all companies in the group are prepared for a common financial year, which ends on 31st March except for Jetan Travel Services Co. (Pvt) Ltd., ADS Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd. Cowrie Investment (Pvt) Ltd. and Ace Resorts (Pvt) Ltd whose financial year ends on 31st December.

2.5. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2019 were approved and authorised for issue by the Board of Directors on 24th May 2019.

2.6. Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the statement of financial position.

Item	Basis of Measurement	Note Number
Land	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	14.3
Financial assets classified as fair value through other comprehensive income	Measured at fair Value	20
Retirement benefit obligations	Measured at the present value of the defined benefit obligation	32

2.7. Functional and presentation currency

Items included in these financial statements are measured using the currency of the primary economic environment in which the Company operates (the Functional Currency), which is the Sri Lankan Rupee.

These financial statements are presented in Sri Lankan Rupees. All financial information presented has been rounded to the nearest thousand except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on ‘Presentation of Financial Statements’.

Each entity in the Group determines its own functional currency and items included in the Financial Statements of these entities are measured using that Functional Currency. The offshore headquarter companies in the Group, change their presentation currency from Sri Lanka Rupees [LKR] to United States Dollar [USD] with effect from 1st April 2018 to reflect

the companies predominant operating currency in their financial statements. The Group accounted for this change in accounting policy by the subsidiary companies on prospective basis as the effect of the application of this change on the group’s financial statements is not material for the comparative years. The cumulative impact of the translation is transferred from Retained Earnings to Exchange Equalization Reserves commencing from 1st April 2018.

Other than the above there was no change in the Group’s Presentation and Functional Currency during the year under review. The financial statements of the group are presented in Sri Lankan Rupees [LKR] which is the functional currency of the Group entities other than for the companies listed below where the functional currency is either based on the country of incorporation of the respective company or elements that could influence in determining its functional currency.

Company	Country of Incorporation	Functional Currency
A.D.S Resorts Ltd	Maldives	USD
Unique Resorts (Pvt) Ltd	Maldives	USD
Jetan Travel Services Company (Pvt) Ltd	Maldives	USD
Cowrie Investments (Pvt) Ltd	Maldives	USD
Aitken Spence Resorts (Middle East) LLC	Oman	Oman Riyal
Aitken Spence Hotel Managements (South India) Pvt Ltd	India	Indian Rupees
Aitken Spence Hotel Services (Pvt) Ltd	India	Indian Rupees
P.R Holiday Homes (Pvt) Ltd	India	Indian Rupees
Perumbalam Resorts Pvt Ltd	India	Indian Rupees
Crest Star Ltd	Hongkong	USD
Crest Star (BVI) Ltd	British Virgin Island	USD
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	USD
Aitken Spence Hotels International Pvt] Ltd	Sri Lanka	USD
Aitken Spence Global Operations (Pvt) Ltd	Sri Lanka	USD

NOTES TO THE FINANCIAL STATEMENTS

2.8. Use of estimates and judgments

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/ LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses, accompany disclosures (including contingent liabilities). Those which management has assessed to have the most significant effect on the amounts recognised in the consolidated financial statements have been discussed in the individual notes of the related financial statement line items. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are also described in the individual notes of the related financial statement line items below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

2.9. Materiality and aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard - LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative' which was effective from January 01, 2016.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial

Statements of the Group and the Company.

Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.10. Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Company.

2.11. Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group. The financial statements are prepared on the going concern basis.

3. Summary of Significant Accounting Policies

3.1. Basis of consolidation

The group's financial statements comprise of the consolidation of financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard [SLFRS -10] - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard [LKAS 28] - Investments in Associates and Joint Ventures.

3.1.1. Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

As per the requirements of Sri Lanka Accounting Standard [SLFRS 3] - Business Combinations when the Group acquires a business it assesses the financial assets and liabilities assumed under classifications or designations on the basis of the contractual terms, economic conditions, its operating or accounting policies and other pertinent conditions exist at the acquisition date as at the acquisition date, which is the date on which control is transferred to the Group. Control exists when the Company has the power, directly or indirectly to govern the financial and operating policies of an entity so as to obtain

benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable and other contractual arrangements.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognized amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognized amount [generally fair value] of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2. Non-controlling interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interest" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non – controlling interest" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3. Subsidiaries

Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed, or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investees. The group controls an investee if only if, the Group has

- * Power over the investee [i.e.; existing rights that give it the current ability to direct the relevant activities of the investee]
- * Exposure or rights to variable returns from its involvement with the investee
- * The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities are made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party,

NOTES TO THE FINANCIAL STATEMENTS

if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.

Therefore Group considers all relevant facts and circumstances in accessing whether it has power over an investee including:

- * The contractual arrangement with the other vote holders of the investee
- * Rights arising from other contractual arrangements
- * The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company.

3.1.4. Loss of control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, It is accounted for an equity accounted investee or as an available for sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5. Investments in equity accounted investees [investment in associates and Joint Venture]

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. Significant influence is the power to participate in the financial

and operating policy decisions of the investee, but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% – 50% of the voting rights of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has joint control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost. The carrying amount of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distributions received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equal the share of losses not recognised previously.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition when there has been a change recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Groups share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

At each reporting date the Group determines whether there is objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the amount in share of losses of equity accounted investees or joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currency

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated to the functional currency at the exchange rate at that date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation generally are recognized in income statement. However the following items are recognized in the other comprehensive income.

- i. Differences arising on the retranslation of available for sale equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.
- ii. Gains and losses arising from translating the financial statements of foreign operations
- iii. Qualifying cash flows hedges to the extent that the hedge is effective

3.2.2. Foreign operations

Subsidiaries incorporated outside Sri Lanka are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. Income and expenses of the foreign entities are translated at exchange rate approximating to the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate during each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is re-attributed to non-controlling interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary items receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which

NOTES TO THE FINANCIAL STATEMENTS

in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3. Financial instruments

The Group has initially applied SLFRS 9 from 1 April 2018. Information about transitional impact on the application of SLFRS 9 is disclosed in Note 49 to the financial statements.

Financial assets – Policy applicable from 1 April 2018

[a] Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognized when the Group becomes a party to the contractual provisions of the instrument

A financial asset (unless it is a trade receivable without a significant financing component) is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

[b] Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI- debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount of outstanding.
- A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets – Business model assessment:

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity

Transfers of financial assets to third parties in transactions that do not qualify for de recognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest:

Policy applicable from 1 April 2018

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par-amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets – Subsequent measurement and gains and losses:

Policy applicable from 1 April 2018

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in profit or loss.
Financial assets at amortized cost	These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI on derecognition. Gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are never reclassified to profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

Financial assets – Policy applicable prior to 1 April 2018

The Group classified its financial assets into one of the following categories:

- loans and receivables;
- held to maturity;
- available for sale; and
- at FVTPL, and within this category as:
 - held for trading
 - derivative hedging instruments; or
 - designated as at FVTPL

Financial assets – Subsequent measurement and gains and losses:

Policy applicable prior to 1 April 2018

Financial assets at FVTPL	Measured at fair value and changes therein, including any interest or dividend income, were recognised in profit or loss.
Held-to-maturity financial assets	Measured at amortised cost using the effective interest method.
Loans and receivables	Measured at amortised cost using the effective interest method.
Available-for-sale financial assets	Measured at fair value and changes therein, other than impairment losses, interest income and foreign currency differences on debt instruments, were recognised in OCI and accumulated in the fair value reserve. When these assets were derecognised, the gain or loss accumulated in equity was reclassified to profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign

exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

[c] Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognized in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets.

In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

[d] Impairment

Impairment policy: applicable from 1 April 2018

Non-derivative financial assets

Financial instruments and contract assets

Loss allowances for trade receivables is always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realizing security (if any is held); or
- the financial asset is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

Twelve month ECLs are the portion of ECLs that result from default events that are possible within the twelve months after the reporting date (or a shorter period if the expected life of the instrument is less than twelve months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 180 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 180 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

Impairment Policy: applicable prior to 1 April 2018

Financial assets (including receivables)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

NOTES TO THE FINANCIAL STATEMENTS

Objective evidence that financial assets (including equity securities) are impaired can include default or delinquency by a debtor, restructuring of an amount due to the Group on terms that the Group would not consider otherwise, indications that a debtor or issuer will enter bankruptcy, or the disappearance of an active market for a security. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment for receivables at both a specific asset and collective level. All individually significant receivables are assessed for specific impairment. All individually significant receivables found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Receivables that are not individually significant are collectively assessed for impairment by grouping together receivables with similar risk characteristics.

In assessing collective impairment the Group uses historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against receivables. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Impairment Policy: Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

An impairment loss is recognized if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss.

An impairment loss in respect of other assets, recognised in prior periods is assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Hedge accounting and cash flow hedge

The Group has applied SLFRS 9 hedge accounting requirements from 1 April 2018 for the first time in these financial statements, which is effective for annual periods beginning on or after 1st January 2018, in which the relevant transition requirements of SLFRS 9 will be applied.

'Hedging' is a process of using a financial instrument to mitigate all or some of the risk associated to a hedged item. 'Hedge accounting' changes the timing of recognizing the gains and losses on either the hedged item or the hedging instrument so that both are recognized in profit or loss or other comprehensive income in the same accounting period in order to record the economic substance of the relationship between the hedged item and instrument.

Cash Flow Hedge

A hedge of an exposure to variability in cash flows that is attributable to a particular risk associated with a recognizes asset, liability or a highly probable forecast transaction that could affect the profit or loss is classified as a cash flow hedge.

Accounting Policy applicable from 1 April 2018

At the date of transition to SLFRS 9, the Group updates the hedge documentation for the existing hedging relationships under LKAS 39 that continue to comply with the SLFRS 9 documentation requirements. The expected changes are the incorporation of the hedge ratio and the expected sources of ineffectiveness and the removal of the retrospective effectiveness test [which is no longer required under SLFRS 9].

SLFRS 9 introduces the concept of 'rebalancing'. Rebalancing refers to adjustments to the designated quantities of either the hedged item or the hedging instrument of an existing hedging relationship for the purpose of maintaining a hedge ratio that complies with the hedge effectiveness requirements. This allows the Group to respond to changes that arise from the underlying or risk variables. Rebalancing does not result in de-designation and re-designation of a hedge, but it is accounted for as a continuation of the hedging relationship. However, on rebalancing, hedge ineffectiveness is determined and recognised immediately before adjusting the hedge relationship. Rebalancing is consistent with the requirement of avoiding an imbalance in weightings at inception of the hedge, but also at each reporting date and on a significant change in circumstances, whichever comes first.

When rebalancing a hedging relationship, the Group update its documentation of the analysis of the sources of hedge ineffectiveness that are expected to affect the hedging relationship during its remaining term.

In some circumstances, rebalancing is not applicable [for example, where the changes in the hedge relationship – which might arise from changes in the derivative counterparty credit risk – cannot be compensated by adjusting the hedge ratio]. In addition, if the risk management objective has changed, rebalancing is not allowed, and hedge accounting should be discontinued.

Accounting Policy applicable prior to 1 April 2018

Group formally designate and document a hedge relationship between a qualifying hedging instrument and a qualifying hedged item at the inception of the hedge; and both at inception and on ongoing basis, demonstrate that the hedge is highly effective.

The documentation includes identification of the hedge or transaction, hedging instrument, nature of the risk that is being hedge and the way in which effectiveness of the hedge will assessed at inception and during the period of the hedge.

The Group makes an assessment, both at the inception of the hedge relationship and on an ongoing basis, whether the hedging instrument is expected to be highly effective in offsetting the changes in cash flows derived from the respective hedged item during the period for which the hedge is designated, and whether the actual results of each hedge is highly effective.

The effective portion of the gain or losses on the hedging instrument is recognised directly as other comprehensive income in the cash flow hedge reserve while any ineffective portion is recognised immediately in profit or loss. The amount recognised in the other comprehensive income is reclassified to profit or loss as a reclassification adjustment in the same period as the hedged cash flows affect profit or loss, and is recognised under the same line item in the income statement.

If the forecast transaction is no longer expected to occur, the hedge no longer meets the criteria for hedge accounting, the hedging instrument expires or is sold, terminated or exercised, or the designation is revoked, hedge accounting is discontinued prospectively and the amount accumulated in equity is reclassified to profit or loss.

3.4. Stated capital Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

Preference Shares

Preference Share capital is classified as equity if it is non-redeemable or redeemable only at the company's option and any dividends are discretionary. Dividends thereon are recognized as distributions within equity upon approval by the company's shareholders.

Preference share capital is classified as a financial liability if it is redeemable on a specific date or at the option of the shareholders, or if dividend payments are not discretionary. Dividends thereon are recognized as interest expense in income statement as accrued.

3.5. Assets and bases of their valuation

3.5.1. Property, plant and equipment

3.5.1.1. Recognition and measurement

Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.

NOTES TO THE FINANCIAL STATEMENTS

The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition of its intended use. This also includes costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

All items of property, plant and equipment are recognised initially at cost.

The Group recognizes land owned by them in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land does not change other than by a significant amount at each reporting period the Group will revalue such land every five years.

Any surplus arising on the revaluation is recognized in other comprehensive income except to the extent that the surplus reverses a previous revaluation deficit on the same asset recognized in income statement, in which case the credit to that extent is recognized in income statement. Any deficit on revaluation is recognized in income statement except to the extent that it reverses a previous revaluation surplus on the same asset, in which case the debit to that extent is recognized in other comprehensive income. Therefore, revaluation increases and decreases cannot be offset, even within a class of assets.

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The details of land valuation are disclosed in note 14.3.1 to the financial statements.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to accumulated profits and is not taken into account in arriving at the gain or loss on disposal.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal of with the carrying amount of property, plant and equipment and are recognized net within other income in income statement.

3.5.1.2. Significant components of property, plant and equipment

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.

3.5.1.3. Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.5.1.4. Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed of. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonable certain that Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

• Leasehold Premises	over the remaining lease period
• Buildings	08- 50 years
• Plant & Equipment	10-20 years
• Kitchen Equipment	05 -15 years
• Office Equipment	03- 10 years
• Sports Equipment	05-10 years
• Motor Vehicles	04-06 years
• Boats	5 years
• Swimming Pool & Equipment	15- 30 years
• Furniture & Fittings	10- 20 years
• Crockery, Cutlery & Glassware	03-05 years
• Soft Furnishing	05-10 years

Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.2. Leased assets

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. The owner occupied property acquired by way of finance lease is stated at an amount equal to the lower of its fair value and the present value of the minimum lease payments at inception of the lease, less accumulated depreciation and impairment losses if any.

3.5.3. Leasehold property - land

Leasehold property comprising of land use rights and is amortised on a straight line basis over the period of the lease in accordance with the pattern of benefits expected to be derived from the lease. Leasehold property is tested for impairment annually. The impairment loss if any is recognised in the income statement.

3.5.4. Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.5.5. Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. The policy on measurement of goodwill is at initial recognition.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.5.6. Computer software

All computer software cost incurred, licensed for use by the Group, which does not form an integral part of related hardware and which can be clearly identified, reliably measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalized only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess

NOTES TO THE FINANCIAL STATEMENTS

of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognized in the income statement on a straight line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.6.1. Website costs

Costs incurred on development of websites are capitalized when the entity is satisfied that the web site will generate probable economic benefits in the future. The estimated useful lives for the current and comparative periods are three years.

3.5.7. Investment properties

Investment properties are land and buildings that are held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods and services or for administrative purposes. Investment property is measured at cost at initial recognition and subsequently at cost less aggregate depreciation. However, if there is impairment in value, other than of a temporary nature, the carrying amount is reduced to recognize the decline.

3.5.8. Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

3.5.9. Trade and other receivables

Trade and other receivables are stated at the amounts estimated to be realised after providing for impairment on trade and other receivables.

Other receivables and dues from related parties are recognised at cost, less provision for impairment.

3.5.10. Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and short term deposits with original maturity of three months or less. Bank overdrafts are shown within borrowings in current liabilities. For purpose of Cash flow Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as components of cash and cash equivalent.

3.5.11. Non-current assets held for sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill, and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measures in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in profit or loss. Gains are not recognized in excess of any impairment loss.

3.6. Liabilities and Provisions

3.6.1. Liabilities

Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year from the reporting date. Non-current liabilities are those balances payable after one year from the reporting date.

All known liabilities are accounted for in the statement of financial position.

3.6.2. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and

the risks specific to the liability. The unwinding of discount is recognised as finance cost.

3.6.3. Trade and other payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

3.6.4. Government grants

A government grant is recognised initially as deferred income at fair value when there is a reasonable assurance that it will be received and the Group will comply with the conditions associated with the grant.

Grants that compensate the Group for expenses incurred are recognised in income statement on a systematic basis in the periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset is recognised in income statement on a systematic basis over the useful life of the asset.

3.7. Employee benefits

3.7.1. Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. Obligations for contributions to defined contribution plan, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.1. Provident fund and trust fund – Sri Lanka

All employees in Sri Lanka are members of the Employees' Provident Fund and Employees' Trust Fund, to which employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances

3.7.1.2. Contribution to Retirement Pension Scheme- Maldives

All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. Both employer and employee contributes 7% respectively to this scheme of such employees' pensionable wage. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.3. Employee Provident Fund – India

Group companies in India contribute a sum of 12% of the basic salaries of all employees as provident fund benefits to the Employee Provident Organisation of India.

3.7.1.4. Defined contribution Fund – Oman

Group companies in Oman contribute a sum of 10.5% of the gross salary + 1% in respect of work related injuries and illness for Omani employees in accordance with Social Security Insurance Law. Whilst the employee is required to contribute 7% of the salary.

3.7.1.5. Defined Benefit Plans – retiring gratuities

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

3.7.1.6. Retiring Gratuity – Sri Lanka

The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

The defined benefit plan is valued by a professionally qualified external actuary.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees. However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognizes all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.

3.7.1.7. Defined Benefit Plans – Oman

Under the labour law of Oman gratuity is due to expatriate employees upon termination of employment. Gratuity is computed based on half month's basic salary for each year during the first three years of employment and a full months basic salary for each year of employment thereafter. An employee who has been in employment for less than one year is not entitled to receive gratuity.

NOTES TO THE FINANCIAL STATEMENTS

3.7.1.8. Defined Benefit Plans – India

A liability is provided for employees in India based on a valuation made by an independent actuary using unit credit method for payment of gratuity at the rate of 15/26 times the monthly qualifying salary for each year of service.

3.7.2. Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

3.8. Revenue

Group revenue represents sales to customers outside the Group and excludes value added tax.

Accounting Policy applicable from 1 April 2018

3.8.1. SLFRS 15- Revenue from contracts with Customers

The Group has initially applied SLFRS 15 from 1 April 2018 for the first time in these financial statements, which is effective for annual periods beginning on or after 1st January 2018.

As there was no significant impact on adoption of this standard, comparative information have not been re-stated, the specific criteria used for the purpose of recognition of revenue remains the same as preceding years. There was no transitional impact on the application of SLFRS 15 for the Group.

SLFRS 15 established a comprehensive framework for determining whether how much and when revenue recognized. Revenue is measured based on the consideration specified in a contract with a customer. Under SLFRS 15, the Group revenue is recognise when a customer obtain control of the goods or services – Determining the timing of the transfer of control – at a point in time or over time requires judgement.

Under SLFRS 15, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognition will not occur.

The following specific criteria are used for the purpose of recognition of revenue:

- Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and

matched with the related expenditure where they simultaneously receives and consumes the benefits of the services rendered.

- Restaurant revenue includes the revenue recognized on the sale food and beverage. All revenue is accounted for at the time of sale.
- Bar revenue are accounted for at the time of sale.
- Spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognized gross after completion of service / treatments.
- Transfers and excursions includes the consideration earned from providing transport and excursions to customers that represents sea plane and boat transfers services provided to customers who enter into contacts with Maldives Hotels. Revenue is recognised at the time of rendering the service.
- Rent and shop income represents the rental income arising from renting of property, plant and equipment and investment properties. All revenue is recognized on a straight-line basis over the term of hire.
- Telephone, laundry, diving and windsurfing represents the services provided to customers which are implied as business practice in the industry. All revenue is recognised for at the time of rendering the service.
- Dividend income is recognised when the right to receive dividends is established. Dividend income is included under other operating income.
- Interest income is recognised as it accrues. Interest income included under finance income in the income statement.
- The Group has a customer loyalty program whereby customers are awarded credits (reward points) known as “Diamond points”, which allows customers to accumulate points when they occupy group hotels. These points can then be redeemed for future hotel accommodation.

The fair value of the consideration received or receivable in respect of initial sale is allocated between “diamond points” and the current sales. The fair value of the “diamond points” is based on a statistical analysis, adjusted to take into account the expected forfeiture rate. The fair value of the points issued is deferred and recognised as revenue when the points are redeemed. The Group has not included extensive disclosure regarding the loyalty programme as the amounts are not significant.

Accounting Policy applicable prior to 1 April 2018

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being received. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts, value added taxes and intra-group revenue. No revenue is recognised if there are significant uncertainties regarding recovery of the consideration due.

The specific criteria used for the purpose of recognition of revenue remains the same as SLFRS 15 application.

3.9. Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.10. Financing Income/ [Expenses]

Finance income comprises interest income on funds invested, including the income from investment categorized under FVOCI financial assets. Gains on the disposal of interest generating investment classified under FVOCI financial assets is recognised under finance income.

Interest income is recognised as it accrues in income statement, using the effective interest method.

Finance expenses comprise interest expense on borrowings, preference dividends of preference shares classified as debt and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in income statement using the effective interest method. However, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the asset.

3.11. Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.11.1. Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or

substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.11.2. Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

3.11.3. Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in note 11.3 to the financial statements.

3.11.4. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

NOTES TO THE FINANCIAL STATEMENTS

3.11.5. Economic Service Charge (ESC)

As per the provisions of the Economic Service Charge Act No 13 of 2006, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

3.12. Statement of cash flows

The cash flow statement has been prepared using the "Indirect Method".

3.13. Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control. Capital commitments and contingent liabilities of the Company are disclosed in Note No. 14.4 and 37 to the financial statements.

3.14. Events occurring after the reporting date.

All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements. [Refer Note no 44 to the Financial Statements]

3.15. Comparative Information

The comparative information has been reclassified where ever necessary to confirm with the current years classification in order to provide a better presentation.

The comparative information of financial instruments for 2017/18 is reported based on LKAS 39 and is not comparative to the information presented for 2018/19. The Group has not restated comparative information for the year 2017/18 in respect of changes resulting from adopting SLFRS 9. The total impact on the adoption of SLFRS 9 have been recognized directly in Retained Earnings as of 1st April 2018 as disclosed in Note 49 to the financial statements.

3.16. Earnings per share (EPS)

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.17. Segmental Information

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's CEO to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

3.17.1. Primary and Secondary Segments

The Group in the hospitality industry and cannot segment its products and services. The Group manages hotels in two principal geographical areas, Sri Lanka and South Asia. In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

i) Segmental information analysed by geographical segments is disclosed in Notes 4 & 35 to the financial statements.

ii) All transfers made between the hotels in the Group are based on normal market price.

3.18. Determination of fair values

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

Fair value of non-financial assets

The fair value used by the Group in the measurement of non-financial assets is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market that is accessible by the Group for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would act in their economic best interest when pricing the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

3.19. New Accounting Standards issued but not effective as at the reporting date

The Institute of Chartered Accountants of Sri Lanka has issued the following standards which become effective for the financial periods beginning on or after 1st January 2019. Accordingly these standards have not been applied in preparing these financial statements and the Group plans to apply these standards on the respective effective dates. The Group is currently in the process of evaluating the potential effect of adoption of these standards and amendments on its financial statements. Such impact has not been quantified as at the balance sheet date. The Group will be adopting these standards as and when they become effective.

SLFRS 16 – Leases – effective for annual periods beginning on or after 1st of January 2019

SLFRS 16 replaces LKAS 17 Leases and related interpretations (IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease).

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17. The standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of a lease, a lessee will recognize a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Lessees will be also required to remeasure the lease liability upon the occurrence of certain events (e.g., a change in the lease term, a change in future lease payments resulting from a change in an index or rate used to determine those payments). The lessee will generally recognise the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset.

Lessor accounting under SLFRS 16 is substantially unchanged from the current requirements under LKAS 17. Lessors will continue to classify all leases using the same classification principle as in LKAS 17 and distinguish between two types of leases: operating and finance leases.

SLFRS 16 also requires lessees and lessors to make more extensive disclosures than under LKAS 17.

SLFRS 16 is effective for annual periods beginning on or after 1 January 2019. Early application is permitted, but not before an entity applies SLFRS 15. A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach. The standard's transition provisions permit certain reliefs.

The impact on the implementation of the above standard has not been quantified yet by the Group.

NOTES TO THE FINANCIAL STATEMENTS

4 Operating Segments

4.1 Analysis of Geographical Segmental Results - Revenue

	Group					
	External		Intra Group		Total Revenue	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Sri Lankan Sector						
Resorts & Hotels	6,484,721	6,023,130	6,238	8,309	6,490,959	6,031,439
Others	59,844	48,235	526,642	472,757	586,486	520,992
Total Sri Lankan Sector	6,544,565	6,071,365	532,880	481,066	7,077,445	6,552,431
South Asian and Middle East Sector	13,026,024	12,179,216	156,125	145,794	13,182,149	12,325,010
	19,570,589	18,250,581	689,005	626,860	20,259,594	18,877,441
Intra group revenue					[689,005]	[626,860]
Total					19,570,589	18,250,581

4.2 Analysis of Geographical Segmental Results - Income Tax & Profits

	Group					
	Income Tax Expenses		Profit/[(Loss)] from Operations		Profit/[(Loss)] before Taxation	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Sri Lankan Sector						
Resorts & Hotels	405,656	311,010	698,130	968,884	590,748	822,053
Others	69,794	46,967	393,064	271,667	169,603	130,332
	475,450	357,977	1,091,194	1,240,551	760,351	952,385
Share of Profit of equity accounted investees [net of tax]	-	-	-	-	[136,706]	[138,039]
Total Sri Lankan Sector	475,450	357,977	1,091,194	1,240,551	623,645	814,346
South Asian and Middle East Sector	231,711	248,519	1,643,765	1,773,283	1,280,680	1,375,545
Total	707,161	606,496	2,734,959	3,013,834	1,904,325	2,189,891

4.3 Analysis of Geographical Segmental Results - Finance Income & Finance Expense

	Group			
	Finance Income		Finance Expenses	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Sri Lankan Sector				
Resorts & Hotels	202,784	237,912	310,166	384,743
Others	6,659	14,304	230,120	155,639
Total Sri Lankan Sector	209,443	252,216	540,286	540,382
South Asian and Middle East Sector	31,131	10,997	394,216	408,735
Total	240,574	263,213	934,502	949,117

5 Revenue

5.1 Revenue Breakdown

	Group		Company	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Total revenue	20,259,594	18,877,441	883,896	824,226
Less: Intra group revenue	[689,005]	[626,860]	-	-
Revenue	19,570,589	18,250,581	883,896	824,226
Less: revenue tax	[516,004]	[481,042]	[19,532]	[18,119]
Net revenue	19,054,585	17,769,539	864,364	806,107

5.2 Revenue streams

The companies in the group is primarily involved in Hoteliering and generates revenues from provision of accommodation, food, beverages and other related services to customers. Other sources of revenue include income from renting hotel spaces to provide other value added services to customers.

	Group		Company	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Revenue from contracts with customers	19,230,694	18,000,127	875,122	816,713
Other revenue				
- Rent and shop Income	339,895	250,454	8,774	7,513
Total	19,570,589	18,250,581	883,896	824,226

NOTES TO THE FINANCIAL STATEMENTS

5.3 Disaggregation of revenue from contracts with customers

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment	10,455,366	9,651,180	183,618	140,833
Restaurant	4,961,874	4,554,899	545,011	548,187
Bar	1,590,695	1,485,366	128,885	114,114
Spa related	243,082	234,207	15,870	11,893
Transfers & excursions	1,550,718	1,699,410	420	523
Telephone	972	16,748	56	55
Diving and windsurfing	353,054	299,293	-	-
Laundry	15,089	10,790	1,262	1,108
Management fees	59,844	48,234	-	-
	19,230,694	18,000,127	875,122	816,713
Rent and shop income	339,895	250,454	8,774	7,513
Total	19,570,589	18,250,581	883,896	824,226

The group operates for Sri Lanka hotels a customer reward program me identified as "Diamond Club" as a value addition service to its customers. Reward points are granted to customers who utilises hotel services for more than a designated value. Points could be redeemed in Group Hotels in Sri Lanka.

5.4 Geographical markets

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Sri Lanka	6,544,565	6,071,365	883,896	824,226
- South Asia and Middle East Sector	13,026,024	12,179,216	-	-
	19,570,589	18,250,581	883,896	824,226

5.5 Performance obligations

Performance obligations of a Hotel entity mainly includes promises which are carried out on a contractually agreed upon task.

Performance obligations of the Group could be mainly summarised as detailed below:

Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Provision for accommodation	The main obligation in the customer contract is to provide rooms for guests accommodation. This is represented in the Apartment Revenue reported in the financial statements. Revenue under this segment is recognised on the rooms occupied on a daily basis over the period of the stay. Invoice is raised to customer on completion of the duration of the stay.	Due within 30 days from the date of invoice.
Provision of food and beverages	The following services are rendered under this performance obligation: 1. Provision of BB/HB/FB meal for guests occupying the hotels which is part and partial of the contract entered into. Revenue is recognized at the time of sale and invoice to the customers on the completion of the duration of the stay	Due within 30 days from the date of invoice.
	2. Provision of extra food and beverages Revenue is recognised at the time of sale and invoice to the customers at the time of consumption.	Due at the time of service is rendered.
Transfers and Excursions	This obligation is for customers entering into contract with Hotels in the Maldives. Sea plane and boat transfers are provided to customers to reach the Hotels and back as part of the contracts entered into. Revenue is recognised at the time of provision of service and invoice to the customers at the time of the completion of the stay.	Due within 30 days from the date of invoice.
Provision of Laundry, Telephone, Water sports , Spa services etc.	These services are provided to customers as they are implied as business practices in the industry and create a valid expectation of the customer. Revenue is recognised at the time of provision of service and invoice is raised at the time of service is consumed.	Due at the time of service is rendered.

Warranties and obligations to refunds and other similar obligations are handled by cases by case basis.

5.6 Allocating the transaction price to performance obligations

In allocating the transaction price to each performance obligation based on the amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring of promised services to the customers.

5.7 Contract Assets and Contract Liabilities

The contract assets primarily relate to the Company's right to consideration for work completed but not billed at the reporting date.

The contract liabilities primarily relate to the advance consideration received from customers for transferring of services.

The companies in the group does not perform by transferring of services to customers before the customer payment is made.

However companies in the group recognises considerations or payments received prior to transferring of services to customer against what is rightfully due at the time of transferring the services. These amounts are recognises as contractual liabilities in financial statements.

NOTES TO THE FINANCIAL STATEMENTS

5.7.1 Contract balances

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables [Note 23]	1,656,288	1,797,718	150,589	166,881
Contract assets	-	-	-	-
Contract liabilities [Note 33]	(1,330,222)	(1,125,799)	(37,436)	(9,736)
	326,066	671,919	113,153	157,145

5.7.2 Contract liabilities

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Amounts included in contract liabilities at the beginning of the period	(1,125,799)	(1,007,516)	(9,736)	(7,152)
Contract liabilities recognised against performance obligations satisfied during previous period	-	-	-	-
Contract liabilities recognised against performance obligations satisfied during current period	10,597,224	7,944,175	318,550	192,837
Contract liabilities recognised during the year	(10,801,647)	(8,062,458)	(346,250)	(195,421)
Contract liabilities balance as at 31st March	(1,330,222)	(1,125,799)	(37,436)	(9,736)

6 Other Income / [Expenses]

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recreation	2,522	265	2,473	148
Dividends [net] from investments	-	-	910,543	581,596
Profit / [Loss] on sale of property, plant & equipment	13,415	166	(98)	270
Loss on disposal of investments	(5,556)	(316)	-	-
Profit on disposal of Subsidiaries	-	307,616	-	409,961
Net foreign exchange gain / [loss]	(87,125)	(75,046)	(4,929)	13,714
Insurance claims received	4,053	11,699	-	-
Amortisation of government grant	-	143	-	-
Sundry income	11,879	15,321	7,209	1,500
Total	(60,812)	259,848	915,198	1,007,189

7 Other Operating Expenses - Direct

Direct Operating Expenses disclosed in the income statement refers to the cost of material and services other than staff costs, which are directly related to revenue.

8 Other Operating Expenses - Indirect

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Administration & establishment	3,104,442	2,903,650	144,574	137,500
Repairs and maintenance	915,253	869,142	36,854	44,044
Energy	1,134,804	1,006,662	73,365	63,088
Selling & marketing	1,112,476	1,000,431	32,715	39,686
Management fees	487,622	418,577	38,796	35,132
Total	6,754,597	6,198,462	326,304	319,450

9 Profit from Operations

Profit from Operations is stated after charging all expenses including the following:

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost of inventories & services	4,147,894	3,898,583	228,970	222,821
Directors fees and emoluments	29	5,502	7	7
Auditors' remuneration				
- KPMG	10,683	9,158	936	875
- Other auditors	1,666	1,419	-	-
Fees paid to Auditors for non audit services				
- KPMG	1,658	950	513	437
- Other auditors	2,458	3,305	-	-
Depreciation of property, plant and equipment	1,746,184	1,702,725	57,016	63,223
Amortisation and impairment				
- Amortisation of leases and intangible assets	127,540	112,529	1,288	656
- Impairment of investment in equity accounted investees	-	-	40,000	-
Donations	2,759	443	396	157
Defined contribution plan cost - EPF	80,484	74,345	12,604	11,486
Defined contribution plan cost - ETF	18,988	17,002	3,030	2,799
Defined contribution plan cost - Oman	9,361	5,640	-	-
Defined contribution plan cost - Maldives	23,521	21,301	-	-
Defined benefit plan cost - retirement benefit	40,944	43,430	6,463	6,228
Impairment / [reversal of impairment] of trade receivables	7,704	[11,989]	717	1,059
Legal expenses	5,461	3,847	170	372
Operating lease rentals	427,056	389,674	-	-

NOTES TO THE FINANCIAL STATEMENTS

10 Net Financing Income /([Expense])

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Finance income				
Finance income from receivable	240,574	263,213	97,461	102,119
	240,574	263,213	97,461	102,119
Finance expense				
Interest expense on financial liabilities measured at amortised cost	(934,502)	(935,992)	(165,074)	(216,329)
Interest expense on preference shares	-	(13,125)	-	-
	(934,502)	(949,117)	(165,074)	(216,329)
Net Finance Income /([Expense])	(693,928)	(685,904)	(67,613)	(114,210)

11 Income Tax Expense

- 11.1 Aitken Spence Hotel Holdings PLC., being a Company predominantly * engaged in the promotion of tourism is liable for tax at a concessionary rate of 14% [2017/18 - 12%] in terms of Inland Revenue Act No. 24 of 2017

The Taxation details of the other Companies in the Group are as follows:

11.2 Sri Lankan Sector

- 11.2.1 The business profits and income of Aitken Spence Hotel Managements Asia (Pvt) Ltd, Aitken Spence Hotels International (Pvt) Ltd and Aitken Spence Global Operations (Pvt) Ltd being Companies incorporated in Sri Lanka and predominantly* engaged in the business of export of services are liable for tax at a concessionary rate of 14% in terms of Inland Revenue Act No. 24 of 2017. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives and the profits earned by the Company in Oman is taxed at 15%. In calculating the income tax liability in Sri Lanka, companies are entitled to deduct income tax paid in foreign jurisdictions as foreign tax credits.
- 11.2.2 The business profits and income of Hethersett Hotels Ltd, Aitken Spence Hotels Ltd, Kandalama Hotels (Pvt) Ltd, and Turyaa (Pvt) Ltd being Companies predominantly* engaged in the promotion of tourism are liable for tax at a concessionary rate of 14% in terms of Inland Revenue Act No. 24 of 2017.
- 11.2.3 The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd. arising from leasing out land, is liable for income tax at standard rate of 28% in terms Inland Revenue Act No. 24 of 2017.
- 11.2.4 The business profits of Turyaa Resorts (Pvt) Ltd would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 10 years ending 2026/2027.**
- 11.2.5 The business profits of Ahungalla Resorts Ltd., would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 12 years ending 2029/30.**

11.3 Overseas Sector

- 11.3.1 The business profits of Jetan Travel Services Co. (Pvt) Ltd., Cowrie Investment (Pvt) Ltd., ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Crest Star Ltd., Crest Star (BVI) Ltd., P.R Holiday Homes (Pvt) Ltd, Aitken Spence Hotel Services Ltd and Aitken Spence Hotel Managements South India (Pvt) Ltd being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.

- 11.3.2 The business profits of Jetan Travel Services Co. Pvt Ltd., Cowrie Investment Pvt Ltd., ADS Resorts [Pvt] Ltd., Ace Resorts [Pvt] Ltd. and Unique Resorts [Pvt] Ltd Companies incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Business Profit Tax Act of Republic of Maldives.
- 11.3.3 Crest Star Ltd., a Company incorporated in Hong Kong is not liable for Income Tax. Crest Star [BVI] Ltd., a company incorporated in the British Virgin Islands is exempt from Income Tax. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives.
- 11.3.4 The business profits of P.R Holiday Homes [Pvt] Ltd., Perumbalam Resorts [Pvt] Ltd and Aitken Spence Hotel Services [Pvt] Ltd. being Companies incorporated in India would be liable for tax at a rate of 26.0% in India , when the Company commences commercial operations.
- 11.3.5 The business profits of Aitken Spence Hotel Managements South India [Pvt] Ltd., being a Company incorporated in India would be liable to an effective income tax rate of 26.0% as per the Indian tax law.
- 11.3.6 The business profits of Aitken Spence Resorts [Middle East] LLC., being a Company incorporated in Oman would be liable for corporate tax rate of 15% as per the Oman tax law.

11.4 Associate and Joint Venture Companies

- 11.4.1 The business profits and income of Browns Beach Hotels PLC. arising from leasing of land to Negombo Beach Resorts [Pvt] Ltd to construct and operate a Hotel is liable for income tax at a standard rate of 28% in terms of Inland Revenue Act No. 24 of 2017.
- 11.4.2 The business profits of Negombo Beach Resorts [Pvt] Ltd, would be exempt from income tax under section 17 A of Inland Revenue [amendment] Act No. 08 of 2012 for a period of 12 years ending 2029/30.**
- 11.4.3 The business profits and income of Amethyst Leisure Ltd., is liable for income tax at standard rate of 28% in terms of Inland Revenue Act No. 24 of 2017.
- 11.4.4 The business profits and income of Paradise Resorts Passikudah [Pvt] Ltd., being a Company predominantly* engaged in the promotion of tourism is liable for tax at a concessionary rate of 14% in terms of Inland Revenue Act No. 24 of 2017
- 11.4.5 The business profits and income of Aitken Spence Hotel Managements [Pvt] Ltd., arising from management of Sri Lankan hotels and exporting of goods to hotels in Maldives, is liable for income tax at standard rate of 28% in terms Inland Revenue Act No. 24 of 2017.
- 11.4.6 The business profits and income of Aitken Spence Resources [Pvt] Ltd being Company involved in the business as agents for recruitment and supply of human resources for employment abroad is liable for income tax at standard rate of 28% in terms Inland Revenue Act No. 24 of 2017.

*Predominantly under the Inland Revenue Act No. 24 of 2017 means 80% or more calculated based on gross income.

** The Gazette notification issued in relation to the transitional provisions, specifies that unexpired income tax exemptions as at 31st March 2018 granted under section 17 A of the Inland Revenue Act No 10 of 2006 and amendment thereto would continue to apply under Inland Revenue Act No. 24 of 2017.

- 11.5 Income tax expense for the year includes, adjustments relating to income tax payable or receivable balances in respect of previous years and any taxes arising from the dividend distributions by resident companies of the Group. Dividends remitted to Sri Lanka from non resident companies are exempt from income tax under third schedule to the Inland Revenue Act No. 24 of 2017.

NOTES TO THE FINANCIAL STATEMENTS

- 11.6** Deferred tax expense on companies resident in Sri Lanka are calculated based on the tax rates specified in the Inland Revenue Act No. 24 of 2017 that are expected to be applied to the temporary differences when they reverse. During the year, the Group has adopted SLFRS 9 – “Financial Instruments” and the Group has newly recognized deferred tax on the temporary difference arising from SLFRS 09.

Expected credit losses

As per section 10 of the Inland Revenue Act No. 24 of 2017, provisions for expenses or losses not yet incurred but expected to be incurred in a future year of assessment is not allowed for income tax. Accordingly provisions disallowed would result in a temporary difference and deferred tax is recognized on the expected credit losses arising from following items.

- Trade receivables
- Deposits with licensed commercial banks
- Unquoted debt securities

In addition, the Group has adopted modified retrospective application for the initial date of application [i.e. 01 April 2018] of SLFRS 09 and any deferred tax arising from such adjustments are accounted in the opening balance of retained earnings.

- 11.7** The income tax provisions for companies up to 31st March 2018 have been calculated in terms of Inland Revenue Act No. 10 of 2006 and amendments thereto. The deferred tax relating to same period has been calculated based on rates specified under the Inland Revenue Act No. 24 of 2017, which was enacted and applicable from 01st April 2018. With the introduction of the Inland Revenue Act No. 24 of 2017, significant changes have been introduced to the income tax law of Sri Lanka. As a result Group has recognized deferred tax on following items from 2017/18.

Revaluation surplus on freehold land.

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold lands used for business or investment purpose would be liable to tax at the time of realization. Accordingly deferred tax is recognized on the revaluation surplus of freehold lands which are treated as capital assets used in the business for tax purpose.

Freehold lands which are treated as investment assets for tax purpose would not be considered for deferred tax, since the Act requires deemed cost of the asset to be equal to market value as at 30th September 2017.

11.8 Tax Losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017, any unclaimed tax losses incurred during the year could be carried forward for further six years. In addition, as per the Gazette notification [No. 2064/53] issued on the transitional provisions, any unclaimed loss as at 31st March 2018, is also deemed to be a loss incurred for the year of assessment commencing on or after April 1, 2018 and shall be carried forward up to 6 years. Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognized accordingly. Deferred tax assets recognized on tax losses would be reviewed at each reporting date based on the taxable profit forecasts and would be reduced to the extent of recoverable amount.

11.9 Income Tax Expense

	Group		Company	
	2018/2019	2017/2018	2018/2019	2017/2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current tax expense [Note 11.12]				
Taxation on current year profits	415,918	441,026	-	18,500
(Over) / Under provision in previous years	17,433	1,604	[77]	-
Withholding Tax on dividends paid by subsidiaries	80,056	37,309	-	-
	513,407	479,939	[77]	18,500
Deferred tax expense/ (income) [Note 11.13]				
Impact of change in tax rates	-	40,619	-	[7,052]
Origination and reversal of temporary differences	193,754	85,938	5,363	[17,954]
	193,754	126,557	5,363	[25,006]
Total	707,161	606,496	5,286	[6,506]

Income tax expense excludes, the Group's share of tax expense of the Group's equity-accounted investees recognised in profit and (Loss) is Rs. 11.9 million. (2017/18 - Rs. 0.9 million) which is included in "Share of Profit / (Loss) of equity-accounted investees (net of tax)

11.10 Income Tax expense recognised in Other Comprehensive Income

	Group					
	2018/2019			2017/2018		
	Before Tax Rs. '000	Tax (expense)/ income Rs. '000	Net of Tax Rs. '000	Before Tax Rs. '000	Tax (expense)/ income Rs. '000	Net of Tax Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant & equipment	373,720	[91,125]	282,595	53,104	[174,562]	[121,458]
Share of other comprehensive income of equity accounted investees (net of tax)	264	-	264	2,193	-	2,193
Actuarial gains / (losses) arising from retirement benefit obligations	13,002	[2,646]	10,356	[20,900]	3,088	[17,812]
Items that are or may be reclassified to Profit or Loss						
Foreign Currency translation differences of foreign operations	1,805,457	-	1,805,457	233,308	-	233,308
Net movement in cash flow hedging	[84,129]	-	[84,129]	[960,398]	-	[960,398]
Total	2,108,314	[93,771]	2,014,543	[692,693]	[171,474]	[864,167]

Tax recognised in other comprehensive income excludes, the Group's share of tax expenses of the equity accounted investees recognised in the other comprehensive income of Rs. Nil (2017/18- Nil) which has been included in share of other comprehensive income of equity accounted investees. (net of tax)

NOTES TO THE FINANCIAL STATEMENTS

	Company					
	2018/2019			2017/2018		
	Before Tax	Tax expense/ [income]	Net of Tax	Before Tax	Tax expense/ [income]	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant & equipment	-	-	-	80,093	[96,271]	[16,178]
Actuarial gains / [losses] arising from retirement benefit obligations	2,082	[291]	1,791	[5,417]	758	[4,659]
Total	2,082	[291]	1,791	74,676	[95,513]	[20,837]

11.11 Tax recognised directly in equity

	2018/2019 Group			2018/2019 Company		
	Before Tax	Tax expense/ [income]	Net of Tax	Before Tax	Tax expense/ [income]	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Expected credit losses under SLFRS 9						
- Trade receivables	[1,603]	228	[1,375]	[106]	15	[91]
- Unquoted debt securities	[14,321]	2,005	[12,316]	[14,321]	2,005	[12,316]
- Equity accounted investees	[116]	-	[116]	-	-	-
	[16,040]	2,233	[13,807]	[14,427]	2,020	[12,407]

11.12 Reconciliation of Accounting Profit to Tax on current year.

	Group		Company	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Profit before tax	1,904,325	2,189,891	864,053	916,100
Consolidation adjustments	136,705	138,039	-	-
Profit after adjustments	2,041,030	2,327,930	864,053	916,100
Income not liable for income tax	958,800	612,908	-	[410,541]
Effect of revenue subject to tax at source	314,675	640,171	-	-
Adjusted profit / [loss]	3,314,505	3,581,009	864,053	505,559
Non - taxable receipts / gains	-	[44,200]	[910,543]	[581,596]
Aggregate disallowed expenses	2,441,794	2,109,441	127,438	93,702
Capital allowances	[3,317,768]	[3,252,448]	[57,045]	[60,149]
Aggregate allowable deductions	[256,824]	[131,890]	[21,798]	[11,257]
Utilization of tax losses	[103,274]	[41,279]	[2,105]	[35,539]
Current year tax losses not utilized	818,797	819,975	-	155,280
Taxable Income	2,897,230	3,040,608	-	66,000
Income tax charged at ;				
Standard rate of 28%	-	75,689	-	18,500
Concessionary rates	138,588	74,922	-	-
Other rates	502	-	-	-
Varying rates on off - shore profits	276,828	290,415	-	-
Tax on current year profits	415,918	441,026	-	18,500
Under / [over] provision in respect of previous years	17,433	1,604	[77]	-
Withholding tax on dividends paid by subsidiaries	80,056	37,309	-	-
	513,407	479,939	[77]	18,500

11.13 Deferred tax expenses / [income]

	Group		Company	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Deferred tax expense/ [income] arising from				
Accelerated depreciation for tax purposes on Property, plant and equipment	233,205	213,579	[704]	11,883
Defined benefit obligations	[2,250]	[6,084]	[336]	[642]
Tax losses carried forward	[36,396]	[80,938]	5,618	[36,247]
Expected credit losses	[805]	-	785	-
Total	193,754	126,557	5,363	[25,006]

NOTES TO THE FINANCIAL STATEMENTS

11.14 Tax Losses Carried Forward

	Group		Company	
	2018/2019 Rs. '000	2017/2018 Rs. '000	2018/2019 Rs. '000	2017/2018 Rs. '000
Tax Losses brought forward	4,168,185	3,364,917	1,073,451	950,291
Adjustments to prior year tax liability and tax losses arising during the year	1,992,440	844,547	407	158,699
Utilisation of tax losses	(103,274)	(41,279)	(2,106)	(35,539)
Total	6,057,351	4,168,185	1,071,752	1,073,451

Group tax expense is based on the taxable profit of individual companies within the group.

* Income derived from the provision of services by non resident companies operating in the Maldives is subject to withholding tax of 10%.

11.15 As specified in Note No. 11.14 the companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. From these losses, companies in the Group have not accounted for deferred tax assets, amounting to . Rs.645,106,118/- (2017/18 - Rs. 450,297,033/-) since utilisation against future taxable profits are not probable. For Aitken Spence Hotel Holdings PLC the deferred tax assets not accounted on losses as at 31.03.2019 amounted to Rs. 5,380,893/- (2017/18 - Nil).

12 Earnings per Ordinary Share

Basic earnings per share is calculated by dividing the profit for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and share data used in the basic earnings per share computation.

	Group		Company	
	2018/2019 Rs.	2017/2018 Rs.	2018/2019 Rs.	2017/2018 Rs.
Amounts used as numerator				
Profit after taxation and non-controlling interest attributable to Aitken Spence Hotel Holdings PLC.	810,581,227	1,169,314,350	898,766,956	922,605,996
Preference dividend	(14,850,000)	(14,850,000)	(14,850,000)	(14,850,000)
	795,731,227	1,154,464,350	883,916,956	907,755,996
Number of ordinary shares used as the denominator				
Weighted Average No. of shares in issue applicable to basic earnings per share	336,290,010	336,290,010	336,290,010	336,290,010
Earnings per ordinary share - [Rs.]	2.37	3.43	2.63	2.70

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence the dilutive earnings per share is equal to the basic earnings per share.

13 Dividends

	Company	
	2018/2019 Rs. '000	2017/2018 Rs. '000
Final Dividends declared and paid for 2017/18		
Preference Dividend		
Preference dividend paid for 2017/18	(14,850)	-
Ordinary Dividend		
Final ordinary dividend paid for 2017/18	(420,363)	(84,073)
	(435,213)	(84,073)
Final ordinary dividends proposed	336,290	420,363
Preference dividends proposed	14,850	14,850
Ordinary Dividend per Share - (Rs.)	1.00	1.25

The Directors have declared a final ordinary dividend of Rs. 1.00 per ordinary share for 2018/19 (2017/18 Rs. 1.25) and a 9% cumulative preference dividend for the year ended 31st March 2019. If approved at the Annual General meeting on 28th June 2019, the entire preference dividends and ordinary dividends will be paid out of taxable dividends received from Subsidiary Companies from which 10% withholding tax has been deducted.

In accordance with LKAS 10 - Events After the Reporting Period, the recommended final dividends has not been recognised as a liability as at 31st March 2019

However for the purpose of computing dividends per share, dividends to be approved has been taken into consideration.

NOTES TO THE FINANCIAL STATEMENTS

14 Property Plant and Equipment

14.1 Group

	Land [Freehold]	Buildings [Freehold]	Plant & Machinery Equipment	Motor Vehicles	Furniture & Fittings	Furnishing, Cutlery, Crockery & Glassware	Capital work-in progress	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation								
Balance as at 01.04.2018	6,321,589	28,899,596	7,160,177	390,983	2,424,592	775,481	6,897,956	52,870,374
Additions	-	92,043	256,179	37,767	154,437	102,543	6,160,659	6,803,628
Capitalisation of amortised lease and lease accruals [Note 15.16 & 31]	-	137,393	-	-	-	-	185,475	322,868
Transfers	-	1,951	[228,104]	-	-	263,603	[37,450]	-
Revaluations	373,720	-	-	-	-	-	-	373,720
Disposals	-	-	[44,435]	[31,410]	[2,627]	[35,571]	-	[114,043]
Effect of movement in exchange rates	403,702	1,686,530	383,420	41,654	97,005	233,944	962,521	3,808,776
Balance as at 31.03.2019	7,099,011	30,817,513	7,527,237	438,994	2,673,407	1,340,000	14,169,161	64,065,323
Accumulated Depreciation								
Balance as at 01.04.2018	-	5,900,106	3,476,607	270,851	1,169,832	648,190	-	11,465,586
Charge for the year	-	828,731	538,553	34,290	178,895	165,715	-	1,746,184
Disposals	-	-	[38,774]	[30,072]	[2,326]	[33,895]	-	[105,067]
Effect of movement in exchange rates	-	635,742	255,975	29,510	60,486	58,689	-	1,040,402
Balance as at 31.03.2019	-	7,364,579	4,232,361	304,579	1,406,887	838,699	-	14,147,105
Carrying value								
As at 31.03.2019	7,099,011	23,452,934	3,294,876	134,415	1,266,520	501,301	14,169,161	49,918,218
As at 31.03.2018	6,321,589	22,999,490	3,683,570	120,132	1,254,760	127,291	6,897,956	41,404,788

14.1.1 The gross carrying amount of fully depreciated property plant and equipment that is still in use for the Group as at 31st March 2019 was Rs. 3,358,923,139/- [Company Rs. 521,510,582 / -]

14.1.2 The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in United States Dollars, Oman Riyal, Indian Rupees and translated to the reporting currency at the closing rate.

14.1.3 Assets pledged as security against borrowings are disclosed in Note No. 29.1.

14.1.4 During the year borrowing cost amounting to Rs.723,496,980/- was capitalised by the Group. The total interest cost capitalised to date under property plant and equipment amount to Rs. 1,347,238,312/- . The capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation is 6.98%

14.1.5 Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of capital assets.

14.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Furnishing, Cutlery, Crockery & Glassware	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation							
Balance as at 01.04.2018	710,300	1,072,104	490,269	647	255,309	128,928	2,657,557
Additions	-	4,023	29,812	-	6,108	7,332	47,275
Disposals	-	-	[6,905]	[600]	[80]	[14,192]	[21,777]
Balance as at 31.03.2019	710,300	1,076,127	513,176	47	261,337	122,068	2,683,055
Accumulated Depreciation							
Balance as at 01.04.2018	-	348,410	364,917	647	219,544	107,790	1,041,308
Charge for the year	-	21,312	22,366	-	4,959	8,379	57,016
Disposal	-	-	[3,048]	[600]	[80]	[14,031]	[17,759]
Balance as at 31.03.2019	-	369,722	384,235	47	224,423	102,138	1,080,565
Carrying value							
As at 31.03.2019	710,300	706,405	128,941	-	36,914	19,930	1,602,490
As at 31.03.2018	710,300	723,694	125,352	-	35,765	21,138	1,616,249

NOTES TO THE FINANCIAL STATEMENTS

14.3 Freehold Land

14.3.1 Land carried at revalued amounts

Company	Location	Last revaluation date	Land extent	Carrying amount as at 31.03.2019 Rs. '000	Revaluation Surplus Rs. '000	Carrying amount at cost Rs. '000
Aitken Spence Hotel Holdings PLC (i)	"Heritance Ahungalla" Galle Road, Ahungalla	30.9.2017	11A 3R 34.02P	695,600	677,398	18,202
	Galle Road, Ahungalla	30.9.2017	39.26P	14,700	9,493	5,207
Heritance (Pvt) Ltd (i)	Moragalla, Beruwala	30.9.2017	5A 3R 6.80P	324,250	313,170	11,080
Meeraladuwa Resorts (Pvt) Ltd (i)	Meeraladuwa Island	30.9.2017	29A 2R 9P	217,020	116,758	100,262
Kandalama Hotels (Pvt) Ltd (i)	Kandalama, Dambulla	30.9.2017	169A 2R 22.40P	9,300	1,916	7,384
Neptune Ayurvedic Village (Pvt) Ltd (i)	Moragalla, Beruwala	30.9.2017	0A 0R 19.30P	4,500	437	4,063
P.R. Holiday Homes (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	14A, 0R, 7.52P	214,870	66,708	148,162
Turyaa (Pvt) Ltd (i)	418, Parallel Road Kudawaskaduwa, Kalutara	30.9.2017	5A 1R 37.9P	384,160	364,395	19,765
	49, Sea Beach Road, Kalutara	30.9.2017	0A 1R 30.32P	23,000	21,512	1,488
Turyaa Resorts (Pvt) Ltd (i)	Kudawaskaduwa, Kalutara	30.9.2017	1A 3R 33.20P	150,336	93,557	56,779
	Kudawaskaduwa, Kalutara	30.9.2017	0A 1R 34.30P	20,000	10,826	9,174
Ahungalla Resorts Ltd (i)	Galle Road, Ahungalla	30.9.2017	10A 2R 39.29P	773,650	43,650	730,000
	Galle Road Ahungalla	30.9.2017	2A 0R 35.92P	169,000	44,000	125,000
Perumbalam Resorts (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	4A, 0R, 0.9P	53,076	42,478	10,598
Aitken Spence Hotel Management South India (Pvt) Ltd (iii)	144/7, Rajiv Gandhi Salai, Kottivakkam, Chennai	01.06.2018	0A, 3R, 15.4P	971,932	373,720	598,212
Total				4,025,394	2,180,018	1,845,376

The above lands have been revalued by independent, qualified valuers on the basis of current market value.

(i) Valuation of the land was carried out by Mr.K.C.B. Condegama, A.I.V. [Sri Lanka]

(ii) Valuation of the land carried out by Mr. T.T. Kripananda Singh B.S.C. [Engg.] MICA, F.I.E, F.I.V of Messrs N. Raj Kumar and Associates [India]

(iii) Valuation of the land carried out by Messrs CBRE South Asia Private Limited [India]

14.3.2 Land carried at Cost

Company	Location	Acquisition date	Extent	Carrying amount as at 31.03.2019 Rs' 000
Aitken Spence Resorts (Middle East) LLC	Muscat, Oman	11.02.2016	5A, OR, 8.0P	3,073,617
Total				3,073,617

Revaluation of the above property has not been carried out as the carrying value is consistent with the market values.

14.3.3 Total carrying amount of land

		Group	
		31.03.2019 Rs. '000	31.03.2018 Rs. '000
Land carried at revalued amounts	[Note 14.3.1]	4,025,394	3,043,500
Land carried at cost	[Note 14.3.2]	3,073,617	3,278,089
Total		7,099,011	6,321,589

14.4 Capital Expenditure Commitments

The following commitments for capital expenditure approved by the Directors as at 31st March, 2019 have not been provided for in the accounts.

		Group	
		31.03.2019 Rs. '000	31.03.2018 Rs. '000
Approximate amount approved but not contracted for		1,501,400	2,183,559
Approximate amount contracted for but not accounted		1,160,225	5,480,729
Total		2,661,625	7,664,288

15 Leasehold Properties

		Group	
		31.03.2019 Rs. '000	31.03.2018 Rs. '000
Acquisition Cost			
Balance brought forward		2,646,580	2,585,178
Effect of movement in exchange rates		348,512	61,402
Balance carried forward		2,995,092	2,646,580
Accumulated Amortisation			
Balance brought forward		[622,677]	[542,718]
Effect of movement in exchange rates		[85,233]	[13,837]
Amortised during the year		[60,785]	[55,307]
Amortisation capitalised to property, plant and equipment		[11,879]	[10,815]
Balance carried forward		[780,574]	[622,677]
Unamortised leasehold properties as at 31st March		2,214,518	2,023,903

Leasehold properties represents the acquisition cost of leasehold rights of some of the hotel properties in the Maldives.

NOTES TO THE FINANCIAL STATEMENTS

16 Prepaid Operating Leases

	Group	
	31.03.2019	31.03.2018
	Rs. '000	Rs. '000
Cost		
Balance brought forward	2,043,916	2,001,281
Effect of movement in exchange rates	236,202	42,635
Balance carried forward	2,280,118	2,043,916
Accumulated Amortisation		
Balance brought forward	(205,541)	(138,555)
Amortised during the year	(57,670)	(51,426)
Amortisation capitalised to property, plant and equipment	(17,609)	(15,560)
Balance carried forward	(280,820)	(205,541)
Unamortised prepaid operating leases as at 31st March	1,999,298	1,838,375
Current portion of unamortised operating leases	(74,969)	(66,203)
Non Current portion of unamortised operating leases as at 31st March	1,924,329	1,772,172

Prepaid operating leases represents the amounts paid in advance for leasehold rights of some of the hotel properties.

16.1 Unexpired Lease periods of leasehold land:

Company Name	Location of the Property	Unexpired lease period as at 31st March 2019
Kandalama Hotels (Pvt) Ltd.	Dambulla	23 years
Hethersett Hotels Ltd.	Nuwara Eliya	75 years
Aitken Spence Hotels Ltd.	Beruwela	24 years
Jetan Travel Services Co. (Pvt) Ltd.	Maldives	22 years
Cowrie Investment (Pvt) Ltd. - (existing land)	Maldives	29 years
- (new island)	Maldives	46 years
ADS Resorts (Pvt) Ltd.	Maldives	7 years
Unique Resorts (Pvt) Ltd.	Maldives	26 years
Ace Resorts (Pvt) Ltd.	Maldives	46 years

16.2 Lease Commitments

	Group	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Lease rentals payable within one year	446,684	394,902
Lease rentals payable within one to five years	2,234,768	1,975,736
Lease rentals payable after five years	5,887,402	5,607,515
Total	8,568,854	7,978,153

Lease commitments have been estimated based on remaining lease periods disclosed under Note 16.1 above.

US Dollar conversion rate prevailed as at the reporting date 31st March 2019 disclosed in Note no. 36 has been used to convert the future lease commitments of Maldives properties.

17 Intangible Assets

17.1 Group

	Goodwill Rs. '000	Computer Software Rs. '000	Total Rs. '000
Cost or Valuation			
Balance as at 01st April 2018	404,370	84,380	488,750
Effect of movement in exchange rates	53,006	3,861	56,867
Additions	-	12,830	12,830
Balance as at 31st March 2019	457,376	101,071	558,447
Accumulated amortisation / impairment			
Balance as at 01st April 2018	-	[72,697]	[72,697]
Effect of movement in exchange rates	-	[3,786]	[3,786]
Amortisation	-	[9,085]	[9,085]
Balance as at 31st March 2019	-	[85,568]	[85,568]
Carrying value			
As at 31.03.2019	457,376	15,503	472,879
As at 31.03.2018	404,370	11,683	416,053

Goodwill is arisen in respect of acquisition of 70% of equity in Aitken Spence Resorts (Middle East) LLC during the year 2015/16.

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions used are given below.

- Business growth - Based on the long term average growth rate for each business unit. The weighted average growth rate used is consistent with the forecast included in industry reports.
- Inflation - Based on current inflation rate.
- Discount rate - Risk free rate adjusted for the specific risk relating to the industry.
- Margin - Base on past performance and budgeted expectations

NOTES TO THE FINANCIAL STATEMENTS

17.2 Company

	Computer Software Rs. '000	Total Rs. '000
Cost or Valuation		
Balance as at 01st April 2018	7,875	7,875
Additions	2,844	2,844
Balance as at 31st March 2019	10,719	10,719
Accumulated amortisation / impairment		
Balance as at 01st April 2018	[6,370]	[6,370]
Amortisation	[1,288]	[1,288]
Impairment during the year	-	-
Balance as at 31st March 2019	[7,658]	[7,658]
Carrying value		
As at 31.03.2019	3,061	3,061
As at 31.03.2018	1,505	1,505

Intangible assets as at 31st March 2019 includes fully amortised assets of the group having a gross carrying amount of Rs. 73,385,615/- that is still in use. [Company Rs. 5,779,845/-] There were no intangible assets pledged by the Group as security for facilities obtained from banks.

18 Investment in Subsidiaries

18.1 Investments in Subsidiaries – Unquoted

	Country of incorporation	Company			31.03.2019	31.03.2018
		Number of Shares	Company Holding	Group Holding		
					Rs. '000	Rs. '000
a) Equity Shares						
Subsidiary Companies						
Aitken Spence Hotels Ltd.	Sri Lanka	14,701,204	98.00%	98.00%	149,736	149,736
Crest Star Ltd. [Ordinary Shares of HK\$ 1 each]	Hong Kong	9,999	99.99%	99.99%	9,921	9,921
Crest Star (BVI) Ltd. [Ordinary Shares of US\$ 1 each]	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
Cowrie Investment (Pvt) Ltd. [Ordinary Shares of Mrf 1000 each]	Maldives	52,740	60.00%	60.00%	321,733	321,733
Aitken Spence Resorts (Middle East) LLC [Ordinary Shares of OMR 1 each]	Oman	01	0.01%	0.01%	-	3,780
Hethersett Hotels Ltd.	Sri Lanka	24,542,000	94.44%	94.44%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd.	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd.	Sri Lanka	10,744,582	51.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Aitken Spence Hotel Managements (South India) Ltd	India	12,874,000	7.90%	7.90%	307,000	307,000
Turyaa (Pvt) Ltd.	Sri Lanka	219,812,322	100.00%	100.00%	1,583,679	1,583,679
Turyaa Resorts (Pvt) Ltd	Sri Lanka	121,920,000	100.00%	100.00%	1,219,200	1,046,000
Ahungalla Resorts Ltd	Sri Lanka	78,369,024	60.00%	60.00%	2,926,326	2,926,326
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	202,278
ADS Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Unique Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Ace Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Nilaveli Resorts (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
Nilaveli Holidays (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
The Galle Heritage (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
b) Preference Shares					7,304,201	7,134,781
Aitken Spence Hotels Ltd	Sri Lanka	40,000,000			400,000	400,000
Net carrying amount of Investments in subsidiaries – unquoted as at 31st March					7,704,201	7,534,781

NOTES TO THE FINANCIAL STATEMENTS

18.2 Investments in Sub Subsidiaries

	Country of incorporation	Group			31.03.2019	31.03.2018
		Number of Shares	Company Holding	Group Holding	Rs. '000	Rs. '000
a) Equity Shares						
Sub Subsidiary Companies						
Aitken Spence Hotels Ltd.						
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.74%	234,406	234,406
- Heritance (Pvt) Ltd.	Sri Lanka	2,125,627	100.00%	98.00%	35,751	35,751
					270,157	270,157
Crest Star (BVI) Ltd						
- Jetan Travel Services Co. (Pvt) Ltd	Maldives	47,500	95.00%	95.00%	505,781	446,928
					505,781	446,928
Aitken Spence Hotels International (Pvt) Ltd						
- ADS Resorts (Pvt) Ltd	Maldives	1,274,999	99.99%	50.99%	103,970	103,970
- Unique Resorts (Pvt) Ltd	Maldives	6,374,999	99.99%	50.99%	562,663	562,663
- Aitken Spence Hotel Services (Pvt) Ltd	India	10,000	100.00%	51.00%	271	271
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	150,048,995	92.10%	46.97%	3,390,956	3,221,946
- Ace Resorts (Pvt) Ltd	Maldives	8,480,999	99.99%	50.99%	740,155	740,155
- Aitken Spence Resorts (Middle East) LLC	Oman	11,363,775	99.99%	50.99%	4,451,435	4,009,212
- Aitken Spence Global Operations (Pvt) Ltd	Sri Lanka	100,000	100.00%	51.00%	1,000	-
					9,250,450	8,638,217
Aitken Spence Hotel Managements Asia (Pvt) Ltd						
- PR Holiday Homes (Pvt) Ltd (ordinary shares)	India	621,310	84.57%	43.13%	174,949	174,949
- Aitken Spence Hotels International (Pvt) Ltd (preference shares)	Sri Lanka	3,825,000	100.00%	100.00%	764,999	581,227
					939,948	756,176
- PR Holiday Homes (Pvt) Ltd						
- Perumbalam Resorts (Pvt) Ltd	India	10,000	100.00%	43.13%	254,949	238,952
					254,949	238,952

Kandalama Hotels (Pvt) Ltd., and Heritance (Pvt) Ltd., are Subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Co. Pvt Ltd., is a Subsidiary of Crest Star (BVI) Ltd.

ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Aitken Spence Hotel Services (Pvt) Ltd, Aitken Spence Hotel Management (South India) Pvt Ltd., Ace Resorts (Pvt) Ltd and Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

P.R Holiday Homes (Pvt) Ltd is a Subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts (Pvt) Ltd., is a subsidiary of P.R Holiday Homes (Pvt) Ltd.

18.3 Non Controlling Interest – Subsidiaries

The following Subsidiaries have material NCI

Name	Principle place of Business / Country of incorporation	Operating Segment	Ownership interest held by NCI	
			As at 31st March 2019	As at 31st March 2018
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lanka Sector - Others	49%	49%
Ahungalla Resorts Ltd	Sri Lanka	Sri Lanka Sector	40%	40%
Cowrie Investments (Pvt) Ltd	Republic of Maldives	South Asian Sector	40%	40%
ADS Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Unique Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Aitken Spence Hotel Management South India (Pvt) Ltd	India	South Asian Sector	45.13%	44.95%

Except for Ahungalla Resorts Ltd and Cowrie Investments (Pvt) Ltd., the non-controlling interest of other subsidiaries are held with the holding Company, Aitken Spence PLC

Summarised financial information of Subsidiaries with material NCI

	Cowrie Investments (Pvt) Ltd		Ahungalla Resorts Ltd	
	2019 Rs. '000	2018 Rs. '000	2019 Rs. '000	2018 Rs. '000
Revenue	3,501,382	3,535,925	2,145,538	1,903,580
Profit/[Loss] after tax	360,185	548,062	[283,904]	[274,020]
Profit/ [loss] attributable to NCI	144,074	219,225	[113,562]	[109,608]
Other comprehensive income	517,414	114,908	[175,260]	[860,487]
Total comprehensive income	877,599	662,970	[459,164]	[1,134,507]
Total comprehensive income attributable to NCI	351,040	265,188	[183,666]	[453,803]
Current Assets	1,196,973	675,058	856,578	4,036,943
Non current assets	17,228,545	9,956,415	10,715,241	11,148,199
Current Liabilities	[1,559,067]	[1,109,116]	[712,270]	[3,833,377]
Non- Current liabilities	[10,638,005]	[4,260,700]	[6,824,942]	[6,732,099]
Net Assets	6,228,446	5,261,657	4,034,607	4,619,666
Net assets attributable to NCI	2,491,378	2,104,663	1,613,843	1,847,866
Cash flow from operating activities	548,555	656,538	[400,495]	844,484
Cash flow from investing activities	[6,034,850]	[4,202,070]	[46,006]	[109,383]
Cash flow from financing activities	5,616,345	2,332,850	[2,721,898]	2,194,229
Net increase in cash and cash equivalents	130,050	[1,212,682]	[3,168,399]	2,929,330

The above figures are before elimination of inter company transactions.

NOTES TO THE FINANCIAL STATEMENTS

19 Investment in equity accounted investees

19.1 Investment in Associates

19.1.1 Investment in Associates - Quoted

	Group				Company			
	No. of Shares	Group Holding	31.03.2019	31.03.2018	No. of Shares	Group Holding	31.03.2019	31.03.2018
			Rs. '000	Rs. '000			Rs. '000	Rs. '000
Browns Beach Hotels PLC	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
[Consolidated with Negombo Beach Resorts (Pvt) Ltd]								
Investments made during the year	-	-	-	-	-	-	-	-
Net book value as at 31st March	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Share of movement in equity value			[295,877]	[200,728]			-	-
Surplus on revaluation			317,218	317,218				
Equity value of Investment as at 31st March			946,451	1,041,600			906,602	906,602
Market value of quoted investment as at 31st March			562,512	707,990			550,487	692,854

19.1.2 Investment in Associates - Unquoted

	Group				Company			
	No. of Shares	Group Holding	31.03.2019	31.03.2018	No. of Shares	Group Holding	31.03.2019	31.03.2018
			Rs. '000	Rs. '000			Rs. '000	Rs. '000
Amethyst Leisure Ltd								
(Consolidated with Paradise Resorts Passikudah [Pvt] Ltd)	134,666,055	27.89%	249,169	249,169	134,666,055	27.89%	249,169	249,169
Investments made during the year	-	-	-	-	-	-	-	-
Net book value as at 31st March	134,666,055	27.89%	249,169	249,169	134,666,055	27.89%	249,169	249,169
Share of movement in equity value			(173,597)	(132,188)			-	-
Equity value of Investment as at 31st March			75,572	116,981			249,169	249,169
Less Provision for Impairment of investment			-	-			(100,777)	(60,777)
			75,572	116,981			148,392	188,392
Aitken Spence Hotel Managements [Pvt] Ltd								
(Consolidated with Aitken Spence Resources [Pvt] Ltd)								
Investments made during the year	3,862,353	49.00%	227,879	-	3,862,353	49.00%	227,879	-
Net book value as at 31st March	3,862,353	49.00%	227,879	-	3,862,353	49.00%	227,879	-
Share of movement in equity value			-	-			-	-
Equity value of Investment as at 31st March			227,879	-			227,879	-
Total Equity value of Investment of Investments in Associates - unquoted as at 31st March			303,451	116,981			376,271	188,392
Total Equity Value of Investments - Quoted [19.1.1]			946,451	1,041,600			906,602	906,602
Total Equity Value of Investments - Unquoted [19.1.2]			303,451	116,981			376,271	188,392
Total			1,249,902	1,158,581			1,282,873	1,094,994

The investment in Aitken Spence Hotel Managements [Pvt] Ltd was made on 29th March 2019 hence no share of movement in equity investment was made for the year.

NOTES TO THE FINANCIAL STATEMENTS

19.2 Equity Accounted Investees - Associates

Name	Principle place of Business / Country of incorporation	Nature of relationship with the Group	Ownership interest % Voting rights held As at 31st march 2019	Fair Value of ownership interest (if listed) Rs. '000
Browns Beach Hotels PLC	Sri Lanka	Owns" Negombo Beach Resorts [Pvt] Ltd	37.42%	562,512
Negombo Beach Resorts [Pvt] Ltd [100% subsidiary of Browns Beach Hotels PLC]	Sri Lanka	Owns and Operates " Heritance Negombo"	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owns Paradise Resorts Passikudah [Pvt] Ltd	27.89%	-
Paradise Resorts Passikudah [Pvt] Ltd [100% subsidiary of Amethyst Leisure Ltd]	Sri Lanka	Owns and Operates " Amethyst Resorts Passikudah"	27.89%	-
Aitken Spence Hotel Managements [Pvt] Ltd	Sri Lanka	Provides Management Services to all Hotels in Sri Lanka	49.00%	-
Aitken Spence Resources [Pvt] Ltd [100% subsidiary of Aitken Spence Hotel Managements [Pvt] Ltd]	Sri Lanka	Provides Human Resources to all overseas hotels	49.00%	-

Summarised financial information of Associates with material NCI

	Amethyst Leisure Ltd		Browns Beach Hotels PLC		Aitken Spence Hotel Managements [Pvt] Ltd	
	[Consolidated with Paradise Resorts Passikudah (Pvt) Ltd.]		[Consolidated with Negombo Beach Resorts (Pvt) Ltd.]		[Consolidated with Aitken Spence Resources (Pvt) Ltd.]	
	2019	2018	2019	2018	2019	2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	91,174	94,870	1,072,890	918,616	-	-
Profit /[(Loss) after tax	(142,232)	(69,011]	(255,250)	(319,637]	-	-
Other comprehensive income	(26)	36	415	5,862	-	-
Total comprehensive income	(142,258)	(68,975]	(254,835)	(313,775]	-	-
Attributable to NCI	(102,582)	(49,737]	(159,476)	(196,861]	-	-
Attributable to Investees Shareholders	(39,676)	(19,238]	(95,359)	(117,415]	-	-
Current Assets	26,735	27,455	299,537	273,705	888,989	-
Non Current Assets	556,979	645,382	5,540,239	5,759,788	220,515	-
Current Liabilities	(265,754)	(166,212]	(501,377)	(363,427]	(732,896)	-
Non- Current liabilities	(319,993)	(360,236]	(2,808,930)	(2,886,306]	(30,677)	-
Net Assets	(2,033)	146,389	2,529,469	2,783,760	345,931	-
Attributable to NCI	(1,466)	105,561	946,527	1,041,683	169,506	-
Attributable to Investees Shareholders	(567)	40,828	1,582,942	1,742,077	176,425	-
Groups interest in net assets of investee at the beginning of the year	116,981	136,259	1,041,600	1,158,168	-	-
Investments made during the year	-	-	-	-	227,879	-
Total comprehensive income attributable to the Group	(41,409)	(19,278]	(95,149)	(116,568]	-	-
Group's interest in net assets of investee at the end of the year	75,572	116,981	946,451	1,041,600	227,879	-

NOTES TO THE FINANCIAL STATEMENTS

20 Other Financial Assets - Non Current

20.1 Unquoted equity securities, debt securities and unsecured loans

		Group		Company	
		31.03.2019	31.03.2018	31.03.2019	31.03.2018
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
FVOCI Financial assets					
Unquoted equity securities	Note 20.1.1	146,675	103,361	-	-
Amortised cost					
Unquoted debt securities and unsecured loans	Note 20.1.2	672,286	686,965	672,286	686,965
Carrying amount as at 31st March		818,961	790,326	672,286	686,965
Current unquoted debt securities	Note 20.1.2	[39,975]	[26,546]	[39,975]	[26,546]
Non-current unquoted debt and equity securities		778,986	763,780	632,311	660,419

20.1.1 Unquoted equity securities

		Group		Company	
		31.03.2019	31.03.2018	31.03.2019	31.03.2018
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in Floatels India (Pvt) Ltd.					
Balance brought forward [806,946 shares at INR 55/- each]		103,361	126,650	-	-
Disposals		[19,233]	[23,289]	-	-
Effect of movement in exchange rates		62,547	-	-	-
Balance carried forward [716,037 shares at INR 55/- each]		146,675	103,361	-	-

The balance reflects the recent sale price of remaining equity shares.

20.1.2 Unquoted debt securities and unsecured loans

		Group		Company	
		31.03.2019	31.03.2018	31.03.2019	31.03.2018
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Earl's Court Hotel Management (Pvt) Ltd		72,639	98,213	72,639	98,213
[Secured redeemable debentures]					
Less: Impairment		[8,108]	-	[8,108]	-
		64,531	98,213	64,531	98,213
Negombo Beach Resorts (Pvt) Ltd		607,755	588,752	607,755	588,752
[unsecured loans]					
Carrying amount as at 31st March		672,286	686,965	672,286	686,965
Current unquoted debt securities		[39,975]	[26,546]	[39,975]	[26,546]
Non-current unquoted debt securities and unsecured loans		632,311	660,419	632,311	660,419

i Redeemable debentures are receivable in 60 equal installments. Interest linked to AWPLR

ii Unsecured loan is receivable in 7 years with a grace period of 2 years. Interest linked to AWPLR.

21 Deferred Tax Assets

21.1 Movement in deferred tax assets

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	143,906	157,760	-	-
Effect of movement in exchange rates	16,510	3,398	-	-
Reversal of temporary differences				
- recognised in income statement	2,311	[18,011]	-	-
- recognised in other comprehensive income	[1,817]	759	-	-
- recognised in equity	32	-	-	-
Balance carried forward	160,942	143,906	-	-

21.2 Composition of deferred tax assets

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	3,067	5,824	-	-
Tax losses carried forward	264,569	215,268	-	-
Impairment	1,007	-	-	-
Accelerated depreciation for tax purposes on Property, plant and equipment	[107,701]	[77,064]	-	-
Revaluation surplus on freehold land	-	[122]	-	-
Net deferred tax assets	160,942	143,906	-	-

NOTES TO THE FINANCIAL STATEMENTS

21.3 Movement in tax effect of temporary differences – Group

	2018/19					
	Balance as at 01.04.2018	Recognised in profit & [loss]	Recognised in other comprehensive income	Recognised in equity	Exchange gain/[loss]	Balance as at 31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Asset						
Defined benefit obligations	5,824	[903]	[1,939]	-	85	3,067
Tax losses carried forward	215,268	38,313	-	-	10,988	264,569
Impairment	-	975	-	32		1,007
	221,092	38,385	[1,939]	32	11,073	268,643
Deferred Tax Liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	[77,064]	[36,074]	-	-	5,437	[107,701]
Revaluation surplus on freehold land	[122]	-	122	-	-	-
	[77,186]	[36,074]	122	-	5,437	[107,701]
Net deferred tax assets	143,906	2,311	[1,817]	32	16,510	160,942

21.4 Movement in tax effect of temporary differences – Group

	2017/18					
	Balance as at 01.04.2017	Recognised in profit & [loss]	Recognised in other comprehensive income	Exchange gain/[loss]	Balance as at 31.03.2018	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Asset						
Defined benefit obligations	4,954	[419]	881	408		5,824
Tax losses carried forward	314,954	[103,120]	-	3,434		215,268
	319,908	[103,539]	881	3,842		221,092
Deferred Tax Liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	[162,148]	85,528	-	[444]		[77,064]
Revaluation surplus on freehold land	-	-	[122]	-		[122]
	[162,148]	85,528	[122]	[444]		[77,186]
Net deferred tax assets	157,760	[18,011]	759	3,398		143,906

22 Inventories

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	202,160	139,990	6,976	6,294
Beverage	95,516	56,325	4,562	4,680
Maintenance	120,198	113,390	4,585	6,615
Stationery	15,564	11,353	589	670
Housekeeping	32,004	48,381	1,483	1,361
Ayurveda Stocks	2,739	2,922	-	-
Fuel & Others	84,697	56,176	2,092	1,620
Total	552,878	428,537	20,287	21,240

There were no inventories pledged as security for overdraft facilities as at 31st March 2019. [as at 31st March 2018- nil]

23 Trade and Other Receivables

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	1,674,878	1,808,604	153,060	168,635
Provision for impairment	[18,590]	[10,886]	[2,471]	[1,754]
	1,656,288	1,797,718	150,589	166,881
Interest income receivable	-	12,336	-	5,709
Non trade receivables	127,869	32,223	-	8,724
	1,784,157	1,842,277	150,589	181,314
Other Taxes receivable	193,953	67,607	-	-
Other receivables	116,634	168,635	10,678	11,235
Total	2,094,744	2,078,519	161,267	192,549

No loans were given to Employees over and above Rs. 20,000/-

No loans have been given to Directors of the company.

24 Amounts due from Holding Company

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term investments	1,150,073	1,464,164	312,619	531,570
Total	1,150,073	1,464,164	312,619	531,570

The above short term investments were made on normal market interest rates.

NOTES TO THE FINANCIAL STATEMENTS

25 Amounts due from Parent's Group Entities

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Travels (Pvt) Ltd.	211,350	164,966	17,132	21,197
Aitken Spence Hotel Managements (Pvt) Ltd.	84,473	184,276	18,264	288
Aitken Spence Exports (Pvt) Ltd	2,095	1,085	-	-
Aitken Spence Cargo (Pvt) Ltd.	83	38	27	-
Ace International Express (Pvt) Ltd.	-	31	-	31
Aitken Spence Plantation Management (Pvt) Ltd	-	14	-	14
Aitken Spence Insurance (Pvt) Ltd	-	28	-	-
Ace Distriparks (Pvt) Ltd	-	7	-	-
Aitken Spence Garments Ltd	138	-	83	-
Ace Exports (Pvt) Ltd	-	297	-	-
Aitken Spence PLC	42	391	33	357
Clark Spence & Co. Ltd	-	26	-	-
Negombo Beach Resorts (Pvt) Ltd	65	7,666	-	7,623
Crest Star (BVI) Ltd	-	-	61,632	-
Aitken Spence Hotels International (Pvt) Ltd	-	-	-	55,409
Neptune Ayurvedic (Pvt) Ltd	-	-	1,179	1,179
Turyaa Resorts (Pvt) Ltd	-	-	-	161,280
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	-	-	7,842	62,922
Turyaa (Pvt) Ltd	-	-	214	885
Kandalama Hotels (Pvt) Ltd	-	-	-	12
Meeraladuwa (Pvt) Ltd	-	-	32	103
Paradise Resorts Passikudah (Pvt) Ltd	5,151	9,958	5,151	5,151
Total	303,397	368,783	111,589	316,451

26 Other Financial Assets

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Other financial assets - current (Note 20.1.2)	39,975	26,546	39,975	26,546
Bank deposits	13,133	502,021	-	-
Total	53,108	528,567	39,975	26,546

26.1 Cash and Cash Equivalents

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Short term deposits less than 90 days	649,709	945,122	-	-
Cash at bank and in hand	2,503,071	4,473,848	456,931	367,291
Cash and cash equivalents	3,152,780	5,418,970	456,931	367,291
Less: Short term Bank Borrowings	(2,108,971)	(1,822,230)	(30,373)	(23,844)
Total cash and cash equivalents for cash flow statement	1,043,809	3,596,740	426,558	343,447
Effect of movement in exchange rates	-	93,048	-	(4,929)
Cash and cash equivalents at the end of the year	1,043,809	3,689,788	426,558	338,518

27 Stated Capital

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Issued & fully paid Ordinary Share Capital				
At the beginning of the year - 336,290,010 ordinary shares	3,389,587	3,389,587	3,389,587	3,389,587
Issued during the year	-	-	-	-
At the end of the year - 336,290,010 ordinary shares	3,389,587	3,389,587	3,389,587	3,389,587
Preference Share Capital - Redeemable Cumulative				
At the beginning of the year - 16,500,000 preference shares	165,000	165,000	165,000	165,000
Issued during the year	-	-	-	-
At the end of the year - 16,500,000 preference shares	165,000	165,000	165,000	165,000
Total	3,554,587	3,554,587	3,554,587	3,554,587

The holders of Ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference shareholder is entitled to dividends at 9% annually. [Cents 90 per share]

NOTES TO THE FINANCIAL STATEMENTS

28 Reserves

		Group		Company	
		31.03.2019	31.03.2018	31.03.2019	31.03.2018
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revaluation reserve	[Note 28.1]	2,551,791	2,401,406	683,032	683,032
General reserve	[Note 28.2]	22,929	22,929	22,929	22,929
Cashflow hedge reserve	[Note 28.3]	[626,716]	1,946,932	-	-
Foreign currency translation reserve	[Note 28.4]	3,049,131	[576,239]	-	-
Total		4,997,135	3,795,028	705,961	705,961
Transaction movement					
Balance brought forward		3,795,028	4,352,819	705,961	722,139
Transfers to / (from) foreign currency translation reserve during the year		1,102,199	227,980	-	-
Transfer to / (from) cashflow hedge reserve		[50,477]	[576,239]	-	-
Transfer from revaluation reserves to retained earnings on disposal of subsidiaries		-	[59,324]	-	-
Surplus on revaluation		150,385	[150,208]	-	[16,178]
Balance carried forward		4,997,135	3,795,028	705,961	705,961

28.1 Revaluation Reserves

The revaluation reserve relates to property plant and equipment which has been revalued by the Group.

28.2 General Reserves

The general reserve relates to retained earnings set aside by the Group.

28.3 Cashflow Hedge Reserve

This represents the reserve created to eliminate the exposure that arises from changes in cash flows of a financial liability due to exchange rate fluctuations.

28.4 Foreign Currency Translation Reserve

The foreign currency translation reserve comprise of all foreign exchange difference arising from the translation of the financial statements of foreign operations.

29 Interest Bearing Borrowings

29.1 Analysed by Lending Institutions

	Group		Company		Borrowing terms
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000	
Habib Bank Ltd	680,230	933,400	680,230	933,400	Loan 1 [in LKR] - Repayable in 15 quarterly instalments commencing from January 2018 for which a Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to AWPLR. (Balance outstanding as at 31st March 2019 is Rs 680.2 million)
Hongkong & Shanghai Banking	6,321,268	9,777,906	-	-	Comprises of three USD loans one Euro loan one INR loan and one OMR loan Loan 1 [USD] -Repayable in 55 monthly instalments commencing from February 2015 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR (Balance outstanding as at 31st March 2019 is Rs 36.6 million)
					Loan 2 [USD] -Repayable in 48 monthly instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to LIBOR (Balance outstanding as at 31st March 2019 is Rs 308.1 million)
					Loan 3 [Euro] -Repayable in 61 monthly instalments and final bullet payment commencing from May 2018. Corporate Guarantee from Aitken Spence Hotel Holdings PLC for Euro 19.5 m and primary mortgage over the Hotel property for Euro 40 m has been provided as security. Interest is fixed for the term. (Balance outstanding as at 31st March 2019 is Rs. 3,508.5 million)
					Loan 4 [INR] -Repayable in 16 quarterly instalments commencing from June 2016 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd has been provided as security. (Balance outstanding as at 31st March 2019 is Rs.434.2 million)
					Loan 5 [USD] -Repayable in bullet in July 2025. Guarantee from Aitken Spence PLC for OMR 4.8 M and primary legal mortgage over the Al Falaj Hotel Property Oman for OMR 4.6 m has been provided as security Interest is linked to LIBOR (Balance outstanding as at 31st March 2019 is Rs.845.2 million)

NOTES TO THE FINANCIAL STATEMENTS

	Group		Company		Borrowing terms
	31.03.2019	31.03.2018	31.03.2019	31.03.2018	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 6 (OMR) -Repayable in 28 quarterly instalments commencing from December 2018 for which a Corporate Guarantee from Aitken Spence PLC for OMR 2.7 M and first ranking legal mortgage over the Al Falaj Hotel Property Oman for OMR 4.6 m has been provided as security. Interest is fixed subject to review annually. [Balance outstanding as at 31st March 2019 is Rs.1,188.4 million]
Hatton National Bank PLC	7,186,909	3,483,906	-	-	Comprises of two loans in USD Loan 1 (USD) -Repayable in 84 monthly instalments commencing from October 2017 for which a Corporate Guarantee and indemnity from Aitken Spence Hotels International (Pvt) Ltd , and mortgage over sub lease of Adaaran Select Huduranfushi Resort has been provided as security. Interest link to LIBOR. [Balance outstanding as at 31st March 2019 is Rs 1,449.5 million]
					Loan 2 (USD) -Repayable in 96 monthly instalments commencing from November 2020 for which a mortgage over head lease of Aarah Island Resort and Meedhupparu Island Resort has been provided as security Interest link to LIBOR. [Balance outstanding as at 31st March 2019 is Rs 5,737.3 million]
Sampath Bank PLC	6,161	7,484	-	-	Comprises of one LKR loan Loan 1 (in LKR) - Repayable in 72 monthly instalments commencing from December 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest is 6% per annum. [Balance outstanding as at 31st March 2019 is Rs 6.1 million]
Peoples Bank	3,198,523	2,800,800	-	-	Comprises of one USD loan Loan 1 (USD) -Repayable in 24 quarterly instalments commencing from August 2019 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR. [Balance outstanding as at 31st March 2019 is Rs 3,198 million]
Abanca Bank - Spain	3,369,314	3,259,680	-	-	Comprises of one Euro loan Loan 1 (Euro) -Repayable in 21 quarterly instalments and one bullet payment payable in July 2024. Quarterly loan instalments will commence in July 2019. Corporate Guarantee from Ruisa II SA has been provided as security. Interest link to EURIBOR [Balance outstanding as at 31st March 2019 is Rs 3,369 million]

	Group		Company		Borrowing terms
	31.03.2019	31.03.2018	31.03.2019	31.03.2018	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
DFCC Bank	4,717,922	2,211,250	-	-	Comprises of one LKR loan and one USD loan Loan1[in LKR] - Repayable in 72 monthly instalments commencing from November 2016 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest linked to AWPR. [Balance outstanding as at 31st March 2019 is Rs.614.1 million] Loan 2 [USD] -Repayable in 96 monthly instalments commencing from November 2020 for which a Corporate Guarantee from Aitken Spence Hotels International [Pvt Ltd.], and mortgage over head lease of Aarah Island Resort has been provided as security Interest linked to LIBOR. [Balance outstanding as at 31st March 2019 is Rs 4,103.8 million]
Total Loans	25,480,327	22,474,426	680,230	933,400	
Current portion of interest bearing borrowings	(2,075,035)	(4,320,375)	(279,630)	(266,400)	
Non Current portion of interest bearing borrowings	23,405,292	18,154,051	400,600	667,000	

29.2 Movement in Interest bearing borrowings

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Loan Capital				
Balance brought forward	22,474,426	17,761,869	933,400	1,000,000
Effect of movement in exchange rates	1,692,420	1,319,448	-	-
Loans received during the year	7,701,286	11,864,095	-	-
Loan repayments during the year	(6,437,502)	(8,470,986)	(266,400)	(66,600)
	25,430,630	22,474,426	667,000	933,400
Loan Interest				
Balance brought forward	51,820	-	17,906	-
Effect of movement in exchange rates	13,917	-	-	-
Interest accrued during the year	1,162,286	-	85,491	-
Interest paid during the year	(1,178,326)	-	(90,167)	-
	49,697	-	13,230	-
Total	25,480,327	22,474,426	680,230	933,400
Current portion of interest bearing borrowings	(2,075,035)	(4,320,375)	(279,630)	(266,400)
Non current portion of interest bearing borrowings	23,405,292	18,154,051	400,600	667,000

NOTES TO THE FINANCIAL STATEMENTS

29.3 Analysed by Currency equivalent in Rupees

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka Rupees	1,300,489	1,609,286	680,230	933,400
United States Dollars	15,654,035	10,667,825	-	-
Euro	6,877,834	9,508,039	-	-
Indian Rupees	434,265	689,276	-	-
Oman Riyal	1,213,704	-	-	-
Total	25,480,327	22,474,426	680,230	933,400

29.4 Analysed by repayment period

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	2,075,035	4,320,375	279,630	266,400
Payable between one and two years	2,607,647	2,282,591	266,400	266,400
Payable between two and five years	13,244,108	8,000,361	134,200	400,600
Payable after five years	7,553,537	7,871,099	-	-
Total	25,480,327	22,474,426	680,230	933,400

30 Deferred Tax Liabilities

30.1 Movement in deferred tax liabilities

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	646,389	368,880	46,149	[24,358]
Companies disposed during the year	-	[6,874]	-	-
Effect of movement of exchange rates	21,584	3,606	-	-
Origination of temporary differences				
- recognised in income statement	196,064	108,545	5,363	[25,006]
- recognised in other comprehensive income	91,954	172,232	291	95,513
- recognised in equity	[2,201]	-	[2,020]	-
Balance carried forward	953,790	646,389	49,783	46,149

30.2 Composition of deferred tax liabilities

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Deferred tax liabilities attributable to;				
Property, plant and equipment	990,133	767,950	104,379	105,083
Revaluation surplus on freehold land	265,686	174,439	96,271	96,271
Defined benefit obligations	[16,796]	[14,349]	[4,967]	[4,922]
Carried forward tax losses	[283,202]	[281,651]	[144,665]	[150,283]
Impairment	[2,031]	-	[1,235]	-
Net deferred tax liabilities	953,790	646,389	49,783	46,149

30.3 Movement in tax effect of temporary differences - Group

	2018/2019						Balance as at 31st March 2019 Rs. '000
	Balance as at 01st April 2018 Rs. '000	Recognised in profit & [loss] Rs. '000	Recognised in Other Comprehensive Income Rs. '000	Recognised in equity Rs. '000	Companies acquired/ disposed Rs. '000	Exchange gain/[losses] Rs. '000	
Deferred tax - liabilities							
Accelerated depreciation for tax purposes on Property, plant and equipment	767,950	197,131	-	-	-	25,052	990,133
Revaluation surplus on freehold land	174,439	-	91,247	-	-	-	265,686
Total liabilities	942,389	197,131	91,247	-	-	25,052	1,255,819
Deferred tax - assets							
Defined benefit obligations	[14,349]	[3,154]	707	-	-	-	[16,796]
Tax losses carried forward	[281,651]	1,917	-	-	-	[3,468]	[283,202]
Impairment	-	170	-	[2,201]	-	-	[2,031]
Total assets	[296,000]	[1,067]	707	[2,201]	-	[3,468]	[302,029]
Net deferred tax liabilities	646,389	196,064	91,954	[2,201]	-	21,584	953,790

NOTES TO THE FINANCIAL STATEMENTS

30.4 Movement in tax effect of temporary differences – Group

	2017/2018					
	Balance as at 01st April 2017	Recognised in profit & [loss]	Recognised in Other Comprehensive Income	Companies acquired/ disposed	Exchange gain/[losses]	Balance as at 31st March 2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	474,655	299,106	-	[9,117]	3,306	767,950
Revaluation surplus on freehold land	-	-	174,439	-	-	174,439
Total liabilities	474,655	299,106	174,439	[9,117]	3,306	942,389
Deferred tax - assets						
Defined benefit obligations	[6,501]	[6,503]	[2,207]	862	-	[14,349]
Tax losses carried forward	[99,274]	[184,058]	-	1,381	300	[281,651]
Total assets	[105,775]	[190,561]	[2,207]	2,243	300	[296,000]
Net deferred tax liabilities	368,880	108,545	172,232	[6,874]	3,606	646,389

30.5 Movement in tax effect of temporary differences – Company

	2018/2019				2017/2018			
	Balance as at 31st March 2019	Recognised in profit & [loss]	Recognised in Other Comprehensive Income	Recognised in equity	Balance as at 31st March 2018	Recognised in profit & [loss]	Recognised in Other Comprehensive Income	Balance as at 01st April 2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities								
Accelerated depreciation for tax purposes on Property, plant and equipment	104,379	[704]	-	-	105,083	11,882	-	93,201
Revaluation surplus on freehold land	96,271	-	-	-	96,271	-	96,271	-
Total liabilities	200,650	[704]	-	-	201,354	11,882	96,271	93,201
Deferred tax - assets								
Defined benefit obligations	[4,967]	[336]	291	-	[4,922]	[641]	[758]	[3,523]
Tax losses carried forward	[144,665]	5,618	-	-	[150,283]	[36,247]	-	[114,036]
Impairment	[1,235]	785	-	[2,020]	-	-	-	-
Total assets	[150,867]	6,067	291	[2,020]	[155,205]	[36,888]	[758]	[117,559]
Net deferred tax liabilities	49,783	5,363	291	[2,020]	46,149	[25,006]	95,513	[24,358]

31 Other Liabilities

31.1 Lease Accruals

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Balance brought forward	881,272	597,833	-	-
Effect of movement in exchange rates	127,365	17,817	-	-
Lease accruals recognised and capitalised to property plant and equipment	293,380	265,622	-	-
Balance carried forward	1,302,017	881,272	-	-

This represents the accrued lease rent of operating leases of the island of Aarah-Raa Atoll (Cowrie Investment (Pvt) Ltd) and island of Raafushi of Noonu Atoll (Ace Resorts (Pvt) Ltd) resulting from recognising the total lease rent payable over the lease term on a straight line basis

32 Employee Benefits

32.1 Retirement benefit obligations

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	206,750	195,194	35,472	35,162
Recognised liability for defined benefit obligations	206,750	195,194	35,472	35,162

32.2 Movement in present Value of the defined benefit obligations

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Defined benefit obligations at the beginning of the year	195,194	177,462	35,162	29,361
Expenses recognised in the income statement	40,944	43,430	6,463	6,228
Expenses recognised in other comprehensive income	(13,002)	20,900	(2,082)	5,417
Benefits paid	(25,012)	(38,850)	(4,071)	(5,844)
Subsidiaries disposed during the year	-	(9,494)	-	-
Effect of movement in exchange rates	8,626	1,746	-	-
Defined benefit obligations at the end of the year	206,750	195,194	35,472	35,162

NOTES TO THE FINANCIAL STATEMENTS

32.3 Expenses recognised in the income statement

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Expenses recognised in the income statement				
Current service cost	27,111	31,141	2,771	2,558
Interest cost	13,833	12,289	3,692	3,670
	40,944	43,430	6,463	6,228
Expenses recognised in other comprehensive income				
Net actuarial [gains] /losses	[13,002]	20,900	[2,082]	5,417
	[13,002]	20,900	[2,082]	5,417
Total	27,942	64,330	4,381	11,645

32.4 Maturity Analysis of the payment

The following payment are expected on defined benefit obligations in future

	Group	Company
	31.03.2019	31.03.2019
	Rs. '000	Rs. '000
Within next 12 months	7,357	4,009
Between 1-2 years	13,321	4,292
Between 2-5 years	19,660	8,065
Beyond five years	166,412	19,106
	206,750	35,472

32.5 Sensitivity Analysis

The following table demonstrate the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2018/19.

The sensitivity of the Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and employment benefit obligations as at 31st March 2019.

	Effect on comprehensive income [reduction]/ increase	Effect on employment benefit liability [reduction]/ increase
	Rs. '000	Rs. '000
Increase / [decrease] in discount rate		
-1%	[11,117]	11,117
+1%	9,767	[9,767]
Increase / [decrease] in salary escalation rate		
-1%	10,489	[10,489]
+1%	[11,783]	11,783

32.6 The principal actuarial assumptions used in determining the liability were:

- (i) Discount rate of 11.5% [2017/18 - 10.5%]
- (ii) Salary increment rate - for executive staff - 11% [2017/18 -11%]
- for non - executive staff - 8% [2017/18 -7.5%]
- (iii) Retirement age of 55 years.
- (iv) The Company will continue in business as a going concern.
- (v) Staff turnover rates at each age category

	2018/2019	2017/2018
- 20 years	0.07	0.07
- 25 years	0.05	0.05
- 30 years	0.05	0.05
- 35 years	0.04	0.04
- 40 years	0.03	0.03
- Above 40 years	0.00	0.00

32.7 The actuarial valuation was made on 31st March 2019. It is proposed that a valuation is obtained every year.

32.8 The liability is not externally funded.

32.9 The actuarial valuation was carried out by professionally qualified actuaries, Mr. Poopalanathan of M/s Actuarial Management Consultants (Pvt) Ltd using projected unit credit (PUC) method.

33 Other Provisions and Payables

	Group		Company	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Accrued payables	1,077,145	1,299,717	48,560	69,142
Contract liabilities	1,330,222	1,125,799	37,436	9,736
	2,407,367	2,425,516	85,996	78,878
Unclaimed dividends	15,963	13,469	10,147	7,538
Taxes and other miscellaneous payables and provisions	553,763	511,440	47,166	29,939
Total	2,977,093	2,950,425	143,309	116,355

NOTES TO THE FINANCIAL STATEMENTS

34 Amounts due to Parent's Group Entities

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports Ltd.	1,813	1,962	211	-
Aitken Spence Travels (Pvt) Ltd	679	330	-	-
Elevators (Pvt) Ltd.	893	764	-	-
Elpitiya Plantations PLC	207	180	45	45
Aitken Spence Printing and Packaging (Pvt) Ltd.	17	117	5	-
Ace International Express (Pvt) Ltd	-	1	-	1
Ace Distriparks (Pvt) Ltd	-	167	-	25
Aitken Spence Hotel Managements (Pvt) Ltd.	52,074	62,866	2,270	5,199
Aitken Spence Cargo (Pvt) Ltd	260	99	-	-
Aitken Spence Agriculture (Pvt) Ltd	108	233	-	-
Ahungalla Resorts Ltd	-	-	25	-
Kandalama Hotels (Pvt) Ltd.	-	-	780,561	712,015
Turyaa (Pvt) Ltd	-	-	29	27
Total	56,051	66,719	783,146	717,312

35 Segmental Information

35.1 Assets

	Group			
	Total Assets		Net Assets	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	3,300,393	3,461,600	2,312,589	1,976,975
Ahungalla Resorts Ltd. Hotel RIU Sri Lanka	11,598,562	15,217,738	4,067,373	4,527,341
Aitken Spence Hotels Ltd. - Heritance Ayurveda	986,089	854,589	863,375	763,349
Heritance (Pvt) Ltd.	332,191	332,201	327,665	328,468
Meeraladuwa (Pvt) Ltd	217,028	217,153	216,085	216,465
Turyaa Resorts (Pvt) Ltd - Turyaa Kalutara	1,814,228	1,879,400	1,059,938	1,084,303
Neptune Ayurvedic Village (Pvt) Ltd.	20,141	20,966	17,931	21,002
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	1,503,618	1,293,583	1,036,946	667,867
Hethersett Hotels Ltd. - Heritance Tea Factory	725,760	1,058,670	594,442	906,207
Turyaa (Pvt) Ltd - Turyaa Kalutara	1,359,059	1,522,111	1,030,133	1,258,947
	21,857,069	25,858,011	11,526,477	11,750,924
Others				
Aitken Spence Hotels International (Pvt) Ltd	44,049	64,738	(3,835,546)	(3,447,073)
Aitken Spence Hotel Managements Asia (Pvt) Ltd	191,659	280,493	155,069	199,469
Aitken Spence Global Operations (Pvt) Ltd	10,805	-	573	-
	246,513	345,231	(3,679,904)	(3,247,604)
Equity accounted investees	1,228,427	1,137,106	1,228,427	1,137,106
Total Sri Lanka Sector	23,332,009	27,340,348	9,075,000	9,640,426
South Asian and Middle East Sector				
Crest Star (BVI) Ltd.	222,027	183,144	192,775	158,028
Cowrie Investment (Pvt) Ltd. - Adaaran Select Meedhupparu	18,290,466	10,579,018	6,196,863	5,225,608
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran Club Rannalhi	2,198,298	2,140,292	1,670,897	1,673,111
ADS Resorts (Pvt) Ltd - Adaaran Select Hudhuran Fushi	2,799,753	2,408,282	391,486	279,755
Unique Resorts (Pvt) Ltd - Adaaran Prestige Vadoo	4,206,644	3,758,725	3,489,071	2,936,603
Aitken Spence Hotel Management South India (Pvt) Ltd	4,520,083	3,960,226	3,241,497	2,733,374
Ace Resorts (Pvt) Ltd	1,600,934	1,231,479	951,949	801,829
Aitken Spence Hotel Services (Pvt) Ltd	449	421	18	(6)
Perumbalam Resorts (Pvt) Ltd	53,076	52,410	52,930	52,274
P. R Holiday Homes (Pvt) Ltd	256,089	243,040	232,153	220,606
Aitken Spence Resorts (Middle East) LLC	7,422,556	6,696,012	5,100,796	4,172,395
Total South Asian and Middle East Sector	41,570,375	31,253,049	21,520,435	18,253,577
Total	64,902,384	58,593,397	30,595,435	27,894,003

NOTES TO THE FINANCIAL STATEMENTS

35.2 Property, Plant & Equipment

	Group			
	Capital Expenditure		Depreciation & Amortisation	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	47,275	57,472	58,304	63,879
Aitken Spence Hotels Ltd. - Heritance Ayurveda	10,007	14,504	35,498	36,895
Ahungalla Resorts Ltd. - Hotel RIU Sri Lanka	47,995	106,743	480,953	478,244
Turyaa Resorts (Pvt) Ltd. - Turyaa Kalutara	22,135	88,850	96,338	107,798
Neptune Ayurvedic Village (Pvt) Ltd.	-	-	640	644
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	99,022	111,383	63,930	63,510
Hethersett Hotels Ltd. - Heritance Tea Factory	19,233	42,072	21,906	21,996
MPS Hotels (Pvt) Ltd - Hotel Hilltop	-	1,757	-	5,609
Turyaa (Pvt) Ltd - Turyaa Kalutara	3,759	34,049	93,607	97,211
	249,426	456,830	851,176	875,786
Others				
Aitken Spence Hotels International (Pvt) Ltd	830	128	3,623	2,915
Aitken Spence Hotel Managements Asia (Pvt) Ltd	1,007	12,082	2,042	1,126
	1,837	12,210	5,665	4,041
Total Sri Lanka Sector	251,263	469,040	856,841	879,827
South Asian and Middle East Sector				
Cowrie Investment (Pvt) Ltd. - Adaaran Select Meedhupparu	5,958,367	4,156,605	206,572	184,718
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran Club Rannalhi	61,501	230,298	126,156	108,931
ADS Resorts (Pvt) Ltd - Adaaran Select Hudhuran Fushi	79,247	78,641	252,358	233,341
Unique Resorts (Pvt) Ltd - Adaaran Prestige Vadoo	53,580	75,869	220,136	201,482
Ace Resorts (Pvt) Ltd	51,312	2,795	-	-
Aitken Spence Hotel Managements South India (Pvt) Ltd	48,356	17,651	111,655	121,581
P.R Holiday Homes (Pvt) Ltd	1,639	-	-	-
Aitken Spence Resorts (Middle East) LLC	298,363	66,181	100,006	85,374
Total South Asian and Middle East Sector	6,552,365	4,628,040	1,016,883	935,427
Total	6,803,628	5,097,080	1,873,724	1,815,254

35.3 Liabilities & Non-Cash Expenses

	Group			
	Total Liabilities		Non-Cash Expenses	
	31.03.2019 Rs. '000	31.03.2018 Rs. '000	31.03.2019 Rs. '000	31.03.2018 Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	987,805	1,484,624	4,478	11,904
Aitken Spence Hotels Ltd. - Heritance Ayurveda	122,714	91,240	1,587	3,940
Ahungalla Resorts Ltd. - Hotel RIU Sri Lanka	7,531,188	10,690,397	2,494	1,767
Meeraladuwa [Pvt] Ltd	942	687	-	-
Heritance [Pvt] Ltd	4,526	3,733	-	-
Turyaa Resorts [Pvt] Ltd - Turyaa Kalutara	754,291	795,097	506	475
Neptune Ayurvedic Village [Pvt] Ltd.	2,211	[35]	-	-
Kandalama Hotels [Pvt] Ltd. - Heritance Kandalama	466,672	625,716	1,193	15,895
Hethersett Hotels Ltd. - Heritance Tea Factory	131,318	152,463	[325]	3,207
Turyaa [Pvt] Ltd - Turyaa Kalutara	328,926	263,164	1,838	.
	10,330,593	14,107,086	11,771	37,188
Others				
Aitken Spence Hotels International [Pvt] Ltd	3,879,595	3,511,811	[5,779]	1,923
Aitken Spence Hotel Managements Asia [Pvt] Ltd	36,590	81,024	[509]	4,866
Aitken Spence Global Operations [Pvt] Ltd	10,231	-	1,739	-
	3,926,416	3,592,835	[4,549]	6,789
Total Sri Lanka Sector	14,257,009	17,699,921	7,222	43,977
South Asian and Middle East Sector				
Crest Star [BVI] Ltd.	29,252	25,116	-	-
Cowrie Investment [Pvt] Ltd. - Adaaran Select Meedhupparu	12,093,603	5,353,411	1,053	-
Jetan Travel Services Co. [Pvt] Ltd. - Adaaran Club Rannalhi	527,401	467,181	136	-
ADS Resorts [Pvt] Ltd - Adaaran Select Hudhuran Fushi	2,408,268	2,128,527	1,112	801
Unique Resorts [Pvt] Ltd - Adaaran Prestige Vadoo	717,573	822,122	[4,808]	-
Ace Resorts [Pvt] Ltd	648,985	429,651	-	-
Aitken Spence Hotel Managements South India [Pvt] Ltd	1,278,586	1,226,852	2,640	1,606
Aitken Spence Hotel Services [Pvt] Ltd	431	427	-	-
P R Holiday Homes [Pvt] Ltd	23,936	22,434	-	-
Perumbalam Resorts [Pvt] Ltd	145	136	-	-
Aitken Spence Resorts [Middle East] LLC	2,321,760	2,523,616	15,283	-
South Asian and Middle East Sector	20,049,940	12,999,473	15,416	2,407
Total	34,306,949	30,699,394	22,638	46,384

NOTES TO THE FINANCIAL STATEMENTS

36 Foreign Currency Translation

The Principle exchange rates used for translation of assets and liabilities as at the Balance Sheet date is as follows:

	31.03.2019	31.03.2018
US Dollar	176.09	155.60
Indian Rupee	2.54	2.39
Oman Riyal	462.86	404.37
Euro	197.75	191.75

37 Contingent Liabilities

The contingent liability as at 31st March 2019 on guarantees given by Aitken Spence Hotel Holdings PLC to third parties on facilities obtained by subsidiaries amounted to Rs 16,351,021,550/- [31.03.2018 - Rs.13,733,032,000/-] Liability as at 31st March 2019 on guarantees given by subsidiaries to third parties amounted to Rs. 3,675,089,000/- [31.03.2018 - Rs. 4,475,821,000/-]

38 Financial Instruments

Change in Accounting Policies and disclosures due to adoption of new Accounting Standards applicable for the period.

The companies in the Group applied SLFRS 9 - Financial Instruments effective for annual periods beginning on or after 01st January 2018 for first time when preparing these financial statements. Refer disclosure Note no 49 for transitional impact due to application of SLFRS 9

SLFRS 9 - Financial Instruments replaces LKAS 39 Financial Instruments: Recognition and Measurement and all previous versions of SLFRS 9. The new SLFRS 9 brings together all three aspects of the accounting for the financial instruments, classification and measurement; impairment; and hedge accounting. The standard required retrospective application. Providing comparative information is not compulsory. For hedge accounting, the requirements are required to be applied prospectively, with some limited exceptions.

SLFRS 9 brought significant changes to the classification and measurement of financial instruments and impairment assessment pertaining to such instruments. These changes are disclosed in Note no 38 and Note no 39 to the financial statements.

As required by SLFRS 9 - Financial Instruments, the following changes were done to the classification of Financial Instruments of the Group.

- 1 Financial Assets classified under Available for sale [AFS] were classified as Fair Value through other comprehensive Income.
- 2 Financial Assets classified under Loans and receivables were classified as Financial Assets at amortised cost.
- 3 Financial Liabilities classified under Other Liabilities were classified as Financial Liabilities at amortised cost.

Financial assets and financial liabilities are measured on an ongoing basis at either fair value or amortised cost. The following table analyse the carrying amount of financial assets and liabilities by category as defined in SLFRS 9- Financial Instruments under headings reported in the Statement of Financial Position.

As at 31st March 2019	Note	Group - 2018/2019			Total
		Financial Assets	Financial Assets	Financial	
		at Fair value	at Amortised	Liabilities at	
		through OCI	cost	Amortised cost	
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Other financial assets					
- Unquoted equity and debt securities/ loans	20.1	146,675	672,286		818,961
- Bank deposits	26		13,133		13,133
Trade and other receivables	23		1,784,157		1,784,157
Cash and cash equivalents	26.1		3,152,780		3,152,780
Total financial assets		146,675	5,622,356	-	5,769,031
- Total non current		146,675	632,311		778,986
- Total current		-	4,990,045		4,990,045
		146,675	5,622,356	-	5,769,031
Financial Liabilities					
Interest bearing borrowings	29			25,480,327	25,480,327
Trade payables				923,504	923,504
Provisions and other payables	33			2,407,367	2,407,367
Short term bank borrowings				2,108,971	2,108,971
Total financial liabilities		-	-	30,920,169	30,920,169
- Total non current				23,405,292	23,405,292
- Total current				7,514,877	7,514,877
		-	-	30,920,169	30,920,169

NOTES TO THE FINANCIAL STATEMENTS

Group - 2017/2018				
	Note	Financial Assets at Fair value through OCI Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised cost Rs. '000
Total Rs. '000				
Financial Assets				
Other financial assets				
- Unquoted equity and debt securities/ loans	20.1	103,361	686,965	790,326
- Bank deposits	26		502,021	502,021
Trade and other receivables	23		1,842,277	1,842,277
Cash and cash equivalents	26.1	-	5,418,970	5,418,970
Total financial assets		103,361	8,450,233	-
- Total non current		103,361	660,419	763,780
- Total current		-	7,789,814	7,789,814
		103,361	8,450,233	-
Financial Liabilities				
Interest bearing borrowings	29			22,474,426
Trade payables				600,229
Provisions and other payables	33			2,425,516
Short term bank borrowings				1,822,230
Total financial liabilities		-	-	27,322,401
- Total non current				18,154,051
- Total current				9,168,350
		-	-	27,322,401

		Company - 2018/19			
	Note	Financial Assets at Fair value through OCI Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised cost Rs. '000	Total Rs. '000
Financial Assets					
Other financial assets					
- Unquoted equity and debt securities/ loans	20.1		672,286		672,286
- Bank deposits	26		-		-
Trade and other receivables	23		150,589		150,589
Cash and cash equivalents	26.1		456,931		456,931
Total financial assets		-	1,279,806	-	1,279,806
- Total non current			632,311		632,311
- Total current			647,495		647,495
		-	1,279,806	-	1,279,806
Financial Liabilities					
Interest bearing borrowings	29			680,230	680,230
Trade payables				29,165	29,165
Provisions and other payables	33			85,996	85,996
Short term bank borrowings				30,373	30,373
Total financial liabilities		-	-	825,764	825,764
- Total non current				400,600	400,600
- Total current				425,164	425,164
		-	-	825,764	825,764

NOTES TO THE FINANCIAL STATEMENTS

Company - 2017/18				
	Note	Financial Assets at Fair value through OCI Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised cost Rs. '000
Total Rs. '000				
Financial Assets				
Other financial assets				
- Unquoted equity and debt securities/ loans	20.1		686,965	686,965
- Bank deposits	26		-	-
Trade and other receivables	23		181,314	181,314
Cash and cash equivalents	26.1		367,291	367,291
Total financial assets		-	1,235,570	-
- Total non current			660,419	660,419
- Total current			575,151	575,151
		-	1,235,570	-
Financial Liabilities				
Interest bearing borrowings	29			933,400
Trade payables				38,823
Provisions and other payables	33			78,878
Short term bank borrowings				23,844
Total financial liabilities		-	-	1,074,945
- Total non current				667,000
- Total current				407,945
		-	-	1,074,945

38.1 Fair value of financial assets and liabilities

The fair value of financial assets and liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

	Group - 2018/19		Company - 2018/19	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets				
- Unquoted equity and debt securities/loans	818,961	818,961	672,286	672,286
- Bank deposits	13,133	13,133	-	-
Trade and other receivables	1,784,157	1,784,157	150,589	150,589
Cash and cash equivalents	3,152,780	3,152,780	456,931	456,931
Total financial Assets	5,769,031	5,769,031	1,279,806	1,279,806
Financial Liabilities				
Interest bearing borrowings	25,480,327	25,480,327	680,230	680,230
Trade payables	923,504	923,504	29,165	29,165
Provisions and other payables	2,407,367	2,407,367	85,996	85,996
Short term bank borrowings	2,108,971	2,108,971	30,373	30,373
Total financial Liabilities	30,920,169	30,920,169	825,764	825,764

	Group - 2017/18		Company - 2017/18	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets				
- Unquoted equity and debt securities/loans	790,326	790,326	686,965	686,965
- Bank deposits	502,021	502,021	-	-
Trade and other receivables	1,842,277	1,842,277	181,314	181,314
Cash and cash equivalents	5,418,970	5,418,970	367,291	367,291
Total financial Assets	8,553,594	8,553,594	1,235,570	1,235,570
Financial Liabilities				
Interest bearing borrowings	22,474,426	22,474,426	933,400	933,400
Trade payables	600,229	600,229	38,823	38,823
Provisions and other payables	2,425,516	2,425,516	78,878	78,878
Short term bank borrowings	1,822,230	1,822,230	23,844	23,844
Total financial Liabilities	27,322,401	27,322,401	1,074,945	1,074,945

NOTES TO THE FINANCIAL STATEMENTS

A number of the Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following valuation techniques.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets making appropriate adjustments for difference in size, nature and location of the property.

Financial Assets measured at fair value through other comprehensive income investments in equity instruments quoted and unquoted

The fair value investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

Investments in debt instruments - unquoted

Investments in debt instrument- unquoted which consist of debentures is considered as loan and impaired using Z score method. A template has been formulated for this purpose taking into consideration probability of default based on last year audited accounts. However if a primary mortgage bond is being provided against the debentures the loss given default (probability of default) would be considered as zero and impairment made. However for other forms of guarantees such as personal guarantees etc. the loss given default would vary between 45%-100%.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment based on expected credit loss model. For impairment purposes a loss rate has been established taking into consideration forward looking factors that affect customer default rates. Forward looking macro economic data such as GDP is incorporated in calculating the probability of default. The credit loss derived using the provision matrix is adjusted based on the future adjusted PD factors.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised. If there are any receivables for more than one year, such balance over one year is disclosed based on present value.

Bank Deposits

Fair value bank deposits is determined at amount estimated to be realised after making provision for impairment based on the duration of the deposit and credit rating of the financial institution in which the deposit is held and the corresponding probability of default. Twelve months expected credit loss (ECL) is considered for impairment . All deposits for less than three months and invested in Financial Institutions rating BBB- and above are not impaired. Investment held with Parent Company also not impaired.

Financial Liabilities at amortised cost

Fair value of interest bearing borrowings, Trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future less impairment.

38.2 Determination of Fair Value Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Directly or indirectly observable prices in active market for similar assets or liabilities (level 2)
- (iii) Inputs that are unobservable that reflect management own assumptions (level 3)

38.2.1 Fair Value Measurement Hierarchy

		Group -2018/19				Company 2018/19			
	Notes	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets measured at fair value									
Property, plant and equipment									
- Freehold Land	14.3.1	-	-	4,025,394	4,025,394	-	-	710,300	710,300
Other financial assets									
- Unquoted equity securities	20.1	-	-	146,675	146,675	-	-	-	-
		-	-	4,172,069	4,172,069	-	-	710,300	710,300
Assets for which fair values are disclosed									
Other Financial Assets									
- Quoted equity securities	19.1.1	562,512	-	-	562,512	550,487	-	-	550,487
- Unquoted debt securities	20.1	-	672,286	-	672,286		672,286		672,286
- Bank deposits	26	-	13,133	-	13,133	-	-	-	-
		562,512	685,419		1,247,931	550,487	672,286		1,222,773
Liabilities for which fair values are disclosed									
- Interest bearing borrowings	29.1		25,480,327	-	25,480,327	-	680,230	-	680,230
		-	25,480,327	-	25,480,327	-	680,230	-	680,230

		Group -2017/18				Company 2017/18			
	Notes	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets measured at fair value									
Property, plant and equipment									
- Freehold Land	14.3.1	-	-	3,043,500	3,043,500	-	-	710,300	710,300
Other financial assets									
- Unquoted equity securities	20.1	-	-	103,361	103,361	-	-	-	-
		-	-	3,146,861	3,146,861	-	-	710,300	710,300
Assets for which fair values are disclosed									
Other Financial Assets									
- Quoted equity securities	19.1.1	707,990	-	-	707,990	692,854	-	-	692,854
- Unquoted debt securities	20.1	-	686,965	-	686,965	-	686,965		686,965
- Bank deposits	26	-	502,021	-	502,021	-	-	-	-
		707,990	1,188,986	-	1,896,976	692,854	686,965	-	1,379,819
Liabilities for which fair values are disclosed									
- Interest bearing borrowings	29.1	-	22,474,426	-	22,474,426	-	933,400	-	933,400
		-	22,474,426	-	22,474,426	-	933,400	-	933,400

"Current " represents financial liabilities which are due to mature within one year.

NOTES TO THE FINANCIAL STATEMENTS

38.2.2 Reconciliation of fair value measurement of "Level 3" Financial Instruments

Freehold land

The reconciliation of property plant and equipment [land] is given in Note 14.1 and 14.2 to the financial statements.

Unquoted equity securities

	Group		Company	
	31.03.2019	31.03.2018	31.03.2019	31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	103,361	126,650	-	-
Shares disposed during the year	[19,233]	[23,289]	-	-
Effect of movement in exchange rates	62,547	-	-	-
Balance carried forward	146,675	103,361	-	-

38.2.3 Assets and liabilities measured at fair value

Assets	Valuation Technique	Significant unobservable inputs	Sensitivity of the input to the fair value
Property plant and equipment - Freehold land	Market comparable method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market price of similar assets making appropriate adjustments for difference in size, nature and location of the property.	Price per perch of land	Estimated fair value would increase [decrease] if price per perch increases / [decreases]
Other financial assets - Unquoted equity securities	Valuation determined based on present value of future cash flows discounted at the market interest rates.	Cashflow projection/ discounted rate	Estimated fair value would increase [decrease] if net cash inflow/outflow and discount rate increases / [decreases]

39 Financial Risk Management

39.1 Overview

The Group has exposure to the following risks from its use of financial instruments

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

39.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management, and the Audit committee in managing all risks affecting the Group. The Group audit committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the audit committee. Central Treasury Department of the Holding Company also implement and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-operation with the Group's operating units identifies, evaluates and formulates principles for risk management covering specific areas such as foreign exchange risk and interest rate risk.

39.3 Credit risk

Credit risk is the risk of finance loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investments.

Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. There were no off balance sheet exposure as at the year end date.

As at 31st March	Group 2019 Rs. '000	% allocation Rs. '000	Company 2019 Rs. '000	% allocation Rs. '000
Financial Assets				
Financial assets at fair value through OCI				
Other Investments - Unquoted equity shares	146,675	3%	-	-
Financial assets at amortised cost				
Unquoted debt securities and loans	672,286	12%	672,286	53%
Bank deposits	13,133	-	-	-
Trade and other receivables	1,784,157	30%	150,589	12%
Cash and cash equivalents	3,152,780	55%	456,931	35%
Total credit exposure	5,769,031	100%	1,279,806	100%

Credit Exposure on receivables

Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

As at 31st March	Note	Group 2019 Rs. '000	Company 2019 Rs. '000
Trade receivables	23	1,674,878	153,060
Total		1,674,878	153,060

NOTES TO THE FINANCIAL STATEMENTS

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the Group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The group has established a credit policy under which each new customer is analysed individually for credit worthiness. The Group's review includes obtaining bank guarantees [collaterals] and references. As at the reporting date value of collaterals obtained from customers amounted to Rs. 0.5 million. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

Impairment losses

Impairment for trade receivables is established based on expected credit loss method. The main component of this allowance is a specific loss component that relates to individually significant exposures based on aging of the outstandings. The loss rate calculated based on the historical provision matrix is adjusted based on the future calibrated probability of default and the loss given default. Forward looking factors that affect customer default rates and macro economic data such as GDP is considered in calculating the probability of default.

As at 31st March 2019	Group Rs. '000	Company Rs. '000
Less than 30 days	1,178,949	107,304
30-60 days	376,581	24,521
60-90 days	78,910	16,857
90-180 days	29,698	4,860
180-365 days	8,736	708
more than 365 days	14,650	3,015
Advances received	[12,646]	[4,205]
	1,674,878	153,060
Less: Impairment on trade receivable	[18,590]	[2,471]
Carrying value of trade receivables	1,656,288	150,589

The movement in the allowance for impairment in respect of trade receivables during the year was:

As at 31st March 2019	Group Rs. '000	Company Rs. '000
Balance at the beginning of the year	[10,886]	[1,754]
Impairment provision - recognised for the year	[6,234]	[717]
Written off during the year	-	-
Effect of movement in exchange rate	[1,470]	-
Balance at the end of the year	[18,590]	[2,471]

Short term deposits

The Group's maximum exposure to credit risk on term deposits as at the year end based on the carrying value in the statement of financial position is given below.

As at 31st March 2019	Group	%	Company	%
	Rs. '000	allocation Rs. '000	Rs. '000	allocation Rs. '000
Government owned Banking Institutions	51	-	-	-
Commercial Banks	13,082	100%	-	-
Total	13,133	100%	-	-

Commercial Banks

Investments made with other Commercial Banks consist of fixed deposits and term deposits held with government owned banks and private commercial banks.

Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also use broad investment portfolio and limit investments with a single counterparty.

39.4 Liquidity risk

Liquidity risk is the risk that the group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The group continuously prepare and monitors rolling cash flow forecasts and access the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing time deposits or with group treasury. At the reporting date, the group held term deposits that are expected to readily generate cash inflows for managing liquidity risk of liabilities as at the reporting date.

As at 31st March 2019	Group			
	Carrying Amount Rs. '000	Current Rs. '000	Non Current Rs. '000	Payable on demand Rs. '000
Financial Liabilities				
Interest bearing borrowings	25,480,327	2,075,035	23,405,292	-
Trade payables	923,504	513,220	410,284	-
Other provisions and payables	2,407,367	1,867,992	539,375	-
Short term bank borrowings	2,108,971	-	-	2,108,971
Total	30,920,169	4,456,247	24,354,951	2,108,971

NOTES TO THE FINANCIAL STATEMENTS

The table below analyses the group's non-derivative financial liabilities into relevant maturity grouping based on the maturity

As at 31st March 2019	Company			
	Carrying Amount	Current	Non Current	Payable on demand
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Liabilities				
Interest bearing borrowings	680,230	279,630	400,600	-
Trade payables	29,165	22,031	7,134	-
Other provisions and payables	85,996	84,220	1,776	-
Short term bank borrowings	30,373	-	-	30,373
Total	825,764	385,881	409,510	30,373

"Current" represents financial liabilities which are due to mature within one year

39.5 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimizing the return.

39.5.1 Foreign exchange risk

The Group being involved in hoteliering operates internationally and is exposed to foreign exchange risk arising from various currency exposures primarily with respect of the US dollar. Certain room contracts are entered into in foreign currencies and invoiced in SLR using the conversion rates established by the industry. Purchases such as import of capital goods for hotel operations are also transacted in foreign currency.

The Group has investment in foreign operations, who's net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs.15.6 million. All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments.

However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

The Group's exposure to foreign currency risk as at 31st March 2019 and sensitivity analysis to Profit & loss and Equity if exchange rate increased / [decrease] by Rs.1/=.

39.5.1.1 Profit & Loss

As at 31st March 2019		Group	Company
		Rs. '000	Rs. '000
Foreign Currency exposure for 2018/19			
Foreign currency denominated income	-USD	47,459	5,224
Foreign currency denominated expenses	-USD	(1,364,146)	-
Foreign currency denominated income	-Euro	2,359	-
Foreign currency denominated expenses	-Euro	(608,161)	-
Net exposure - in foreign currency	-USD	(1,316,687)	5,224
Net exposure - in foreign currency	-Euro	(605,802)	-
Avg conversion rate used for the year 2018/19	-USD	168.52	168.52
Avg conversion rate used for the year 2018/19	-Euro	195.77	-
Net USD exposure - in Rs'000		(221,888)	880
Net Euro exposure - in Rs'000		(118,598)	-
Sensitivity Analysis			
Avg USD conversion rate with Rs. 1.00 increase		169.52	169.52
Avg USD conversion rate with Rs. 1.00 decrease		167.52	167.52
Avg Euro conversion rate with Rs. 1.00 increase		196.77	196.77
Avg Euro conversion rate with Rs. 1.00 decrease		194.77	194.77
Net exposure - in SLR with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		(223,205)	886
Net exposure - in SLR with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		(220,571)	875
Net exposure - in SLR with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		(119,204)	-
Net exposure - in SLR with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		(117,992)	-
Impact to Profit & Loss			
with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		(1,317)	5
with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		1,317	(5)
with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		(606)	-
with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		606	-

NOTES TO THE FINANCIAL STATEMENTS

39.5.1.2 Equity

	Group				Company		
	USD	GPB	EURO	OMR	USD	GPB	EURO
Foreign Currency denominated							
Financial assets as at 31st March 2019							
Trade and other receivables	1,092,493	836,382	1,311,599	76,780	788,341	606,953	707,069
Other financial assets	50,010	-	-	-	-	-	-
Cash and cash equivalents	3,546,124	-	2,308,071	-	2,385,291	-	16,408
Trade payables	-	-	-	-	-	-	-
Interest bearing borrowings	(21,733,700)	-	(34,780,430)	-	-	-	-
Net exposure - in foreign currency	(17,045,073)	836,382	(31,160,760)	76,780	3,173,632	606,953	723,477
Conversion rate used as at 31st March 2019	176.09	230.66	197.75	462.86	176.09	230.66	197.75
Net exposure - in Rs. 000	(3,001,467)	192,920	(6,162,040)	35,538	558,845	140,000	143,068
Sensitivity Analysis							
Avg conversion rate with Rs. 1.00 increase	177.09	231.66	198.75	463.86	177.09	231.66	198.75
Avg conversion rate with Rs. 1.00 decrease	175.09	229.66	196.75	461.86	175.09	229.66	196.75
Net exposure - in SLR with Rs. 1.00 increase in the average conversion rate -Rs'000	(3,018,512)	193,756	(6,193,201)	35,615	562,018	140,607	143,791
Net exposure - in SLR with Rs. 1.00 decrease in the average conversion rate -Rs'000	(2,984,422)	192,084	(6,130,880)	35,462	555,671	139,393	142,344
Impact to Profit and Loss							
with Rs. 1.00 increase in the average conversion rate - Rs'000	(17,045)	836	(31,161)	77	3,174	607	723
with Rs. 1.00 decrease in the average conversion rate - Rs'000	17,045	(836)	31,161	(77)	(3,174)	(607)	(723)

The above table demonstrate the sensitivity to a reasonably possible change in the foreign exchange rate by Rs. 1/- with all other variables held constant.

39.5.1.3 Cash Flow Hedge

A subsidiary company in the group designated a hedge relationship between its highly probable EURO denominated sales and its foreign currency denominated borrowings.

The risk management objective of the cash flow hedge is to hedge the risk of variation in the foreign currency exchange rates associated with EURO currency denominated forecast sales. The risk management strategy is to use the foreign currency variability [gains /losses] arising from revaluation of the foreign currency borrowing attributable to change in the spot foreign exchange rates to off-set the variability, due to foreign exchange rate movements, on LKR conversion of EURO denominated forecast sales.

The effective portion of the gain or loss on the hedging instrument is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement

The amount recognised in Other Comprehensive Income is transferred to the Income Statement when the hedge transaction occurs [when the forecasted revenue is realised]. If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Income Statement.

Cash flow hedge reserve reflects the effective portion of the gain or loss on the hedging instrument. The cash flow hedging reserve as at 31 March 2019 represents the foreign currency variability arising from revaluation of the foreign currency borrowings attributable to change in the spot LKR/EUR rate that is expected be set of from the variability of exchange rates from highly probable EURO denominated sales [Named "All Inclusive" apartment revenue] expected to occur from 1st quarter of 2017/18 up to the tenure of refinanced borrowings.

Hedging instrument - Foreign currency borrowing of EURO 40 Mn in January 2017 out of which EURO 34.1 Mn has been designated for the hedge from April 2017.

Further, outstanding balance of EURO 32.6 Mn as at 31 March 2018 has been refinanced effective from the 1st quarter of 2018/19 for an extended tenure.

Hedged item - Highly probable EURO denominated sales [Named "All Inclusive" apartment revenue] expected to occur from April 2017 to March 2029.

The effective portion of the gain or loss on the hedging instrument of Rs. 84 Mn (2017/18 - Rs. 960 Mn) is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion of Rs. 34 Mn (2017/18 - Rs. 1.7 Mn) is recognised immediately in the Income Statement under net foreign exchange gain/ [loss] in other operating income.

In respect of the cash flow hedge instrument, Group recognized Rs. 626.7 Mn (2017/18 - Rs. 576.2 Mn) under cash flow hedge reserve being the Group's portion of the fair value loss recognised by the subsidiary.

Cash Flow Hedge Reserve

As at 31st March	Group		Company	
	2019 Rs. '000	2018 Rs. '000	2019 Rs. '000	2018 Rs. '000
Balance at the beginning of the year	576,239	-	-	-
Net Movement in cash flow hedge reserve	50,477	576,239	-	-
Balance at the end of the year	626,716	576,239	-	-

NOTES TO THE FINANCIAL STATEMENTS

39.5.2 Interest rate risks

Interest rate risk is the risk of fluctuation of the value or cash flows of an instrument due to changes in the market interest rates.

The Group has borrowings with variable interest rates such as AWDR, AWPLR and LIBOR and would expose the Group to cashflow/ profits as the amount of interest paid would be changed depending on market interest rates.

The Group's exposure to interest rate risk as at 31st March 2019 and sensitivity analysis to Profit & loss if interest rate increased /decrease by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans.

	Increase/ decrease in basis points	Effect on Profit before Tax	
		Group Rs. '000	Company Rs. '000
Financial Year 2018/19			
Sri Lanka rupee loans	+100	13,005	6,802
USD loans	+10	15,654	-
Euro loans	+10	3,587	-
Sri Lanka rupee loans	-100	[13,005]	[6,802]
USD loans	-10	[15,654]	-
Euro loans	-10	[3,587]	-

The above table demonstrate the sensitivity to a reasonably possible change in interest rates on loans where floating rates are applicable by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans with all other variables held constant.

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group very strongly negotiate with banks and obtains best possible interest rates for the Group's borrowings listed below are steps adopted by the group to minimise the effect of interest rate risks:

- 1 Entering into loans with interest rate caps and fixed rates.
- 2 Re negotiating with banks on interest rates when ever there is favorable fluctuations in the market rates.

39.5.3 Equity prices

The Group' investment in equity - quoted are recorded at their market price. Group's investments in equity accounted investments is scoped out as stated above. Equity investments non quoted are carried in the Consolidated Statement of Financial Position as financial assets at fair value through OCI. Both quoted and non quoted investments are fair valued as at each reporting date.

40 Capital management

The Groups objectives when managing capital are to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital.

The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

The group monitors capital on the basis of the debt equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and total equity consist of total equity less preference shares capital. The following factors are also objectively taken into consideration in managing capital of the group.

1. Maintain sufficient capital to meet minimum regulatory requirements. [Companies Act]
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Group cash flow projections and ability to pay higher returns to shareholders

41 Director's fees

The Directors of the Company have received fees amounting to Rs. 28,800/- from subsidiaries for the year ended 31st March 2019.

42 Related party transactions

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Mr. D.H.S. Jayawardena Chairman of the Company is also the Chairman of the Parent Company Aitken Spence PLC. and Aitken Spence Hotel Management Asia [Pvt] Ltd. He is also the Chairman of Browns Beach Hotels PLC, and Negombo Beach Resorts [Pvt] Ltd which are associate companies of the Group and the Chairman, of Distilleries Company of Sri Lanka PLC, Stassen Exports [Pvt] Ltd., Lanka Milk Foods [CWE] PLC., Lanka Bell [Pvt] Ltd., Periceyl [Pvt] Ltd. Lanka Diaries [Pvt] Ltd. and Pattipola Live Stock Company Ltd. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note. No. 42.1.1, 42.1.2, 42.1.3 and 42.1.5.

Mr. J.M.S. Brito, who was the Managing Director of the Company and the Parent Company Aitken Spence PLC resigned with effect from 15th March 2019 and continued to be a non Executive Director for both the companies effective from same date.

Mr. J.M.S. Brito, was a Director of Browns Beach Hotels PLC, Crest Star [BVI] Ltd., Ace Resorts [Pvt] Ltd., Cowrie Investments [Pvt] Ltd., Aitken Spence Travels [Pvt] Ltd, Ace Resorts [Pvt] Ltd., Aitken Spence Hotel Managements South India [Pvt] Ltd., Aitken Spence Resorts [Middle East] LLC., Aitken Spence Hotels International [Pvt] Ltd., Aitken Spence Global Operations [Pvt] Ltd., P.R Holiday Homes [Pvt] Ltd., Perumbalam Resorts [Pvt] Ltd., Aitken Spence Hotels Ltd., Heritance [Pvt] Ltd., Aitken Spence Hotel Managements [Pvt] Ltd., Kandalama Hotels [Pvt] Ltd., Ahungalla Resorts Ltd., Hethersett Hotels Ltd., Neptune Ayurvedic Village [Pvt] Ltd., Turyaa Resorts [Pvt] Ltd., Turyaa [Pvt] Ltd., Meeraladuwa [Pvt] Ltd., Elevators [Pvt] Ltd. and Elpitiya Plantations PLC., He resigned from all companies with effect from 15th March 2019. Transactions carried out by the group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1. 42.1.2 and 42.1.4.

NOTES TO THE FINANCIAL STATEMENTS

Dr. M.P. Dissanayake was appointed as the Deputy Chairman & Managing Director of the Company and the Parent Company Aitken Spence PLC with effect from 15th March 2019. He was also appointed as Director for Browns Beach Hotels PLC, Cowrie Investments (Pvt) Ltd., Aitken Spence Travels (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Resorts (Middle East) LLC., Aitken Spence Hotels International (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., P.R. Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd., Aitken Spence Hotels Ltd., Crest Star (BVI) Ltd., Crest Star Ltd., Heritage (Pvt) Ltd., Aitken Spence Hotel Managements (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Ahungalla Resorts Ltd., Hethersett Hotels Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Turyaa (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Elevators (Pvt) Ltd. and Elpitiya Plantations PLC., with effect from 15th March 2019.. Transactions carried out by the group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1. 42.1.2 and 42.1.4.

Ms. D.S.T. Jayawardena a Director of the Company is also the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritage (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd. Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotels International (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., Ahungalla Resorts Ltd., and Aitken Spence Hotel Managements Asia (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.2.

Ms. D.S.T. Jayawardena is also a Director of the parent Company Aitken Spence PLC. and a Director of Amethyst Leisure Ltd., Paradise Resorts Passikudah (Pvt) Ltd, Browns Beach Hotels PLC., and Negombo Beach Resorts (Pvt) Ltd., which are equity accounted investees of the Group. She is also the Chairperson of Splendor Media (Pvt) Ltd. and a Director of Stassen Exports (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No 42.1.1, 42.1.3 and 42.1.5.

Mr. C.H. Gomez a Director of the company is also a Director of the Parent Company Aitken Spence PLC.

R. N.J. De S. Deva Aditya a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of Distilleries Company of Sri Lanka PLC. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1 and 42.1.5.

Mr. R. N. Asirwatham a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of, Browns Beach Hotels PLC and Royal Ceramics PLC. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1, and 42.1.5.

Mr. G.P.J. Goonewardena who was a Director of the Company resigned with effect from 30th June 2017 and re-appointed as a non Executive Director with effect from 30.03.2018.

Mr. C.M.S. Jayawickrama a Director of the Company is also the Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., a Director of Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritage (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Ahungalla Resorts Ltd., Crest Star (BVI) Ltd, Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd. Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., P R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd. Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.2

Mr. C.M.S. Jayawickrama is also a Director of Negombo Beach Resorts (Pvt) Ltd., which is a equity accounted investees of the Group Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 42.1.1 to 42.1.5.

42.1 Details of transactions carried out with Related Companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding as at 31.03.2019	Transaction Value	Outstanding as at 31.03.2019
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
42.1.1. Transactions with Parent Company							
Aitken Spence PLC	Parent Company	Interest earned / [paid] - net	Market terms	93,275		13,196	
		Lease Rent paid	Contractual Payment	1,500		-	
		Corporate guarantee fees	Market terms	47,650		20,004	
		Fees paid for services	Market terms	111,031		15,466	
		Settlement of long term borrowings	Market terms	[133,400]		[233,400]	
		Short term borrowings	Market terms	486,511	[110,020]	[48,152]	[24,149]
		Withdrawal of short term investments	Market terms	[665,200]	1,150,073	[170,138]	312,619
42.1.2 Transactions with Subsidiaries							
Aitken Spence Hotel Management (Asia) Pvt Ltd	Subsidiary	Management fees for managing hotels	Percentage of revenue and profits	210,053	-	[55,080]	7,842
Aitken Spence Hotels International (Pvt) Ltd	Subsidiary	Management fees for managing hotels	Percentage of revenue and profits	108,494	-	-	
Aitken Spence Global Operations (Pvt) Ltd	Subsidiary	Management fees for managing hotels	Percentage of revenue and profits	97,787	-	-	
		Central Merchandising Unit handling charges	Market terms	6,231			
Turyaa (Pvt) Ltd.	Subsidiary	Short term advances	Short term	-	-	[671]	214 [29]
Kandalama Hotels (Pvt) Ltd	Subsidiary	Short term advances	Market terms	-	-	68,546	[780,561]
Neptune Ayurvedic Village (Pvt) Ltd	Subsidiary	Dividends receivable	Short term	-	-	-	1,179
Meeraladuwa (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	[71]	32
Ahungalla Resorts Ltd	Subsidiary	Short term advance	Short term	-	-	[25]	[25]
Crest Star (BVI) Ltd	Subsidiary	Dividends receivable	Short term	-	-	61,632	61,632

NOTES TO THE FINANCIAL STATEMENTS

42.1 Details of transactions carried out with Related Companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding as at 31.03.2019	Transaction Value	Outstanding as at 31.03.2019
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
42.1.3 Transactions with Equity Accounted Investees							
Paradise Resorts Passikudah (Pvt) Ltd	Associate	Transactions with Parent Company					
		Shareholder loan granted	Market terms	-	5,151	-	5,151
		Transactions with Parents Group Entities					
		Sale of Hotel Rooms	Market terms	12,179		-	
		Central Purchasing unit handling charges	Market terms	261		-	
		Printing of hotel promotional literature	Market terms	63		-	
Negombo Beach Resorts (Pvt) Ltd	Associate	Transactions with Parent Company					
		Interest received for shareholder loan	Market terms	67,005	607,755	67,005	607,755
		Transactions with Parents Group Entities					
		Sale of Hotel Rooms	Market terms	57,197			
		Printing of hotel promotional literature	Market terms	486			
		Central purchasing / merchandising unit handling charges	Market terms	394			
		Purchase of mineral water	Market terms	2,959			
		Clearing of imported items	Market terms	242	65		-
Aitken Spence Hotel Managements (Pvt) Ltd.	Associate	Management fees for managing the hotels	Percentage of revenue and profits	222,234		38,796	
		Central Purchasing & Merchandising unit handling charges	Market terms	59,325	84,473	8,527	18,264
		Export of Hotel Supplies to Maldives	Market terms	265,933	(52,074)	-	(2,270)

42.1 Details of transactions carried out with Related Companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding as at 31.03.2019	Transaction Value	Outstanding as at 31.03.2019
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
42.1.4 Transactions with Parent's Group Entities							
Aitken Spence Travels (Pvt) Ltd.	Subsidiary of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	1,261,426	21,350	143,678	17,132
		Purchase of Air Tickets for overseas travel	Market terms	11,567	[679]	-	-
Aitken Spence Exports (Pvt) Ltd.	Subsidiary of the Parent Company	Purchase of mineral water	Market terms	5,883	2,095 [1,813]	2,207	- [211]
Aitken Spence Printing & Packaging (Pvt) Ltd.	Subsidiary of the Parent Company	Printing & Typesetting hotel promotional literature and Annual Reports	Market terms	4,149	[17]	3,125	[5]
Elevators (Pvt) Ltd	Subsidiary of the Parent Company	Repairs and Maintenance of Hotel Elevators	Market terms	12,240	[893]	196	-
Elpitiya Plantations PLC	Subsidiary of the Parent Company	Purchase of tea leaves	Market terms	3,178	[207]	541	[45]
Ace International Express (Pvt) Ltd	Subsidiary of the Parent Company	Courier Services	Market terms	84	-	-	-
Aitken Spence Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	12,461	[260]	-	-
Aitken Spence Agriculture (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of vegetables	Market terms	1,730	[108]	-	-

NOTES TO THE FINANCIAL STATEMENTS

42.1 Details of transactions carried out with Related Companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding as at 31.03.2019	Transaction Value	Outstanding as at 31.03.2019
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
42.1.5 Transactions with Other Related Companies							
Distilleries Company of Sri Lanka PLC	Other related Company	Purchase of beverages	Market terms	25,532	2,295	9,580	105
Stassen Exports (Pvt) Limited	Other related Company	Purchase of food items	Market terms	588,694	38,932	56,913	1,667
Lanka Milk Foods (CWE) PLC	Other related Company	Purchase of milk powder	Market terms	11,553	1,043	2,630	190
Lanka Diaries (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	641	50	428	28
Lanka Bell Ltd.	Other related Company	Provision of telecommunication services.	Market terms	4,310	619	861	71
Periceyl (Pvt) Ltd	Other related Company	Purchase of beverages	Market terms	21,414	2,246	7,899	575
Pattipola Live Stock Company Ltd	Other related Company	Purchase of food items	Market terms	1,346	117	-	-
Royal Ceramic PLC	Other related Company	Purchase of goods	Market terms	190	19	118	15
Splendor Media (Pvt) Ltd	Other related Company	Purchase of services	Market terms	733	-	-	-
Continental Insurance Lanka Ltd	Other related Company	Purchase of services	Market terms	358,766		2,418	-

42.1.6 The Company and the Subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain Tour operators, for whom Aitken Spence Travels (Pvt) Ltd., has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2019 is disclosed above.

42.1.7 The Company and the Subsidiaries in the ordinary course of business have generated revenues amounting to Rs. 26.3 million [Company Rs 7.8 million] from sale of hotel packages to Aitken Spence PLC and its Subsidiaries [excluding Hotel Companies]. Balances outstanding from these companies as at 31st March 2019 is reflected in Note No. 25 - Amounts due from Parent's Group Entities.

42.2 Non Recurrent Transactions with Related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2019 Rs. '000	Value of the related party transactions as a % of equity Rs. '000	Value of the related party transactions as a % of Assets. Rs. '000	Terms and conditions of the related party transaction
42.2.1 Transaction with Subsidiaries						
Turyaa Resorts (Pvt) Ltd	Subsidiary	Investment in equity	173,200	1%	0.27%	Market Terms
Aitken Spence Hotel Managements (Pvt) Ltd.	Associate	Investment in equity	227,879	1%	0.35%	Market Terms
42.2.2 Transaction with Equity Accounted Investees						
Negombo Beach Resorts (Pvt) Ltd	Associate	Interest earned from shareholder loan	67,005	0.22%	0.10%	Loan is repayable in 10 years with grace period of 3years. Interest linked to AWPLR

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

NOTES TO THE FINANCIAL STATEMENTS

42.3 Recurrent Transactions with Related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2019 Rs. '000	Value of the related party transactions as a % of Revenue Rs. '000	Terms and conditions of the related party transaction
Aitken Spence Travels [Pvt] Ltd.	Subsidiary of Parent Company	Sale of Hotel rooms in the ordinary course of business	1,261,426	6.62%	Market Terms

There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of consolidated gross revenue of the group.

42.3 Transactions with Key Management Personnel.

Aitken Spence Hotel Holdings PLC., considers its Board of Directors as the key management personnel of the Company. The Board Directors, Vice Presidents and Assistant Vice Presidents of Subsidiary Companies are considered as key management personnel of Group Companies.

There were no transactions other than employments benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures.

Year Ended 31st March	Group		Company	
	2019 Rs. '000	2018 Rs. '000	2019 Rs. '000	2018 Rs. '000
Short term employment benefits	34,006	36,188	-	-
Post employment benefits	8,220	-	-	-
Total	42,226	36,188	-	-

43 Acquisition of non controlling shares

The Company made an offer to the Minority Shareholders of Aitken Spence Hotels Ltd. on 8th June, 1999 to purchase their shares at Rs. 31/-per share.(subsequently revised to Rs. 20/- per share) . During this financial year no shares were acquired . The Company as at 31 st March, 2019 held 98% of the equity share capital of Aitken Spence Hotels Ltd.

44 Events after reporting date

The Board resolved to recommend the payment of :

A first and Final Dividend of Rs. 1.00 per Ordinary Share for the financial year 2018/19 once approved by the shareholders at the Annual General Meeting.

There has been no other material events occurring after the reporting date that requires adjustment to or disclosure in the Financial Statements.

45 Capital Expenditure Commitments

There are no capital expenditure commitments other than those disclosed in Note No 14.4 to the financial Statements.

46 Total Number of Employees

The total number of employees as at 31st March 2019 amounts to 3,430. [2017/2018 - 3,221]. This includes 1,501 permanent employees, 1,928 contract employees and 01 casual employee.

47 Comparative Information

No comparative information were changed during the year which require disclosure or adjustments in the financial statements. However the presentation and classification of financial statements of the comparative year has been amended where relevant to be comparable with those of the current year.

48 Directors Responsibility.

The Board of Directors of the Company are responsible for the preparation of financial statements.

49 Initial application of SLFRS 15 and SLFRS 9

The Company and Group has initially applied SLFRS 15 and SLFRS 9 from 01st April 2018. A number of other standards are also effective from 01st January 2018 but they do not have a material effect on the Company and Group's financial statements.

Due to the transition methods chosen by the Company and Group in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirements of the new standards.

49.1 SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaced LKAS 18 Revenue, LKAS 11 Construction Contract and related interpretations. Under SLFRS 15, revenue is recognized when a customer obtains control of the goods or services. Determining the timing of the transfer of control- at a point in time or over time- requires judgement.

The Company and Group has adopted SLFRS 15 using the cumulative effect method [without practical expedients], with the effect of initially applying this standard recognised at the date of initial application [i.e. 01st April 2018]. Accordingly, the information presented for 2017/18 has not been restated- i.e. it is presented, as previously reported, under LKAS 18, LKAS 11 and related interpretations. Additionally, the disclosure requirements in SLFRS 15 have not generally been applied to comparative information.

However based on the Impact Analysis carried out by the Board of Directors they are of the view that there won't be any changes to the existing revenue recognition criteria of the Company and Group. Therefore adopting SLFRS 15 does not have any impact on the Group's statement of financial position as at 31st March 2019 and its statement of profit or loss and OCI and statement of cash flows for the year then ended 31st March 2019.

NOTES TO THE FINANCIAL STATEMENTS

49.2 SLFRS 9 - Financial instruments

SLFRS 9 sets out requirements for recognising and measuring financial assets, financial liabilities and some contracts to buy or sell non-financial items. The standard replaces LKAS 39 Financial Instruments: Recognition and Measurement.

SLFRS 9 contains three principal classification categories for financial assets: measured at amortised cost, FVOCI and FVTPL. The classification of financial assets under SLFRS 9 is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. SLFRS 9 eliminates the previous LKAS 39 categories of held to maturity loans and receivables and available for sale. SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification and measurement of financial liabilities.

Changes in accounting policies resulting from the adoption of SLFRS 9 have been applied retrospectively, except as described below.

The Group has used an exemption not to restate comparative information for prior periods with respect to classification and measurement (including impairment) requirements. Therefore, comparative periods have not been restated. Differences in the carrying amounts of financial assets and financial liabilities resulting from the adoption of SLFRS 9 are recognised in retained earnings and reserves as at 1 April 2018. Accordingly, the information presented for 2017/18 does not generally reflect the requirements of SLFRS 9, but rather those of LKAS 39. However, the impact of adopting this standard has not been recognised as a revision of opening reserves as it is considered immaterial.

The effect of adopting SLFRS 9 on the carrying amounts of financial assets at 1 April 2018 relates solely to the new impairment requirements.

49.2.1 Impact of adopting SLFRS 9 - "Financial Instruments"

The following table summarizes the impact, net of tax, of transition to SLFRS 9 - "Financial Instruments" on reserves and retained earnings as at 01 April 2018.

Year Ended 31st March	Group			Company
	Retained earnings	Non controlling interest	Total	Retained earnings
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Closing balance as reported - 31st March 2018	12,421,600	8,122,788	20,544,388	5,916,326
Impact on recognition of expected credit losses:				
Recognition of expected credit losses under SLFRS 09 for Company and Subsidiaries				
- Trade Debtors	[1,097]	[506]	[1,603]	[106]
- Other Financial Assets - unsecured debentures	[14,321]	-	[14,321]	[14,321]
	[15,418]	[506]	[15,924]	[14,427]
Recognition of expected credit losses under SLFRS 09 for equity accounted investees	[116]	-	[116]	-
	[15,534]	[506]	[16,040]	[14,427]
Less : tax	2,161	72	2,233	2,020
Adjustment on initial application of SLFRS 09 net of tax	[13,373]	[434]	[13,807]	[12,407]
Opening balance restated - 01 April 2018	12,408,227	8,122,354	20,530,581	5,903,919

49.2.2 Classification and measurement of financial assets and financial liabilities

The following table shows and reconciles the original measurement categories as per LKAS 39 - "Financial Instruments: Recognition and measurement" and the new measurement categories as per SLFRS 9 - "Financial Instruments" along with their carrying amounts for each class of the Company's financial assets and financial liabilities as at 1 April 2018.

Group

	Original classification as per LKAS 39	New classification as per SLFRS 9	Original carrying amounts as per LKAS 39 Rs. '000	Change in classification Rs. '000	Remeasurement Rs. '000	New carrying amounts as per SLFRS 9 Rs. '000
Financial assets						
Other financial assets						
- Unquoted equity investments and debt securities and loans	Available -for-sale	Fair value through OCI	790,326	-	[14,321]	776,005
- Bank deposits	Loans and receivables	Amortized cost	502,021	-	-	502,021
Trade and other receivables	Loans and receivables	Amortized cost	1,842,277	-	[1,097]	1,841,180
Cash and short-term deposits	Loans and receivables	Amortized cost	5,418,970	-	-	5,418,970
Total financial assets			8,553,594	-	[15,418]	8,538,176
Financial liabilities						
Interest-bearing loans and borrowings	Other financial liabilities	Amortized cost	22,474,426	51,820	-	22,526,246
Trade payables	Other financial liabilities	Amortized cost	600,229	-	-	600,229
Provisions and other payables	Other financial liabilities	Amortized cost	2,425,516	[51,820]	-	2,373,696
Bank overdrafts and other short-term borrowings	Other financial liabilities	Amortized cost	1,822,230	-	-	1,822,230
Total financial liabilities			27,322,401	-	-	27,322,401
			[18,768,807]	-	[15,418]	[18,784,225]

NOTES TO THE FINANCIAL STATEMENTS

49.2.2 Classification and measurement of financial assets and financial liabilities contd.

Company

	Original classification as per LKAS 39	New classification as per SLFRS 9	Original carrying amounts as per LKAS 39 Rs. '000	Change in classification Rs. '000	Remeasurement Rs. '000	New carrying amounts as per SLFRS 9 Rs. '000
Financial assets						
Other financial assets						
- Unquoted equity investments and debt securities and loans	Available -for-sale	Fair value through OCI	686,965	-	[14,321]	672,644
- Bank deposits	Loans and receivables	Amortized cost	-	-	-	-
Trade and other receivables	Loans and receivables	Amortized cost	181,314	-	[106]	181,208
Cash and short-term deposits	Loans and receivables	Amortized cost	367,291	-	-	367,291
Total financial assets			1,235,570	-	[14,427]	1,221,143
Financial liabilities						
Interest-bearing loans and borrowings	Other financial liabilities	Amortized cost	933,400	17,906	-	951,306
Trade payables	Other financial liabilities	Amortized cost	38,823	-	-	38,823
Provisions and other payables	Other financial liabilities	Amortized cost	78,878	[17,906]	-	60,972
Bank overdrafts and other short-term borrowings	Other financial liabilities	Amortized cost	23,844	-	-	23,844
Total financial liabilities			1,074,945	-	-	1,074,945
			160,625	-	[14,427]	146,198

QUARTERLY STATISTICS

Income Statement - Group

As at 31st March	30th June 2018 Rs. '000	30th September 2018 Rs. '000	31st December 2018 Rs. '000	31st March 2019 Rs. '000
Net Turnover	3,541,350	4,019,015	4,855,080	6,639,139
Other income	[56,008]	31,228	42,141	[78,173]
Staff Costs	[823,268]	[834,566]	[890,669]	[934,096]
Depreciation	[425,033]	[431,088]	[441,646]	[448,417]
Amortisation	[29,216]	[30,462]	[33,017]	[34,845]
Other Operating Expenses - Direct	[831,196]	[933,474]	[1,140,712]	[1,242,512]
Other Operating Expenses - Indirect	[1,500,614]	[1,668,960]	[1,593,617]	[1,991,406]
Profit/ [Loss] from operations	[123,985]	151,693	797,560	1,909,690
Finance Income	68,059	62,191	50,454	59,870
Finance Expenses	[224,773]	[228,470]	[237,603]	[243,656]
Share of Profit of equity accounted investees net of tax	[59,559]	[28,235]	[23,928]	[24,984]
Income Tax Expense	[70,083]	[150,537]	[146,881]	[339,660]
Net Profit / [Loss] for the period	[410,341]	[193,358]	439,602	1,361,260
Profit attributable Equity holders of the Parent	[270,266]	[281,976]	339,065	1,023,758
Non - controlling interests	[140,075]	[179,582]	100,537	605,702
	[410,341]	[461,558]	439,602	1,629,460

Statement of Financial Position - Group

As at 31st March	30th June 2018	30th September 2018	31st December 2018	31st March 2019
Assets				
Non Current Assets	48,959,739	51,746,853	55,894,944	56,719,774
Current Assets	6,544,631	6,167,654	7,396,371	8,182,610
Total Assets	55,504,370	57,914,507	63,291,315	64,902,384
Equity and Liabilities				
Equity	19,338,369	19,478,186	20,460,388	21,338,821
Non - controlling interest	8,155,559	8,246,808	8,743,884	9,256,614
Total Equity	27,493,928	27,724,994	29,204,272	30,595,435
Non Current Liabilities	20,543,140	22,935,267	25,728,407	25,867,848
Current Liabilities	7,467,302	7,254,246	8,358,636	8,439,101
Total Equity & Liabilities	55,504,370	57,914,507	63,291,315	64,902,384

Share Information - Group

Earnings / [Loss] Per Ordinary Share	[Rs]	0.81	0.85	1.00	2.63
Net Asset Value Per Share	[Rs]	57.01	57.43	60.35	62.96
Market Price Per Share					
Highest	[Rs]	35.00	30.00	30.50	29.80
Lowest	[Rs]	28.00	24.00	24.00	21.00
Last Trade Price	[Rs]	29.90	25.20	27.00	23.50

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED INCOME STATEMENTS IN US\$

For the year ended 31 st March	2019 US \$ '000	2018 US \$ '000
Revenue	111,140	117,292
Revenue tax	[2,930]	[3,092]
Net revenue	108,210	114,200
Other income / [expenses]	[345]	1,670
Staff costs	[19,778]	[19,944]
Depreciation	[9,916]	[10,943]
Amortisation	[724]	[723]
Other operating expenses - direct	[23,557]	[25,055]
Other operating expenses - indirect	[38,359]	[39,836]
Profit from operations	15,531	19,369
Finance income	1,366	1,692
Finance expenses	[5,307]	[6,100]
Net finance income / [expenses]	[3,941]	[4,408]
	11,590	14,961
Share of profit of equity accounted investees net of tax	[776]	[887]
Profit before income tax	10,814	14,074
Income tax expenses	[4,016]	[3,898]
Profit for the year	6,798	10,176
Attributable to:		
Equity holders of the parent	4,603	7,515
Non - controlling interest	2,195	2,661
	6,798	10,176
Earnings per ordinary share [US \$.]	0.01	0.03
Exchange rate used for translation	176.09	155.60

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN US\$

For the year ended 31 st March	2019 US \$ '000	2018 US \$ '000
Profit for the year	6,799	10,176
Other Comprehensive Income		
Items that will never be reclassified to Profit or loss		
Revaluation of property, plant and equipment	2,122	341
Share of other comprehensive income of equity accounted investees	1	14
Actuarial gains/ [losses] on defined benefit plans	74	[134]
Income tax on other comprehensive income	[533]	[1,102]
	1,664	[881]
Items that are or may be reclassified to profit or Loss		
Foreign currency translation differences of foreign operations	10,253	1,499
Net movement in cashflow hedging	[478]	[6,172]
Net change in fair value on items recognised as fair value through OCI	-	-
	9,775	[4,673]
Other comprehensive income for the year net of tax	11,439	[5,554]
Total comprehensive income for the year net of tax	18,238	4,622
Attributable to:		
Equity holders of the parent company	11,470	4,222
Non - controlling interests	6,768	400
	18,238	4,622
Exchange rate used for translation	176.09	155.60

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN US \$

As at 31st March	2019 US \$ '000	2018 US \$ '000
ASSETS		
Non-Current Assets		
Property, plant & equipment	283,481	266,098
Leasehold properties	12,576	13,007
Prepaid operating leases	10,928	11,389
Intangible assets	2,685	2,674
Investment in equity accounted investees	7,098	7,446
Other financial assets	4,424	4,909
Deferred tax assets	914	924
	322,107	306,447
Current Assets		
Inventories	3,140	2,754
Trade and other receivables	11,896	13,358
Amounts due from holding company	6,531	9,410
Amount due from parent's group entities	1,723	2,370
Deposits & prepayments	4,339	3,427
Prepaid operating leases	426	425
Current tax receivable	207	149
Other financial assets	302	3,397
Cash and cash equivalents	17,904	34,827
	46,468	70,117
TOTAL ASSETS	368,575	376,564
EQUITY AND LIABILITIES		
Equity Attributable to Equity Holders of the Company		
Stated capital	20,186	22,844
Reserves	28,378	25,479
Retained earnings	72,617	78,741
	121,181	127,064
Non -controlling interests	52,568	52,203
Total Equity	173,749	179,267

As at 31st March	2019 US \$ '000	2018 US \$ '000
Non-Current Liabilities		
Interest - bearing borrowings	132,917	116,671
Deferred tax liabilities	5,416	4,154
Other liabilities	7,394	5,664
Employee benefits	1,174	1,254
	146,901	127,743
Current Liabilities		
Trade payables	5,244	3,858
Other provisions and payables	16,907	18,962
Amounts due to ultimate holding company	625	5,366
Amounts due to parent's group entities	318	429
Interest bearing borrowings	11,784	27,766
Current tax payable	1,070	1,462
Short term bank borrowings	11,977	11,711
	47,925	69,554
TOTAL LIABILITIES	194,826	197,297
TOTAL EQUITY AND LIABILITIES	368,575	376,564
Exchange rate used for translation	176.09	155.60

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SUPPLEMENTARY INFORMATION

MOMENTS OF DISCOVERY



Ours is a future of creating connections and new experiences, constantly reaching out to our stakeholders to discover how we can serve them best.

INVESTOR INFORMATION

1. Stock Exchange Listing

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

The Stock Exchange Code for Aitken Spence Hotel Holdings PLC shares is "AHUN.N0000"

2. Shareholders

There were 3,399 registered ordinary shareholders as at 31st March 2019 distributed as follows:

Range	31.03.2019			31.03.2018		
	No. of Shareholders	No. of Shareholding	%	No. of Shareholders	No. of Shareholding	%
1 to 1,000 shares	1,950	651,620	0.19	1,932	664,707	0.21
1,001 to 10,000 shares	1,100	3,763,669	1.12	1,115	3,797,944	1.13
10,001 to 100,000 shares	275	7,824,778	2.33	288	8,287,479	2.46
100,001 to 1,000,000 shares	58	18,362,094	5.46	61	19,651,497	5.84
1,000,001 & Above	16	305,687,849	90.90	15	303,888,383	90.36
	3,399	336,290,010	100.00	3,411	336,290,010	100.00

3. Analysis of Shareholders

Category	31.03.2019		31.03.2018	
	Shareholding	%	Shareholding	%
Nationals	334,301,125	99.41	333,961,728	99.31
Non - Nationals	1,988,885	0.59	2,328,282	0.69
	336,290,010	100.00	336,290,010	100.00

Category	31.03.2019		31.03.2018	
	Shareholding	%	Shareholding	%
Aitken Spence PLC, and subsidiaries	250,530,518	74.50	250,530,518	74.50
Other Institutions	63,978,921	19.02	64,201,863	19.09
Individuals	21,780,571	6.48	21,557,629	6.41
	336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March 2019 is 25.40% and Number of public shareholders as at 31st March 2019 is 3,388

4. Share Trading

	2018/19	2017/18	2016/17	2015/16	2014/15
Number of Shares Traded During The Year	3,736,586	4,738,492	5,053,600	8,188,438	14,623,056
Value of Shares Traded During The Year (Rs.)	95,540,393	150,129,013	256,834,808	530,954,107	1,171,857,188
Number of Transactions	2,068	2,833	2,362	2,335	3,395

5. Market Value

Financial Year	Highest Rs.	Lowest Rs.	Last Traded Rs.
2014/15	87.00	67.00	67.00
2015/16	83.90	50.00	53.00
2016/17	64.00	34.00	35.20
2017/18	42.00	28.00	33.50
2018/19	33.50	21.00	23.50

Closing price of the share as at 31st March 2019 was Rs. 23.70.

6. Ratios

	2018/19	2017/18	2016/17	2015/16	2014/15
Earnings Per Share [Rs.]	2.37	3.43	1.97	4.13	6.60
Price Earnings Ratio [Times]	10.02	9.76	17.91	12.83	10.15
Net Asset per Share as at 31st March [Rs.]	62.96	58.30	56.49	54.24	50.75

7. Dividends

Year	Dividend Per Share Rs.	Dividend Yield %
2014/15	1.50	2.24%
2015/16	1.25	2.36%
2016/17	0.75	2.13%
2017/18	1.25	3.73%
2018/19	1.00	4.26%

8. Market Capitalization [As at 31st March]

Year	Stated Capital & Reserves Rs.'000	Market Capitalization Rs.'000
2014/15	17,231,215	22,531,431
2015/16	18,405,792	17,823,371
2016/17	19,161,826	11,837,408
2017/18	19,771,215	11,265,715
2018/19	21,338,821	7,970,073

The float adjusted market capitalisation as at 31st March 2019 was Rs. 2,024,122,460.70 with reference to the rule no.7.6 [iv] of the listing rules of the Colombo Stock Exchange.

As the float adjusted market capitalization is less than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 5 with the minimum public holding requirement.

INVESTOR INFORMATION

9. Group Effective Holding in Subsidiary, Joint Ventures and Associate Companies

As at 31st March	%	
Company	2019	2018
Aitken Spence Hotel Managements Asia (Private) Limited	51.00%	51.00%
Aitken Spence Hotels Limited	98.00%	98.00%
Aitken Spence Hotel Managements (Private) Limited	49.00%	0.00%
Crest Star (BVI) Limited (British Virgin Islands)	100.00%	100.00%
Cowrie Investment (Private) Ltd (Maldives)	60.00%	60.00%
Crest Star Ltd (Hong Kong)	100.00%	0.00%
Aitken Spence Global Operations (Private) Limited	51.00%	0.00%
Aitken Spence Hotels International (Private) Limited	51.00%	51.00%
PR Holiday Homes (Private) Ltd (India)	43.13%	43.13%
Floatels India (Private) Ltd (India)	4.54%	4.58%
Heritance (Private) Limited	98.00%	98.00%
Kandalama Hotels (Private) Limited	61.74%	61.74%
Jetan Travel Services Co. Pvt Ltd (Maldives)	95.00%	95.00%
Ace Resorts Private Limited (Maldives)	51.00%	51.00%
ADS Resorts Private Limited (Maldives)	51.00%	51.00%
Unique Resorts Pvt Ltd (Maldives)	51.00%	51.00%
Aitken Spence Hotel Services (Pvt) Ltd (India)	51.00%	51.00%
Aitken Spence Hotel Management (South India) Pvt Ltd (India)	54.87%	55.05%
Aitken Spence Resorts (Middle East) LLC (Oman)	51.00%	50.95%
Perumbalam Resorts (Pvt) Ltd (India)	43.12%	43.13%
Amethyst Leisure Limited	27.89%	27.89%
Turyaa Resorts (Private) Limited	100.00%	100.00%
Turyaa (Private) Limited	100.00%	100.00%
Browns Beach Hotels PLC	37.42%	37.42%
Hethersett Hotels Limited	94.44%	94.44%
Ahungalla Resorts Limited	60.00%	60.00%
Neptune Ayurvedic Village (Private) Limited	100.00%	100.00%
Nilaveli Holidays (Private) Limited	100.00%	100.00%
Nilaveli Resorts (Private) Limited	100.00%	100.00%
The Galle Heritage (Private) Limited	100.00%	100.00%
Meeraladuwa (Private) Limited	100.00%	100.00%
Paradise Resorts Passikudah (Private) Limited	27.89%	27.89%
Negombo Beach Resorts (Private) Ltd	37.42%	37.42%
Aitken Spence Resources (Private) Limited	49.00%	0.00%

10. Shareholding of Directors together with their Spouses in Aitken Spence Hotel Holdings PLC.

As at 31st March	2019	2018
Deshamanya D.H.S. Jayawardena	-	-
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019]	-	-
Ms. D.S.T. Jayawardena	16,000	16,000
Mr. C.M.S. Jayawickrama	-	-
Mr. J.M.S. Brito	331,021	314,346
Mr. R.N. Asirwatham	1,000	1,000
Mr. N.J. De S. Deva Aditya	-	-
Mr. C.H. Gomez	-	-
Mr. G.P.J. Goonewardena	5,460	5,460
Total	353,481	336,806

11. Twenty Largest Shareholders as at 31st March.

Twenty Largest Shareholders as at 31st March 2019		2019		2018	
		No. of Shares	%	No. of Shares	%
1	Aitken Spence PLC	239,472,667	71.21	239,472,667	71.21
2	Employees Provident Fund	31,501,601	9.37	31,501,601	9.37
3	Sri Lanka Insurance Corporation Ltd - Life Fund	5,518,727	1.64	5,518,727	1.64
4	Ace Cargo (Private) Limited	4,423,601	1.32	4,423,601	1.32
5	Aitken Spence Hotel Managements (Private) Limited	3,530,639	1.05	3,530,639	1.05
6	Aitken Spence Aviation (Private) Limited	2,604,140	0.77	2,604,140	0.77
7	Bank Of Ceylon	2,547,424	0.76	2,547,422	0.76
8	J.B. Cocoshell (Pvt) Ltd	2,439,655	0.73	1,913,304	0.57
9	Employees Trust Fund Board	2,370,705	0.70	2,370,705	0.71
10	Ceylon Guardian Investment Trust PLC	2,245,982	0.67	2,245,982	0.67
11	National Savings Bank	2,102,133	0.63	2,102,133	0.63
12	Mr. G.C. Wickremasinghe	2,082,241	0.62	2,082,241	0.62
13	Ceylon Investment PLC	1,283,675	0.38	1,283,675	0.38
14	Seylan Bank PLC/W.D.N.H.Perera	1,266,670	0.38	-	-
15	Miss. A.T. Wickremasinghe	1,245,004	0.37	1,245,004	0.37
16	Bank Of Ceylon A/C Ceybank Century Growth Fund	1,052,985	0.31	1,046,542	0.31
17	Mr. M.J. Fernando	1,000,000	0.30	1,000,000	0.30
18	Mrs. K. Fernando	991,149	0.29	991,149	0.30
19	Ceylon Investment PLC	985,900	0.29	985,900	0.29
20	Rubber Investment Trust Limited	826,548	0.25	826,548	0.25
Total Ordinary Shares		309,491,446	92.04	307,691,980	91.50

INVESTOR INFORMATION

12. History of Movements in Ordinary Share Capital

Year	Issue	Number of Shares
	Shares in issue at the time of listing	1,281,612
1979/80	Initial Public Offer	500,000
1980/81	Private Placement	300,000
1980/81	Rights Issue	368,743
1981/82	Rights Issue	1,839,063
1982/83	Rights Issue	1,429,806
1983/84	Rights Issue	791,792
1984/85	Rights Issue	822,790
1994/95	Bonus Issue	2,444,602
1994/95	Share swap to acquire Aitken Spence Hotels Ltd	9,699,199
1994/95	Share swap to acquire Brown's Beach Hotels Ltd	638,020
1994/95	Share swap to acquire M. P. S. Hotels Ltd	473,557
1999/00	Bonus Issue	3,431,531
1999/00	Rights Issue	14,412,429
2010/11	Rights Issue [1 for 4]	9,608,286
	Share Split [7 for 1]	288,248,580
	Total as at 31st March, 2019	336,290,010

13. History of Movements in Preference Share Capital

Year	Issue	Number of Shares
1981/82	12% Cum. Redeemable Preference Shares	200,000
1982/83	Redemption	[40,000]
1983/84	Redemption	[40,000]
1984/85	Redemption	[40,000]
1985/86	Redemption	[40,000]
1990/91	Redemption	[40,000]
1996/97	9% Cum Redeemable Preference Shares	16,500,000
	Total as at 31st March, 2019	16,500,000

DECADE AT A GLANCE

Year ended 31st March	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Operating Results										
Revenue	19,570,589	18,250,581	16,055,386	13,378,071	13,270,918	12,947,076	12,035,870	9,614,828	8,059,152	7,137,672
Profit / (Loss) before Taxation	1,904,325	2,189,891	1,549,562	2,520,651	3,920,116	4,078,450	3,204,882	2,427,770	1,394,853	792,853
Taxation	(707,161)	(606,496)	(535,823)	(432,889)	(484,494)	(561,435)	(464,895)	(346,299)	(37,242)	(18,056)
Profit/(Loss) after Taxation	1,197,164	1,583,395	1,013,739	2,087,762	3,435,622	3,517,015	2,739,987	2,081,471	1,357,611	774,796
Profit/(Loss) attributable to Equity Holders of the parent	810,581	1,169,314	675,873	1,403,766	2,234,804	2,340,934	1,785,154	1,377,976	1,304,073	523,776
Shareholders' Funds										
Stated Capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	1,056,433
Reserves and Retained Earnings	17,784,234	16,216,628	15,607,239	14,851,205	13,676,628	11,823,701	9,371,120	7,614,992	5,468,654	4,132,761
Shareholders' Funds	21,338,821	19,771,215	19,161,826	18,405,792	17,231,215	15,378,288	12,925,707	11,169,579	9,023,241	5,189,194
Liabilities										
Non-Current Interest bearing Borrowings	23,405,292	18,154,051	14,450,707	8,186,477	5,363,625	2,913,898	2,790,090	2,790,308	3,007,565	2,962,320
Amount due to ultimate Holding Company	110,020	834,985	348,329	155,804	37,518	92,315	109,340	204,779	59,861	646,434
Current Liabilities	8,329,080	9,987,503	8,801,945	5,859,232	5,173,696	3,481,725	3,326,203	3,249,987	2,164,471	2,004,139
Other Liabilities & Charges	2,462,557	1,722,855	1,144,318	411,798	344,196	321,148	304,726	287,278	147,925	163,131
Non-Controlling Interest	9,256,614	8,122,788	8,270,862	5,429,111	4,638,017	3,789,554	2,903,733	2,189,351	1,372,530	1,589,136
Total Equity and Liabilities	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593	12,554,354
Assets										
Property, Plant & Equipment	49,918,218	41,404,788	37,687,160	23,101,360	16,402,491	12,571,903	11,962,472	11,087,739	8,879,249	8,756,041
Leasehold Property	2,214,518	2,023,903	2,042,460	2,006,728	1,906,526	1,461,100	1,463,930	1,521,100	1,354,026	1,516,449
Prepaid Operating Leases	1,924,329	1,772,172	1,791,169	1,811,071	1,067,063	1,048,621	1,020,553	1,067,800	46,500	-
Intangible Assets	472,879	416,053	404,612	380,166	2,842	13,390	26,929	26,862	-	-
Investments	1,249,902	1,158,581	1,294,427	4,982,212	3,098,474	1,336,814	1,302,694	1,227,371	960,878	192,915
Long-Term Investments	778,986	763,780	126,650	202,395	180,191	197,478	221,072	233,207	222,395	211,770
Deferred Tax Assets	160,942	143,906	157,760	147,969	119,017	115,977	132,722	130,018	48,399	2,713
Current Assets	8,182,610	10,910,214	8,673,749	5,816,313	10,011,662	9,231,645	6,229,427	4,597,185	4,254,320	1,874,466
Assets Held for sale	-	-	-	-	-	-	-	-	9,826	-
Total Assets	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593	12,554,354
Cash Flow										
From Operating activities	2,858,941	2,801,992	2,587,485	3,479,769	3,986,229	3,820,890	3,528,361	3,156,697	663,257	1,484,828
From Investing activities	(6,272,236)	(3,050,809)	(2,279,588)	(6,507,608)	(6,137,472)	(3,446,368)	(1,686,804)	(2,533,371)	(1,023,336)	(662,377)
From Financing activities	767,316	3,266,138	120,782	1,409,694	2,412,926	(607,312)	(389,776)	(765,864)	1,965,198	(638,280)
Net Cash Inflow/(Outflow)	(2,645,979)	3,017,321	428,679	(1,618,145)	261,682	(232,790)	1,451,781	(142,538)	1,605,119	184,171
Key Indicators										
Earnings per ordinary share (Rs.)	2.37	3.43	1.97	4.13	6.60	6.92	5.26	4.05	3.03	1.77
Net Assets value per Ordinary share (Rs.)	62.96	58.30	56.49	54.24	50.75	45.24	37.95	32.72	26.34	14.93
Closing price per share (Rs.)	23.70	33.50	35.20	53.00	67.00	70.00	74.00	70.00	98.00	385.00
Dividend per share (Rs.)	1.00	1.25	0.75	1.25	1.50	1.50	1.00	0.70	0.50	0.21
Dividend cover (Times)	2.37	2.75	2.62	3.30	4.40	4.61	5.26	5.79	6.06	8.42
Price to Earnings Ratio (Times)	10.02	9.76	17.91	12.83	10.15	10.12	14.07	17.28	32.33	29.08
Gearing (Debt/(Debt+Equity)) %	43.65	39.78	34.90	26.08	20.30	13.94	15.87	18.30	23.67	32.11
Interest cover (Times)	3.18	3.45	3.31	8.73	22.21	22.03	13.71	12.40	7.08	3.09
Return on Average Shareholders' funds (%)	3.83	5.98	3.55	7.87	13.75	16.63	14.90	13.73	14.68	10.57

REAL ESTATE HOLDINGS OF THE GROUP

Description of the Property	No of Rooms	Location	Building in Sq.Ft	No of Buildings	Land Extent Acres		Net Book Value as at 31/03/19 (Rs.'000)	
					Freehold	Leasehold	Land	Buildings
Aitken Spence Hotel Holdings PLC								
Heritance Ahungalla	152	Ahungalla	253,590	3	11.96	-	710,300	706,405
Meeraladuwa (Pvt) Ltd								
Meeraladuwa Island	-	Balapitiya		-	29.55	-	217,020	
Kandalama Hotels (Pvt) Ltd								
Heritance Kandalama	152	Dambulla	426,553	3	169.64	50.00	9,300	453,489
Hethersett Hotels Ltd								
Heritance Tea Factory	54	Nuwara Eliya	50,999	4	-	25.00	-	111,430
Aitken Spence Hotels Ltd								
Heritance Ayurveda	64	Beruwala	125,349	3	-	6.44	-	359,346
Heritance (Pvt) Ltd	-	Beruwala	-	-	5.79	-	324,250	-
Neptune Ayurvedic Village (Pvt) Ltd	-	Beruwala	12,500	-	0.12	-	4,500	13,748
Turyaa (Pvt) Ltd	109	Kalutara	192,686	20	5.93	-	407,160	701,424
Turyaa Kalutara								
Turyaa Resorts (Pvt) Ltd	90	Kalutara	113,060	3	2.42	-	170,336	1,140,581
Turyaa Kalutara								
Ahungalla Resorts Ltd								
Hotel RIU Sri Lanka	501	Ahungalla	601,751	11	12.97	-	942,650	8,279,843
Jetan Travel Services Co. (Pvt) Ltd								
Adaaran Club Rannalhi	130	Maldives	105,553	43	-	11.69	-	863,018
Cowrie Investments (Pvt) Ltd								
Adaaran Select Meedhuparu	238	Maldives	299,989	122	-	44.45	-	2,407,798
Island of Aarah in Raa Atoll	150		-		-	26.90	-	
ADS Resorts (Pvt) Ltd								
Adaaran Select Hudhuran Fushi	202	Maldives	181,779	210	-	78.00	-	768,658
Unique Resorts (Pvt) Ltd								
Adaaran Prestige Vadoo	50	Maldives	42,606	53	-	4.48	-	1,749,036
Ace Resorts (Pvt) Ltd								
Rafushi Island Maldives	-	Maldives	-	-	-	45.25	-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd								
Turyaa Chennai	140	Chennai/India	126,825	1	0.84	-	971,933	2,851,743
Perumbalam Resorts (Pvt) Ltd	-	Chennai/India	-	-	4.05	-	53,076	-
P.R Holiday Homes (Pvt) Ltd	-	Chennai/India	-	-	14.04	-	214,870	-
Aitken Spence Resorts (Middle East) LLC								
Al Falaj Hotel	150	Oman	16,408	3	5.05	-	3,073,617	3,046,417

GROUP DIRECTORY

1. Ace Resorts Private Limited *

Owns the Raafushi island earmarked for the construction and development of a Resort in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama [Managing Director],
Ms. D.S.T. Jayawardena,
A.K.M.P. Wijesekara [Resigned w.e.f. 13.03.2019],
M. Mahdy.

2. A.D.S Resorts Private Limited *

Owns Adaaran Select Hudhuran Fushi – Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
C.M.S. Jayawickrama [Managing Director],
A.K.M.P. Wijesekara [Resigned w.e.f. 13.03.2019],
M. Mahdy.

3. Aitken Spence Global Operations (Private) Limited

Provides international marketing services for the overseas hotels in the group.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

4. Aitken Spence Hotel Holdings PLC *

The Holding Company of the Group's hotel interests. Owns the Heritance Ahungalla Hotel.

Directors:

Deshamanya D.H.S. Jayawardena [Chairman],
Dr. M.P. Dissanayake [Managing Director – Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Retired from the office of Managing Director w.e.f. 15.03.2019. However, continue as a Non-Executive Director],
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
G.P.J. Goonewardena,
R.N. Asirwatham,
C.H. Gomez,
N.J. De Silva Deva Aditya.

5. Aitken Spence Hotel Managements (Private) Limited *

Manages resorts in Sri Lanka.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama [Joint Managing Director],
D.T.R. De Silva [Joint Managing Director].

6. Aitken Spence Hotel Managements (South India) Private Limited

Owns the 140 roomed hotel property Turyaa Chennai.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 29.03.2019],
C.M.S. Jayawickrama,
T.K. Dewanarayana,
A. Durairaj,
J.M.S. Brito [Resigned w.e.f. 29.03.2019].

7. Aitken Spence Hotel Managements Asia (Private) Limited *

Manages resorts in the Sultanate of Oman and the Republic of Maldives.

Directors:

Deshamanya D.H.S. Jayawardena,
Dr. R.M. Fernando,
Ms. D.S.T. Jayawardena,
Ms. N. Sivapragasam.

8. Aitken Spence Hotels International (Private) Limited *

Overseas investment company of the Hotels sector and provided international marketing services to the resorts in the Republic of Maldives and the Sultanate of Oman.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

9. Aitken Spence Hotel Services Private Limited

Local marketing company of hotels in India.

Directors:

R.S. Rajaratne,
T.K. Dewanarayana [Appointed w.e.f. 06.08.2018],
A.K.M.P. Wijesekara [Resigned w.e.f. 13.03.2019].

10. Aitken Spence Hotels Limited *

Holding company of Kandalama Hotels (Private) Limited and Heritance (Private) Limited. Owns Heritance Ayurveda in Beruwala.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

11. Aitken Spence Resorts (Middle East) LLC*

Owning company of the Al Falaj Hotel in Muscat, Sultanate of Oman.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],

GROUP DIRECTORY

Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
A. Perera,
A.K.M.P. Wijesekera [Resigned w.e.f. 13.03.2019],
S.N. De Silva.

12. Aitken Spence Resources (Private) Limited *

Human resource management, foreign employment and recruitment company.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
C.M.S. Jayawickrama,
G.P.J. Goonewardena,
A.K.M.P. Wijesekera [Resigned w.e.f. 13.03.2019].

13. Ahungalla Resorts Limited *

A joint venture company with RIUSA NED BV and owns the RIU Hotel Sri Lanka at Ahungalla.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 29.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
L. Riu Guell [Managing Director],
J.T. Riu.

14. Amethyst Leisure Limited *

Holding Company of Paradise Resort Pasikudah (Private) Limited.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
V.J. Senaratne,
A. Mahir,
J.C. Weerakone.

15. Browns Beach Hotels PLC *

Owns the property leased out to Negombo Beach Resorts (Private) Limited.

Directors:

Deshamanya D.H.S. Jayawardena [Chairman],
Dr. M.P. Dissanayake [Appointed as an Executive Director w.e.f. 15.03.2019],
A.L. Gooneratne,
Ms. D.S.T. Jayawardena,
R.N. Asirwatham,
N.J. De Silva Deva Aditya,
C.R. Stanislaus,
J.M.S. Brito [Resigned w.e.f. 29.03.2019].

16. Cowrie Investment Private Limited *

Owns Heritance Aarah and Adaaran Select Meedhupparu – Republic of Maldives.

Directors:

Dr. M.P. Dissanayake [Chairman and Managing Director] [Appointed w.e.f. 29.03.2019],

J.M.S. Brito [Chairman and Managing Director] [Resigned w.e.f. 29.03.2019],
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
I.M. Didi,
M. Salih.

17. Crest Star (B.V.I.) Limited

The holding company and managing agent of Jetan Travel Services Company Private Limited.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

18. Crest Star Limited

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

19. Heritance (Private) Limited *

Owns a land in Beruwala for a proposed hotel project.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

20. Hethersett Hotels Limited *

Owns Heritance Tea Factory – Kandapola.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

21. Jetan Travel Services Company Private Limited *

Owns Adaaran Club Rannalhi – Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
C.M.S. Jayawickrama [Managing Director],
H. Mohamed,
M. Mahdy,
A.K.M.P. Wijesekera [Resigned w.e.f. 13.03.2019].

22. Kandalama Hotels (Private) Limited *

Owns Heritance Kandalama Hotel.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

23. Meeraladuwa [Private] Limited *

Owns the island of Meeraladuwa.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

24. Negombo Beach Resorts [Private] Limited *

Owns the Heritance Negombo hotel.

Directors:

Deshamanya D.H.S. Jayawardena [Chairman],
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
C.R. Stanislaus.

25. Neptune Ayurvedic Village [Private] Limited *

Leases company owned land and building to Aitken Spence Hotels Limited.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

26. Nilaveli Holidays [Private] Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

27. Nilaveli Resorts [Private] Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

28. Paradise Resort Pasikudah [Private] Limited *

Owning Company of Amethyst Resort, Pasikudah.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
V.J. Senaratne,
J.C. Weerakone,
A. Mahir [Resigned w.e.f. 19.09.2018].

29. Perumbalam Resorts Private Limited

A fully owned subsidiary of PR Holiday Homes Private Limited.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 29.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama,
M.R. Narayanan,
K.K.M. Rawther,
R. Narayanan,
A.K.M.P. Wijesekera [Resigned w.e.f. 13.03.2019].

30. PR Holiday Homes Private Limited

Owns a land in Cochin, India for a future hotel project.

Directors:

Dr. M.P. Dissanayake [Appointed w.e.f. 29.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama,
M.R. Narayanan,
K.K.M. Rawther,
A.K.M.P. Wijesekera [Resigned w.e.f. 13.03.2019].

31. The Galle Heritage [Private] Limited *

Proposed for constructing and operating a heritage hotel within the Fort of Galle.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

32. Turyaa [Private] Limited *

Owns the 109 roomed hotel property Turyaa Kalutara.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

33. Turyaa Resorts [Private] Limited *

Owns the 90 roomed hotel property Turyaa Kalutara.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
Dr. M.P. Dissanayake [Appointed w.e.f. 15.03.2019],
J.M.S. Brito [Resigned w.e.f. 29.03.2019],
C.M.S. Jayawickrama.

34. Unique Resorts Private Limited *

Owns Adaaran Prestige Vaadhoo – Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena [Chairperson],
C.M.S. Jayawickrama [Managing Director],
A.K.M.P. Wijesekera [Resigned w.e.f. 13.03.2019],
M.D.B.J. Gunatilake.

Scope and Approach

DNV GL represented by DNV GL Business Assurance Lanka (Private) Limited has been commissioned by the management of Aitken Spence Hotel Holdings PLC ('Aitken Spence Hotels' or 'the Company', Company Registration Number PQ 97) to carry out an independent assurance engagement for the non-financial - qualitative and quantitative information ('sustainability performance') reported in Aitken Spence Hotels Annual Report 2018/19 ('the Report') in its printed format for the financial year ending 31st March 2019. The sustainability disclosures in this Report are prepared by Aitken Spence Hotels, based on Global Reporting Initiative (GRI) Sustainability Reporting Standards 2016 ('GRI Standards') and its 'Core' option of reporting.

We performed our assurance engagement [Type 2, Moderate] using AccountAbility's AA1000 Assurance Standard 2008 (AA1000 AS) with 2018 Addendum and DNV GL's assurance methodology VeriSustain™, which is based on our professional experience, international assurance best practice including International Standard on Assurance Engagements 3000 (ISAE 3000) Revised* and GRI Guidelines. Our assurance engagement was planned and carried out in April 2019 – May 2019.

The intended user of this Assurance Statement is the Management of Aitken Spence Hotels ('the Management'). We disclaim any liability or responsibility to a third party for decisions, whether investment or otherwise, based on this Assurance Statement. The reporting topic boundaries of sustainability performance are based on internal and external materiality assessment carried out by the Company and predominantly covers

operations in Sri Lanka, Maldives, India and Oman. This is as brought out in the Report in the Section 'About the Report'.

The Report does not include performance data and information related to the hotels in Sri Lanka (Earl's Regency, Earl's Regent, Bandarawela Hotel) and Oman (Desert Nights Camp, Sur Plaza Hotel, Al Wadi Hotel) - entities which Aitken Spence Hotels does not own, and are managed on behalf of principals and where the Company does not have control on investment decisions. The Report also does not bring out non-financial information related to Heritance Aarah in Maldives which started operations by end of March 2019. These exclusions are clearly described within the Report.

We planned and performed our work to obtain the evidence we considered necessary to provide a basis for our assurance opinion and the process did not involve engagement with external stakeholders.

Responsibilities of the Directors of Company and of the Assurance Provider

The Management of Aitken Spence Hotels have the sole responsibility for the preparation of the Report as well as the processes for collecting, analysing and reporting the information presented in the Report. In performing our assurance work, DNV GL responsibility is to the Management of Aitken Spence Hotels; however, this statement represents DNV GL's independent opinion and is intended to inform the outcome of assurance to the stakeholders of the Company.

DNV GL's assurance engagements are based on the assumption that the data and information provided by the client to us as part of our review have been

provided in good faith and free from mis-statements. We were not involved in the preparation of any statements or data included in the Report except for this Assurance Statement. DNV GL expressly disclaims any liability or co-responsibility for any decision a person or an entity may make based on this Assurance Statement.

Basis of our Opinion

A multi-disciplinary team of sustainability and assurance specialists performed the work of assurance, and as part of the process we undertook the following activities:

- Review of the approach to stakeholder engagement and materiality determination process and the outcome as stated in this Report. We did not have any direct engagement with external stakeholders;
- Interviews with selected senior managers responsible for management of sustainability issues and review of selected evidence to support issues discussed. We were free to choose interviewees and interviewed those with overall responsibility to deliver the Company's sustainability objectives;
- Site visits to sample operation related to the Tourism Sector i.e. Adaaran Select, Hudhuran Fushi, Maldives to review processes and systems for preparing site level sustainability data and implementation of management approach. We were free to choose sites we visited;
- Desk review of data and systems used to capture site level data for Turyaa Kalutara Hotel, Sri Lanka and Heritance Tea Factory, Nuwara Eliya, Sri Lanka;

- Review of supporting evidence for key claims and data in the Report;
- Review of the processes for gathering and consolidating the specified performance data and, for a sample, checking the data consolidation. The reported data on economic performance and other financial data are based on audited financial statements issued by the Company's statutory auditors;
- An independent assessment of non-financial reporting against the requirements of the GRI Standards: Core option of reporting.

During the assurance process, we did not come across limitations to the scope of the agreed assurance engagement.

Opinion

On the basis of the verification undertaken, nothing came to our attention to suggest that the Report does not properly describe adherence to the GRI reporting requirements including the Principles for Defining Report Content, identified material topics, related Strategies and Disclosures on Management Approach and Performance Indicators as below:

Economic

- GRI 201: Economic Performance 2016** – 201-1, 201-2, 201-3;
- GRI 202: Market Presence 2016 – 202-1, 202-2;
- GRI 203: Indirect Economic Impact 2016 – 203-1, 203-2;
- GRI 204: Procurement Practices 2016 – 204-1;
- GRI 205: Anti-Corruption 2016 – 205-1, 205-2, 205-3;
- GRI 206: Anti-Competitive Behavior 2016 – 206-1;

Environment

- GRI 301: Materials 2016 – 301-1;
- GRI 302: Energy 2016 – 302-1, 302-3, 302-4;
- GRI 303: Water 2016 – 303-1, 303-2, 303-3;
- GRI 304: Biodiversity 2016 – 304-1, 304-2, 304-3, 304-4;
- GRI 305: Emissions 2016 – 305-1, 305-2, 305-5;
- GRI 306: Effluent and Waste 2016 – 306-2, 306-3, 306-5;
- GRI 307: Environmental Compliance 2016 – 307-1;

Social

- GRI 401: Employment 2016 – 401-1, 401-2;
- GRI 402: Labor/Management Relations 2016 – 402-1;
- GRI 403: Occupational Health & Safety 2016 – 403-1, 403-2;
- GRI 404: Training and Education 2016 – 404-1, 404-2, 404-3;
- GRI 405: Diversity and Equal Opportunity 2016 – 405-1, 405-2;
- GRI 406: Non-discrimination 2016 – 406-1;
- GRI 407: Freedom of Association and Collective Bargaining 2016 – 407-1;
- GRI 408: Child Labor 2016 – 408-1;
- GRI 409: Forced or Compulsive Labor 2016 – 409-1;
- GRI 410: Security Practices 2016 – 410-1;
- GRI 412: Human Rights Assessment 2016 – 412-2;
- GRI 413: Local Communities 2016 – 413-1, 413-2;
- GRI 414: Supplier Social Assessment 2016 – 414-1, 414-2;
- GRI 416: Customer Health and Safety 2016 – 416-1, 416-2;
- GRI 417: Marketing and Labeling 2016 – 417-1, 417-2, 417-3;
- GRI 418: Customer Privacy 2016 – 418-1;
- GRI 419: Socioeconomic Compliance 2016 – 419-1.

**The reported data on economic performance, and other financial data are based on audited financial statements issued by the Company's statutory auditors.

Observations

Without affecting our assurance opinion, we also provide the following observations. We have evaluated the Report's adherence to the following principles:

AA1000 Accountability Principles Standard (2018)

Materiality

The process of determining the issues that is most relevant to an organization and its stakeholders.

The Company has identified material topics considering the operating landscape, internal assessments, stakeholder concerns, Sustainable Development Goals and the Group's strategic objectives. The material topics were mapped based on the impact on Aitken Spence Hotels and influence on stakeholder decisions, and this process is adequately represented in the Report. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Materiality, or that the Company has missed out key material issues related to the Group. However, the materiality exercise may be further strengthened by involving entities across geo-locations to identify significant material issues related to the Leisure sector including its supply chain.

Inclusivity

The participation of stakeholders in developing and achieving an accountable and strategic response to Sustainability.

Aitken Spence Hotels considers shareholders, customers, employees, regulators, business partners and suppliers, and communities to be its key stakeholder groups. The Report brings out the various processes for identifying

and engaging with these groups through various channels and modes of engagement, as well as the key outcomes of stakeholder engagement. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Inclusivity.

Responsiveness

The extent to which an organization responds to stakeholder issues.

The various policies, strategies and management systems which define the management approaches towards the identified material topics are brought out within the Report, along with governance mechanisms in place across the business sectors, and these are adequately represented within the Report. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Responsiveness. However, the Report may further bring key challenges faced during the reporting period with respect to achieving its medium- and long-term targets.

Impact

The level to which an organisation monitors, measures and is accountable for how its actions affect its broader ecosystems

The Report describes how the Company identifies its material impacts and details how the effects of the Company's performance are monitored, measured and evaluated, and further integrated into the management approach and strategies. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Impact.

Specific Evaluation of the Information on Sustainability Performance

We consider the methodology and process for gathering information developed by Aitken Spence Hotels for its sustainability performance reporting to be appropriate, and the qualitative and quantitative data included in the Report was found to be identifiable and traceable; the personnel responsible were able to demonstrate the origin and interpretation of the data. We observed that the Report presents a faithful description of the reported sustainability activities for the reporting period.

Reliability

The accuracy and comparability of information presented in the report, as well as the quality of underlying data management systems.

The majority of data and information verified at Corporate Office and at sampled operational sites were found to be based on established data management system. Some of the data inaccuracies identified during the verification process were found to be attributable to transcription, interpretation and aggregation errors and the errors have been communicated for changes. It would be worthwhile if the mechanism established by the organization to effectively monitor the measurement systems for sustainable disclosures could be reinforced with internal audit processes company-wide to further enhance the reliability.

Additional principles as per DNV GL VeriSustain

Completeness

How much of all the information that has been identified as material to the organisation and its stakeholders is reported.

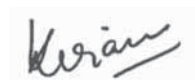
The Report has fairly attempted to disclose the Company's sustainability performance for the reporting period considering the identified scope and boundary, and addresses the Company's economic, environmental and social performance through selected GRI Standards corresponding to the material topics it has identified and addressing the requirements of the GRI Standards: Core option of reporting. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Completeness.

Neutrality

The extent to which a report provides a balanced account of an organization's performance, delivered in a neutral tone.

The disclosures related to sustainability issues and performances are presented in a neutral tone, in terms of content and presentation. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Neutrality; however, the Report may further bring out responses related to the key risks and challenges faced during the reporting period at its various geographies of operations.

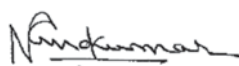
For DNV GL AS



Kiran Radhakrishnan

Lead Verifier

DNV GL Business Assurance India Private Limited, India.



Vadakepatth Nandkumar

Head – Regional Sustainability Operations
DNV GL Business Assurance India Private Limited, India.



Prasun Kundu

Assurance Reviewer

DNV GL Business Assurance India Private Limited, India.

27th May 2019, Colombo, Sri Lanka.



AA1000
Licensed Assurance Provider
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DNV GL Business Assurance Lanka (Private) Limited is part of DNV GL – Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance.
www.dnvgl.com

GRI CONTENT INDEX

• 102-55

The Global Reporting Initiative (GRI) Content Index

This report contains Standard Disclosures from the Global Reporting Initiative (GRI) Sustainability Reporting Standards and is in accordance with the GRI Core Option.

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
GENERAL STANDARD DISCLOSURES ("Core" in accordance option)				
GRI 102: General Disclosures 2016	102-1	Name of the organization	Corporate Information	296
	102-2	Primary brands, products, and services	Across the Region	4
	102-3	Location of the organization's headquarters	Corporate Information	296
	102-4	Location of operations	About the Group	28
	102-5	Nature of ownership and legal form	Corporate Information	296
	102-6	Markets served	Across the Region	4
			About the Group	28
	102-7	Scale of the organization	Group Performance Highlights	10
			Strategic Report & Integrated MD&A	38-54 & 62-69
			Statement of Profit or Loss and Other Comprehensive Income	164
			Notes to the Financial Statement	265
	102-8	Information on employees and other workers	Human Capital	90-97
	102-9	Supply chain	Social & Relationship Capital - Suppliers	111
	102-10	Significant changes to the organization and its supply chain	Managing Director's Review	16-19
	102-11	Precautionary principle of approach	Risk Management	55-61
	102-12	External initiatives	Intellectual Capital	103
	102-13	Memberships of associations	Intellectual Capital	103
	102-14	Statement from senior decision-maker	Chairman's Statement	12-15
	102-15	Key impacts, risks and opportunities	Risk Management	55-61
			Corporate Governance	125
	102-16	Values, principles, standards and norms of behaviour	Corporate Governance	131
			The Board of Directors' Statement On Internal Controls	155
	102-17	Mechanisms for advice and concerns about ethics	The Board of Directors' Statement On Internal Controls	155
	102-18	Governance structure	Corporate Governance- An Effective Board	126
	102-19	Delegating authority	Corporate Governance - Roles & Responsibilities of the Board	128
	102-20	Executive-level responsibility for economic, environmental and social topics	Corporate Governance - Roles & Responsibilities of the Board	128
	102-21	Consulting stakeholders on economic, environmental and social topics	Investor Feedback Form	303-304

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
	102-22	Composition of the highest governance body and its committees	Corporate Governance – An Effective Board	126
			Corporate Information	296
	102-23	Chair of the highest governance body	Corporate Governance – Chairman's Role	128
			Corporate Information	296
	102-24	Nominating and selecting the highest governance body	Nomination Committee Report	145-146
	102-25	Conflicts of interest	Corporate Governance – Conflict of Interest	129
	102-26	Role of highest governance body in setting purpose, values and strategy	Corporate Governance – Chairman's Role	128
	102-27	Collective knowledge of highest governance body in setting purpose, values and strategy	Corporate Governance – Roles & Responsibilities of the Board	128
	102-28	Evaluating the highest governance body	Corporate Governance – Board Evaluation	129
	102-29	Identifying and managing economic, environmental and social impacts	Corporate Governance – ESG Reporting	132
			Corporate Governance – A1.6 Dedicated adequate time and effort	133
	102-30	Effectiveness of risk management processes	Risk Management	55-61
	102-31	Review of economic, environmental and social topics	Risk Management	55-61
	102-32	Highest governance body's role in sustainability reporting	Corporate Governance – ESG Reporting	132
			Annual Report of the Board of Directors	150-154
	102-33	Communicating critical concerns	Investor Feedback Form	303-304
	102-34	Nature and total number of critical concerns	Related Party Transactions Review Committee Report	147-148
	102-35	Remuneration policies	Remuneration Committee Report	143-144
	102-36	Process for determining remuneration	Corporate Governance – Director's Remuneration	129
			Remuneration Committee Report	143-144
	102-37	Stakeholders' involvement in remuneration	Corporate Governance – Director's Remuneration	129
			Remuneration Committee Report	143-144
	102-38	Annual total compensation ratio	Financial Capital	73
	102-39	Percentage increase in annual total compensation ratio	Financial Capital	73
	102-40	List of stakeholder groups	Stakeholder Universe	42-43
	102-41	Collective bargaining agreements	Human Capital – Industrial Relations	95
	102-42	Identifying and selecting stakeholders	Stakeholder Relationships	41
	102-43	Approach to stakeholder engagement	Stakeholder Relationships	41
	102-44	Key topics and concerns raised	Stakeholder Relationships	42-43

GRI CONTENT INDEX

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
	102-45	Entities included in the consolidated financial statements	Group Structure	32-33
	102-46	Defining report content and topic boundaries	About This Report - Scope and Boundary	8
	102-47	List of material topics	Materiality Analysis	48-50
	102-48	Restatement of information	About This Report - Reporting Improvements	9
	102-49	Changes in reporting	About This Report - Reporting Improvements	9
	102-50	Reporting period	About This Report - Scope and Boundary	8
	102-51	Date of the most recent report	About This Report	8
	102-52	Reporting cycle	About This Report	8
	102-53	Contact point for questions regarding the report	About This Report Corporate Information	8 296
	102-54	Claims of reporting in accordance with GRI Standards	Core - About This Report	8
	102-55	GRI content index	GRI Content Index	290-295
	102-56	External assurance	Independent Assurance Statement	286-289
MATERIAL TOPIC				
GRI 103: Management Approach 2016	103-1	Explanation of material topic and its boundaries	Materiality Analysis	48-50
	103-2	The Management Approach and its components	Materiality Analysis	48-50
	103-3	Evaluation of the Management Approach	Materiality Analysis	48-50
SPECIFIC STANDARD DISCLOSURES				
ECONOMIC				
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	Group Performance Highlights	10
			Financial Capital - Economic Value Added	77
	201-2	Financial implications and other risks and opportunities due to climate change	Our Operating Environment	46
	201-3	Defined benefit plan obligations and other retirement plans	Financial Information - Employee Benefits	233
GRI 202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	Human Capital - Gender Diversity & Busting Myths	97
	202-2	Proportion of senior management hired from the local community	Social & Relationship Capital - Percentage of Managers from Local Community [Table]	112
GRI 203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	Manufactured Capital	78-89
	203-2	Significant indirect economic impacts	Social & Relationship Capital	104-113
GRI 204: Procurement Practices 2016	204-1	Proportion of spending on local suppliers	Social & Relationship Capital	112

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
GRI 205: Anti-Corruption 2016	205-1	Operations assessed for risks related to corruption	All [Refer Risk Management]	55-61
	205-2	Communication and training about anti-corruption policies and procedures	Risk Management	55-61
	205-3	Confirmed incidents of corruption and actions taken	Sustainable Tourism Dashboard	64
GRI 206: Anti-Competitive Behaviour 2016	206-1	Legal actions for anti-competitive behavior, anti-trust and monopoly practices	Sustainable Tourism Dashboard	64
ENVIRONMENT				
GRI 301: Materials 2016	301-1	Materials used by weight or volume	Natural Capital - Raw Materials	122
GRI 302: Energy 2016	302-1	Energy consumption within the organization	Natural Capital -Energy	117
	302-3	Energy intensity	Natural Capital -Energy	118
	302-4	Reduction of energy consumption	Natural Capital -Energy	118
GRI 303: Water 2016	303-1	Water withdrawal by source	Natural Capital - Water	117
	303-2	Water sources significantly affected by withdrawal of water	Natural Capital - Water	119
	303-3	Water recycled and reused	Natural Capital - Water	119
GRI 304: Biodiversity 2016	304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Natural Capital - Bio Diversity	121
	304-2	Significant impacts of activities, products and services on biodiversity	Natural Capital - Bio Diversity	121
	304-3	Habitats protected or restored	Natural Capital - Bio Diversity	121
	304-4	IUCN Red List species and national conservation list species with habitats in areas affected by operations	Page 124 of 2017/18 Annual Report	121
GRI 305: Emissions 2016	305-1	Gross direct [Scope 1] GHG emissions in metric tons of CO2 equivalent	Natural Capital - Carbon Footprint	121
	305-2	Energy Indirect [Scope 2] GHG Emissions in metric tons of CO2 equivalent	Natural Capital - Carbon Footprint	121
	305-5	Reductions of GHG emissions	Group Performance Highlights	11
GRI 306: Effluent & Waste 2016	306-2	Waste by type and disposal method	Natural Capital - Waste Management Performance [Table]	120
	306-3	Significant spills	Natural Capital - Effluent & Waste	119
	306-5	Water bodies affected by water discharges and/or runoff	Natural Capital - Water	119
GRI 307: 307. Environmental Compliance 2016	307-1	Non-compliance with environmental laws or regulations	Natural Capital - Environmental Management System	116

GRI CONTENT INDEX

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
SOCIAL				
GRI 401: Employment 2016	401-1	New employee hires and employee turnover	Human Capital	92
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	Financial Information - Employee Benefits	233
GRI 402: Labour/ Management Relations 2016	402-1	Minimum notice periods regarding operational changes	Human Capital - Employee Engagement	95
GRI 403: Occupational Health and Safety 2016	403-1	Workers representation in formal joint management-worker health and safety committees	Human Capital - Health & Safety	96
	403-2	Types of injury and rates of injury, occupational diseases, lost days and absenteeism and number of work-related fatalities.	Human Capital - Health & Safety	96
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	Human Capital - Learning & Development	94
	404-2	Programs for upgrading employee skills and transition assistance programs	Human Capital - Learning & Development	94-95
	404-3	Percentage of employees receiving regular performance and career development reviews	Human Capital - Rewards & Remuneration	93
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	Human Capital - Gender Diversity & Busting Myths	97
			Corporate Governance - Board Balance	134
	405-2	Ratio of the basic salary and remuneration of women to men	Human Capital - Gender Diversity & Busting Myths	97
HUMAN RIGHTS				
GRI 406: Non-Discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	Human Capital - Attraction & Retention	92
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Human Capital - Industrial Relations	95
			Social & Relationship Capital - Suppliers	111
GRI 408: Child Labour 2016	408-1	Operations and suppliers at significant risk for incidents of child labour	Social & Relationship Capital - Suppliers	111

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
GRI 409: Forced or Compulsory Labour 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour	Social & Relationship Capital - Suppliers	111
GRI 410: Security Practices 2016	410-1	Security personnel trained in human rights policies or procedures	Human Capital - Learning & Development	94
GRI 412: Human Rights Assessment 2016	412-2	Employee training on human rights policies or procedures	Human Capital - Learning & Development	94
SOCIETY				
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments and development programs	Social & Relationship Capital - Community Relationships	112
	413-2	Operations with significant actual and potential negative impacts on local communities	Social & Relationship Capital - Community Relationships	112
GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria	Social & Relationship Capital - Supplier Engagement Table	111
	414-2	Negative social impacts in the supply chain and actions taken	Social & Relationship Capital - Suppliers	111-112
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories	Social & Relationship Capital - Customer Health & Safety	107
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Social & Relationship Capital - Customer Health & Safety	107
GRI 417: Marketing and Labeling 2016	417-1	Requirements for product and service information and labeling	Social & Relationship Capital - Supplier Engagement Table	111
	417-2	Incidents of non-compliance concerning product and service information and labeling	Social & Relationship Capital - Guest Experience	107
	417-3	Incidents of non-compliance concerning marketing communications	Social & Relationship Capital - Guest Experience	107
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	Social & Relationship Capital - Customer Privacy	108
GRI 419: Socioeconomic Compliance 2016	419-1	Non-compliance with laws and regulations in the social and economic area	Sustainable Tourism Dashboard	64

CORPORATE INFORMATION

• 102-1 • 102-3 • 102-5 • 102-22 • 102-23 • 102-53

Name

Aitken Spence Hotel Holdings PLC

Legal Form

A Public Quoted Company with limited liability, incorporated in Sri Lanka on 14th March 1978

Company Registration Number

PQ 97

Registered Office

No. 315, Vauxhall Street, Colombo 2, Sri Lanka

Directors

D.H.S. Jayawardena - *Chairman*

M.P. Dissanayake Professor - Maritime Studies, Alumni USJ, Norad, JICA, University of Oxford - Business Alumni, Harvard Business School [EEP], Fellow [CIM, ICS, CILT-UK] - *Managing Director* [Appointed w.e.f. 15.03.2019]

D.S.T. Jayawardena

C.M.S. Jayawickrama FCMA

J.M.S. Brito LLB, FCA, MBA [Retired from the office of Managing Director w.e.f. 15.03.2019 and continues as a Non-Executive Director]

R.N. Asirwatham FCA

N.J. De Silva Deva Aditya

C.H. Gomez

G.P.J. Goonewardena

Group Audit Committee

R.N. Asirwatham - *Chairman*

G.C. Wickremasinghe

C.H. Gomez

N.J. De S. Deva Aditya/A.L. Gooneratne [Alternate Director to N.J. De S. Deva Aditya in the parent company's directorate]

J.M.S. Brito [Appointed w.e.f. 23.05.2019]

Group Remuneration Committee

G.C. Wickremasinghe - *Chairman*

R.N. Asirwatham

C.H. Gomez

Group Nomination Committee

G.C. Wickremasinghe - *Chairman*

D.H.S. Jayawardena

R.N. Asirwatham

Group Related Party Transactions Review Committee

R.N. Asirwatham - *Chairman*

G.C. Wickremasinghe

C.H. Gomez

N.J. De S. Deva Aditya/A. L. Gooneratne [Alternate Director to N.J. De S. Deva Aditya in the parent company's directorate]

J.M.S. Brito [Appointed w.e.f. 23.05.2019]

Secretaries

Aitken Spence Corporate Finance [Private] Limited

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Auditors

KPMG

Chartered Accountants
32A, Sir Mohammed Macan Markar Mawatha, P.O Box 186, Colombo 03.

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People's Bank
Bank of Ceylon
Hongkong and Shanghai Banking Corporation
Citibank N A
Union Bank
ICICI Bank
Nations Trust Bank
DFCC Bank
Deutsche Bank
Standard Chartered Bank
Commercial Bank

Holding Company

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GLOSSARY OF FINANCIAL TERMS

Accounting Policies – The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Actuarial Gains and Losses – Gain or loss arising from the difference between estimates and actual experience in a company's pension plan.

Available for Sale – On derivative financial asset that are designated as available for sale or are not classified as loans and receivable, held to maturity investment or financial asset at fair value through profit and loss.

Accrual Basis – Recording revenue & expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Amortization – The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held for Sale – The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR) – Reflects rates applicable on loans and advances granted by commercial banks to their most credit-worthy customers.

Asset Turnover – Total revenue divided by average total asset.

Capital Employed – Total shareholders' funds plus debt and minority interest.

Capital Reserves – Reserves identified for specific purposes and considered not of the entity, directly or indirectly, including any director (whether executive or otherwise) of the entity available for distribution.

Cash Equivalents – High liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of change in value.

Compound Annual Growth Rate (CAGR) – The year-over-year growth rate of an investment over a specified period of time.

Contingent Liabilities – A condition or situation at the Reporting date of which the financial effect will be determined only on the occurrence, or non-occurrence of one or more uncertain future events.

Collateral – Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided.

Current Ratio – Current assets divided by current liabilities.

Debt/Equity Ratio – Ratio between interest bearing borrowing and shareholder's equity. [Long term interest bearing debt + Preference Shareholder / Shareholder Funds + Non controlling Interest + Long term interest bearing debt]

Dividend Cover – Profit attributable to ordinary shareholders divided by dividend. Measures the number of times dividend is covered by distributable profit. [EPS / Dividend per share]

Deferred Income Tax – The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Derivative – A security whose price is dependent upon or derived from one or more underlying assets.

Dividend Pay Out Ratio – The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio – The yield a company pays out to its shareholders in the form of dividends.

[Ordinary dividend per share divided by market value per share]

Earnings Per Share (EPS) – Profit attributable to Equity Holders of the Company divided by weighted average number of ordinary shares in issue.

Equity – The value of an asset after all the liabilities or debts have been paid.

EBIT – Earnings before interest and tax.

EBITDA – Earnings before interest, taxes, depreciation and amortization.

Effective Rate of Taxation – Income tax over profit before tax.

EPS Growth – Percentage of increase in the EPS over the previous year.

Financial Leverage – Total average assets divided by total average equity.

Fair Value – The price that would be received to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date.

Fair Value Through Profit and Loss – A financial asset/liability acquired/incurred principally for the purpose selling or repurchasing it in the near term.

Financial Asset – Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Instrument – Any contract that gives rise to a financial asset of one entity and a financial liability or entity to another entity.

Financial Liability – Any liability that is a contractual obligation to deliver cash or another financial asset to another entity.

GLOSSARY OF FINANCIAL TERMS

Gearing - Borrowings to capital employed. Refer debt to equity.

Impairment - This occurs when recoverable amount of an asset is less than its carrying amount.

Interest Cover - This indicates the ability of an entity to cover long-term and short-term interest expenses with EBIT.

[Profit before Interest & Taxation + Share of Equity Accounted investees divided by total Interest charged for the year].

Key Management Personnel [KMP] - KMP are those persons having authority and responsibility for planning directing and controlling the activities of the entity, directly or indirectly, including any Director [whether executive or otherwise] of that entity.

Market Capitalization - The number of ordinary shares in issue multiplied by the market price per share as at the reported date.

Net Assets Per Share - Shareholders' funds divided by the number of ordinary shares in issue as at the Reporting date.

Non-Controlling Interest - Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

Other Comprehensive Income - An entry that is generally found in the shareholders' equity section of the Statement of Financial Position.

Price Earnings Ratio [PER] - Market price per share divided by the earnings per share.

Price to Book Value Ratio [PBV] - Market price per share divided by net assets per share.

Return on Capital Employed - Profit Before Tax divided by total shareholder's funds, non-controlling interest, non-current interest-bearing borrowings and deferred taxation.

Return on Equity - Profit attributable to shareholders as a percentage of average shareholders' funds.

Related Parties - A person or entity that is related to the entity that is preparing its Financial Statements.

Revenue Reserves - Reserves considered as being available for distributions and investments.

Return on Shareholder's Funds - Attributable profits divided by average Shareholders' funds.

Segmental Analysis - Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds - The sum of Share capital, Capital Reserves and Revenue Reserves.

Value Added - The wealth created by the operation of the company. The value is distributed among the stakeholders and the balance retained within the business.

Working Capital - Capital required to finance day-to-day operations, computed as the excess of current assets over current liabilities.

Yield to Maturity - The discount rate that equals present value of all expected interest payment and the repayment of principal.

NOTES

[illegible]

NOTICE OF MEETING

Notice is hereby given that the Forty Second Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held at the Institute of the Chartered Accountants of Sri Lanka, 30A, Malalasekera Mawatha, Colombo 7, at 10.30 a.m. on Friday, 28th June 2019, for the following purposes: -

1. To receive and consider the Annual Report of the Board of Directors together with the Financial Statements for the year ended 31st March 2019 with the Report of the Auditors thereon.
2. To declare a dividend as recommended by the Directors.
3. To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Deshamanya D.H.S. Jayawardena who is 76 years of age and that he be re-appointed a Director of the Company."

4. To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who is 76 years of age and that he be re-appointed a Director of the Company."

5. To re-appoint Mr. J.M.S. Brito who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210

of the Companies Act No. 7 of 2007 shall not apply to Mr. J.M.S. Brito who is 72 years of age and that he be re-appointed a Director of the Company."

6. To re-appoint Mr. N.J. de S. Deva Aditya who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. N.J. de S. Deva Aditya who is 71 years of age and that he be re-appointed a Director of the Company."

7. To re-elect Mr. C H Gomez who retires in terms of Article 83 of the Articles of Association, as a Director.

8. To authorise the Directors to determine contributions to charities.

9. To re-appoint the retiring Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.

10. To consider any other business of which due notice has been given.

By Order of the Board

Aitken Spence Hotel Holdings PLC



**Aitken Spence Corporate Finance
[Private] Limited**
Secretaries

24th May 2019
Colombo

Note:

1. A shareholder entitled to attend and vote at the meeting is entitled to appoint a Proxy to attend, speak and vote in his/her stead and a Form of Proxy is enclosed for this purpose. A Proxy need not be a shareholder of the Company.
2. The completed Form of Proxy must be deposited at the Registered Office of the Company No. 315, Vauxhall Street, Colombo 2, not less than forty eight hours before the time fixed for the meeting.
3. Should the Dividend recommended is approved by the Shareholders at the Annual General Meeting, it is proposed to post the dividend warrants on 9th July 2019 and in accordance with the Rules of the Colombo Stock Exchange, the shares of the Company will trade ex- dividend with effect from 1st July 2019.

FORM OF PROXY

I/We
.....of.....
being a shareholder/s of Aitken Spence Hotel Holdings PLC hereby appoint
of
..... [whom failing]

Don Harold Stassen Jayawardena	[whom failing]
Mahinda Parakrama Dissanayake	[whom failing]
Don Stasshani Therese Jayawardena	[whom failing]
Chrisanthus Mohan Susith Jayawickrama	[whom failing]
Joseph Michael Suresh Brito	[whom failing]
Rajanayagam Nalliah Asirwatham	[whom failing]
Charles Humbert Gomez	[whom failing]
Niranjan Joseph De Silva Deva Aditya	[whom failing]
Gemunu Prasanna Jayasundera Goonewardena	[whom failing]

as my/our Proxy to represent me/us, to speak and to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on the 28th June 2019 and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this June Two Thousand Nineteen.

.....
Signature

Note : Instructions as to completion are noted on the reverse hereof.

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the form of proxy by filling in legibly your full name and address, signing in the space provided and filling in the date of signature.
2. If the proxy form is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
3. In the case of a Company/Corporation, the proxy must be under its Common Seal (if required), which should be affixed and attested in the manner prescribed by its Articles of Association.
4. The completed form of proxy should be deposited at the Registered Office of the Company, No. 315, Vauxhall Street, Colombo 02 not later than 10.30 a.m. on 26th June 2019.

INVESTOR FEEDBACK FORM

• 102-21 • 102-33

Name [Optional] :

Address [Optional] :
.....

Number of shares held [Optional] :

Please rate the following areas (where applicable) on a scale of
1 to 5 where 1 is the lowest to 5 being the highest

Lowest Highest

1 2 3 4 5

1. Business Development

- | | | | | | | |
|----|--|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) | Quality and presentation of the Annual Report | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) | Usefulness of the information in the interim Financial Statements | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) | Likelihood of the financial information in the Annual Report to influence investment decisions | ☐ | ☐ | ☐ | ☐ | ☐ |
| d) | Likelihood of the environmental information in the Annual Report to influence investment decisions | ☐ | ☐ | ☐ | ☐ | ☐ |
| e) | Likelihood of the social information in the Annual Report to influence investment decisions | ☐ | ☐ | ☐ | ☐ | ☐ |
| f) | Satisfaction with the risk management strategies of the Company | ☐ | ☐ | ☐ | ☐ | ☐ |

2. Corporate Communication

- | | | | | | | |
|----|---|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) | Quality of Group communications appearing in traditional media (newspapers, radio, television). | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) | Quality of Group communications appearing in emerging and new media (social media, web). | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) | Satisfaction with the frequency and volume of Group communications appearing in mass media channels (newspapers, radio, television) | ☐ | ☐ | ☐ | ☐ | ☐ |
| d) | Accessibility and availability of information related to the Group in mass media channels | ☐ | ☐ | ☐ | ☐ | ☐ |
| e) | Quality of service and information provided at stakeholder contact channels (web, general line, front office/ reception) | ☐ | ☐ | ☐ | ☐ | ☐ |
| f) | Satisfaction with the contact channels available for queries and feedback | ☐ | ☐ | ☐ | ☐ | ☐ |

3. Human Resources

- | | | | | | | |
|----|--|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) | Satisfaction with the conduct of employees | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) | Competency of employees based on your recent interactions. | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) | Access to HR related information | ☐ | ☐ | ☐ | ☐ | ☐ |

4. Sustainability

- | | | | | | | |
|----|--|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) | Satisfaction with the strategies developed for economic sustainability | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) | Satisfaction with the commitment of the Group towards environmental conservation | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) | Satisfaction with the commitment of the Group towards social empowerment and community development | ☐ | ☐ | ☐ | ☐ | ☐ |
| d) | Ethical conduct of the Group in business activities | ☐ | ☐ | ☐ | ☐ | ☐ |

INVESTOR FEEDBACK FORM

Please tick more than one where applicable:

5. What areas of the following business activities are you interested in receiving more information regarding via Group communications?

- a) Sustainability initiatives ☐
- b) Reporting processes ☐
- c) Internal operations ☐
- d) New business initiatives ☐

6. What channels of communication are preferred when receiving Group related information?

- a) Web ☐
- b) Newspapers ☐
- c) Electronic media ☐
- d) Social media ☐
- e) Mobile ☐

7. Out of the following, what areas of sustainability do you feel Aitken Spence Hotels should focus more on?

- a) Energy ☐
- b) Water ☐
- c) Biodiversity ☐
- d) Waste management ☐
- e) Resource efficiency ☐
- f) GHG emission reduction ☐
- g) Social empowerment ☐
- h) Infrastructure development ☐
- i) Education ☐

The completed Feedback Form could be handed over to a Company representative at the end of the Annual General Meeting or emailed to info@aitkenspence.lk or mailed/delivered to the Group Company Secretaries at the Registered Office of the Company at No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

